

Dated 17 March 2025



NatWest Markets Plc

*(incorporated in Scotland with limited liability under the Companies Acts 1948 to 1980,
registered number SC090312)*

2025 Registration Document

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INTRODUCTION

This document constitutes a registration document (**‘Registration Document’**) for the purposes of Article 6(3) of Regulation (EU) 2017/1129 as it forms part of domestic law of the United Kingdom by virtue of the European Union (Withdrawal) Act 2018 (the **‘EUWA’**) and the regulations made under the EUWA, as amended or superseded (the **‘UK Prospectus Regulation’**), and has been prepared for the purpose of giving information with respect to NatWest Markets Plc which, according to the particular nature of the Issuer and the securities which it may offer to the public within the United Kingdom (the **‘UK’**) or apply to have admitted to trading on the London Stock Exchange’s regulated market, is necessary to enable investors to make an informed assessment of the assets and liabilities, financial position, profit and losses and prospects of the Issuer.

In this Registration Document, unless otherwise stated or the context otherwise requires, references to the **‘Issuer’** and to **‘NWM Plc’** are to NatWest Markets Plc and references to the **‘NWM Group’** are to NWM Plc and its subsidiaries.

The Issuer accepts responsibility for the information contained in this Registration Document. To the best of the knowledge of the Issuer, the information contained in this Registration Document is in accordance with the facts and the Registration Document makes no omission likely to affect the import of such information.

This Registration Document has been approved by the Financial Conduct Authority (the **‘FCA’**), as competent authority under the UK Prospectus Regulation. The FCA only approves this Registration Document as meeting the standards of completeness, comprehensibility and consistency imposed by the UK Prospectus Regulation. Such approval should not be considered as an endorsement of the Issuer that is the subject of this Registration Document.

No person has been authorised to give any information or to make any representation not contained in or not consistent with this Registration Document and, if given or made, such information or representation must not be relied upon as having been authorised by the Issuer.

This Registration Document should not be considered as a recommendation by the Issuer that any recipient of this Registration Document should purchase any securities of the Issuer. Each investor contemplating purchasing any securities of the Issuer should make its own independent investigation of the financial condition and affairs, and its own appraisal of the creditworthiness, of the Issuer. This Registration Document does not constitute an offer or invitation by or on behalf of the Issuer to any person to subscribe for or to purchase any securities of the Issuer.

The delivery of this Registration Document shall not in any circumstances imply that the information contained herein concerning the Issuer is correct at any time subsequent to the date hereof. Investors should carefully review and evaluate, *inter alia*, the most recent financial disclosure of the Issuer from time to time incorporated by reference herein when deciding whether or not to purchase any securities of the Issuer.

The distribution of this Registration Document and the offer or sale of any securities of the Issuer may be restricted by law in certain jurisdictions. Persons into whose possession this Registration Document or any securities of the Issuer come must inform themselves about, and observe, any such restrictions.

Any securities to be issued by the Issuer in connection with this Registration Document have not been and will not be registered under the United States Securities Act of 1933, as amended (the **‘Securities Act’**) or with any securities regulatory authority of any state or other jurisdiction of the United States (**‘US’**). Accordingly, any such securities may not be offered, sold, pledged or otherwise transferred within the US or to or for the account or benefit of US persons except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act and any applicable state securities laws. There will be no public offering of Securities in the United States.

Any securities to be issued by the Issuer in connection with this Registration Document have not been approved or disapproved by the US Securities and Exchange Commission (**‘SEC’**), any state securities commission in the US or any other US regulatory authority, nor have any of the foregoing authorities passed upon or endorsed the merits of the offering of any such securities or the accuracy or the adequacy of this Registration Document. Any representation to the contrary is a criminal offence in the United States.

DOCUMENTS INCORPORATED BY REFERENCE

The following documents, which have previously been published or are published simultaneously with this Registration Document and have been approved by the FCA or filed with it, shall be deemed to be incorporated in, and to form part of, this Registration Document and this Registration Document should be read and construed in conjunction with such documents:

- (a) the Articles of Association of the Issuer;
- (b) the audited consolidated financial statements of NWM Group, together with the audit report thereon, for the year ended 31 December 2024, set forth in the section 'Financial Statements' on pages 74 to 157 and the section 'Risk and Capital Management' on pages 18 to 68 (only where the information is identified as 'audited') of the Issuer's annual report which was published via the regulated news service of the London Stock Exchange ('RNS') on 14 February 2025 (the '**2024 Financial Statements**'); and
- (c) the audited consolidated financial statements of NWM Group, together with the audit report thereon, for the year ended 31 December 2023, set forth in the section 'Financial Statements' on pages 79 to 163 and the section 'Risk and Capital Management' on pages 24 to 73 (only where the information is identified as 'audited') of the Issuer's annual report which was published via RNS on 16 February 2024 (the '**2023 Financial Statements**' and, together with the 2024 Financial Statements, the '**Financial Statements**').

Any statement contained in a document which is deemed to be incorporated by reference into this Registration Document shall be deemed to be modified or superseded for the purpose of this Registration Document to the extent that a statement contained herein, or in a later dated document incorporated by reference herein, modifies or supersedes such earlier statement (whether expressly, by implication or otherwise).

Any information or other documents themselves incorporated by reference, either expressly or implicitly, in the documents incorporated by reference in this Registration Document shall not form part of this Registration Document, except where such information or other documents are specifically incorporated by reference into this Registration Document.

The Issuer will provide, without charge, to each person to whom a copy of this Registration Document has been delivered, upon the oral or written request of such person, a copy of any or all of the information which is incorporated herein by reference. Written or oral requests for such information should be directed to the Issuer at NatWest Markets Plc, 250 Bishopsgate, London, EC2M 4AA, United Kingdom.

A copy of any or all of the information which is incorporated by reference in this Registration Document can be obtained from the website of the Issuer at <https://investors.natwestgroup.com/regulatory-news/company-announcements> and from the London Stock Exchange's website at <https://www.londonstockexchange.com/exchange/news/market-news/market-news-home.html>.

Except as set forth above, no information or documents included on the website of the Issuer are part of or shall be incorporated by reference into this Registration Document.

Where only certain parts of a document are incorporated by reference into this Registration Document, the non-incorporated parts are either not relevant to investors or are covered elsewhere in this Registration Document. Any information not listed in the above cross-reference list but included in the documents incorporated by reference is given for information purpose only.

IMPORTANT INFORMATION FOR INVESTORS

Special Notice Regarding Forward-Looking Statements

Certain sections in this Registration Document contain ‘forward-looking statements’ as that term is defined in the United States Private Securities Litigation Reform Act of 1995, such as statements with respect to NWM Group’s financial condition, results of operations and business, including its strategic priorities, financial, investment and capital targets, and climate and sustainability-related targets, commitments and ambitions described herein. Statements that are not historical facts, including statements about NatWest Group’s (including NWM Group’s) beliefs and expectations, are forward-looking statements. Words such as ‘expect’, ‘estimate’, ‘project’, ‘anticipate’, ‘commit’, ‘believe’, ‘should’, ‘intend’, ‘will’, ‘plan’, ‘could’, ‘probability’, ‘risk’, ‘target’, ‘goal’, ‘objective’, ‘may’, ‘endeavour’, ‘outlook’, ‘optimistic’, ‘prospects’ and similar expressions or variations on these expressions are intended to identify forward-looking statements. In particular, this Registration Document includes forward-looking targets and guidance relating to financial performance measures, such as income growth, operating expense, cost reductions, impairment loss rates, balance sheet reduction, (including the reduction of RWAs), CET1 ratio (and key drivers of the CET1 ratio, including timing, impact and details), Pillar 2 and other regulatory buffer requirements and MREL and non-financial performance measures, such as climate and sustainability-related performance ambitions, targets and metrics, including in relation to initiatives to transition to a net zero economy, climate and sustainable funding and financing and financed emissions.

NWM Group cautions you that a large number of important factors could adversely affect NWM Group’s results or its ability to implement its strategy, cause it to fail to meet its targets, predictions, expectations and other anticipated outcomes or affect the accuracy of forward-looking statements described in this document. These factors include, but are not limited to, those set forth in the section ‘*Risk Factors*’ in this Registration Document. The principal risks and uncertainties that could adversely affect NWM Group’s future results, its financial condition and/or prospects and cause them to be materially different from what is forecast or expected, include, but are not limited to:

- economic and political risk, including in respect of:
 - economic and political risks and uncertainties in the UK and global markets, including as a result of inflation and interest rates, supply chain disruption, and geopolitical developments;
 - changes in interest rates and foreign currency exchange rates; and
 - HM Treasury’s ownership of NatWest Group plc;
- business change and execution risk, including in respect of:
 - NatWest Group’s strategy and NatWest Group’s creation of its Commercial & Institutional business segment (of which NWM Group forms part) and the transfer of NatWest Group’s Western European corporate portfolio;
- financial resilience risk, including in respect of:
 - NWM Group’s ability to meet targets, generate returns or implement its strategy effectively;
 - prudential regulatory requirements for capital and MREL;
 - NWM Group’s reliance on access to capital markets directly or indirectly through its parent (NatWest Group);
 - capital, funding and liquidity risk;
 - reductions in the credit ratings;
 - the competitive environment;
 - the requirements of regulatory stress tests;
 - counterparty and borrower risk;
 - model risk;
 - sensitivity to accounting policies, judgements, estimates and assumptions (and the economic, climate, competitive and other forward looking information affecting those judgements, estimates and assumptions);
 - changes in applicable accounting standards;
 - the adequacy of NatWest Group’s resolution plans; and

- the application of UK statutory stabilisation or resolution powers to NatWest Group;
- climate and sustainability risk, including in respect of:
 - risks relating to climate change and sustainability-related risks;
 - both the execution and reputational risk relating to NatWest Group's climate change-related strategy, ambitions, targets and transition plan;
 - climate and sustainability-related data and model risk;
 - increasing levels of climate, environmental, human rights and other sustainability-related laws, regulation and oversight; and
 - climate, environmental, human rights and other sustainability-related litigation, enforcement proceedings, investigations and conduct risk;
- operational and IT resilience risk, including in respect of:
 - operational risks (including reliance on third party suppliers);
 - cyberattacks;
 - the accuracy and effective use of data;
 - attracting, retaining and developing senior management and skilled personnel;
 - complex IT systems;
 - NWM Group's risk management framework; and
 - NWM Group's reputational risk;
- legal, regulatory and conduct risk, including in respect of:
 - the impact of substantial regulation and oversight;
 - the outcome of legal, regulatory and governmental actions and investigations as well as remedial undertakings; and
 - changes in tax legislation or failure to generate future taxable profits.

Additional factors that could cause NWM Group's actual business, results of operations or financial condition to differ from the forward-looking statements include, but are not limited to, the other factors that NWM Group has indicated in other parts of this Registration Document that could materially adversely affect its business and financial performance.

Should one or more of these factors or uncertainties materialise, or should any underlying assumptions prove to be incorrect, NWM Group's actual results of operations or financial position could differ materially from that described herein as anticipated, believed, estimated or expected. The Issuer urges investors to read the sections of this Registration Document entitled '*Risk Factors*,' '*Operating and Financial Review*,' '*Description of NWM Group*' and '*Regulation and Supervision*' for a more complete discussion of the factors that could affect NWM Group's future performance and the industry in which NWM Group operates.

The forward-looking statements contained in this Registration Document are based on current plans, expectations, estimates, targets and projections, and are subject to significant inherent risks, uncertainties and other factors, both external and relating to NatWest Group's and NWM Group's strategy or operations, which may result in NWM Group being unable to achieve the current plans, expectations, estimates, targets, projections and other anticipated outcomes expressed or implied by such forward-looking statements. In addition, certain of these disclosures are dependent on choices relying on key model characteristics and assumptions and are subject to various limitations, including assumptions and estimates made by management. By their nature, certain of these disclosures are only estimates and, as a result, actual future results, gains or losses could differ materially from those that have been estimated. Accordingly, undue reliance should not be placed on these statements.

The forward-looking statements contained in this Registration Document speak only as at the date hereof, and the Issuer does not assume or undertake any obligation or responsibility to update any forward-looking statement to reflect events or circumstances after the date hereof or to reflect the occurrence of unanticipated events, except as may be required by law. All subsequent written and oral forward-looking statements attributable to the Issuer or to

persons acting on its behalf are expressly qualified in their entirety by the cautionary statements referred to above and contained elsewhere in this Registration Document.

Climate and sustainability-related disclosures in this Registration Document are not measures within the scope of International Financial Reporting Standards ('**IFRS**'), and use a greater number and level of judgements, assumptions and estimates, including with respect to the classification of climate and sustainable funding and financing activities, than its reporting of historical financial information in accordance with IFRS. These judgements, assumptions and estimates are highly likely to change materially over time, and, when coupled with the longer time frames used in these disclosures, make any assessment of materiality inherently uncertain. In addition, climate risk analysis, ambition to be net zero across its financed emissions, assets under management and operational value chain by 2050 and the implementation of its climate transition plan remain under development, and the data underlying its analysis and strategy remain subject to evolution over time. The process adopted to define, gather and report data on performance on climate and sustainability-related measures is not subject to the formal processes adopted for financial reporting in accordance with IFRS and there are currently limited industry standards or globally recognised established practices for measuring and defining climate and sustainability-related metrics. As a result, it is expected that certain climate and sustainability-related disclosures made in this Registration Document are likely to be amended, updated, recalculated or restated in the future.

Certain Defined Terms

The following terms used in this Registration Document have the meanings assigned to them below:

‘2023 Financial Statements’	the audited consolidated financial statements of NWM Group as at and for the year ended 31 December 2023 as well as the ‘Capital and Risk Management’ section (only where information is identified as ‘audited’).
‘2024 Financial Statements’	the audited consolidated financial statements of NWM Group as at and for the year ended 31 December 2024 as well as the ‘Capital and Risk Management’ section (only where the information is identified as ‘audited’).
‘AI’	artificial intelligence.
‘AML’	anti-money laundering.
‘ALCo’	Assets & Liabilities Committee.
‘AQ’	asset quality.
‘AT1’	additional tier 1.
‘Authorities’	the SRR, HM Treasury, the BoE and the PRA and FCA, collectively.
‘Bank,’ ‘Issuer,’ or ‘NWM Plc’	NatWest Markets Plc.
‘Banking Act’	the Banking Act 2009, as amended.
‘Basel III’	the Basel Committee on Banking Supervision’s regulatory capital framework.
‘BCBS’	Basel Committee on Banking Supervision.
‘BNZ’	balanced net zero.
‘Board of Directors’ or ‘Board’	the board of directors of the Issuer.
‘BoE’	the Bank of England.
‘Brexit’	the withdrawal of the UK from the European Union and the European Economic Area on 31 January 2021.
‘CAT’	UK Competition Appeal Tribunal.
‘CCF’	credit conversion factors.
‘CCI’	credit cycle indices.
‘CCR’	counterparty credit risk.
‘CCyB’	the UK countercyclical buffer.
‘CDF’	climate decisioning framework.

‘CDIO’	Chief Digital and Information Officer.
‘CEC’	control environment certification.
‘CET1’	common equity tier 1.
‘CRA Regulation’	Regulation (EC) No. 1060/2009, as amended.
‘CRD’	the Capital Requirements Directive (2013/36/EU).
‘CRD IV’	the CRD and CRR, together.
‘CRD V’	the Capital Requirements Directive V.
‘CREM’	credit risk enhancement and mitigation.
‘CRR’	Regulation No. 575/2013 of the European Parliament and of the Council on prudential requirements for credit institutions and investment firms, as amended or replaced from time to time.
‘CRR 2’	the Capital Requirements Regulation 2.
‘CSD’	Capital Support Deed.
‘CVA’	credit valuation adjustment.
‘DNB’	the De Nederlandsche Bank.
‘DoJ’	the US Department of Justice.
‘DORA’	the EU Digital Operational Resilience Act.
‘D-SIB’	Domestic Systemically Important Banks.
‘EAD’	exposure at default.
‘ECL’	expected credit loss.
‘EDF’	Environmental Decisioning Framework.
‘EEA’	the European Economic Area.
‘EEA transfer customers’	has the meaning assigned thereto in the section ‘ <i>Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.</i> ’
‘EGBs’	the European central banks.
‘EMIR’	European Market Infrastructure Regulation.
‘ESE’	environmental, social and ethical.
‘ESG’	environmental, social and governance.
‘EU’	the European Union.
‘EUA’	European Union Allowances.

‘EUWA’	the European Union (Withdrawal) Act 2018, as amended.
‘FCA’	the United Kingdom Financial Conduct Authority.
‘FDIC’	the Federal Deposit Insurance Corporation.
‘FDIC’	the Federal Deposit Insurance Corporation.
‘FICC’	Fixed income, Currencies and Commodities.
‘Financial Statements’	the 2023 Financial Statements and the 2024 Financial Statements, collectively.
‘Fitch’	Fitch Ratings Ltd or successors thereto.
‘FPC’	the Financial Policy Committee.
‘FS Act’	the Financial Services Act 2021, as amended.
‘FSMA’	the Financial Services and Markets Act 2000, as amended.
‘FSMA 2023’	the Financial Services and Markets Act 2023.
‘Funded Guarantee’	has the meaning assigned thereto in section <i>‘Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.’</i>
‘FVOCI’	fair value through other comprehensive income.
‘FX’	foreign exchange.
‘GAAP’	generally accepted accounting principles.
‘GDP’	gross domestic product.
‘G-SIB’	the Global Systemically Important Banks.
‘HQLA’	high quality liquid assets.
‘IAS’	International Accounting Standards.
‘IASB’	the International Accounting Standards Board.
‘ICAAP’	internal capital adequacy assessment process.
‘IFRS’	International Financial Reporting Standards issued by the IASB (as adopted pursuant to Regulation (EC) No. 1606/2002 as it applies to the European Union), International Financial Reporting Standards as issued by the IASB and UK-IAS.
‘IPU’	intermediate parent undertaking.
‘IRB’	internal ratings based.
‘IRC’	incremental risk charge.

‘IT’	information technology.
‘LCR’	liquidity coverage ratio.
‘LGD’	loss given default.
‘LIBOR’	London interbank offered rate.
‘Member State’	Member State of the EU.
‘MES’	multiple economic scenarios.
‘MiFID II’	Directive 2014/65/EU, as amended.
‘MiFIR’	Regulation (EU) No 600/2014, as amended, as it forms part of domestic law by virtue of the EUWA.
‘MLD5’	the Fifth Money Laundering Directive.
‘Moody’s’	Moody’s Investors Service Limited or successors thereto.
‘MREL’	the minimum requirement for own funds and eligible liabilities.
‘MTNs’	medium-term notes.
‘NatWest Group’	NatWest Group plc together with its subsidiary and associated undertakings.
‘NatWest Holdings Group’	NWH Ltd and its subsidiaries.
‘NCA’	National Crime Agency.
‘NGFS’	Network for Greening the Financial System.
‘NIM’	net interest margin.
‘NPA’	non-prosecution agreement.
‘NSFR’	net stable funding ratio.
‘NTIRR’	non-traded interest rate risk
‘NV Transfer’	has the meaning assigned thereto in the section ‘ <i>Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.</i> ’
‘NWB’	National Westminster Bank Plc.
‘NWH Ltd’	NatWest Holdings Limited.
‘NWM Group’	the Issuer and its consolidated subsidiaries.
‘NWM N.V.’	NatWest Markets N.V.
‘NWMSI’	NatWest Markets Securities Inc.

‘OCA’	Own credit adjustments.
‘PCAF’	Partnership for Carbon Accounting Financials.
‘pounds sterling’, ‘£’ or ‘sterling’	the currency of the United Kingdom.
‘PRA’	the Prudential Regulation Authority.
‘PD’	probability of default.
‘P&L’	profit and loss.
‘RBS Plc’	The Royal Bank of Scotland Plc.
‘RBSH N.V.’	RBS Holdings N.V.
‘RBSI’	RBS International Limited.
‘repo’	repurchase agreement.
‘Revenue Share Agreements’	has the meaning assigned thereto in the section ‘ <i>Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Relationship with NatWest Group—Revenue Share Agreements.</i> ’
‘Revenue Sharing Entities’	has the meaning assigned thereto in the section ‘ <i>Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Relationship with NatWest Group—Revenue Share Agreements.</i> ’
‘RFB Entities’	NWB, The Royal Bank of Scotland Plc and Ulster Bank Ireland DAC, collectively.
‘RNS’	regulated news service of the London Stock Exchange.
‘RWAs’	the risk weighted assets.
‘S&P’	S&P Global Ratings UK Limited or successors thereto.
‘SEC’	the US Securities and Exchange Commission.
‘Securities Act’	the United States Securities Act of 1933, as amended.
‘SMF’	the Sterling Monetary Framework.
‘SOC’	the stressed outflow coverage.
‘SRR’	the special resolution regime.
‘SVaR’	Stressed value-at-risk.
‘SWES’	system-wide exploratory scenario.
‘TCR’	the total capital requirements.

‘ Transfer Business ’	NatWest Group plc’s Western European corporate portfolio (principally consisting of term funding and revolving credit facilities).
‘ Transfer Scheme ’	has the meaning assigned thereto in the section ‘ <i>Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.</i> ’
‘ UK ’	the United Kingdom.
‘ UK CCC ’	the UK Climate Change Committee.
‘ UK CRA Regulation ’	Regulation (EU) No. 1060/2009 (as amended), as it forms part of domestic law of the UK by virtue of the EUWA.
‘ UK Prospectus Regulation ’	Regulation (EU) 2017/1129 (as amended), as it forms part of domestic law of the UK by virtue of the EUWA and the regulations made under the EUWA, as amended or superseded.
‘ UKGI ’	UK Government Investments Limited.
‘ US ’	the United States.
‘ US dollar ’ or ‘ US\$ ’	the currency of the United States.
‘ USAO CT ’	the United States Attorney’s Office for the District of Connecticut.
‘ VaR ’	value-at-risk.
‘ VAT ’	value-added-tax.
‘ Western European Transfers ’	the transfer of lending facilities from the ring-fenced subgroup of NatWest Group to NWM Group or to the ring-fenced subgroup of NatWest Group from NWM Group

Statistical Data

The statistical data included in this Registration Document is not intended to, and does not, comply with subpart 1400 of Regulation S-K under the Securities Act applicable to offerings of securities by bank holding companies that are registered with the SEC.

Presentation of Financial Information

General

Except as discussed below, the historical financial information of NWM Group and the Issuer presented in this Registration Document has been derived from the Financial Statements. The 2024 Financial Statements and the 2023 Financial Statements are prepared in accordance with UK adopted International Accounting Standards (‘**IAS**’), IFRS as issued by the International Accounting Standards Board (‘**IASB**’) and IFRS as adopted by the European Union, include consolidated financial information of NWM Group as at and for the years ended 31 December 2024, 2023 and 2022 and have been audited by Ernst & Young LLP. The Financial Statements and the reports of Ernst & Young LLP on the 2024 Financial Statements and the 2023 Financial Statements are incorporated by reference into

this Registration Document. Ernst & Young LLP is registered to carry out audit work by the Institute of Chartered Accountants in England and Wales.

Certain historical financial information of NWM Group, including as set forth in *‘Selected Statistical Data and Other Information’* has been derived from NWM Group’s regularly maintained accounting records, operating systems, accounting systems or other systems. Such historical financial information has not been audited.

Certain financial and other information set forth in this Registration Document has been rounded. Accordingly, in certain instances, the sum of the numbers in a column or row in a table may not conform exactly to the total figure given for that column or row. In addition, certain percentages presented in this Registration Document reflect calculations based upon the underlying information prior to rounding and, accordingly, may not conform exactly to the percentages that would be derived if the relevant calculations were based upon the rounded numbers.

NWM Group’s financial year ends on 31 December and references in this Registration Document to any specific financial year are to the 12-month period ended 31 December of such year.

Financial information previously published for any financial periods can differ from subsequently published financial information due to the retrospective implementation of subsequent changes in accounting policies and other retrospective adjustments made in accordance with IFRS.

NWM Group publishes its financial statements in pounds sterling (‘£’ or ‘**sterling**’). The abbreviations ‘£m’ and ‘£bn’ represent millions and thousands of millions of pounds sterling, respectively, and references to ‘pence’ represent pence in the UK.

Note on recent changes to the scope of NWM Group’s activities

In 2022, NatWest Group announced the creation of the Commercial & Institutional (‘**C&I**’) segment, which brought together the previously separate Commercial, NatWest Markets and RBS International customer businesses. The new segment is a step forward in NatWest Group becoming a simpler bank to deal with, bringing the best of NatWest Group’s expertise to better support its customers’ needs. The creation by NatWest Group of the C&I segment has enhanced the NWM Group’s ability to work across NatWest Group to deliver on opportunities from referrals from other entities within the NatWest Group, including revenue growth.

To improve efficiencies and best serve customers following the withdrawal of the UK from the European Union and the European Economic Area on 31 January 2021 (‘**Brexit**’), NWM Group expects that certain assets, liabilities, transactions and activities of NatWest Group’s Transfer Business, may be: (i) transferred from the ring-fenced subgroup of NatWest Group to NWM Group, and/or (ii) transferred to the ringfenced subgroup of NatWest Group from NWM Group, subject to regulatory and customer requirements. The timing, success and quantum of any of these transfers remain uncertain as is the impact of these transactions on its go-forward results of operations. These changes are discussed below under *‘Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.’*

Non-GAAP Measures of Financial Performance

The discussion of the results of operations of NWM Group included in *‘Risk Factors,’ ‘Overview of Consolidated Financial Information and Other Data,’ ‘Operating and Financial Review’* and *‘Description of NWM Group’* is based on the Financial Statements. The Issuer prepares its financial statements in accordance with UK adopted IAS, IFRS as issued by the IASB and IFRS as adopted by the European Union, which constitutes a body of generally accepted accounting principles (‘**GAAP**’). This document contains a number of alternative performance measures or non-GAAP (or non-IFRS) financial measures. A non-GAAP financial measure is defined as one that measures historical or future financial performance, financial position or cash flows but which excludes or includes amounts that would not be so adjusted in the most comparable GAAP financial measure.

The non-GAAP financial measures used in this document generally exclude certain items which management believes are not representative of the underlying performance of the business and which distort period-on-period comparison. These measures are used internally by management, in conjunction with IFRS financial measures, to measure performance and make decisions regarding the future direction of the business. Management believes these non-GAAP financial measures, when provided in combination with reported IFRS results, provide helpful

supplementary information for investors. These non-GAAP financial measures are not a substitute for, and should be read in conjunction with, reported IFRS financial measures.

NWM Group uses ‘funded assets’ as a non-GAAP financial measure in this Registration Document. This measure allows a review of balance sheet trends exclusive of the volatility associated with derivative fair values. Funded assets are represented by NWM Group’s total assets in accordance with the published IFRS balance sheet, less derivative assets.

NWM Group also presents a management view of operating expenses alongside the statutory measure. This analysis of operating expenses aims to remove more volatile items within litigation and conduct costs. A reconciliation between the statutory and non-statutory presentations of operating expenses is set out in the section *‘Operating and Financial Review - Consolidated Financial Information for the Years Ended and as at 31 December 2024 and 2023.’*

NWM Group presents a management view of income by business, including separate itemisation of transfer pricing arrangements with fellow NatWest Group subsidiaries; own credit adjustments (‘**OCA**’); income including shared revenue and before OCA; and income excluding OCA.

Transfer pricing arrangements with fellow NatWest Group subsidiaries include:

- Revenue share arrangements pursuant to which a proportion of the income generated by NWM Group products from customers that have their primary relationship with other NatWest Group subsidiaries is shared between NWM Group and those subsidiaries.
- A profit share arrangement that was entered into during 2023 between NWM Group and fellow NatWest Group subsidiaries to reward NWM Group on an arm’s length basis for its contribution to the performance of the NatWest Group C&I business segment, of which NWM Group forms part (the “**Profit Share Arrangement**”). The profit share is not allocated to individual NWM Group product areas.

OCA’s are applied to positions for which NWM Group believes that the counterparties would consider NWM Group’s creditworthiness when pricing trades. The fair value of certain issued debt securities, including structured notes, is adjusted to reflect the changes in own credit spreads and the resulting gain or loss recognised in income.

RISK FACTORS

Set out below are certain risk factors that, if they were to materialise, could have a material adverse effect on the business, operations, financial condition or prospects of the Issuer and cause the Issuer's future results to be materially different from expected results, thereby potentially affecting the Issuer's ability to fulfil its obligations in respect of securities issued by it. Where such material adverse effects are identified below, they should not be read as mutually exclusive of one another and any such effects could materialise as a result of the risks identified. The factors discussed below should not be regarded as a complete and comprehensive statement of all potential risks and uncertainties the Issuer's businesses face. The Issuer has described only those risks relating to its operations of which it is aware and that it considers to be material. There may be additional risks that the Issuer currently considers not to be material or of which it is not currently aware and any of these risks could have the effects set forth above. Investors should note that they bear the Issuer's solvency risk. The term Issuer, for the purpose of this section (but not others), also refers, where the context so permits, to any group company of the Issuer.

The order in which the following risks are presented is not intended to be an indication of the probability of their occurrence or the magnitude of their potential effects and risks have been grouped by topic rather than presented by expected magnitude or probability. The risk factors set out below are the ones that the Issuer believes are the most significant risks facing NWM Group.

As of the date of this Registration Document, geopolitical developments, armed conflict, changes in interest rates and inflationary pressures continue to add significant uncertainty to the Issuer's operating environment and may have the effect of magnifying the risks and uncertainties described in this section "Risk Factors".

Economic and political risk

NWM Group, its customers and its counterparties face continued economic and political risks and uncertainties in the UK and global markets, including as a result of inflation and interest rates, supply chain disruption, and geopolitical developments.

NWM Group is affected by global economic and market conditions, particularly those in the UK. Uncertain and volatile economic conditions in the UK or globally can create a challenging operating environment for financial services companies such as NWM Group. The outlook for the UK and the global economy is affected by many dynamic factors including: gross domestic product ('GDP'), unemployment, inflation and interest rates, asset prices (including residential and commercial property), energy prices, monetary and fiscal policy (such as increases in bank levies), supply chain disruption, protectionist policies or trade barriers (including tariffs).

Economic and market conditions could be exacerbated by a number of factors including: instability in the UK and/or global financial systems, market volatility and change, fluctuations in the value of the pound sterling, new or extended economic sanctions, volatility in commodity prices, political uncertainty, concerns regarding sovereign debt (including sovereign credit ratings), any lack or perceived lack of creditworthiness of a counterparty or borrower that may trigger market-wide liquidity problems, changing demographics in the markets that NWM Group and its customers serve, rapid changes to the economic environment due to the adoption of technology, automation, artificial intelligence, or due to the consequences of climate change, biodiversity loss, nature degradation and/or increasing social and other inequalities.

NWM Group is also exposed to risks arising out of geopolitical events or political developments that may hinder economic or financial activity levels and may, directly or indirectly, impact UK, regional or global trade and/or NWM Group's customers and counterparties. NWM Group's business and performance could be negatively affected by political, military or diplomatic events, geopolitical tensions, armed conflict (for example, the Russia-Ukraine conflict and Middle East conflicts), terrorist acts or threats, more severe and frequent extreme weather events, widespread public health crises, and the responses to any of the above scenarios by various governments and markets.

In recent years, the UK has experienced significant political uncertainty. NWM Group may also face political uncertainty in Scotland if there is another Scottish independence referendum. Scottish independence may adversely affect NWM Group plc both in relation to its entities incorporated in Scotland and in other jurisdictions. Any changes to Scotland's relationship with the UK or the EU may adversely affect the environment in which NatWest Group plc and its subsidiaries operate and may require further changes to NatWest Group (including NWM Group's

structure), independently or in conjunction with other mandatory or strategic structural and organisational changes, any of which could adversely affect NWM Group.

The value of NWM Group's own and other securities may be materially affected by market risk (including as a result of market fluctuations). Market volatility, illiquid market conditions and disruptions in the financial markets may make it very difficult to value certain of NWM Group's own and other securities, particularly during periods of market displacement. This could cause a decline in the value of NWM Group's own and other securities, or inaccurate carrying values for certain financial instruments. Similarly, NWM Group trades a considerable amount of financial instruments (including derivatives) and volatile market conditions could result in a significant decline in NWM Group's net trading income or result in a trading loss.

In addition, financial markets are susceptible to severe events evidenced by, or resulting in, rapid depreciation in asset values, which may be accompanied by a reduction in asset liquidity. Under these conditions, hedging and other risk management strategies may not be as effective at mitigating losses as they would be under more normal market conditions. Moreover, under these conditions, market participants are particularly exposed to trading strategies employed by many market participants simultaneously (and often automatically) and on a large scale, increasing NWM Group's counterparty risk. NWM Group's risk management and monitoring processes seek to quantify and mitigate NWM Group's exposure to extreme market moves. However, market events have historically been difficult to predict, and NWM Group, its customers and its counterparties could experience significant losses if severe market events were to occur.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Fluctuations in currency exchange rates may adversely affect NWM Group's results and financial condition.

Decisions of central banks (including the Bank of England ('BoE'), the ECB, and the US Federal Reserve) and political or market events which are outside NWM Group's control, may lead to sharp and sudden fluctuations in currency exchange rates.

Although NWM Group is principally a UK-focused banking group, it is subject to structural foreign exchange risk from capital deployed in NWM Group and its foreign subsidiaries and branches. NWM Group also issues instruments in non-sterling currencies, such as USD, that assist in meeting NWM Group's regulatory requirements. In addition, NWM Group conducts banking activity in non-sterling currencies (for example, loans, deposits and dealing activity) which affect its revenue. NWM Group also uses service providers based outside the UK for certain services and as a result certain operating expenses are subject to fluctuations in currency exchange rate. NWM Group maintains policies and procedures designed to manage the impact of its exposure to fluctuations in currency exchange rates. Nevertheless, changes in currency exchange rates, particularly in the sterling-US dollar and sterling-euro rates, may adversely affect various accounting and financial metrics including the value of assets, liabilities (including the total amount of instruments eligible to contribute towards the minimum requirement for own funds and eligible liabilities ('MREL')), income and expenses, risk weighted assets ('RWAs') and hence the reported earnings and financial condition of NWM Group.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Changes in interest rates will continue to affect NWM Group's business and results.

NWM Group's performance is affected by changes in interest rates. Benchmark overnight interest rates, such as the UK base rate, decreased in 2024, and forward rates suggest that interest rates will continue to decline in 2025. Stable interest rates support more predictable income flow and less volatility in asset and liability valuations, although persistently low and negative interest rates may adversely affect NWM Group. Further, volatility in interest rates may result in unexpected outcomes both for interest income and asset and liability valuations which may adversely affect NWM Group. For example, decreases in key benchmark rates such as the UK base rate may adversely affect NWM Group's income, and unexpected movements in spreads between key benchmark rates such as sovereign and swap rates may, in turn, affect liquidity portfolio valuations. In addition, unexpected sharp rises in rates may also have negative impacts on some asset and derivative valuations.

Moreover, customer and investor responses to rapid changes in interest rates can have an adverse effect on NWM Group. For example, customers may make deposit choices that provide them with higher returns than those being offered by NWM Group. Alternatively, NWM Group may not respond with competitive products as rapidly, for example following an interest rate change which may in turn decrease NWM Group's net interest income.

Movements in interest rates also influence and reflect the macroeconomic situation more broadly, affecting factors such as business and consumer confidence, property prices, default rates on loans, customer behaviour (which may adversely impact the effectiveness of NWM Group's hedging strategy), and other indicators that may indirectly affect NWM Group.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

HM Treasury (or UKGI on its behalf) could exercise, or be perceived as being capable of exercising, influence over NatWest Group and NWM Group is controlled by NatWest Group.

In its Autumn Budget 2024, the UK Government confirmed its commitment to exit its shareholding in NatWest Group plc by 2025-2026 subject to market conditions and sales representing value for money for taxpayers. Accordingly, following various prior sell-downs of parts of its shareholding in NatWest Group plc, HM Treasury is no longer a "controlling shareholder" of NatWest Group plc. As at 13 January 2025, HM Treasury held 8.90% of the ordinary share capital with voting rights of NatWest Group plc.

HM Treasury has indicated that it intends to respect the commercial decisions of NatWest Group and that NatWest Group entities (including NWM Group) will continue to have their own independent board of directors and management team determining their own strategy.

However, for as long as HM Treasury remains NatWest Group plc's largest single shareholder, HM Treasury and UK Government Investments Limited ('UKGI') (as manager of HM Treasury's shareholding) could exercise, or be perceived as being capable of exercising, influence over NatWest Group (including NWM Group), on matters such as changes to NatWest Group's (including NWM Group's) directors and senior management, NatWest Group's (including NWM Group's) capital strategy, dividend policy, remuneration policy or how NatWest Group conducts its operations. HM Treasury or UKGI's approach largely depends on government policy, which could change. Any exercise of such influence, or the perception that such influence may be exercised, may have an adverse effect on NatWest Group's (including NWM Group's) reputation, the price of NatWest Group's (including NWM Group's) securities, or the governance or business strategy of NWM Group.

The way in which HM Treasury or UKGI exercises HM Treasury's rights as NatWest Group plc's largest single shareholder could give rise to conflicts between the interests of HM Treasury and the interests of other shareholders, including as a result of a change in government policy, which may in turn adversely affect NatWest Group (including NWM Group).

In addition, NWM Plc is a wholly owned subsidiary of NatWest Group plc, and NatWest Group plc therefore controls NWM Plc's board of directors and NWM Group's corporate policies and strategic direction. The interests of NatWest Group plc (as an equity holder and as NWM Group's parent) and the interests of the C&I business segment may differ from, and conflict with, the interests of NWM Group or of potential investors in its securities. See also, '—NWM Group has been in a period of, and may continue to be subject to, significant structural and other change.'

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, reputation, and/or the price of its securities.

Business change and execution risk

NWM Group has been in a period of, and may continue to be subject to, significant structural and other change.

As part of NatWest Group's strategy (including the strategic priorities of disciplined growth, bank-wide simplification and active balance sheet and risk management), NWM Group's own strategy has evolved to mostly focus on serving NatWest Group's corporate and institutional customer base via the creation of NatWest Group's

C&I business segment. NatWest Group plc reports NWM Group's results under the C&I operating segment structure, although NWM Plc continues to also report on a standalone legal entity basis.

The C&I business segment was created to promote closer operational and strategic alignment to support NatWest Group growth, with more integrated services to customers across NatWest Group entities, within and outside the ring-fenced banks with the potential increased risk of breach of the UK ring-fencing regime requiring effective conflicts of interest policies. As a result of further focusing on NatWest Group's core C&I customers, NWM Group's prospects have become further dependent on the success and strategy of NatWest Group and its C&I business segment in particular.

NWM Group's ability to serve its customers may be adversely affected by the execution of NatWest Group's strategy in respect of its C&I business segment and customer reactions to the changing nature of NWM Group's business model may be more adverse than expected. Previously anticipated revenue and profitability levels may not be achieved (including in relation to: the ability to support customer transactions whilst meeting NWM Group capital targets, and changes to the availability of risk capital), in the timescales envisaged or at all.

An adverse macroeconomic environment, political and regulatory uncertainty, market volatility and change, and/or strong market competition may require NWM Group to adjust aspects of its strategy or the timeframe for its implementation. It is anticipated that NWM Plc will continue to generate operating losses in the short-term and as a result its capital levels may decline.

NWM Group's strategy requires it to focus on bank-wide simplification, a significant proportion of which is dependent on simplification of its IT systems and therefore may not be realised if IT capabilities are not delivered in line with assumptions. In addition, the scale of changes that have been concurrently implemented require the implementation and application of robust governance and controls frameworks and robust IT systems. There is a risk that NWM Group may not be successful in maintaining such governance and control frameworks and IT systems.

As part of NWM Group's strategy, NWM Group has set a number of financial, capital and operational targets and expectations, which are expected to require further reductions to its wider cost base. The financial, operational and capital targets and expectations envisaged by NWM's strategy may not be met or maintained in the timeframes expected or at all. In addition, targets and expectations for NWM Group are based on management plans, projections and models, and are subject to a number of key assumptions and judgements, any of which may prove to be inaccurate. NWM Group has implemented a shared services model and transfer pricing arrangements with some entities within NatWest Group's ring-fenced sub-group (including NatWest Bank Plc and The Royal Bank of Scotland Plc). NWM Group therefore relies directly or indirectly on NatWest Group entities to provide services to itself and its customers. This reliance has increased as a result of NWM Group joining NatWest Group's C&I business segment.

A failure of NWM Group to receive these services may result in operational risk. See, 'Operational risks (including reliance on third party suppliers and outsourcing of certain activities) are inherent in NWM Group's businesses.' In addition, any change to the cost and/or scope of services provided by NatWest Group may impact NWM Group's competitive position and its ability to meet its other targets.

NWM's strategy entails legal, execution, operational and regulatory (including compliance with the UK ring-fencing regime), conflicts, IT system, cybersecurity, culture, people, conduct, business and financial risks to NWM Group. As a result, NWM Group may not be able to successfully implement some or all aspects of its strategy or may not meet any or all of the related strategic targets or expectations.

Additionally, as a result of the UK's withdrawal from the EU, certain aspects of the services provided by NWM Group require local licences or individual equivalence decisions (temporary or otherwise) by relevant regulators. In April 2024, the European Parliament approved the Banking Package (CRR III/CRD VI). From 10 January 2027, non-EU firms providing 'banking services' will be required to apply for and obtain authorisation to operate as third country branches in each relevant EU member state where they provide these services, unless an exemption applies. NatWest Group continues to evaluate its EU operating model, making adaptations as necessary. In December 2024, NatWest Group decided to simplify the operating model in Europe. NWM N.V. will become the primary European corporate and institutional customer-facing entity, subject to regulatory approval. Changes to, or uncertainty regarding, NWM Group's EU operating model have been, and may continue to be, costly and may: (i) adversely affect customers and counterparties who are dependent on trading with the EU or personnel from the EU; (ii) result in further costs and/or regulatory sanction due to a failure to receive the required regulatory permissions and/or

further changes to NWM Group's business operations, product offering, customer engagement, and regulatory requirements; and/or (iii) impact NWM Plc's direct access to euro ECB liquidity facilities and euro central bank reserves.

Furthermore, transferring business to a European Economic Area ('EEA') based subsidiary, including in connection with NatWest Group's Western European corporate portfolio, is a complex exercise and involves legal, regulatory and execution risks, and could result in a loss of business and/or customers or higher than anticipated costs (see also, '*—The transfer of NatWest Group's Western European corporate portfolio involves certain risks.*'). Any of the above could, in turn, adversely affect NWM Group.

As a result of RBS Holdings N.V. and its subsidiary NatWest Markets N.V. (both subsidiaries of NWM Group) being classified as a "significant supervised group", ECB direct supervision of both subsidiaries began on 1 January 2024, which could have an adverse effect on NWM Group's business strategy, operating model and prudential requirements in the short and medium term.

Each of the risks identified above, individually or collectively, could adversely affect NWM Group's products and services offering or office locations, competitive position, ability to meet targets and commitments, reputation with customers or business model and may result in higher-than-expected costs, all of which could adversely affect NWM Group and its ability to deliver its strategy. There is a risk that the intended benefits of NatWest Group's and NWM Group's strategies may not be realised in the timelines or in the manner contemplated, or at all. Various aspects of NWM Group's strategy may not be successful, may not be completed as planned, or at all, or could be phased or could progress in a manner other than as expected. This could lead to additional management actions by NatWest Group (or NWM Group), regulatory action or reduced liquidity and/or funding opportunities.

Any of the above may lead to NWM Group not being viable, competitive, or profitable, and may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

The transfer of NatWest Group's Western European corporate portfolio involves certain risks.

To improve efficiencies and best serve customers following the UK's withdrawal from the EU, certain assets, liabilities, transactions and activities of NatWest Group (including its Western European corporate portfolio principally consisting of term funding and revolving credit facilities) (the '**Transfer Business**'), are expected to be: (i) transferred from the ring-fenced subgroup of NatWest Group to NWM Group, and/or (ii) transferred to the ring-fenced subgroup of NatWest Group from NWM Group, subject to regulatory and customer requirements. The timing, success and quantum of any of these transfers remain uncertain as is the impact of these transactions on its results of operations. As a result, this may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Financial resilience risk

NWM Group may not achieve its ambitions or targets, meet its guidance, generate returns, or implement its strategy effectively.

NWM Group has set a number of financial, capital and operational targets and provided guidance including in respect of: common equity tier 1 ('CET1') ratio and leverage ratio targets (for NWM Plc and NWM N.V.), MREL targets, targets in relation to local regulation, funding plans and requirements, employee engagement, diversity and inclusion as well as climate strategy (including its climate and sustainable funding and financing targets).

NWM Group's ability to meet its ambitions, targets, guidance, and make discretionary capital distributions is subject to various internal and external factors, risks and uncertainties. These include but are not limited to: UK and global macroeconomic, political, market and regulatory uncertainties, customer behaviour, operational risks and risks relating to NWM Group's business model and strategy (including risks associated with climate and other sustainability-related issues). See also, '*—NWM Group, its customers and its counterparties face continued economic and political risks and uncertainties in the UK and global markets, including as a result of inflation and interest rates, supply chain disruption, and geopolitical developments.*'

A number of factors may impact NWM Plc and NWM N.V.'s abilities to maintain their respective CET1 ratio targets, including the macroeconomic environment, impairments, the extent of organic capital generation and the receipt and payment of dividends. Furthermore, the focus on maintaining a disciplined cost base may result in

limited investment in other areas which could affect NWM Group's long-term product offering or competitive position and its ability to meet its other targets, including those related to customer satisfaction.

In addition, challenging trading conditions may adversely affect NWM Group's business and its ability to achieve its targets, meet its guidance, and execute its strategy. Furthermore, NWM Group's strategy may not be successfully executed or it may not meet its ambitions, targets, guidance and expectations.

Any of the above may lead to NWM Group not being a viable, competitive or profitable banking business and may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Plc and/or its regulated subsidiaries may not meet the prudential regulatory requirements for regulatory capital.

NWM Group is required by regulators in the UK, the EU and other jurisdictions in which it undertakes regulated activities to maintain adequate financial resources. Adequate capital provides NWM Group with financial flexibility in the face of turbulence and uncertainty in the global economy and specifically in its core UK operations.

NWM Plc's and NWM N.V.'s target CET1 ratios are based on regulatory requirements and management actions (see the targets set forth in each respective entity's Outlook section) that rely on internal modelling and risk appetite (including under stress). As at 31 December 2024, NWM Plc's solo CET1 ratio was 18.2 per cent and its CET1 target ratio for the medium term is around 14 per cent. NWM Plc's current capital strategy is based on the management of RWAs and other capital management initiatives (including the reduction of RWAs and the periodic payment of dividends to NatWest Group plc, NWM Plc's parent company).

Other factors that could influence NWM Plc and NWM N.V.'s CET1 ratios include:

- a depletion of NWM Plc or NWM N.V.'s capital resources through reduced profits (which would in turn impact retained earnings) and may result from revenue attrition or increased liabilities, sustained periods of low interest rates, reduced asset values resulting in write-downs or reserve adjustments, impairments, changes in accounting policy, accounting charges or foreign exchange movements;
- a change in the quantum of NWM Plc's or NWM N.V.'s RWAs, stemming from exceeding target RWA levels, regulatory changes (including their interpretation or application), foreign exchange movements or a failure in internal controls or procedures to accurately measure and report RWAs/leverage exposure. An increase in RWAs would lead to a reduction in the CET1 ratio (and increase the amount of internal MREL required for NWM Plc);
- changes in prudential regulatory requirements including the Total Capital Requirement for NWM Plc (as regulated by the Prudential Regulation Authority ('PRA')) or NWM N.V. (as regulated by the ECB), including Pillar 2 requirements and regulatory buffers as well as any applicable scalars;
- further losses (including as a result of extreme one-off incidents such as cyberattack, fraud or conduct issues) would deplete capital resources and place downward pressure on the CET1 ratio; or
- the timing of planned liquidation, disposal and/or capital releases of capital including on activity or legacy entities owned by NWM Plc and NWM N.V.

See also '*—NWM Group has been in a period of, and may continue to be subject to, significant structural and other change.*'

Management actions taken under a stress scenario may affect, among other things, NWM Group's product offering, its credit ratings, its ability to operate its businesses and pursue its strategy, any of which may negatively impact investor confidence, and the value of NWM Group's securities. See also, '*—NWM Plc and/or its regulated subsidiaries may not manage their capital, liquidity or funding effectively which could trigger the execution of certain management actions or recovery options,*' '*—NatWest Group (including NWM Group) may become subject to the application of UK statutory stabilisation or resolution powers which may result in, for example, the write-down or conversion of NWM Group entities' Eligible Liabilities*', and '*—NWM Group may be adversely affected if NatWest Group fails to meet the requirements of regulatory stress tests.*'

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group is reliant on access to the capital markets to meet its funding requirements, both directly through wholesale markets, and indirectly through its parent (NatWest Group plc) for the subscription to its internal capital and MREL. The inability to do so may adversely affect NWM Group.

NWM Plc's funding plan anticipates that in 2025, it will issue £4-5 billion of public benchmark issuance, based on its current and anticipated business activities. NWM Group (which includes NatWest Markets N.V.) therefore has significant anticipated funding requirements, which may increase in the future (including as a result of changes to NatWest Group's and NWM Group's EU operating model), and is reliant on frequent access to the capital markets for funding, at a cost that can be passed through to its customers. This access entails execution risk, regulatory risk, risk of reduced commercial activity, risk of loss of market confidence in NWM Group if it cannot finance its activities and risk of a ratings downgrade, which could be influenced by a number of internal or external factors, including, those summarised in these risk factors.

In addition, NWM Plc receives capital and funding from NatWest Group plc. NWM Plc has set target levels for different tiers of capital and for the internal MREL, as percentages of its RWAs. The level of capital and funding required for NWM Plc to meet its internal targets is therefore a function of the level of RWAs and its leverage exposure in NWM Plc and this may vary over time.

NWM Plc's internal MREL comprises the regulatory value of capital instruments and loss-absorbing senior funding issued by NWM Plc to its parent, NatWest Group plc, in all cases with a residual maturity of at least one year. The BoE has identified that the preferred resolution strategy for NatWest Group is as a single point-of-entry.

As a result, NatWest Group plc is the only entity able to issue Group MREL eligible liabilities to third-party investors, using the proceeds to fund the internal capital and MREL targets and/or requirements of its operating entities, including NWM Plc. NWM Plc is therefore dependent not only on NatWest Group plc to fund its internal capital targets, but also on NatWest Group plc's ability to source appropriate funding. NWM Plc is also dependent on NatWest Group plc to continue to fund NWM Plc's internal MREL targets over time and its ability to issue and maintain sufficient amounts of external MREL liabilities to support this. In turn, NWM Plc is required to fund the internal capital requirements and MREL of its subsidiaries.

Any inability of NWM Group to adequately access the capital markets, to manage its balance sheet in line with assumptions in its funding plans, or to issue internal capital and MREL may adversely affect NWM Group, such that NWM Group may not constitute a viable banking business and/or NWM Plc or NWM N.V. may fail to meet their respective regulatory capital and/or MREL (at present, NWM N.V. does not have its own MREL).

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group may not meet the prudential regulatory requirements for liquidity and funding or may not be able to adequately access sources of liquidity and funding, which could trigger the execution of certain management actions or recovery options.

Liquidity and the ability to raise funds continues to be a key area of focus for NWM Group and the industry as a whole. NatWest Group and NWM Plc (on a standalone basis) are required by regulators in the UK, the EU and other jurisdictions in which they undertake regulated activities to maintain adequate liquidity and funding resources. To satisfy its liquidity and funding requirements, NWM Group may therefore access sources of liquidity and funding through deposits and wholesale funding, including debt capital markets and trading liabilities such as repurchase agreements. As at 31 December 2024, NWM Group held £9.4 billion in deposits from banks and customers.

The level of deposits and wholesale funding may fluctuate due to factors outside NWM Group's control. These factors include: loss of customers, changes in customer behaviour, loss of customer and/or investor confidence (including in individual NWM Group entities or the UK banking sector or the banking sector as a whole), changes in interest rates, government support, increasing competitive pressures for bank funding or the reduction or cessation of deposits and other funding by counterparties, any of which could result in a significant outflow of deposits or reduction in wholesale funding within a short period of time. See also, '—NWM Group has significant exposure to counterparty and borrower risk including credit losses, which may have an adverse effect on NWM Group'. An

inability to grow, roll-over, or any material decrease in, NWM Group's deposits, short-term wholesale funding and short-term liability financing could, particularly if accompanied by one of the other factors described above, adversely affect NWM Group.

NWM Group engages from time to time in 'fee based borrow' transactions whereby collateral (such as government bonds) is borrowed from counterparties on an unsecured basis in return for a fee. This borrowed collateral may be used by NWM Group to finance parts of its balance sheet, either in its repo financing business, derivatives portfolio or more generally across its balance sheet. If such 'fee based borrow' transactions are unwound whilst used to support the financing of parts of NWM Group balance sheet, then unsecured funding from other sources would be required to replace such financing.

There is a risk that NWM Group would be unable to replace such financing on acceptable terms or at all, which could adversely affect its liquidity position and have an adverse effect on NWM Group. In addition, because 'fee base borrow' transactions are conducted off-balance sheet (due to the collateral being borrowed) investors may find it more difficult to gauge NWM Group's creditworthiness, which may be affected if these transactions were to be unwound in a stress scenario. Any lack of or perceived lack of creditworthiness may adversely affect NWM Group.

Macroeconomic developments, political uncertainty, changes in interest rates, and market volatility, could affect NWM Group's ability to access sources of liquidity and funding on satisfactory terms, or at all. This may result in higher funding costs and failure to comply with regulatory capital, funding and leverage requirements. As a result, NWM Plc and its subsidiaries could be required to change their funding plans and/or their funding operations. For example, impairments or other losses as well as increases to capital deductions may result in a decrease to NWM Plc's capital base, and/or that of its subsidiaries.

If NatWest Group plc is unable to issue securities externally as planned, this may have a negative impact on NWM Plc's current and forecasted MREL position, particularly if NatWest Group plc is unable to downstream capital and/or funding to NWM Plc. This could exacerbate funding and liquidity risk, which may adversely affect NWM Group.

As at 31 December 2024, NWM Group reported a liquidity coverage ratio of 195 per cent. If its liquidity position and/or funding were to come under stress and if NWM Group is unable to raise funds through deposits, wholesale funding sources or other reliable funding sources, on acceptable terms, or at all, its liquidity position would likely be adversely affected. This would mean that NWM Group might be unable to: meet deposit withdrawals on demand or satisfy buyback requests, repay borrowings as they mature, meet its obligations under committed financing facilities, comply with regulatory funding requirements, undertake certain capital and/or debt management activities, or fund new loans, investments and businesses.

If, under a stress scenario, the level of liquidity falls outside of NWM Group's risk appetite, there are a range of recovery management actions that NWM Group could take to manage its liquidity levels, but any such actions may not be sufficient to restore adequate liquidity levels, and the related implementation may have adverse consequences for NWM Group. Under the PRA Rulebook, NatWest Group must maintain a recovery plan acceptable to its regulator, such that a breach of NWM Group's applicable liquidity requirements would trigger consideration of NWM Plc's recovery actions, and in turn may prompt consideration and execution of NatWest Group's recovery plan, to attempt to remediate a deficient liquidity position.

NWM Group may need to liquidate assets to meet its liabilities, including disposals of assets not previously identified for disposal to reduce its funding or payment commitments or trigger the execution of certain management actions or recovery options. This could also lead to higher funding costs and/or changes to NWM Group's funding plans or its operations. In a time of reduced liquidity or market stress, NWM Group may be unable to sell some of its assets or may need to sell assets at depressed prices, which in either case may adversely affect NWM Group.

NWM Group entities independently manage liquidity risk on a stand-alone basis, including through holding their own liquidity portfolios. They have restricted access to liquidity or funding from other NatWest Group entities. NWM Group entities' management of their own liquidity portfolios and the structure of capital support are subject to operational and execution risk.

Continuing market volatility may impact capital and RWAs and NWM Group and its subsidiaries may be required to adapt their funding plans or change their operations in order to satisfy their respective capital and

funding requirements, which may have a negative impact on NWM Group. Market volatility may also result in increases to leverage exposure.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Plc and/or its regulated subsidiaries may not manage their capital, liquidity or funding effectively which could trigger the execution of certain management actions or recovery options.

Under the PRA Rulebook, NatWest Group must maintain a recovery plan acceptable to its regulator, such that a breach of NWM Plc's applicable capital or leverage, liquidity or funding requirements would trigger consideration of NWM Plc's recovery actions, and in turn may prompt consideration and execution of NatWest Group's recovery actions. If, under stressed conditions, the liquidity, capital or leverage ratio were to decline, there are a range of recovery management actions (focused on risk reduction and mitigation) that NWM Plc could undertake that may or may not be sufficient to restore adequate liquidity, capital and leverage ratios. Additional management options relating to existing capital issuances, asset or business disposals, capital payments and dividends from NWM Plc to its parent, could also be undertaken to support NWM Plc's capital and leverage requirements. NatWest Group may also address a shortage of capital in NWM Plc by providing parental support to NWM Plc. NatWest Group's (and NWM Plc's) regulator may also request that NWM Group carry out additional capital management actions. The BoE has identified single point-of-entry at NatWest Group plc, as the preferred resolution strategy for NatWest Group. However, under certain conditions set forth in the BRRD, as the UK resolution authority, the BoE also has the power to execute the 'bail-in' of certain securities of NWM Group without further action at NatWest Group level.

Any capital management actions taken under a stress scenario may, in turn, affect: NWM Group's product offering, credit ratings, ability to operate its businesses and pursue its strategy as well as negatively impacting investor confidence and the value of NWM Group's securities. See also, '—NatWest Group (including NWM Group) may become subject to the application of UK statutory stabilisation or resolution powers which may result in, for example, the write-down or conversion of NWM Group entities' Eligible Liabilities.' In addition, if NWM Plc or NWM N.V.'s liquidity position were to be adversely affected, this may require assets to be liquidated or may result in higher funding costs, which may adversely affect NWM Group's operating performance.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Any reduction in the credit rating and/or outlooks assigned to NatWest Group plc, any of its subsidiaries (including NWM Plc or NWM Group subsidiaries) or any of their respective debt securities could adversely affect the availability of funding for NWM Group, reduce NWM Group's liquidity and funding position and increase the cost of funding.

Rating agencies regularly review NatWest Group plc, NWM Plc and other NatWest Group entities' credit ratings and outlooks. NWM Group entities' credit ratings and outlooks, could be negatively affected (directly and indirectly) by a number of factors that can change over time, including, without limitation: credit rating agencies' assessment of NWM Group's strategy and management's capability; its financial condition including in respect of profitability, asset quality, capital, funding and liquidity, and risk management practices; the level of political support for the sectors and regions in which NWM Group operates; the legal and regulatory frameworks applicable to NWM Group's legal structure; business activities and the rights of its creditors; changes in rating methodologies; changes in the relative size of the loss-absorbing buffers protecting bondholders and depositors; the competitive environment; political, geopolitical and economic conditions in NWM Group's key markets (including inflation and interest rates, supply chain disruptions and geopolitical developments); any reduction of the UK's sovereign credit rating and market uncertainty. In addition, credit rating agencies are increasingly taking into account sustainability-related factors, including climate, environmental, social and governance-related risk, as part of the credit rating analysis, as are investors in their investment decisions.

Any reductions in the credit rating of NatWest Group plc, NWM Plc or of certain other NatWest Group entities could significantly affect NWM Group. Adverse consequences for NWM Group from downgrades could include, without limitation, a reduction in the access to capital markets or in the size of its deposit base, and trigger additional collateral or other requirements in its funding arrangements or the need to amend such arrangements, which could adversely affect NWM Group's liquidity and funding position, cost of funding, and could limit the range of

counterparties willing to enter into transactions with NWM Group on favourable terms, or at all. This may in turn adversely affect NWM Group's competitive position and threaten its prospects.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group operates in markets that are highly competitive, with competitive pressures and technology disruption.

NatWest Group (including NWM Group) faces increasing competitive pressures and technology disruption from incumbent traditional UK banks, challenger banks and building societies (including those resulting from mergers between these entities), fintech companies, large technology conglomerates and new market entrants who could look to scale technology and/or other competitive advantages to compete with NatWest Group for customer engagement. "BigTech" companies are seen as threats to incumbent banking providers because of their customer innovation and global reach. In addition, digital-first banks (often referred to as "neobanks") and fintechs are aiming to compete with incumbent banking providers on the basis that customers increasingly use a constellation of providers to support their complex and evolving needs (e.g., personal financial management and paying for goods and services in foreign currency).

NWM Group expects competition to continue and intensify in response to various trends including: evolving customer behaviour, technological changes (including digital currencies, stablecoins and the growth of digital banking), competitor behaviour, new market entrants, competitive foreign exchange offerings, industry trends resulting in increased disaggregation or unbundling of financial services or, conversely, the re-intermediation of traditional banking services, and the impact of regulatory actions, among others. In particular, NWM Group may be unable to grow or retain its market share due to new (or more competitive) banking, lending and payment products and services that are offered by rapidly evolving incumbents and challengers (including shadow banks, alternative or direct lenders and new entrants). These competitive pressures and the introduction of disruptive technology may result in a shift in customer behaviour and impact NWM Group's revenues and profitability.

Moreover, innovations in biometrics, artificial intelligence, automation, cloud services, blockchain, cryptocurrencies and quantum computing may rapidly facilitate industry transformation.

Increasingly, many of NWM Group's products and services are, and will become, more technology intensive, including through digitalisation, automation and the use of artificial intelligence ('AI') while needing to continue complying with applicable and evolving regulations. NWM Group's ability to develop or acquire digital solutions and their integration into NWM Group's structures, systems and controls has become increasingly important for retaining and growing NWM Group's market share and customer-facing businesses.

NWM Group's innovation strategy (which includes investments in its IT capability intended to improve its core infrastructure and customer interface capabilities as well as investments and strategic partnerships with third party technology providers) may not be successful or may not result in NWM Group offering innovative products and services in the future. Furthermore, current or future competitors may be more successful than NWM Group in implementing technologies for delivering products or services to their customers, which may adversely affect its competitive position. In addition, continued consolidation and/or technological developments in the financial services industry could result in the emergence of new competitors or NWM Group's competitors gaining greater capital and other resources, including the ability to offer a broader and more attractive or better value range of products and services and geographic diversity. For example, new market entrants, including non-traditional financial services providers, such as technology conglomerates, may have competitive advantages in scale, and technology and may be able to develop and deliver financial services at a lower cost base.

NWM Group may also fail to identify future opportunities or fail to derive benefits from technological innovation, changing customer behaviour and changing regulatory demands. Competitors may be better able to attract and retain customers and key employees, have more effective IT systems, and have access to lower cost funding and/or be able to attract deposits or provide investment-banking services on more favourable terms than NWM Group. Although NWM Group invests in new technologies and participates in industry and research-led technology development initiatives, such investments may be insufficient or ineffective, especially given NWM Group's focus on business simplification and cost efficiencies. This could affect NWM Group's ability to offer innovative products or technologies to customers.

If NWM Group is unable to offer competitive, attractive and innovative products that are also profitable and released in a timely manner, it will lose market share, incur losses on some or all of its initiatives and possibly lose growth opportunities. For example, NWM Group is investing in the automation of certain solutions and interactions within its customer-facing businesses, including through artificial intelligence. There can be no certainty that such initiatives will allow NWM Group to compete effectively or will deliver the expected cost savings for NWM Group. In addition, the implementation of NatWest Group's strategy, delivery on its climate ambition and cost-controlling measures, may also have an impact on NWM Group's ability to compete effectively and provide satisfactory returns. Moreover, activist investors have increasingly become engaged and interventionist in recent years, which may pose a threat to NatWest Group's (and NWM Group's) strategic initiatives.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group may be adversely affected if NatWest Group fails to meet the requirements of regulatory stress tests.

NatWest Group is subject to annual and other stress tests by its regulator in the UK. Stress tests are designed to assess the resilience of banks such as NWM Group to potential adverse economic or financial developments and ensure that they have robust, forward-looking capital planning processes that account for the risks associated with their business profile.

If the stress tests reveal that a bank's existing regulatory capital buffers are not sufficient to absorb the impact of the stress, then it is possible that NatWest Group and/or NWM Group may need to take action to strengthen their capital positions.

Failure by NatWest Group to meet its quantitative and qualitative requirements of the stress tests set forth by its UK regulators may result in: NatWest Group's regulators requiring NatWest Group to generate additional capital, reputational damage, increased supervision and/or regulatory sanctions and/or loss of investor confidence.

Any of the above may have a material adverse effect on NatWest Group's (and NWM Group's) future results, financial condition, prospects, and/or reputation.

NWM Group has significant exposure to counterparty and borrower risk including credit losses, which may have an adverse effect on NWM Group.

Credit risk may arise from a variety of business activities, including, but not limited to: extending credit to customers through various lending commitments; entering into swap or other derivative contracts under which counterparties have obligations to make payments to NWM Group (including un-collateralised derivatives); providing short or long-term funding that is secured by physical or financial collateral whose value may at times be insufficient to fully cover the loan repayment amount; posting margin and/or collateral and other commitments to clearing houses, clearing agencies, exchanges, banks, securities firms and other financial counterparties; and investing and trading in securities and loan pools, whereby the value of these assets may fluctuate based on realised or expected defaults on the underlying obligations or loans. See also, '—Risk and capital management — Credit Risk'. Any negative developments in the activities listed above may negatively impact NWM Group's customers and credit exposures, which may, in turn, adversely affect NWM Group's profitability.

NWM N.V., a subsidiary of NWM Plc, has a portfolio of loans and loan commitments to Western European corporate customers. As a result, through the NWM N.V. business and NWM Group's other activities, NWM Group has exposure to many different sectors, customers and counterparties, and risks arising from actual or perceived changes in credit quality and the recoverability of monies due from borrowers and other counterparties are inherent in a wide range of NWM Group's businesses. These risks may be concentrated for those businesses for which customer income is heavily weighted towards a specific geographic region, industry or customer base. Furthermore, these risks are likely to increase due to a potential transfer of NatWest Group's Transfer Business (see '—The transfer of NatWest Group's Western European corporate portfolio involves certain risks').

The credit quality of NWM Group's borrowers and other counterparties may be affected by UK and global macroeconomic and political uncertainties, as well as prevailing economic and market conditions. Refer to 'NWM Group, its customers and its counterparties face continued economic and political risks and uncertainties in the UK

and global markets, including as a result of inflation and interest rates, supply chain disruption, and geopolitical developments’.

Any further deterioration in these conditions or changes to legal or regulatory landscapes could worsen borrower and counterparty credit quality or impact the enforcement of contractual rights, increasing credit risk.

NWM Group is exposed to the financial sector, including sovereign debt securities, financial institutions, financial intermediation providers (including providing facilities to financial sponsors and funds, backed by assets or investor commitments) and securitised products (typically senior lending to special purpose vehicles backed by pools of financial assets). Concerns about, or a default by, a financial institution or intermediary could lead to significant liquidity problems and losses or defaults by other financial institutions or intermediaries, since the commercial & financial soundness of many financial institutions and intermediaries is closely related and interdependent as a result of credit, trading, clearing and other relationships. Any perceived lack of creditworthiness of a counterparty or borrower may lead to market-wide liquidity problems and losses for NWM Group. In addition, the value of collateral may be correlated with the probability of default by the relevant counterparty (‘wrong way risk’), which would increase NWM Group’s potential loss. Any of the above risks may also adversely affect financial intermediaries, such as clearing agencies, clearing houses, banks, securities firms and exchanges with which NWM Group interacts on a regular basis. See also, ‘—NWM Group is reliant on access to the capital markets to meet its funding requirements, both directly through wholesale markets, and indirectly through its parent (NatWest Group plc) for the subscription to its internal capital and MREL. The inability to do so may adversely affect NWM Group.’ and ‘—NWM Group may not meet the prudential regulatory requirements for liquidity and funding or may not be able to adequately access sources of liquidity and funding, which could trigger the execution of certain management actions or recovery options.’ As a result, adverse changes in borrower and counterparty credit risk may cause additional impairment charges under IFRS 9, increased repurchase demands, higher costs, additional write-downs and losses for NWM Group and an inability to engage in routine funding transactions.

NWM Group has applied an internal analysis of multiple economic scenarios (“MES”) together with the determination of specific overlay adjustments to inform its IFRS 9 Expected Credit Loss (‘ECL’). The recognition and measurement of ECL is complex and involves the use of significant judgement and estimation. This includes the formulation and incorporation of multiple forward-looking economic scenarios into ECL to meet the measurement objective of IFRS 9. The ECL provision is sensitive to the model inputs and economic assumptions underlying the estimate. Going forward, NWM Group anticipates observable credit deterioration of a proportion of assets resulting in a systematic uplift in defaults, which is mitigated by those economic assumption scenarios being reflected in the Stage 2 ECL across portfolios, along with a combination of post model overlays in both wholesale and retail portfolios reflecting the uncertainty of credit outcomes. See also, ‘—Risk and capital management – Credit risk’. A credit deterioration would also lead to RWA increases. Furthermore, the assumptions and judgements used in the MES and ECL assessment at 31 December 2024 may not prove to be adequate resulting in incremental ECL provisions for NWM Group.

NWM Group has exposure to shadow banking entities (i.e. entities which carry out activities of a similar nature to banks but without the same regulatory oversight), and is, as result, required to identify and monitor its exposure to these entities, implement and maintain an internal framework for the identification, management, control and mitigation of the risks associated with exposure to shadow banking entities, and ensure effective reporting and governance in respect of such exposure.

If NWM Group is unable to properly identify and monitor its shadow banking exposure, maintain an adequate framework, and/or ensure effective reporting and governance in respect of shadow banking exposure, this may adversely affect NWM Group.

Any of the above may have a material adverse effect on NWM Group’s future results, financial condition, prospects, and/or reputation.

NWM Group could incur losses or be required to maintain higher levels of capital as a result of limitations or failure of various models.

Given the complexity of NWM Group’s business, strategy and capital requirements, NWM Group relies on models for a wide range of purposes, including to manage its business, assess the value of its assets and its risk exposure, as well as to anticipate capital and funding requirements (including to facilitate NatWest Group’s mandated stress testing). In addition, NWM Group utilises models for valuations, credit approvals, calculation of

loan impairment charges on an IFRS 9 basis, financial reporting and to help address financial crime (criminal activities in the form of money laundering, terrorist financing, bribery and corruption, tax evasion and sanctions as well as external or internal fraud (collectively, ‘financial crime’)). NWM Group’s models, and the parameters and assumptions on which they are based, are periodically reviewed.

Model outputs are inherently uncertain, because they are imperfect representations of real-world phenomena, are simplifications of complex real-world systems and processes, and are based on a limited set of observations. NWM Group may face adverse consequences as a result of actions or decisions based on models that are poorly developed, incorrectly implemented, outdated, non-compliant, or used inappropriately. This includes models that are based on inaccurate or non-representative data (for example, where there have been changes in the micro or macroeconomic environment in which NWM Group operates) or as a result of the modelled outcome being misunderstood, or used for purposes for which it was not designed. This could result in findings of deficiencies by NatWest Group’s (and in particular, NWM Group’s) regulators (including as part of NatWest Group’s mandated stress testing), increased capital requirements, may render some business lines uneconomical, may require management action or may subject NWM Group to regulatory sanction, any of which in turn may also have an adverse effect on NWM Group and its customers.

Any of the above may have a material adverse effect on NWM Group’s future results, financial condition, prospects, and/or reputation.

NWM Group’s financial statements are sensitive to underlying accounting policies, judgements, estimates and assumptions.

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of assets, liabilities, income, expenses, exposures and RWAs. While estimates, judgements and assumptions take into account historical experience and other factors (including market practice and expectations of future events that are believed to be reasonable under the circumstances), actual results may differ due to the inherent uncertainty in making estimates, judgements and assumptions (particularly those involving the use of complex models).

Further, accounting policy and financial statement reporting requirements increasingly require management to adjust existing judgements, estimates and assumptions for the effects of climate-related, sustainability and other matters that are inherently uncertain and for which there is little historical experience which may affect the comparability of NWM Group’s future financial results with its historical results. Actual results may differ due to the inherent uncertainty in making climate-related and sustainability estimates, judgements and assumptions.

Accounting policies deemed critical to NWM Group’s results and financial position, based upon materiality and significant judgements and estimates, involve a high degree of uncertainty and may have a material impact on its results. For 2024, these include fair value, deferred tax and conduct and litigation provisions. These are set out in the section ‘Operating and Financial Review–Critical accounting policies’ below.

Any of the above may have a material adverse effect on NWM Group’s future results, financial condition, prospects, and/or reputation.

Changes in accounting standards may materially impact NWM Group’s financial results.

NWM Group prepares its consolidated financial statements in conformity with the requirements of the Companies Act 2006 and in accordance with IFRS as issued by the International Accounting Standards Board. Changes in accounting standards or guidance by accounting bodies or in the timing of their implementation, whether immediate or foreseeable, could result in NWM Group having to recognise additional liabilities on its balance sheet, or in further write-downs or impairments to its assets.

NWM Group’s trading assets amounted to £48.9 billion as at 31 December 2024. The valuation of financial instruments, including derivatives, measured at fair value can be subjective, in particular where models are used which include unobservable inputs. Generally, to establish the fair value of these instruments, NWM Group relies on quoted market prices or, where the market for a financial instrument is not sufficiently credible, internal valuation models that utilise observable market data. In certain circumstances, the data for individual financial instruments or classes of financial instruments utilised by such valuation models may not be available or may become unavailable due to prevailing market conditions. In these circumstances, NWM Group’s internal valuation models require NWM

Group to make assumptions, judgements and estimates to establish fair value, which are complex and often relate to matters that are inherently uncertain. Any of these factors could require NWM Group to recognise fair value losses which may have an adverse effect on NWM Group's income generation and financial position.

From time to time, the International Accounting Standards Board may issue new accounting standards or interpretations that could materially impact how NWM Group calculates, reports and discloses its financial results and financial condition, and which may affect NWM Group capital ratios, including the CET1 ratio and the required levels of regulatory capital. New accounting standards and interpretations that have been issued by the International Accounting Standards Board but which have not yet been adopted by NWM Group are discussed below in 'Operating and Financial Review–Future accounting developments'.

NatWest Group is subject to regulatory oversight in respect of resolution, and NatWest Group could be adversely affected should the BoE in the future deem NatWest Group's preparations to be inadequate.

NatWest Group is subject to regulatory oversight by the BoE and the PRA and is required (under the PRA rulebook) to carry out an assessment of its preparations for resolution, submit a report of the assessment to the PRA, and disclose a summary of this report.

NatWest Group has dedicated significant resources towards the preparation of NatWest Group for a potential resolution scenario. In August 2024, the BoE communicated its assessment of NatWest Group's preparations and did not identify any areas for further enhancement, shortcomings, deficiencies or substantive impediments. NatWest Group (and NWM Group) could be adversely affected should future BoE assessments deem NatWest Group's preparations to be inadequate.

If future BoE assessments identify any areas for further enhancement, shortcomings, deficiencies or substantive impediments in NatWest Group's ability to achieve the resolvability outcomes or reveal that NatWest Group is not adequately prepared to be resolved, or does not have adequate plans in place to meet resolvability requirements, NatWest Group may be required to take action to enhance its preparations to be resolvable, resulting in additional costs and the dedication of additional resources. Such a scenario may have an impact on NatWest Group (and NWM Group) as, depending on the BoE's assessment, potential action may include, but is not limited to, restrictions on NatWest Group's maximum individual and aggregate exposures, a requirement to dispose of specified assets, a requirement to change its legal or operational structure, a requirement to cease carrying out certain activities and/or to maintain a specified amount of MREL.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NatWest Group (including NWM Group) may become subject to the application of UK statutory stabilisation or resolution powers which may result in, for example, the write-down or conversion of NWM Group entities' Eligible Liabilities.

The BoE, the PRA, the FCA, and HM Treasury (together, the 'Authorities') are granted substantial powers to resolve and stabilise UK-incorporated financial institutions. Five stabilisation options exist: (i) transfer of all of the business of a relevant entity or the shares of the relevant entity to a private sector purchaser; (ii) transfer of all or part of the business of the relevant entity to a 'bridge bank' wholly or partially-owned by the BoE; (iii) transfer of part of the assets, rights or liabilities of the relevant entity to one or more asset management vehicles for management of the transferor's assets, rights or liabilities; (iv) the write-down, conversion, transfer, modification, or suspension of the relevant entity's equity, capital instruments and liabilities; and (v) temporary public ownership of the relevant entity. These options may be applied to NatWest Group plc as the parent company or to NWM Group, as a subsidiary, where certain conditions are met (such as, whether the firm is failing or likely to fail, or whether it is reasonably likely that action will be taken (outside of resolution) that will result in the firm no longer failing or being likely to fail). Moreover, there are modified insolvency and administration procedures for relevant entities within NatWest Group, and the Authorities have the power to modify or override certain contractual arrangements in certain circumstances and amend the law for the purpose of enabling their powers to be used effectively and may promulgate provisions with retrospective applicability. Similar powers may also be exercised with respect to NWM N.V., in the Netherlands by the relevant Dutch and European regulatory authorities. Under the UK Banking Act 2009, the Authorities are generally required to have regard to specified objectives in exercising the powers provided for by the UK Banking Act 2009. One of the objectives (which is required to be balanced as appropriate with the

other specified objectives) refers to the protection and enhancement of the stability of the financial system of the UK.

Moreover, the ‘no creditor worse off’ safeguard provides that where certain resolution actions are taken, the Authorities are required to ensure that no creditor is in a worse position than if the bank had entered into normal insolvency proceedings. Although, this safeguard may not apply in relation to an application of the separate write-down and conversion power relating to capital instruments in circumstances where a stabilisation power is not also used, the UK Banking Act 2009 still requires the Authorities to respect the hierarchy on insolvency when using the write-down and conversion power. Further, holders of debt instruments which are subject to the power may, however, have ordinary shares transferred to or issued to them by way of compensation.

Uncertainty exists as to how the Authorities may exercise their powers including the determination of actions to be undertaken in relation to the ordinary shares and other securities issued by NatWest Group (including NWM Group), which may depend on factors outside of NWM Group’s control. Moreover, the UK Banking Act 2009 provisions remain largely untested in practice, particularly in respect of resolutions of large financial institutions and groups.

If NatWest Group is at or is approaching the point such that regulatory intervention is required, there may correspondingly be a material adverse effect on NWM Group’s future results, financial condition, prospects, and/or reputation.

Operational and IT resilience risk

Operational risks (including reliance on third party suppliers and outsourcing of certain activities) are inherent in NWM Group’s businesses.

Operational risk is the risk of loss or disruption resulting from inadequate or failed internal processes, procedures, people or systems, or from external events, including legal and regulatory risks, third party processes, procedures, people or systems. NWM Group operates in several countries, offering a diverse range of products and services supported directly or indirectly by third party suppliers. As a result, operational risks or losses can arise from a number of internal or external factors (including for example, payment errors or financial crime and fraud), for which there is continued scrutiny by third parties on NWM Group’s compliance with financial crime requirements; see *‘NWM Group is exposed to the risks of various litigation matters, regulatory and governmental actions and investigations as well as remedial undertakings, the outcomes of which are inherently difficult to predict, and which could have an adverse effect on NWM Group.’* These risks are also present when NWM Group relies on critical service providers (suppliers) or vendors to provide services to it or its customers, as is increasingly the case as NWM Group outsources certain activities, including with respect to the implementation of technologies, innovation (such as cloud services and artificial intelligence) and responding to regulatory and market changes.

Operational risks also exist due to the implementation of NatWest Group’s strategy, and the organisational and operational changes involved, including: NatWest Group’s cost-controlling and simplification measures; continued digitalisation and the integration of AI in the business; acquisition, divestments and other transactions; the implementation of recommendations from internal and external reviews with respect to certain governance processes, policies, systems and controls of NatWest Group entities; and conditions affecting the financial services industry generally (including macroeconomic and other geopolitical developments) as well as the legal and regulatory uncertainty resulting from these conditions. Any of the above may place significant pressure on NWM Group’s ability to maintain effective internal controls and governance frameworks.

In recent years, NWM Group has materially increased its dependence on NatWest Bank Plc and other NatWest Group entities for numerous critical services and operations, including, without limitation, property, technology, finance, accounting, treasury, legal, risk, regulatory compliance and reporting, financial crime, human resources, and certain other support and administrative functions. A failure by NatWest Bank Plc or other NatWest Group entities to adequately supply these services may expose NWM Group to critical business failure risk, increased costs, regulatory sanctions, and other liabilities. These and any increases in the cost of these services may adversely affect NWM Group.

NWM Group also faces operational risks as it continues to invest in the automation of certain solutions and customer interactions, including through artificial intelligence. Such initiatives may result in operational,

reputational and conduct risks if the technology is not used appropriately, is defective or inadequate, or is not fully integrated into NWM Group's current solutions, systems and controls.

The effective management of operational risks is critical to meeting customer service expectations and retaining and attracting customer business. Although NWM Group has implemented risk controls and mitigation actions, with resources and planning having been devoted to mitigate operational risk, such measures may not be effective in controlling each of the operational risks faced by NWM Group.

Ineffective management of such risks may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group is subject to sophisticated and frequent cyberattacks, and compliance with cybersecurity and data protection regulations is becoming increasingly complex.

NWM Group experiences a constant threat from cyberattacks across the entire NatWest Group (including NWM Group) and against NatWest Group and NWM Group's supply chain networks, reinforcing the importance of the due diligence of, ongoing risk management of and close working relationship with, the third parties on which NWM Group relies. NWM Group is reliant on technology, against which there is a constantly evolving series of attacks, that are increasing in terms of frequency, sophistication, impact and severity. As cyberattacks evolve and become more sophisticated, NWM Group is required to continue to invest significant resources in additional capability designed to defend against emerging threats.

Third parties continue to make hostile attempts to gain access to, introduce malware (including ransomware) into, and exploit potential vulnerabilities of, financial services institutions' IT systems, including those of NWM Group. For example, in 2024, NatWest Group and its supply chain were subjected to a small number of attempted Distributed Denial of Service and ransomware attacks. These hostile attempts were addressed without material impact on NWM Group or its customers by deploying cybersecurity capabilities and controls that seek to manage the impact of any such attacks, and sustain availability of services for NWM Group's customers. Consequently, NWM Group continues to invest significant resources in developing and evolving cybersecurity capabilities and controls that are designed to mitigate the potential effect of such attacks. However, given the nature of the threat, there can be no assurance that these capabilities and controls will prevent the potential adverse effect of an attack from occurring. See also, *'—NWM Group's operations are highly dependent on its complex IT systems and any IT failure could adversely affect NWM Group.'*

Any failure in NWM Group's information and cybersecurity policies, procedures or controls, may result in significant financial losses, major business disruption, inability to deliver customer services, or loss of, or ability to access, data or systems or other sensitive information (including as a result of an outage) and may cause associated reputational damage. Any of these factors could increase costs (including costs relating to notification of, or compensation for customers and credit monitoring), result in regulatory investigations or sanctions being imposed or may affect NWM Group's ability to retain and attract customers. Regulators in the UK, US, Europe and Asia continue to recognise cybersecurity as an important systemic risk to the financial sector and have highlighted the need for financial institutions to improve their monitoring and control of, and resilience (particularly of critical services) to cyberattacks, and to provide timely reporting or notification of them, as appropriate (including for example, the SEC cybersecurity requirements and the EU Digital Operational Resilience Act ('DORA')). Furthermore, cyberattacks on NWM Group's counterparties and suppliers may also have an adverse effect on NWM Group's operations.

Additionally, malicious third parties may induce employees, customers, third party providers or other users with access to NWM Group's systems to wrongfully disclose sensitive information to gain access to NWM Group's data or systems or that of NWM Group's customers or employees. Cybersecurity and information security events can derive from groups or factors such as: internal or external threat actors, human error, fraud or malice on the part of NWM Group's employees or third parties, including third party providers, or may result from technological failure (including defective, inadequate or inappropriately used AI based solutions).

NWM Group expects greater regulatory engagement, supervision and enforcement to continue in relation to its overall resilience to withstand IT and IT-related disruption, either through a cyberattack or some other disruptive event. Such increased regulatory engagement, supervision and enforcement is uncertain in relation to the scope, cost, consequence and the pace of change, which may have an adverse effect on NWM Group. Due to NWM Group's reliance on technology, the adoption of innovative solutions, the integration of automated processes and AI in its

business, and the increasing sophistication, frequency and impact of cyberattacks, such attacks may have an adverse effect on NWM Group.

In accordance with applicable UK and EU data protection, and cybersecurity laws and regulations, NWM Group is required to ensure it implements timely appropriate and effective organisational and technological safeguards against unauthorised or unlawful access to the data of NWM Group, its customers and its employees. In order to meet this requirement, NWM Group relies on the effectiveness of its internal policies, controls and procedures to protect the confidentiality, integrity and availability of information held on its IT systems, networks and devices as well as with third parties with whom NWM Group interacts. A failure to monitor and manage data in accordance with applicable requirements may result in financial losses, regulatory fines and investigations and associated reputational damage.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group's operations and strategy are highly dependent on the accuracy and effective use of data.

NWM Group relies on the availability, sourcing, and effective use of accurate and high quality data to support, monitor, evaluate, manage and enhance its operations, innovate its products offering, meet its regulatory obligations, and deliver its strategy. Investment is being made in data tools and analytics, including raising awareness around ethical data usage (for example, in relation to the use of artificial intelligence) and privacy across NWM Group. The availability and accessibility of current, complete, detailed, accurate and, wherever possible, machine-readable customer segment and sub-sector data, together with appropriate governance and accountability for data, is fast becoming a critical strategic asset, which is subject to increased regulatory focus.

Failure to have or be able to access that data or the ineffective use or governance of that data could result in a failure to manage and report important risks and opportunities or satisfy customers' expectations including the inability to deliver products and services. This could also place NWM Group at a competitive disadvantage by increasing its costs, inhibiting its efforts to reduce costs or its ability to improve its systems, controls and processes. Any of the above could result in a failure to deliver NWM Group's strategy.

These data weaknesses and limitations, or the unethical or inappropriate use of data, and/or non-compliance with data protection laws could give rise to conduct and litigation risks and may increase the risk of operational challenges, losses, reputational damage or other adverse consequences due to inappropriate models, systems, processes, decisions or other actions.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group relies on attracting, retaining, developing and remunerating diverse senior management and skilled personnel, and is required to maintain good employee relations.

NWM Group's success depends on its ability to attract, retain (through creating an inclusive environment), and develop highly skilled and qualified diverse personnel, including senior management, directors, and key employees (including for technology and data focused roles), in a highly competitive market and under internal cost efficiency pressures.

The inability to compensate employees competitively and/or any reduction of compensation, the perception that NWM Group may not be a viable or competitive business, heightened regulatory oversight of banks and the increasing scrutiny of, and (in some cases) restrictions placed upon, employee compensation arrangements, negative economic developments or other factors, may have an adverse effect on NWM Group's ability to hire, retain and engage well qualified employees, especially at a senior level, which could adversely affect NWM Group.

This increases the cost of hiring, training and retaining diverse skilled personnel. In addition, certain economic, market and regulatory conditions and political developments may reduce the pool of candidates for key management and non-executive roles, including non-executive directors with the right skills, knowledge and experience, or may increase the number of departures of existing employees. Moreover, a failure to foster a diverse and inclusive workforce may adversely affect NWM Group's employee engagement and the formulation and execution of its strategy, and could also have a negative effect on its reputation with customers, investors and regulators.

Some of NWM Group's employees are represented by employee representative bodies, including trade unions and works councils. Engagement with its employees and such bodies is important to NWM Group in maintaining good employee relations. Any breakdown of these relationships may adversely affect NWM Group.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

NWM Group's operations are highly dependent on its complex IT systems and any IT failure could adversely affect NWM Group.

NWM Group's operations are highly dependent on the ability to process a very large number of transactions efficiently and accurately while complying with applicable laws and regulations. The proper functioning of NatWest Group's (including NWM Group's) transactional and payment systems, financial crime and fraud detection systems and controls, risk management, credit analysis and reporting, accounting, customer service and other IT systems, including cloud services providers (some of which are owned and operated by other entities in NatWest Group or third parties), is critical to NWM Group's operations.

Individually or collectively, any system failure, loss of service availability (including defective or inadequate automated processes or AI based solutions), or breach of data security could potentially cause significant damage to: (i) important business services across NWM Group; and (ii) NWM Group's ability to provide services to its customers, which could result in reputational damage, significant compensation costs and regulatory sanctions (including fines resulting from regulatory investigations) or a breach of applicable regulations and could affect NWM Group's regulatory approvals, competitive position, business and brands, which could undermine its ability to attract and retain customers and talent.

NWM Group outsources certain functions as it innovates and offers new digital solutions to its customers. Outsourcing, alongside remote working, heighten the above risks. NWM Group uses IT systems that enable remote working interface with third-party systems, and NWM Group could experience service denials or disruptions if such systems exceed capacity or if NWM Group or a third-party system fails or experiences any interruptions, all of which could result in business and customer interruption and related reputational damage, significant compensation costs, regulatory sanctions and/or a breach of applicable regulations.

In 2024, NWM Group continued to make considerable investments to further simplify, upgrade and improve its IT and technology capabilities (including migration of certain services to cloud platforms). NWM Group continues to develop and enhance digital services for its customers and seeks to improve its competitive position through enhancing controls and procedures and strengthening the resilience of services including cybersecurity. Any failure of these investment and rationalisation initiatives to achieve the expected results, due to cost challenges, poor implementation, defects, or otherwise, may adversely affect NWM Group's operations, its reputation and ability to retain or grow its customer business or adversely affect its competitive position, thereby negatively impacting NWM Group. See also, '—NWM Group has been in a period of, and may continue to be subject to, significant structural and other change'.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

A failure in NWM Group's risk management framework could adversely affect NWM Group, including its ability to achieve its strategic objectives.

A failure in design, or adherence to, NatWest Group's risk management framework could adversely affect NWM Group, including its ability to achieve its strategic objectives. Risk management is an integral part of all of NWM Group's activities and delivery of its long-term strategy. NatWest Group's Enterprise-Wide Risk Management Framework sets out NWM Group's approach for managing risk within NWM Group including in relation to risk governance and risk appetite. A failure to adhere to this framework and to agreed risk appetite statements, or any material weaknesses or deficiencies in the framework's controls and procedures, could adversely affect NWM Group's financial condition and strategic delivery, as well as accurate reporting of risk exposures.

Financial risk management is highly dependent on the use and effectiveness of internal stress tests and models and ineffective risk management may arise from a wide variety of factors, including lack of transparency or incomplete risk reporting, manual processes and controls, inaccurate data, inadequate IT systems, unidentified

conflicts or misaligned incentives, lack of accountability control and governance, incomplete risk monitoring (including trade surveillance) and failures of systems to properly process all relevant data, risks related to unanticipated behaviour or performance in algorithmic trading and management, insufficient challenges or assurance processes, or a failure to commence or timely complete risk remediation projects. Failure to manage risks effectively, or within regulatory expectations, could adversely affect NWM Group's reputation or its relationship with its regulators, customers, shareholders or other stakeholders.

In addition, financial crime risk management is dependent on the use and effectiveness of financial crime assessment, systems and controls. Weak or ineffective financial crime processes and controls may risk NWM Group inadvertently facilitating financial crime which may result in regulatory investigation, sanction, litigation, fines and/or reputational damage. Financial crime continues to evolve, whether through fraud, scams, cyberattacks or other criminal activity. These risks are exacerbated as NWM Group continues to innovate its product offering and increasingly offers digital solutions to its customers. NatWest Group (including NWM Group) has made and continues to make significant, multi-year investments to strengthen and improve its overall financial crime control framework with prevention systems and capabilities, including investment in new technologies and capabilities to further enhance customer due diligence, transaction monitoring, sanctions and anti-bribery and corruption systems. A number of NWM Group's financial crime controls are operated by NatWest Group on behalf of NWM Group.

NWM Group's operations are inherently exposed to conduct risks, which include business decisions, actions or reward mechanisms that are not responsive to or aligned with NWM Group's regulatory obligations, customer needs or do not reflect NWM Group's strategy, ineffective product management, unethical or inappropriate use of data, information asymmetry, implementation and utilisation of new technologies, outsourcing of customer service and product delivery, inappropriate behaviour towards customers, customer outcomes, the possibility of mis-selling of financial products and mishandling of customer complaints. Some of these risks have materialised in the past and ineffective management and oversight of conduct risks may lead to further remediation and regulatory intervention or enforcement. NWM Group's businesses are also exposed to risks from employee, contractor, or service providers misconduct including non-compliance with policies and regulations, negligence or fraud (including financial crimes and fraud), any of which could result in regulatory fines or sanctions and serious reputational or financial harm to NWM Group.

Remote working arrangements for NWM Group employees place heavy reliance on the IT systems that enable remote working and may place additional pressure on NWM Group's ability to maintain effective internal controls and governance frameworks and increase operational risk. Remote working arrangements are also subject to regulatory scrutiny to ensure adequate recording, surveillance and supervision of regulated activities and compliance with regulatory requirements and expectations, including requirements to: meet threshold conditions for regulated activities; ensure the ability to oversee functions (including any outsourced functions); ensure no detriment is caused to customers; and ensure no increased risk of financial crime.

In addition, the UK's Net Zero Strategy and NatWest Group's (including NWM Group) strategy relating to climate and sustainability are important drivers as to how NWM Group integrates climate (including physical and transition risks) and other sustainability related risks into its risk management framework and practices (including for financing activities or engaging with counterparties (including suppliers)). Furthermore, legislative and regulatory authorities are publishing expectations as to how banks should prudently manage and transparently disclose climate and other sustainability-related risks. Any failure of NWM Group to fully and timely embed climate and other sustainability-related risks into its risk management practices and framework to appropriately identify, assess, prioritise and monitor such risks may have an adverse effect on NWM Group. Similarly, if NWM Group is unable to apply the appropriate product governance processes in line with NatWest Group's (including NWM Group) strategy and applicable legal and regulatory requirements and expectations, it may have an adverse effect on NWM Group.

NWM Group seeks to embed a risk awareness culture across the organisation and has implemented policies and allocated new resources across all levels of the organisation to manage and mitigate conduct risk and expects to continue to invest in risk management, including the ongoing development of a NatWest Group risk management strategy in line with regulatory expectations. However, such efforts may not insulate NWM Group from instances of misconduct and no assurance can be given that NWM Group's strategy and control framework will be effective. See also, *'—NWM Group has been in a period of, and may continue to be subject to, significant structural and other change.'*

Any failure in NWM Group's risk management framework may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation and may result in the inability to achieve its strategic objectives for its customers, employees and wider stakeholders.

NWM Group's operations are subject to inherent reputational risk.

Reputational risk relates to stakeholder and public perceptions of NWM Group arising from an actual or perceived failure to meet stakeholder or the public's expectations, including with respect to NatWest Group's strategy and related targets, NWM Group's strategy, or due to any events, behaviour, action or inaction by NWM Group, its employees or those with whom NWM Group is associated.

See also, '*—NWM Group's businesses are subject to substantial regulation and oversight, which are constantly evolving and may adversely affect NWM Group.*' This includes harm to its brand, which may be detrimental to NWM Group's business, including its ability to build or sustain business relationships with customers, stakeholders and regulators, and may cause low employee morale, regulatory censure or reduced access to, or an increase in the cost of, funding.

Reputational risk may arise whenever there is, or there is perceived to be, a material lapse in standards of integrity, controls, compliance, customer or operating efficiency, or regulatory or press scrutiny, and may adversely affect NWM Group's ability to attract and retain customers.

In particular, NWM Group's ability to attract and retain customers, and talent, and engage with counterparties may be adversely affected by factors including: negative public opinion resulting from the actual or perceived manner in which NWM Group or any other member of NatWest Group conducts or modifies its business activities and operations, media coverage (whether accurate or otherwise), employee misconduct, NWM Group's financial performance, IT systems failures or cyberattacks, data breaches, financial crime and fraud, the level of direct and indirect government support for NatWest Group plc, or the actual or perceived practices in the banking and financial industry in general, or a wide variety of other factors.

Technologies, in particular online social networks and other broadcast tools that facilitate communication with large audiences in short timeframes and with minimal costs, may also significantly increase and accelerate the impact of damaging information and allegations.

Although NWM Group has a Reputational Risk Policy and framework to identify, measure and manage material reputational risk exposures, there is a risk that it may not be successful in avoiding or mitigating damage to its business or its various brands from reputational risk.

Any of the above aspects of reputational risk may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Legal and regulatory risk

NWM Group's businesses are subject to substantial regulation and oversight, which are constantly evolving and may adversely affect NWM Group.

NWM Group is subject to extensive laws, regulations, guidelines, corporate governance practice and disclosure requirements, administrative actions and policies in each jurisdiction in which it operates, which represents ongoing compliance and conduct risks. Many of these are constantly evolving and are subject to further material changes, which may increase compliance and conduct risks, particularly as the laws of different jurisdictions (including those of the EU/EEA and UK) diverge. NWM Group expects government and regulatory intervention in the financial services industry to remain high for the foreseeable future.

Regulators and governments continue to focus on reforming the prudential regulation of the financial services industry and the manner in which the business of financial services is conducted. Measures have included: enhanced capital, liquidity and funding requirements, through initiatives such as the Basel 3.1 standards implementation (and any resulting effect on RWAs and models), the UK ring-fencing regime, the strengthening of the recovery and resolution framework applicable to financial institutions in the UK, the EU and the US, financial industry reforms (such as the FSMA 2023), corporate governance requirements, rules relating to the compensation of senior management and other employees, enhanced data protection and IT resilience requirements (such as DORA),

financial market infrastructure reforms, enhanced regulations in respect of the provision of ‘investment services and activities’.

There is also increased regulatory focus in certain areas, including conduct, model risk governance, consumer protection in retail or other financial markets, competition and disputes regimes, anti-money laundering, anti-corruption, anti-bribery, anti-tax evasion, payment systems, sanctions and anti-terrorism laws and regulations.

In addition, there is significant oversight by competition authorities of the jurisdictions in which NWM Group operates. The competitive landscape for banks and other financial institutions in the UK, EU/EEA, Asia and the US is rapidly changing. Recent regulatory and legal changes have resulted and may continue to result in new market participants and changed competitive dynamics in certain key areas. Regulatory and competition authorities, including the CMA, are also looking at and focusing more on how they can support competition and innovation in digital and other markets. Recent regulatory changes and heightened levels of public and regulatory scrutiny in the UK, the EU and the US have resulted in increased capital, funding and liquidity requirements, changes in the competitive landscape, changes in other regulatory requirements and increased operating costs, and have impacted, and will continue to impact, product offerings and business models.

Moreover, uncertainties remain as to the extent to which EU/EEA laws will diverge from UK law. For example, bank regulation in the UK may diverge from European bank regulation following the enactment of the Financial Services and Markets Act 2023 (**‘FSMA 2023’**) and the Retained EU Law (Revocation and Reform) Act 2023. In particular, FSMA 2023 provides for the revocation of retained EU laws relating to financial services regulation, but sets out that this process will likely take a number of years and that the intention is that specific retained EU laws will not be revoked until such time as replacement regulatory rules are in place. The actions taken by regulators in response to any new or revised bank regulation and other rules affecting financial services, may adversely affect NWM Group, including its business, non-UK operations, group structure, compliance costs, intragroup arrangements and capital requirements.

Other areas in which, and examples of where, governmental policies, regulatory and accounting changes and increased public and regulatory scrutiny may have an adverse effect (some of which could be material) on NWM Group include, but are not limited to, the following:

- general changes in government, regulatory, competition or central bank policy (such as changes to the BoE Levy (including as a result of the proposed Bank Resolution (Recapitalisation) Bill), or changes in regulatory regimes that may influence investor decisions in the jurisdictions in which NWM Group operates;
- rules relating to foreign ownership, expropriation, nationalisation and confiscation or appropriation of assets;
- new or increased regulations relating to customer data protection as well as IT controls and resilience, such as the India Digital Personal Data Protection Act 2023;
- the introduction of, and changes to, taxes, levies or fees applicable to NWM Group’s operations, such as changes in tax rates, changes in the scope and administration of the Bank Levy, increases in the bank corporation tax surcharge in the UK, restrictions on the tax deductibility of interest payments or further restrictions imposed on the treatment of carry-forward tax losses that reduce the value of deferred tax assets and require increased payments of tax;
- the potential introduction by the BoE of a Central Bank Digital Currency which could result in deposit outflows, higher funding costs, and/or other implications for UK banks including NWM Group;
- regulatory enforcement in the form of PRA imposed financial penalties for failings in banks’ regulatory reporting governance and controls, and ongoing regulatory scrutiny; the PRA’s thematic reviews of the governance, controls and processes for preparing regulatory returns of selected UK banks, including NatWest Group (of which NWM Group is a part of);
- changes in policy and practice regarding enforcement, investigations and sanctions, supervisory activities and reviews;

- ‘Dear CEO’ and similar letters issued by supervisors and regulators from time to time ;
- recent or proposed US regulations around cybersecurity incidents, climate disclosures, and other climate and sustainability-related rules;
- increased risk of legal action against NWM Group for financing or contributing to climate change and nature-related degradation, or greenwashing;
- new or increased regulations relating to financial crime; and
- any regulatory requirements relating to the use of AI and large language models across the financial services industry (such as the European Union Artificial Intelligence Act).

Any of these developments (including any failure to comply with or correctly interpret new rules and regulations) could also have an adverse effect on NWM Group’s authorisations and licences, the products and services that NWM Group may offer, its reputation and the value of its assets, NWM Group’s operations or legal entity structure, and the manner in which NWM Group conducts its business.

Material consequences could arise should NWM Group be found to be non-compliant with these regulatory requirements. Regulatory developments may also result in an increased number of regulatory investigations and proceedings and have increased the risks relating to NWM Group’s ability to comply with the applicable body of rules and regulations in the manner and within the timeframes required.

Changes in laws, rules or regulations, or in their interpretation or enforcement, or the implementation of new laws, rules or regulations, including contradictory or conflicting laws, rules or regulations by key regulators or policymakers in different jurisdictions, or failure by NWM Group to comply with such laws, rules and regulations, may adversely affect NWM Group’s business, results of operations and outlook. In addition, uncertainty and insufficient international regulatory coordination as enhanced supervisory standards are developed and implemented may adversely affect NWM Group’s reputation, ability to engage in effective business, capital and risk management planning.

Any of the above may have a material adverse effect on NWM Group’s future results, financial condition, prospects, and/or reputation.

NWM Group is exposed to the risks of various litigation matters, regulatory and governmental actions and investigations as well as remedial undertakings, the outcomes of which are inherently difficult to predict, and which could have an adverse effect on NWM Group.

NWM Group’s operations are diverse and complex and it operates in legal and regulatory environments that expose it to potentially significant civil actions (including those following on from regulatory sanction), as well as criminal, regulatory and governmental proceedings. NWM Group has resolved a number of legal and regulatory actions over the past several years but continues to be, and may in the future be, involved in such actions in the US, the UK, Asia, Europe and other jurisdictions.

NWM Group is, has been or will likely be involved in a number of significant legal and regulatory actions, including investigations, proceedings and ongoing reviews (both formal and informal) by governmental law enforcement and other agencies and litigation proceedings, including in relation to the offering of securities, conduct in the foreign exchange market, the setting of benchmark rates such as LIBOR and related derivatives trading, the issuance, underwriting, and sales and trading of fixed-income securities (including government securities), product mis-selling, customer mistreatment, anti-money laundering, antitrust, value-added-tax (‘VAT’) recovery, record keeping, reporting, and various other issues. There is also an increasing risk of new class action claims being brought against NWM Group in the Competition Appeal Tribunal for breaches of competition law, as well as a risk of activist actions, particularly relating to climate change and sustainability-related matters. Legal and regulatory actions are subject to many uncertainties, and their outcomes, including the timing, amount of fines, damages or settlements or the form of any settlements, which may be material and in excess of any related provisions, are often difficult to predict, particularly in the early stages of a case or investigation. NWM Group’s expectation for resolution may change and substantial additional provisions and costs may be recognised in respect of any matter.

The resolution of significant investigations includes NWM Plc's December 2021 spoofing-related guilty plea in the United States that was agreed with the US Department of Justice ('DoJ'), and involves a multi-year period of probation, an independent corporate monitor and the ongoing implementation of recommendations made by it, and commitments to compliance programme reviews and improvements, and reporting obligations. In the event that NWM Plc does not meet its obligations to the DoJ, this may lead to adverse consequences such as findings that NWM Plc violated its probation term and possible re-sentencing, increased costs from any extension of monitorship and/or the period of the probation, amongst other consequences. For additional information relating to this and other legal and regulatory proceedings and matters to which NWM Group is currently exposed, see "*Description of NWM Group–Litigation and Regulatory Matters*".

Recently resolved matters or adverse outcomes or resolution of current or future legal or regulatory matters, could increase the risk of greater regulatory and third-party scrutiny and/or result in future legal or regulatory actions, and could have material financial, reputational, or collateral consequences for NWM Group's business and result in restrictions or limitations on NWM Group's operations.

These may include the effective or actual disqualification from carrying on certain regulated activities and consequences resulting from the need to reapply for various important licences or obtain waivers to conduct certain existing activities of NWM Group, particularly but not solely in the US, which may take a significant period of time and the results and implications of which are uncertain. Disqualification from carrying on any activities, whether automatically as a result of the resolution of a particular matter or as a result of the failure to obtain such licences or waivers could adversely affect NWM Group's business, in particular in the US. This in turn and/or any fines, settlement payments or penalties may have an adverse effect on NWM Group. Similar consequences could result from legal or regulatory actions relating to other parts of NatWest Group.

Failure to comply with undertakings made by NWM Group to its regulators, or the conditions of probation resulting from the spoofing-related guilty plea, may result in additional measures or penalties being taken against NWM Group.

In addition, any failure to administer conduct redress processes adequately, or to handle individual complaints fairly or appropriately, could result in further claims as well as the imposition of additional measures or limitations on NWM Group's operations, additional supervision by NWM Group's regulators, and loss of investor confidence.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Changes in tax legislation (or application thereof) failure to generate future taxable profits may impact the recoverability of certain deferred tax assets recognised by NWM Group.

In accordance with the accounting policies set out in the section 'Critical accounting policies', NWM Group has recognised deferred tax assets on losses available to relieve future profits from tax only to the extent it is probable that they will be recovered. The deferred tax assets are quantified on the basis of current tax legislation and accounting standards and are subject to change in respect of the future rates of tax or the rules for computing taxable profits and offsetting allowable losses.

Failure to generate sufficient future taxable profits or further changes in tax legislation or the application thereof (including with respect to rates of tax) or accounting standards may reduce the recoverable amount of the recognised tax loss deferred tax assets, amounting to £83 million as at 31 December 2024. Changes to the treatment of certain deferred tax assets may impact NWM Group's capital position. In addition, NWM Group's interpretation or application of relevant tax laws may differ from those of the relevant tax authorities and provisions are made for potential tax liabilities that may arise on the basis of the amounts expected to be paid to tax authorities. The amounts ultimately paid may differ materially from the amounts provided depending on the ultimate resolution of such matters.

Any of the above may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation.

Climate and sustainability-related risks

NWM Group and its Value Chain face climate and sustainability-related risks that may adversely affect NWM Group.

Climate change has been identified as a source of systemic risk, with potentially severe consequences for financial institutions. The financial impacts of climate and sustainability-related risks are expected to be widespread and may disrupt the orderly functioning of financial markets and have an adverse effect on financial institutions, including NWM Group.

Financial and non-financial risks from climate change can arise through physical and transition risks. In addition, physical and transition risks can trigger further losses, stemming directly or indirectly from legal claims, litigation and conduct liability (referred to as ‘liability risk’).

Whilst there are significant uncertainties relating to the location, magnitude and timing of climate-related physical risks, scientific research suggests physical risks may occur in increasing frequency and severity. Climate-related events like flood, wildfires and climatic changes can damage assets and disrupt operations, leading to increased costs, changes in asset values and loan defaults.

Damage or disruption to NWM Group customers’ and counterparties’ (including suppliers’) properties, premises and operations could disrupt business, result in the deterioration of the value of collateral or insurance shortfalls, impair asset values and negatively impact the creditworthiness of customers and their ability and/or willingness to pay fees, afford new products or repay their debts, leading to increased default rates, delinquencies, write-offs and impairment charges in NWM Group’s portfolios. In addition, NWM Group’s premises and operations, or those of its critical outsourced functions may experience damage or disruption leading to increased costs for NWM Group.

To meet the goals of the UK’s Net Zero Strategy by 2050 will require a net-zero transition across all sectors of the UK economy. The timing and pace of the transition to a net-zero economy will depend on many factors and uncertainties and may be near-term, gradual and orderly, or delayed, rapid and disorderly, or a combination of these. A transition to a net-zero economy requires significant and timely policy and regulatory changes, immediate actions from national and regional governments, new technological innovations and changes to supply and demand systems within industries. The transition to a net-zero economy may also trigger changes in consumer behaviour and market sentiment. In addition, there is significant uncertainty about how climate change and the world’s transition to a net-zero economy will unfold over time and how and when climate and other sustainability-related risks will manifest. These timeframes are considerably longer than NWM Group’s historical and current strategic, financial, resilience and investment planning horizons.

NWM Group and its value chain (including its investors, customers, counterparties (including its suppliers), business partners and employees) (**‘NWM Group’s Value Chain’**) may face financial and non-financial risks arising from broader (i.e. non-climate-related) sustainability issues such as risks relating to nature loss (such as the loss and/or decline of the state of nature including but not limited to, the reduction of any aspect of biological diversity and other forms of environmental degradation such as air, water and land pollution, soil quality degradation and water stress). NatWest Group recognises that climate and nature-related risks are interlinked and therefore NatWest Group aims to work towards enhancing processes and capabilities to include assessments of nature-related risks and opportunities within governance, risk management and stakeholder engagement practices.

Climate and nature-related risks may:

- adversely affect the broader economy, influencing interest rates, inflation and growth, impacting profitability and stability;
- adversely affect asset pricing and valuations of NWM Group’s own and other securities and, in turn, the wider financial system;
- adversely affect economic activities directly (for example through lower corporate profitability or the devaluation of assets) or indirectly (for example through macro-financial changes);

- adversely affect the viability or resilience of business models over the medium to longer term, particularly those business models most vulnerable to climate and sustainability-related risks;
- trigger losses stemming directly or indirectly from liability risks and/or reputational damage, including as a result of adverse media coverage or activists, the public or NWM Group's Value Chain associating NWM Group or its customers with adverse climate and sustainability-related issues;
- adversely affect NWM Group's ability to contribute to deliver on NatWest Group's strategy, including achieving its climate ambitions and targets; and
- exacerbate other risk categories to which NWM Group is exposed, including credit risk, operational risk (including business continuity), market risk (both traded and non-traded), liquidity and funding risk (for example, net cash outflows or depletion of liquidity buffers), reputational risk, pension risk, regulatory compliance risk and conduct risk.

In addition to nature-related risks, NWM Group and NWM Group's Value Chain may face financial and non-financial risks arising from other sustainability-related issues such as (i) risks related to social issues (including human rights), for example, negative impact on people's standard of living and health, political and geopolitical tensions and conflict endangering people's lives and security, displacement of communities, the violation of indigenous people's rights, unjust working conditions and labour rights breaches (including discrimination, lack of diversity and inclusion, inequality, gender/ethnicity pay gap and payments under the minimum wage), modern slavery, accessible banking and financial inclusion, financial crime, data privacy breaches, innovation, digitalisation and AI, and lack of support for the vulnerable; and (ii) governance-related risks (including board diversity, ethical corporate culture, executive compensation and management structure).

There is also growing expectation from customers, investors, policymakers, regulators and society of the need for a "just transition" – in recognition that the transition to net zero should happen in a way that is as fair and inclusive as possible to everyone concerned. Although NatWest Group (including NWM Group) continues to evaluate and assess whether and, if so, how it integrates 'just transition' considerations into its strategy and decision-making, a failure (or perception of failure) by NatWest Group (including NWM Group) to sufficiently factor these considerations into existing products and service offerings may adversely affect NatWest Group (including NWM Group), including NatWest Group's (including NWM Group) reputation.

If NWM Group fails to identify, assess, prioritise, monitor, react to and prevent appropriately: (i) climate and sustainability-related impacts, risks and opportunities; and (ii) changing regulatory and market expectations and societal preferences that NWM Group and NWM Group's Value Chain face, in a timely manner or at all, this may have a material adverse effect on NWM Group's business, future results, financial condition, prospects (including cash flows, access to finance or cost of capital over the short, medium or long term), reputation or the price of its securities.

NatWest Group's strategy relating to climate change, ambitions, targets and transition plan entail significant execution and/or reputational risks and are unlikely to be achieved without significant and timely government policy, technology and customer behavioural changes.

At NatWest Group's Annual General Meeting in April 2022, ordinary shareholders passed an advisory 'Say on Climate' resolution endorsing NatWest Group's previously announced strategic direction on climate change, including its ambitions to at least halve the climate impact of its financing activity by 2030, achieve alignment with the 2015 Paris Agreement and reach net zero across its financed emissions, assets under management and operational value chain by 2050. NatWest Group may also announce other climate and sustainability-related ambitions, targets and initiatives and/or retire or change existing ones.

Making the changes necessary by NWM Group to contribute to achieve NatWest Group's climate ambitions and targets and executing its transition plan, together with the active management of climate and sustainability-related risks and other regulatory, policy and market changes, is likely to necessitate material changes to NWM Group's business, operating model, its existing exposures and the products and services NWM Group provides to its customers (potentially on accelerated timescales). NWM Group may be required to: (i) in the medium and long term significantly reduce its financed emissions and its exposure to customers that do not align with a transition to net zero or do not have a credible transition plan in place, and (ii) divest or discontinue certain activities for regulatory or legal reasons or in response to the transition to a less carbon-dependent economy. Increases in lending and

financing activities may wholly or partially offset some or all these reductions, which may increase the extent of changes and reductions necessary.

Making the necessary changes, or failing to make the necessary changes in a timely manner, or at all to achieve NatWest Group's climate ambitions and targets and executing its transition plan, together with the active management of climate and sustainability-related risks and other regulatory, policy and market changes may have an adverse effect on NatWest Group and NatWest Group's ability to achieve its climate and financial ambitions and targets, take advantage of climate change-related opportunities and generate sustainable returns.

NWM Group's ability to contribute to achieving NatWest Group's strategy, including contributing to achieve NatWest Group's climate ambitions and targets, will significantly depend on many factors and uncertainties beyond NWM Group's control. These include: (i) the extent and pace of climate change, including the timing and manifestation of physical and transition risks; (ii) the macroeconomic environment; (iii) the effectiveness of actions of governments, legislators, regulators and businesses; (iv) the response of the wider society, NWM Group's Value Chain and other stakeholders to mitigate the impact of climate and sustainability-related risks; (v) changes in customer behaviour and demand; (vi) appetite for new markets, credit appetite, concentration risk appetite, lending opportunities; (vii) developments in the available technology; (viii) the rollout of low carbon infrastructure; and (ix) the availability of accurate, verifiable, reliable, auditable, consistent and comparable data.

These external factors and other uncertainties will make it challenging for NWM Group to contribute to achieving NatWest Group's climate ambitions and targets and there is a significant risk that all or some of these ambitions and targets will not be achieved or not achieved within the intended timescales.

NWM Group's ability to contribute to achieving NatWest Group's climate ambitions and targets depends to a significant extent on the timely implementation and integration of appropriate government policies. The UK Climate Change Committee ('UK CCC') 2024 Progress Report to the UK Parliament states that the UK is not on track to hit its legislated target to reduce emissions in 2030 by 68% compared to 1990 levels and only a third of the emission reductions required to achieve the UK's 2030 target are currently covered by credible plans, with action needed across all sectors of the economy. NatWest Group's climate ambitions are unlikely to be achieved without timely and appropriate government policy and technology developments, as well as supplier, customer and societal response required to support the transition.

The UK CCC is expected to publish its Seventh Carbon Budget on 26 February 2025. NatWest Group expects this to take into account new UK policy initiatives announced by the UK government in November 2024 and NatWest Group plans to review its climate ambitions in the context of the of the UK's Seventh Carbon Budget, once released.

Climate and sustainability matters are also becoming increasingly politicised and polarised. Some of NWM Group's customers, investors or other stakeholders may decide not to do business with NWM Group because, according to their own assessment, NatWest Group's (including NWM Group) strategy, ambitions and targets related to climate and sustainability do not meet their expectations, either for lacking the necessary ambition or progress, or for being perceived as overly concerned about sustainability.

Any delay or failure by NWM Group in putting into effect, making progress against or meeting NatWest Group's climate and sustainability-related ambitions, targets and plans may have a material adverse effect on NWM Group's future results, financial condition, prospects, and/or reputation and may increase the climate and sustainability-related risks NWM Group faces.

There are significant limitations related to accessing accurate, reliable, verifiable, auditable, consistent and comparable climate and other sustainability-related data that contribute to substantial uncertainties in accurately modelling and reporting on climate and sustainability information, as well as making appropriate important internal decisions.

Accurate assessment and reporting of climate and sustainability-related impacts, risks, opportunities and other climate and sustainability-related matters, and related metrics depends on access to accurate, reliable, verifiable, auditable, consistent and comparable data from counterparties (including suppliers), customers, or other third parties. Data of adequate quality may not be generally available or, if available, may not be accurate, reliable, verifiable, auditable, consistent, or comparable. In the absence of other sources, reporting on climate and sustainability-related matters (including reporting on NatWest Group's (including NWM Group) financed and

facilitated emissions) may be based on estimated or aggregated information developed by third parties (including customers) that may be prepared in an inconsistent way using different methodologies, interpretations, or assumptions that may not be accurate for a given counterparty (including supplier) or customer. There may also be data gaps and limitations that are addressed using estimates based on assumptions about matters that are inherently uncertain or proxy data, such as sectoral averages or use of emissions estimated by a third party, again developed in a variety of ways and in some cases not in a timely manner causing data to be potentially outdated at the time when they are used.

Significant risks, uncertainties and variables are inherent in the assessment, measurement and mitigation of climate and sustainability-related risks. These include data quality gaps and limitations mentioned above, as well as the pace at which climate science, greenhouse gas accounting standards and various emissions reduction solutions develop. In addition, there is significant uncertainty about how climate change and the world's transition to a net-zero economy will unfold over time and how and when climate and sustainability-related risks will manifest. These timeframes are considerably longer than NWM Group's historical and current strategic, financial, resilience and investment planning horizons.

As a result, NWM Group's assessment of climate and sustainability impacts, risks, opportunities and other climate and sustainability-related matters is likely to evolve and its climate and sustainability-related disclosures may be amended, updated or restated in the future as the quality and completeness of NWM Group's data and methodologies continue to improve.

These data quality challenges, gaps and limitations may also have a material impact on NWM Group's ability to make effective business decisions about climate and sustainability-related impacts, risks, opportunities and other climate and sustainability-related matters, including risk management decisions, to comply with disclosure requirements and to monitor and report progress in meeting ambitions, targets and pathways all of which may have an adverse effect on NWM Group.

Climate-related risks are challenging to model due to their forward-looking nature, the lack of and/or quality of historical testing capabilities, lack of accuracy, standardisation and incompleteness of emissions and other climate and sub-sector related data and the immature nature of risk measurement and modelling methodologies. As a result, it is very difficult to predict and model the impact of climate-related risks into precise financial and economic outcomes. The evaluation of climate-related risk exposure and the development of associated potential risk mitigation techniques also largely depend on the choice of climate scenario modelling methodology and the assumptions made which involves a number of risks and uncertainties.

Accordingly, these risks and uncertainties coupled with significantly long timeframes make the outputs of climate-related risk modelling, climate-related targets (including emission reduction targets) and pathways, inherently more uncertain than outputs modelled for traditional financial planning cycles based on historical financial information.

Capabilities within NWM Group to appropriately assess, model, report and manage climate and sustainability-related impacts and risks and the suitability of the assumptions required to model and manage climate and sustainability-related risks appropriately continue to develop and mature. Even when those capabilities are appropriately developed, the high level of uncertainty regarding any assumptions modelled, the highly subjective nature of risk measurement and mitigation techniques, incorrect or inadequate assumptions and judgements and data quality gaps and limitations may lead to inadequate risk management information and frameworks, or ineffective business adaptation or mitigation strategies or regulatory non-compliance.

Any of the above may have a material adverse effect on NWM Group's business, future results, financial condition, prospects, reputation and the price of its securities.

NWM Group is becoming subject to more extensive, and sophisticated climate and other sustainability-related laws, regulation and oversight and there is an increasing risk of regulatory enforcement, investigation and litigation.

NWM Group and its subsidiaries are increasingly becoming subject to more extensive, and sophisticated sustainability-related laws and regulations in the UK, EU and the US, including in relation to mandatory climate and other sustainability reporting and due diligence, climate transition plan, product labelling and combatting "greenwashing".

Compliance with these complex, evolving and often diverging legal, regulatory and supervisory requirements and voluntary standards and initiatives is likely to require NWM Group to implement significant changes to its business models, IT systems, products, governance, internal controls over financial and non-financial reporting, disclosure controls and procedures, modelling capability and risk management systems, which may increase the cost of doing business, result in higher capital requirements, and entail additional change risk and increased compliance, regulatory sanctions, conduct and litigation (including settlements) costs. A failure by NWM Group or any of its subsidiaries to comply with these climate and sustainability-related legal, regulatory and supervisory requirements and standards and meet expectations of NWM Group's Value Chain in this respect may result in investigations and regulatory sanction each of which may have an adverse effect on NWM Group and the successful implementation of NatWest Group's (including NWM Group) strategy relating to climate and sustainability.

Certain non-UK subsidiaries of NWM Group in the EU and elsewhere may also be subject to EU, national and other climate and sustainability laws and regulations which in some cases may differ. Divergence between UK, EU, US and other climate and sustainability-related legal, regulatory and supervisory requirements and their interpretation may increase the cost of doing business (including increased operating costs) and may result in regulatory non-compliance and litigation risk. Failure by NWM Group to comply with these divergent legal, regulatory and supervisory requirements (if applicable to NWM Group) may have an adverse effect on NWM Group's ability to contribute to the successful implementation of NatWest Group's strategy relating to climate change including when contributing to setting up NatWest Group's climate ambitions and targets and to executing NatWest Group's transition plan and may result in NWM Group and/or its subsidiaries not meeting investors' expectations.

Increasing new climate and sustainability-related jurisprudence, laws and regulations in the UK and other jurisdictions, regulatory scrutiny, expose financial institutions, including NWM Group, to face increasing litigation, conduct, enforcement and contract liability risks related to climate change, nature-related degradation, human rights violations and other social, governance and sustainability-related issues. Furthermore, regulatory and enforcement activity around climate and sustainability initiatives that promote more extensive sustainability-related requirements and those that impose divestment and other sanctions against financial institutions that implement climate and sustainability-related initiatives is becoming increasingly divergent and conflicting between jurisdictions, in particular in the United States. Any failure of NWM Group to develop and implement robust and effective governance, controls and procedures over climate and sustainability-related impact assessment, disclosure, reporting and other communications and sustainability-related claims (including in relation to NWM Group's products, services and strategy) and comply with them in line with applicable legal and regulatory requirements and expectations, may give rise to increased complaints, regulatory enforcement (including sanctions), investigation and litigation and may adversely affect NWM Group's regulatory compliance, investor base and reputation.

Furthermore, there is a risk that shareholders, campaign groups, customers and activist groups could seek to take legal action against NWM Group for financing, facilitating or contributing to actual or perceived harm to the environment or people, climate change, nature-related degradation and human rights violations, failure to implement or follow adequate governance procedures and for not supporting the principles of 'just transition' (i.e. maximising the social benefits of the transition, mitigating the social risks of the transition, empowering those affected by the change, anticipating future shifts to address issues up front and mobilising investments from the public and private sectors).

Any of the above may have a material adverse effect on NWM Group's business, future results, financial condition, prospects, reputation and the price of its securities.

SELECTED CONSOLIDATED FINANCIAL INFORMATION AND OTHER DATA

The consolidated income statement and balance sheet data presented below have been derived from the Financial Statements. The 2024 Financial Statements and 2023 Financial Statements are prepared in accordance with UK adopted IAS, IFRS as issued by the IASB and IFRS as adopted by the European Union. The Financial Statements include consolidated financial information of NWM Group as at and for the years ended 31 December 2024, 2023 and 2022 and have been audited by Ernst & Young LLP. The Financial Statements and the reports of Ernst & Young LLP on the 2024 Financial Statements and the 2023 Financial Statements are incorporated by reference into this Registration Document.

The information below should be read together with the Financial Statements incorporated by reference into this Registration Document and the sections ‘Important Information for Investors—Presentation of Financial Information,’ ‘Important Information for Investors—Non-GAAP Measures of Financial Performance’ and ‘Operating and Financial Review.’

Consolidated Income Statement Data

	For the years ended 31 December		
	2024	2023	2022
	£m		
Interest receivable.....	2,720	2,186	745
Interest payable.....	(2,288)	(1,831)	(654)
Net interest income	432	355	91
Fees and commissions receivable.....	476	377	349
Fees and commissions payable.....	(213)	(175)	(158)
Income from trading activities.....	585	477	389
Other operating income.....	(43)	35	18
Non-interest income	805	714	598
Total income	1,237	1,069	689
Staff costs.....	(452)	(418)	(400)
Premises and equipment.....	(75)	(66)	(60)
Other administrative expenses.....	(671)	(642)	(652)
Depreciation and amortisation.....	(10)	(16)	(16)
Operating expenses	(1,208)	(1,142)	(1,128)
Profit/(loss) before impairment releases/(losses)	29	(73)	(439)
Impairment releases/(losses).....	8	(2)	(8)
Operating profit/(loss) before tax	37	(75)	(447)
Tax credit/(charge).....	26	(23)	183
Profit/(loss) for the year	63	(98)	(264)

Balance Sheet Data

	NWM Group			NWM Plc		
	As at 31 December			As at 31 December		
	2024	2023	2022	2024	2023	2022
	£m			£m		
Assets						
Cash and balances at central banks.....	16,229	13,831	17,007	11,069	8,607	13,467
Trading assets(1).....	48,883	45,324	45,291	26,186	28,411	27,301
Derivatives.....	78,105	79,332	100,154	74,982	75,832	96,258
Settlement balances.....	2,043	7,227	2,558	550	2,168	1,686
Loans to banks – amortised cost.....	1,171	1,246	1,146	897	910	815
Loans to customers – amortised cost.....	17,921	12,986	10,171	17,089	12,104	9,154
		1,730	740		6,472	6,665

	NWM Group			NWM Plc		
	As at 31 December			As at 31 December		
	2024	2023	2022	2024	2023	2022
	£m			£m		
Amounts due from holding company and fellow subsidiaries	343			3,341		
Other financial assets.....	17,850	15,723	11,870	16,081	13,444	10,377
Investments in group undertakings.....	—	—	—	2,263	2,320	2,626
Other assets(2).....	621	518	832	479	390	712
Total assets	<u>183,166</u>	<u>177,917</u>	<u>189,769</u>	<u>152,937</u>	<u>150,658</u>	<u>169,061</u>
Liabilities						
Bank deposits	4,565	2,267	3,069	4,069	1,909	2,936
Customer deposits	4,840	6,998	3,614	2,350	3,060	2,665
Amounts due to holding company and fellow subsidiaries	6,771	5,802	6,217	10,757	14,385	12,867
Settlement balances	1,729	6,641	2,010	444	400	1,133
Trading liabilities(1).....	54,512	53,623	52,792	30,130	34,079	33,225
Derivatives.....	72,036	71,981	93,585	70,016	69,404	90,754
Other financial liabilities	31,263	23,574	21,103	27,966	20,655	18,396
Other liabilities(2)	521	653	816	386	453	567
Total liabilities.....	<u>176,237</u>	<u>171,539</u>	<u>183,206</u>	<u>146,118</u>	<u>144,345</u>	<u>162,543</u>
Owners' equity	6,929	6,380	6,565	6,819	6,313	6,518
Non-controlling interests	—	(2)	(2)	—	—	—
Total equity.....	<u>6,929</u>	<u>6,378</u>	<u>6,563</u>	<u>6,819</u>	<u>6,313</u>	<u>6,518</u>
Total liabilities and equity	<u>183,166</u>	<u>177,917</u>	<u>189,769</u>	<u>152,937</u>	<u>150,658</u>	<u>169,061</u>

- (1) For a further analysis of the 'Trading assets' and 'Trading liabilities' see 'Operating and Financial Review—Consolidated Financial Information for the Years Ended and as at 31 December 2024 and 2023—Balance Sheet' and 'Operating and Financial Review—Consolidated Financial Information for the Years Ended and as at 31 December 2023 and 2022—Balance Sheet.'
- (2) For a further analysis of the line items 'Other assets' and 'Other liabilities' see 'Operating and Financial Review—Consolidated Financial Information for the Years Ended and as at 31 December 2024 and 2023—Balance Sheet' and 'Operating and Financial Review—Consolidated Financial Information for the Years Ended and as at 31 December 2023 and 2022—Balance Sheet.'

Other Data

Key metrics and ratios(1)	As of the year ended 31 December		
	2024	2023	2022
LCR (%) (2)(3).....	195	183	253
Liquidity portfolio (£bn)(4).....	21.0	14.7	19.1
Stressed coverage ratio (%) (2)(5).....	204	162	199
Total wholesale funding (£bn)(6).....	32.5	25.1	23.5
Total Funding (£bn) (7).....	91.4	82.4	77.0
Common Equity Tier (CET 1) ratio (%) (8).....	18.2	17.1	17.2
Leverage ratio (%) (9).....	5.5	5.0	5.4
Risk-weighted assets (RWAs) (£bn)(10).....	20.8	22.1	21.4
Total Capital ratio (%) (11).....	27.8	23.0	25.7
Total MREL (£bn)(2)(12).....	10.0	7.6	8.7
MREL ratio (%) (2)(12)(13).....	48.2	34.5	40.4

- (1) Capital resources, RWAs and leverage based on the PRA transitional arrangements in respect of ECL provisions for NWM Plc. Regulatory capital is monitored and reported at legal entity level for significant subsidiaries of NatWest Group.
- (2) These liquidity metrics and ratios have been presented for the NWM Plc solo legal entity / non-consolidated basis as they are monitored and reported for regulatory purposes.
- (3) The Liquidity Coverage Ratio ('LCR') is a regulatory measure that requires banks to hold sufficient liquid assets to cover a period of liquidity stress. It is calculated by taking a firm's high quality liquid assets ('HQLA') divided by its 30-day stress net outflows.
- (4) The liquidity portfolio comprises largely of cash and high quality government securities that can be readily converted to cash within a short timeframe and with a reliable value.
- (5) The Stressed Outflow Coverage ('SOC') is an internal measure calculated by reference to liquid assets as a percentage of net stressed contractual and behavioural outflows over three months under the most severe of a suite of stress scenarios which fit into three themes: Idiosyncratic, Market-Wide and Combined. The SOC ratio is only published at year-end.
- (6) Predominantly comprises bank deposits (excluding repos), debt securities in issue and third-party subordinated liabilities. See 'Operating and Financial Review–Funding and Liquidity–Funding' and 'Selected Statistical Data and Other Information –Deposits and Short-Term Borrowings.'
- (7) See 'Operating and Financial Review–Funding and Liquidity–Funding' and 'Selected Statistical Data and Other Information –Deposits and Short-Term Borrowings.'
- (8) A regulatory measure which assesses the highest quality of capital held as a percentage of RWAs, which represents both the size and inherent riskiness of on and off balance sheet exposures.
- (9) The leverage ratio measures the Tier 1 capital expressed as a percentage of leverage exposure. Leverage exposure is broadly aligned to the accounting value of on and off balance sheet exposures but subject to certain adjustments for derivatives, securities financing positions and off balance sheet exposures.
- (10) RWAs are a measure of NWM Group's assets and off balance sheet positions that capture both the size and risks inherent in those positions.
- (11) A regulatory measure which assesses total capital held as a percentage of RWAs.
- (12) Includes senior internal debt instruments issued to NatWest Group plc with a regulatory value of £4.3 billion (31 December 2023 - £2.6 billion, 31 December 2022 - £3.2 billion).
- (13) A measure of the total resources that would be available in an ordinary resolution situation. It is calculated as total regulatory capital and MREL instruments with a maturity of at least one year, expressed as a percentage of RWAs.

OPERATING AND FINANCIAL REVIEW

The following discussion is primarily based on and should be read in conjunction with the Financial Statements incorporated by reference into this Registration Document. The 2024 Financial Statements and 2023 Financial Statements are prepared in accordance with UK adopted IAS, IFRS as issued by the IASB and IFRS as adopted by the European Union.

This section contains forward-looking statements that involve inherent risks and uncertainties. Actual results may differ materially from those contained in such forward-looking statements. See 'Important Information for Investors—Special Notice Regarding Forward-Looking Statements' and 'Risk Factors.'

Overview

NWM Plc is a wholly owned subsidiary of NatWest Group plc, a banking and financial services group. NWM Group is a strategically important part of NatWest Group.

NWM Group provides liquidity, risk management, financing, and advisory services, principally to corporates, sponsors, financial institutions and sovereigns as well as customers of the broader NatWest Group.

The core business lines of NWM Group are:

- **Fixed Income.** A range of cash bond, repo and interest rate derivatives products with a focus on sterling, euros and U.S. dollars that support customers' financing and hedging needs, together with the provision of liquidity and credit trading capabilities for investment-grade and high-yield bonds and loans for both financial institutions and corporate issuers.
- **Currencies.** Offering foreign exchange ('FX') spot, forwards, cross-currency swaps and options, as well as an FX prime service and FX digital solutions.
- **Capital Markets.** Access to global debt capital markets across a wide variety of products and target markets that include bonds, loans, commercial paper, medium-term notes, private placements, via bespoke financing solutions and primary lending products.

In addition to serving its own customers, NWM Group provides Fixed Income, Currencies and Capital Markets products to corporate, commercial, business and select retail clients of other NatWest Group entities. Revenue share arrangements are in place, pursuant to which a proportion of the income generated by NWM Group products from customers that have their primary relationship with other NatWest Group subsidiaries is shared between NWM Group and those subsidiaries. Approximately 22 per cent of NWM Group's total income for the year ended 31 December 2024 was sourced from customers referred to NWM Group by other NatWest Group entities, compared to 21 per cent for the year ended 31 December 2023.

NWM Group is focussed on leveraging technology and automation to add value for customers. NWM Group has developed digital self-service applications covering, among others, FX, rates, risk management, and international payments services. NWM's specialists across currencies, fixed income and capital markets offer content and ideas alongside market-leading economic insights in the key economies where its customers do business.

NWM Group's operations are centred around the UK, a market in which it has a strong positioning and a competitive value proposition. NWM Group targets customers in the UK and Europe and its activities in the US and the APAC region are focused on providing risk distribution capability and access to institutional clients in those regions. For the year ended 31 December 2024, 76 per cent (2023 - 78 per cent) of NWM Group's total income was generated in the UK and Europe, 17 per cent (2023 - 14 per cent) was generated in the US and 7 per cent (2023 - 8 per cent) was generated in the rest of the world. See 'Description of NWM Group—Geographic Footprint' for further details.

As further discussed under 'Description of NWM Group—NWM Group's History and Development,' in the year ended 31 December 2018 NatWest Group restructured its group legal entities and business model to meet the requirements of UK ring-fencing legislation. Following this, NWM Plc became the principal holding and operating company for NatWest Group's operations outside the ring-fence and NWM Group's business, operations and

financial condition cannot be compared to its business, operations and financial condition prior to the implementation of the UK ring-fencing regime. The implementation of the UK ring-fencing regime had a material impact on NWM Group's operational footprint, balance sheet composition, funding strategy, capital requirements and credit ratings. Accordingly, NWM Group adapted its strategy and business model and adopted new processes and structures for, among other things, financial reporting, risk management and corporate governance and has also implemented a shared services model with the ring-fenced entities for certain other services.

In 2022, NatWest Group brought together its previously separate Commercial Banking, NatWest Markets and RBS International businesses to form a single segment, Commercial & Institutional, with common management and objectives to better support its customers across the full non-personal customer lifecycle.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

In addition, NWM Group's climate strategy is designed to support NatWest Group's climate ambition and is focused on helping customers achieve their climate goals by supporting their transition to a low carbon economy while managing NWM Group's own operations with respect to carbon emissions.

The following metrics have been set for NWM Plc in the medium-term and supersede all prior guidance:

Metric	Estimate
CET 1 ratio ⁽¹⁾	~14%
MREL ratio ⁽¹⁾⁽²⁾	>30%
Leverage ratio	>4%

- (1) CET 1 stands for Common Equity Tier 1 capital and MREL refers to the minimum requirement for own funds and eligible liabilities.
- (2) Includes total regulatory capital, non-eligible capital and downstreamed internal MREL.

Comparability of NWM Group's Historical Financial Results

Note on recent changes to the scope of NWM Group's activities.

In 2022, NatWest Group announced the creation of the C&I segment, which brought together the previously separate Commercial, NatWest Markets and RBS International customer businesses. The segment is a step forward in NatWest Group becoming a simpler bank to deal with, bringing the best of NatWest Group's expertise to better support its customers' needs. The creation by NatWest Group of the C&I segment has enhanced the NWM Group's ability to work across NatWest Group to deliver on opportunities from referrals from other entities within the NatWest Group, including revenue growth.

To improve efficiencies and best serve customers following Brexit, NWM Group expects that certain assets, liabilities, transactions and activities of NatWest Group's Transfer Business, may be: (i) transferred from the ring-fenced subgroup of NatWest Group to NWM Group, and/or (ii) transferred to the ringfenced subgroup of NatWest Group from NWM Group, subject to regulatory and customer requirements. The timing, success and quantum of any of these transfers remain uncertain as is the impact of these transactions on its go-forward results of operations.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

These changes are discussed below under '*Operating and Financial Review—Primary Factors Affecting NWM Group's Results of Operations—Recent Changes to NWM Group's Scope of Activities Relating to the UK's Exit From The EU.*'

Non-GAAP Measures of Financial Performance

The discussion of the results of operations of NWM Group included in ‘*Risk Factors*,’ ‘*Overview of Consolidated Financial Information and Other Data*,’ ‘*Operating and Financial Review*’ and ‘*Description of NWM Group*’ is based on the Financial Statements. The Issuer prepares its financial statements in accordance with UK adopted IAS, IFRS as issued by the IASB and IFRS as adopted by the European Union, which constitutes a body of GAAP. This document contains a number of alternative performance measures or non-GAAP (or non-IFRS) financial measures. A non-GAAP financial measure is defined as one that measures historical or future financial performance, financial position or cash flows but which excludes or includes amounts that would not be so adjusted in the most comparable GAAP financial measure.

The non-GAAP financial measures used in this document generally exclude certain items which management believes are not representative of the underlying performance of the business and which distort period-on-period comparison. These measures are used internally by management, in conjunction with IFRS financial measures, to measure performance and make decisions regarding the future direction of the business. Management believes these non-GAAP financial measures, when provided in combination with reported IFRS results, provide helpful supplementary information for investors. These non-GAAP financial measures are not a substitute for, and should be read in conjunction with, reported IFRS financial measures.

NWM Group uses ‘funded assets’ as a non-GAAP financial measure in this Registration Document. This measure allows a review of balance sheet trends exclusive of the volatility associated with derivative fair values. Funded assets are represented by NWM Group’s total assets in accordance with the published IFRS balance sheet, less derivative assets.

NWM Group also presents a management view of operating expenses alongside the statutory measure. This analysis of operating expenses aims to remove more volatile items within litigation and conduct costs. A reconciliation between the statutory and non-statutory presentations of operating expenses is set out in the section ‘*Operating and Financial Review—Consolidated Financial Information for the Years Ended and as at 31 December 2024 and 2023*.’

NWM Group presents a management view of income by business, including separate itemisation of transfer pricing arrangements with fellow NatWest Group subsidiaries; own credit adjustments (‘OCA’); income including shared revenue and before OCA; and income excluding OCA.

Transfer pricing arrangements with fellow NatWest Group subsidiaries include:

- Revenue share arrangements pursuant to which a proportion of the income generated by NWM Group products from customers that have their primary relationship with other NatWest Group subsidiaries is shared between NWM Group and those subsidiaries.
- A profit share arrangement that was entered into during 2023 between NWM Group and fellow NatWest Group subsidiaries to reward NWM Group on an arm’s length basis for its contribution to the performance of the NatWest Group Commercial & Institutional business segment, of which NWM Group forms part. The profit share is not allocated to individual NWM Group product areas.

OCA’s are applied to positions for which NWM Group believes that the counterparties would consider NWM Group’s creditworthiness when pricing trades. The fair value of certain issued debt securities, including structured notes, is adjusted to reflect the changes in own credit spreads and the resulting gain or loss recognised in income.

Primary Factors Affecting NWM Group’s Results of Operations

NWM Group’s business, results of operations and financial position have been affected, and may continue to be affected, by various factors, the most significant of which are described below. The impact of these and other potential factors may vary significantly in the future. See ‘*Important Information for Investors—Special Notice Regarding Forward-Looking Statements*.’

Macroeconomic Environment

NWM Group’s activities are primarily related to the economic environment in the UK, Europe and the US.

NWM Group derives a substantial majority of its income from its operations in the UK. Accordingly, NWM Group's business, results of operations and financial position depend upon the economic conditions prevailing in its primary market, in particular economic growth and the general level of interest rates and volume of transactions. NWM Group's operations are also affected by the level of competition in these primary markets, particularly from other major banking groups and specialist providers. Lower demand and the financial and economic crisis in these markets have adversely affected, and could in the future adversely affect, the business, results of operations and financial position of NWM Group. Economic crises and financial market stress in certain markets can also benefit the results of operations and financial position of NWM Group. This can arise from areas such as providing structuring and advisory services to Financial Institutions and corporates within those markets.

Since 31 December 2023, the economic outlook has evolved. The economy came out of post-COVID-19 stagnation with an upswing in the first half of 2024 as household income recovered. GDP growth lost momentum in the second half of 2024 and the outlook remains that of moderate growth. Inflation declined over the year, albeit the progress was slower than expected and inflation is likely to take longer to reach the target of 2 per cent. As a result, rates are expected to remain higher-for-longer than previously expected. The unemployment rate increased modestly but it is underpinned by a still resilient labour market. There was emerging risk to the labour market due to higher tax burdens. House prices were previously assumed to decline in 2024, but they performed better than expected. However, the higher interest rates environment poses a risk to the recovery.

The credit profile remained stable and NWM Group has not seen, as of the date of this Registration Document, signs of financial stress materially affecting customers' ability to repay. Current and potential credit exposure generally increased in the context of continued business growth. The IFRS 9 Stage 1 and Stage 2 ECL provisions decreased from £32 million to £30 million in 2024. Stage 3 ECL provisions reduced from £24 million to £17 million in 2024. As a result, the total ECL provisions balance decreased from £57 million to £47 million and the full year impairment release for 2024 was £8 million.

The recognition and measurement of ECL is complex and involves the use of significant judgement and estimation. This includes the formulation and incorporation of multiple forward-looking economic scenarios into ECL to meet the measurement objective of IFRS 9. The ECL provision is sensitive to the model inputs and economic assumptions underlying the estimate. Over the period ahead there is a risk of observable credit deterioration of a proportion of assets resulting in an uplift in ECL requirements; a credit deterioration would also lead to RWA increases. However, the extent of such deterioration remains uncertain. Furthermore, the assumptions and judgements used in the MES and ECL assessment at 31 December 2022 may not prove to be adequate, resulting in incremental ECL provisions for NWM Group.

	2024	2023	2022
UK Gross Domestic Product Growth YoY (%).....	0.9	0.4	4.8
UK unemployment rate (October-December) (%)	4.4	3.9	3.9
Number of people in employment in the UK (October-December) (millions)	33.9	33.4	33.1
BoE base rate as at 31 December (%)	4.75	5.25	3.5

In the UK, for 2024 as a whole, GDP grew by 0.9 per cent compared to a 0.4 per cent rise in 2023. Growth was strong in the first half of 2024 but flatlined in the second half as consumer and business sentiment weakened due to domestic and international uncertainties. Between the third and fourth quarter of the year ended 31 December 2024 business investment decreased by 3.2 per cent and was down 0.7 per cent compared with the same period in the year ended 31 December 2023.

The labour market softened in 2024 and the unemployment rate increased to 4.4 per cent in the year ended 31 December 2024, compared to 3.9 per cent in the year ended 31 December 2023. Vacancies fell to 819,000 in the three months to January 2025, a decrease of 110,000 from the same period a year ago. The number of people in employment increased to 33.9 million in the year ended 31 December 2024, from 33.4 million in the year ended 31 December 2023. Total average pay growth was 6.0 per cent in the 3 months ended 31 December 2024, up from 5.9 per cent in the 3 months ended 31 December 2023.

Inflation eased further compared to end 2023 and the BoE started the rate cutting cycle in August 2024. As at 6 February 2025, Bank Rate was cut three times from 5.25 per cent to 4.5 per cent.

The IMF estimates that global growth was 3.2 per cent in 2024 and expects global growth to increase to 3.3 per cent in 2025. The US economy grew by 2.8 per cent, while the Euro Area economy grew by 0.9 per cent in the year ended 31 December 2024. UK economic growth was 0.1 per cent in the three months ended 31 December 2024, mainly supported by government spending growth of 0.8 per cent, while consumer spending flatlined.

Strategic changes to NWM Group's scope of activities

The refocusing of NWM Group was initially announced in 2020 and completed in 2022 and substantial progress continues to be made in the refocusing of its capital allocation. It is simpler, less capital intensive and better positioned to create opportunities for its commercial and institutional customers by assisting with their financing and risk management needs, and by providing access to global markets as well as demonstrating leadership in high-growth products, such as the green and sustainable bond markets.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

It is currently anticipated that NWM Plc will generate operating losses in the short-term and as a result its capital levels may decline.

Ring-Fencing and the related impact on NWM Group's scope of activities

The UK government passed legislation which required UK banks to separate their retail and investment banking activities by 1 January 2019. To comply with this legislation, NatWest Group undertook a reorganisation of its group legal entity structure and business model. Following the reorganisation, NatWest Group has been split into a ring-fenced subgroup and to entities positioned outside the ring-fence. NWM Plc, which prior to the implementation of the UK ring-fencing regime was NatWest Group's principal operating subsidiary, is the principal holding and operating company for NatWest Group's operations outside the ring-fence. Accordingly, throughout 2018, all activities which must only be provided by a ring-fenced entity have been moved out of NWM Group together with certain activities that may be provided by an entity within the ring-fence or by an entity positioned outside of the ring-fence, but which NatWest Group believed are best provided by an entity positioned inside the ring-fence.

As a result, the implementation of the UK ring-fencing regime had a material impact on NWM Group's operational footprint, balance sheet composition, funding strategy, capital requirements and credit ratings. Accordingly, NWM Group adapted its strategy and business model and adopted new processes and structures for, among other things, financial reporting, risk management and corporate governance and has also implemented a shared services model with the ring-fenced entities for certain other services.

In addition, because NWM Group can no longer undertake certain activities which in accordance with the UK ring-fencing rules can only be performed inside the ring-fenced entities of NatWest Group, NWM Group can no longer accept deposits from certain retail and small business customers and competes with other financial institutions, including NWB, for corporate deposit funding. This increases the requirement for NWM Group to raise funding in the wholesale markets which is generally more expensive, and access to these markets is more uncertain than retail and commercial deposit funding. In particular, a lower credit rating would result in an increase in the cost of funding, therefore negatively impacting profitability.

Other implications of the UK ring-fencing legislation include NWM Group being unable to provide critical services to any ring-fenced entity in NatWest Group.

In February 2021, the UK government appointed an independent panel chaired by Keith Skeoch to undertake a review of the ring-fencing regime and proprietary trading. In September 2023, HM Treasury published a consultation on draft secondary legislation designed to implement certain reforms to the UK ring-fencing regime based on the recommendations of the Skeoch report, including increasing the ring-fencing deposit threshold from £25 billion to £35 billion of core deposits and exempting retail banks with trading assets of less than 10 per cent of tier 1 capital from the ring-fencing regime (unless they are part of a global systemically important bank). In November 2024, a draft statutory instrument amending the UK bank ring-fencing regime was laid before Parliament. The Financial Services and Markets Act 2000 (Ring-fenced Bodies, Core Activities, Excluded Activities and

Prohibitions) (Amendment) Order 2024, which has entered into force on 4 February, 2025, makes a number of changes to the ring-fencing regime that are consistent with the proposals of the Skeoch review and HM Treasury's 2023 consultation described above. In addition, HM Treasury intends to announce longer-term reforms to the UK ring-fencing regime. NatWest Group is expecting to be involved in any further consultations relating to reform of the UK ring-fencing regime.

Recent Changes to NWM Group's Scope of Activities Relating to the UK's Exit From the EU and the ongoing simplification of NatWest Group's business

Intermediate EU parent undertaking

NatWest Group, which is classified by the ECB as a 'third-country group' with two or more subsidiary banking institutions in the European Union ('EU'), was authorised by the ECB to establish a dual Intermediate EU Parent Undertaking ('IPU') structure on behalf of its European subsidiaries. To that effect, RBS Holdings N.V. ('**RBSH N.V.**'), a wholly-owned subsidiary of NWM Plc, was designated to act as the IPU outside of the NatWest Group ring-fenced sub-group and has been subject to ECB supervision since 1 January 2024, along with its subsidiary NWM N.V.

In November 2023, the ECB confirmed that both entities were classified as a 'significant supervised group'. Relatedly, on 1 December 2023, RBS International Depositary Services S.A.'s ('**RBSI DS**') immediate parent company changed from Royal Bank of Scotland International (Holdings) Limited ('**RBSIH**') to RBSH N.V. following regulatory approval.

Transfer of the Issuer's EEA customers outside the UK and not subject to regulatory exemptions (the 'EEA transfer customers') to NWM N.V.

NWM N.V. serves the Issuer's EEA customers outside the UK facilitated by a FSMA transfer scheme (the '**Transfer Scheme**') which was approved by the Court of Session in Scotland on 22 February 2019 and then extended for 12 months until 31 December 2020 through approval by De Nederlandsche Bank ('**DNB**'), the PRA and Court of Session in Scotland on 20 December 2019.

Pursuant to Phase I of the Transfer Scheme, NWM EEA transfer customers' master trade documentation were automatically replicated in the name of NWM N.V. (rather than NWM Plc) by the end of March 2019, thereby allowing NWM N.V. to provide services to such customers if necessary as NWM N.V. chooses to do so. Approximately 30 per cent of NWM Plc's customer base by number of customers as at 31 December 2018 were affected by the duplication of documents under the Transfer Scheme. Certain existing transactions in NWM Plc's back book were also transferred from the Issuer to NWM N.V. as part of Phase II under this Transfer Scheme.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

Trading with EEA customers is conducted from NWM N.V. instead of NWM Plc and, as a result, these transactions are booked in NWM N.V. as well as some existing transactions by such customers if they are renegotiated or refinanced, resulting in asset and liability transfers from NWM Plc to NWM N.V.

For a significant portion of the transactions NWM N.V. executes with EEA customers, the Issuer expects NWM N.V. to enter into a corresponding trade-level-hedge transaction with it and accordingly the customer revenue earned on EEA customers will be earned by the Issuer.

The Issuer entered into a number of transfer pricing arrangements with NWM N.V. reflecting new intragroup relationships relating to the servicing of EEA customers. These agreements are concluded on an arm's-length basis in order to compensate the Issuer and NWM N.V. appropriately. They are designed to provide the Issuer and NWM N.V. with a commercial share of the profits derived by NWM N.V. taking into account the relative risks assumed, functions undertaken and assets utilised by the two entities involved. Accordingly, the Issuer continues to receive a share of profits from certain trades executed by EEA customers. However, following Brexit and in part as a result of

the servicing of EEA customers through NWM N.V., NWM Plc's business is now split across NWM Plc and NWM N.V. See also '*Relationship with NatWest Group*' below.

NWM N.V. is consolidated in NWM Group financial statements.

NWM Plc and NWM N.V. have limited risk-sharing arrangements in place to facilitate the smooth provision of services to NWM Group's customers. The arrangements, which NWM Plc recognises as financial guarantees within amounts due to subsidiaries, include:

- The provision of a funded guarantee of up to €1 billion in aggregate (the '**Funded Guarantee**') by NWM Plc to NWM N.V. that limits NWM N.V.'s exposure to large individual customer credits. Funding is provided by NWM Plc deposits placed with NWM N.V. of not less than the guaranteed amount. At 31 December 2024 the deposits amounted to €0.4 billion and the guaranteed fees in the year were €4 million.
- The provision of funded and unfunded guarantees by NWM Plc in respect of NWM N.V.'s legacy portfolio. At 31 December 2024 the exposure at default covered by the guarantees was approximately €0.2 billion (of which none was cash collateralised). Fees of €0.7 million in relation to the guarantees were recognised in the year. See '*Operating and Financial Review–Contingent Liabilities*.'

The transfer of assets from NatWest Bank Europe GmbH is not expected to change the scope and operation of the funded and unfunded guarantees.

Relationship with NatWest Group

Shared Services

Following the implementation of the UK ring-fencing regime and the separation of the ring-fenced subgroup and the entities outside the ring-fence, such as NWM Group, NWM Group materially increased its dependence on NatWest Bank Plc and other NatWest Group entities for numerous critical services and operations, including without limitation, property, finance, accounting, treasury, risk, regulatory compliance and reporting, human resources, and certain other support and administrative functions. A failure to adequately supply these services may result in increased costs to NWM Group should NWM Group have to increase its capacity to provide these services internally or by outsourcing to third parties for these services. Because NWM Group relies on certain services provided by NatWest Group plc and other entities within NatWest Group, these may become more expensive or cheaper over time than the cost which could be achieved independently by NWM Group. These differences, over time, may impact on NWM Group's results of operations.

Revenue Share Agreements

NWM Group continues to provide access to markets, products and services for the franchises of the ring-fenced sub-group of NatWest Group and on 6 November 2018 entered into a series of revenue share agreements (the '**Revenue Share Agreements**') with certain entities within NatWest Group's ring-fenced sub-group, including NWB, The Royal Bank of Scotland Plc ('**RBS Plc**') and Ulster Bank Ireland DAC (collectively, the '**RFB Entities**'), and with a non-ring-fenced entity, RBS International Limited ('**RBSI**') (together with the RFB Entities, the '**Revenue Sharing Entities**'). The Revenue Share Agreements reflect the provision of products and services across NWM Group's Rates, Currencies and Financing products to customers that have their primary banking relationship with the Revenue Sharing Entities. The allocation of income from customers that have their primary banking relationship with the Revenue Sharing Entities across the relevant counterparties within NatWest Group is referred to as 'revenue share.' This operating model reflects NatWest Group plc's UK ring-fencing design to locate the entirety of its markets activity within NWM Group, and for customers from other Revenue Sharing Entities to be referred to NWM Group for risk management and financing products, although Revenue Sharing Entities are not required to refer customers solely to NWM Group for such products. UK ring-fencing legislation and tax legislation dictates that all transactions with these entities are established on an arm's-length basis. Accordingly, the Revenue Share Agreements have been prepared on this basis.

NWM Group leverages its market making, institutional business and distribution capabilities to offer a commercially relevant proposition to UK and European large corporates and institutions that are current customers of the Revenue Sharing Entities. NWM Group entities and the Revenue Sharing Entities follow an integrated

customer-planning approach to maximise connectivity, which includes customer account planning, allocation decision-making, and opportunity identification.

NWM Group derives a significant portion of income from customers of the Revenue Sharing Entities and expects this to continue. Accordingly, it has and expects to continue to pay or contribute, under the Revenue Sharing Agreements, a significant amount of income to the Revenue Sharing Entities. For example, in the year ended 31 December 2024, NWM Group paid to or contributed £232 million in income, representing approximately 19 per cent of NWM Group's total income for that year to other subsidiaries of NatWest Group (principally the commercial, private banking and personal banking businesses of the Revenue Share Entities), which is higher compared to the year ended 31 December 2023 which amounted to £210 million, or 20 per cent of total income for that year.

Because a significant proportion of NWM Plc revenues are driven by customers of NatWest Group entities inside the ring-fence, with NWM Group acting as the product provider, NWM Group's results of operations are limited to shifts in the volume of transactions and number of customers referred to NWM Group by the Revenue Sharing Entities pursuant to the Revenue Share Agreements, and can be impacted by the market perception of, and other external factors affecting, the core businesses of the Revenue Sharing Entities. As a result, a decrease or increase in the volume of transactions or number of customers referred to NWM Group by the Revenue Sharing Entities pursuant to the Revenue Share Agreements would materially impact NWM Group's results of operations and financial condition. NWM Group reports its results of operations in its Financial Statements on a post-revenue share basis.

Other Arrangements

Profit Share Arrangement

In 2023 NWM Group entered into a profit share arrangement with fellow NatWest Group subsidiaries, pursuant to which NWM Group will be compensated on an arm's length basis for its contribution to the performance of the NatWest Group C&I segment, of which NWM Group forms part. The amount recognised in income for 2024 in relation to the Profit Share Arrangement was £146 million, compared with £177 million in 2023.

Exposures to Non-Traded Market Risk

Non-traded market risk is the risk to the value of assets or liabilities outside the trading book, or the risk to income, that arises from changes in market prices such as interest rates, foreign exchange rates and equity prices, or from changes in managed rates. Non-traded market risk exists in all balance-sheet exposure that makes reference to market risk factors. The key sources of non-traded market risk are interest rate risk, credit spread risk, foreign exchange risk and equity risk.

Interest Rates

Non-traded interest rate risk ('NTIRR') mainly arises from capital hedges, in portfolios held for liquidity purposes and from interest rate repricing mismatches between assets and liabilities in other portfolios. When aggregated, these products form portfolios of assets and liabilities with varying degrees of sensitivity to changes in market interest rates. Mismatches can give rise to volatility in net interest income as interest rates vary.

NTIRR comprises the following three primary risk types:

- Gap risk: arises from the timing of rate changes in non-trading book instruments. The extent of gap risk depends on whether changes to the term structure of interest rates occur consistently across the yield curve (parallel risk) or differentially by period (non-parallel risk).
- Basis risk: captures the impact of relative changes in interest rates for financial instruments that have similar tenors but are priced using different interest rate indices, or on the same interest rate indices but with different tenors.
- Option risk: arises from option derivative positions or from optional elements embedded in assets, liabilities and/or off-balance sheet items, where NWM Group or its customer can alter the level and timing of their cash flows.

To manage exposures within appetite, NWM Group aggregates its interest rate positions and hedges these externally using cash and derivatives (primarily interest rate swaps).

Credit Spreads

Credit spread risk arises from the potential adverse economic impact of a change in the spread between bond (or other credit-sensitive instrument) yields and swap rates, where the portfolios are accounted at fair value through other comprehensive income. Credit risk also arises on loan portfolios classified at fair value.

To ensure NWM Group can continue to meet its obligations in the event that access to wholesale funding markets is restricted, it maintains a liquidity buffer in the form of cash and bond portfolios – comprising primarily high-quality securities – and central bank cash. Credit spread risk is monitored daily through sensitivities and value-at-risk ('**Var**') measures. The dealing mandates in place for the bond portfolios further mitigate the risk by imposing constraints by duration, asset class and credit rating. Exposures and limit utilisations are reported to senior management on a regular basis.

Foreign Exchange

Non-traded foreign exchange risk arises from two main sources:

- structural foreign exchange rate risk which mainly arises from the capital deployed in foreign subsidiaries and branches.
- Transactional foreign exchange rate risk which arises from customer transactions and profits and losses that are in a currency other than the functional currency.

Structural foreign exchange rate risk is assessed and managed by NWM Plc Treasury, with the aim of reducing NWM Plc's solo CET1 ratio sensitivity to unexpected movements in spot foreign exchange rates.

The position is managed within risk appetite levels under delegated authority from NWM Plc assets and liabilities committee. The sensitivity of the CET1 ratio to exchange rates is reported to NWM Plc senior management monthly.

Gains or losses arising from the retranslation of net investments in overseas operations are recognised in equity reserves and reduce the sensitivity of capital ratios to foreign exchange rate movements primarily arising from the retranslation of non-sterling denominated RWAs.

FX exposures arising from customer transactions are hedged by businesses on a regular basis in line with NatWest Group policy.

Regulatory Landscape and Continuing Uncertainty

NWM Group is subject to extensive laws, regulations, corporate governance practice and disclosure requirements, administrative actions and policies in each jurisdiction in which it operates. Many of these have been introduced or amended recently and are subject to further material changes. NWM Group expects government and regulatory intervention in the financial services industry to remain high for the foreseeable future. Recent regulatory changes, proposed or future developments and heightened levels of public and regulatory scrutiny in the UK, Europe and the US have resulted in increased capital, funding and liquidity requirements, changes in the competitive landscape, changes in other regulatory requirements and increased operating costs, and have impacted, and will continue to impact, product offerings and business models.

In recent years, regulators and governments have focused on reforming the prudential regulation of the financial services industry and the manner in which the business of financial services is conducted. Among others, measures have included: enhanced capital, liquidity and funding requirements, implementation of the UK ring-fencing regime, implementation and strengthening of the recovery and resolution framework applicable to financial institutions in the UK, the EU and the US, financial industry reforms (including in respect of MiFID II), and enhanced data privacy and IT resilience requirements. There has also been increased regulatory focus on areas such as conduct, consumer protection, AML, anti-bribery, anti-tax evasion, payment systems, sanctions and anti-terrorism laws and regulations and environmental, social and governance matters.

Areas in which, and examples of where, governmental policies, regulatory and accounting changes and increased public and regulatory scrutiny could have an impact on NWM Group's operational and financial performance include:

- Basel 3.1 is expected to be implemented in the UK from 1 January 2027. Following a transitional period of three years, Basel 3.1 will be fully implemented by 1 January 2030. The Basel 3.1 reform is expected to result in an increase of NWM Group's RWAs on 1 January 2027.
- In relation to regulatory capital, new rules set by the PRA, the introduction of the Capital Requirements Directive V ('**CRD V**'), the Capital Requirements Regulation 2 ('**CRR2**') and the introduction of a revised prudential framework for banks and investment firms in the UK from 1 January 2022 have impacted NWM Group. NWM Group's results of operations will particularly be impacted by any changes made by UK regulators to the Leverage Ratio and Net Stable Funding Ratio ('**NSFR**').
- European Market Infrastructure Regulation ('**EMIR**') in the EU imposes requirements on entities dealing in derivatives and securities trading as both customers and service providers such as NWM Group. EMIR requires certain types of OTC derivative contracts to be centrally cleared, imposes an obligation to report trades to a trade repository and mandates that parties incorporate risk mitigation procedures into their trading documentation in respect of uncleared derivatives. EMIR and the delegated legislation adopted thereunder have been incorporated into UK law. The bifurcation of the regulation of OTC derivatives and the potential for diverging standards to emerge creates a more complex trading environment for NWM Group. Collectively, these developments are changing market dynamics and in some areas reducing returns for banks, including NWM Group.
- In the EU, the revised Markets in Financial Instruments Directive and the associated Regulation (MiFID II / MiFIR) took effect on 3 January 2018. MiFID II, among other things, introduced substantial new regulation of exchanges and trading venues, including new pre-trade and post-trade transparency requirements, a ban on the practice of using commission on transactions to compensate for research services and substantial new conduct requirements for financial services firms when dealing with clients. Although MiFID II and MiFIR have been implemented into UK law, the UK has started to diverge from these EU standards and it is likely that the UK will continue to diverge in the future, creating regulatory uncertainty and additional compliance burdens for NWM Group.
- The requirement set out in the CRD V for third country groups of financial institutions with a substantial presence in the EU and that have two or more institutions within the EU to establish an intermediate parent undertaking in the EU under which institutions within that group would operate.
- The direct and indirect effects of the UK's exit from the EU and the EEA have and will continue to affect many aspects of NWM Group's business and operating environment (see also, '*Risk Factors—Economic and political risk—NWM Group, its customers and its counterparties face continued economic and political risks and uncertainties in the UK and global markets, including as a result of inflation and interest rates, supply chain disruption, and geopolitical developments.*'). In addition, the longer term effects of Brexit on NWM Group's operating environment are difficult to predict and are subject to wider global macro-economic trends and events, but may significantly impact NWM Group and its customers and counterparties who are themselves dependent on trading with the EU or personnel from the EU and may result in periodic financial volatility and slower economic growth, in the UK in particular, but also in Republic of Ireland, Europe and potentially the global economy.
- UK and international regulators have driven a transition from the use of interbank offered rates, including LIBOR, to alternative risk free rates. On 30 September 2024, all LIBOR settings were permanently ceased in the UK.

Competitive landscape

As a strategically important part of NatWest Group, NWM Group provides, risk management, financing, and advisory services, principally to corporate customers in the UK, Western Europe and the United States, sponsors, non-bank financial institutions and sovereigns as well as other customers of the broader NatWest Group. It competes with large UK domestic banks, major international universal banks that offer combined investment and commercial

banking capabilities, and investment banks that offer risk management, trading solutions and debt financing to financial institutions and corporate customers.

Competitors are increasingly focusing on improving customer engagement with their services, resulting in intensified competition among banking and financial services providers to attract and retain existing customers. Other primary competitive elements in this market include the introduction of new technology-driven business models, the capability to innovate digitally, and specialised expertise that provides customised solutions offering additional value to customers.

Competitive dynamics intensified across the principal markets of NWM Group during 2024 as the capital markets backdrop improved and peers looked to capture opportunities. However, corporate and investment banks continued to face heightened geopolitical risks, elevated interest rates and changing financial regulation. Against this backdrop, peers responded with measures to improve operational efficiency, implementing new technology - including the adoption of AI and machine learning to better manage risk and personalise banking services - and increasing focus on their environmental, social and governance ('ESG') offerings.

In 2024, debt capital markets sentiment turned more positive, with inflation steadying and central banks starting to cut interest rates. This led to refinancing volumes increasing on favourable market conditions. Fixed income, Currencies and Commodities ('FICC') divisions of NWM Group delivered a robust yearly performance with increased client activity and elevated volatility driving up broad FICC and equity markets trading volumes.

The strategy NWM Group has developed over the years continued to ensure it was well positioned to respond to evolving threats from other players in the banking market during 2024. Furthermore, its expertise in climate finance, ESG advisory, fixed income, FX and its debt capital markets proposition continued to support customers' core risk-management needs and provide capabilities from advisory, execution and distribution, to secondary market liquidity.

Market Conditions

NWM Group's business and financial position is impacted by changes in market conditions, geopolitical upheaval and broader economic changes that impact on liquidity, trading, risk and pricing.

NWM Group's ability to achieve planned revenues is dependent on customer activity across NWM Group's various product lines and net trading income derived from management of its trading portfolio. Customer activity can shift, as a result of a market dislocation, customer sentiment and ceasing of activity, or more gradually over time as a result of a change in customer preferences (for example, in a particular hedging product or foreign exchange pair). As an example, appetite for customers to raise funding in the capital markets through bond issuance may reduce in a period of market uncertainty and widening of credit spreads, resulting in a reduction in fees earned by NWM Group on issuance activity.

NWM Group trades a considerable amount of financial instruments (including derivatives) and volatile market conditions could result in a significant decline in NWM Group's net trading income or result in a trading loss. In addition, financial markets are susceptible to severe events evidenced by rapid depreciation in asset values, which may be accompanied by a reduction in asset liquidity. Under these extreme conditions, hedging and other risk management strategies may not be as effective at mitigating trading losses as they would be under more normal market conditions. Moreover, under these conditions, market participants are particularly exposed to trading strategies employed by many market participants simultaneously and on a large scale, increasing NWM Group's counterparty risk.

Market volatility, illiquid market conditions and disruptions in the credit markets may make it difficult to value certain of NWM Group's financial instruments, particularly during periods of market displacement which could cause a decline in the value of NWM Group's financial instruments, which may have an adverse effect on NWM Group's results of operations in future periods, or inaccurate carrying values for certain financial instruments.

Actual or perceived difficult global economic conditions can create challenging economic and market conditions and a difficult operating environment for NWM Group's businesses and its clients and counterparties, thereby affecting its financial performance. The value of NWM Group's financial instruments may be materially affected by market risk, including as a result of market fluctuations.

NWM Group has lending exposure to, among others, financial institutions and EEA corporate customers and therefore, has exposure to the related relevant credit risk arising from such lending activities. The credit quality of NWM Group's borrowers and other counterparties is impacted by prevailing economic and market conditions and by the legal and regulatory landscape in the UK and Europe in general, and any deterioration in such conditions or changes to legal or regulatory landscapes could worsen borrower and counterparty credit quality and consequently impact NWM Group's ability to enforce contractual security rights.

NWM Group's risk management and monitoring processes seek to quantify and mitigate NWM Group's exposure to more extreme market moves. However, severe market events have historically been difficult to predict and NWM Group could realise significant losses if extreme market events were to occur.

NWM Group's business risks and capital usage will vary as markets move in response to changing economic conditions and other geopolitical developments. These moves will also affect liquidity conditions, customer activity, market risks and pricing behaviour.

2024 saw inflation fall across many of the markets in which NWM Group operates, with CPI between 2 per cent and 3 per cent in the UK, US and Eurozone. This enabled central banks to reduce their policy rates by 100 basis points in the US and Eurozone and by 50 basis points in the UK. Yields on government debt ended the year higher than they started and, in foreign exchange, the dollar strengthened against most major currencies, while the euro weakened. In equities, US markets outperformed with major indices such as the S&P 500 up 23 per cent, compared to 9 per cent for the Eurostoxx 50 and 6 per cent for the FTSE100.

Reporting Segments

NWM Group operates and reports as a single business segment on a consolidated level.

Credit Ratings

As at the date of this Registration Document, the long-term credit ratings of the Issuer are A1 (stable outlook) by Moody's Investors Service Limited ('**Moody's**'), A (stable outlook) by S&P Global Ratings UK Limited ('**S&P**') and A+ (positive outlook) by Fitch Ratings Limited ('**Fitch**'). Additionally, the Issuer is rated AA- (stable outlook) by Japan Credit Rating Agency Ltd.

A credit or financial strength rating is not a recommendation to buy, sell or hold securities and may be subject to suspension, reduction or withdrawal at any time by the assigning rating organisation. Each rating should be evaluated independently of any other rating. There is no guarantee that any rating of the Issuer assigned by any such rating agency will be maintained following the date of this Registration Document, and the Issuer may seek to obtain ratings from other rating agencies. Up-to-date information should always be sought by direct reference to the relevant rating agency. S&P, Moody's and Fitch are each established in the UK. S&P, Moody's and Fitch are each included in the list of credit rating agencies registered in accordance with the UK CRA Regulation, available on the FCA website at <https://www.fca.org.uk/firms/credit-rating-agencies> (last updated on 27 November 2024).

Consolidated Financial Information for the Years Ended and as at 31 December 2024 and 2023

Income Statement

The following table sets forth a summary of NWM Group's results of operations for the years indicated.

	2024	2023
	£m	£m
Interest receivable.....	2,720	2,186
Interest payable.....	(2,288)	(1,831)
Net interest income	432	355
Fees and commissions receivable.....	476	377
Fees and commissions payable.....	(213)	(175)
Income from trading activities.....	585	477
Other operating income	(43)	35
Non-interest income	805	714

	2024	2023
	£m	£m
Total income	1,237	1,069
Staff costs	(452)	(418)
Premises and equipment	(75)	(66)
Other administrative expenses.....	(671)	(642)
Depreciation and amortisation.....	(10)	(16)
Operating expenses	(1,208)	(1,142)
Profit/(loss) before impairment releases/losses	29	(73)
Impairment releases/(losses).....	8	(2)
Operating profit/(loss) before tax	37	(75)
Tax credit/(charge)	26	(23)
Profit/(loss) for the year	63	(98)

The operating profit before tax of £37 million compares with a loss before tax of £75 million in the year ended 31 December 2023. Total income of £1,237 million increased by £168 million, or 16 per cent, largely driven by stronger performances across the primary business lines, partially offset by FX reserves recycling and lower income from the Profit Share Arrangement. Net interest income, representing interest income from lending activity and capital hedges, offset by interest expense from the funding costs of the business, was a net income of £432 million for the year ended 31 December 2024, compared with a net income of £355 million in 2023, largely reflecting growth in lending activity. Non-interest income increased by £91 million to £805 million compared with £714 million for the year ended 31 December 2023, largely driven by stronger performances across the primary business lines reflecting strong customer demand in capital markets and robust trading income, partially offset by FX reserves recycling relating to legacy overseas operations closure activity completed during 2024. In addition, the amount recognised pursuant to the Profit Share Arrangement of £146 million was £31 million lower than the amount recognised in 2023 of £177 million.

Operating expenses increased by £66 million, or 6 per cent, to £1,208 million in the year ended 31 December 2024 from £1,142 million in the year ended 31 December 2023. Within these figures, litigation and conduct costs of £102 million for the year ended 31 December 2024 reflected ongoing progress in closing legacy matters, including any associated conduct remediation activity, and were up by £42 million compared with £60 million in the prior year. Other operating expenses increased by £24 million, or 2 per cent, to £1,106 million for the year ended 31 December 2024, largely due to increases in staff costs, severance costs, bank levies and other smaller movements, partially offset by credits recognised in 2024 in relation to property charges and VAT recoveries relating to earlier periods.

Net Interest Income

NWM Group's net interest income for the year ended 31 December 2024 amounted to £432 million, an increase of £77 million compared with £355 million for the year ended 31 December 2023. Interest receivable of £2,720 million for the year ended 31 December 2024 was up by £534 million compared with £2,186 million in the prior year, largely driven by an increase in lending during the year. Interest payable of £2,288 million in the year ended 31 December 2024 increased by £457 million compared with £1,831 million in the prior year, largely due to higher issuance to fund increased lending during 2024.

Non-Interest Income

The following table sets forth NWM Group's non-interest income data as at the dates and for the years indicated.

	2024	2023
	£m	£m
Fees and commissions receivable		
Lending and financing.....	118	91
Brokerage	45	42
Underwriting fees.....	154	122
Other	159	122
Total	476	377
Fees and commissions payable	(213)	(175)
Net fees and commissions	263	202

	2024	2023
	£m	£m
Income from trading activities		
Foreign exchange	204	166
Interest rate	542	385
Credit	(152)	(72)
Changes in fair value of own debt and derivative liabilities attributable to own credit risk - debt securities in issue and derivative liabilities.....	(9)	(2)
	<u>585</u>	<u>477</u>
Other operating income		
Loss on redemption of own debt	—	(14)
Changes in the fair value of financial assets and liabilities designated at fair value through profit or loss (1)	(132)	(154)
Dividend income	9	5
Foreign exchange recycling (losses)/gains (2)	(70)	8
Other income (3)	150	190
	<u>(43)</u>	<u>35</u>
Total Non-Interest Income.....	<u>805</u>	<u>714</u>

(1) Including related derivatives

(2) Foreign exchange reserves recycling relating to legacy overseas operations closure activity completed during 2024.

(3) Other income includes the Profit Share Arrangement that was entered into in 2023.

NWM Group's non-interest income for the year ended 31 December 2024 amounted to £805 million, an increase of £91 million, or 13 per cent, as compared to £714 million for the year ended 31 December 2023. The increase was largely due to stronger performances across the primary business lines reflecting strong customer demand in capital markets and robust trading income, partially offset by FX reserves recycling relating to legacy overseas operations closure activity completed during 2024. In addition, the amount recognised under the Profit Share Arrangement of £146 million was £31 million lower than the amount of £177 million recognised in 2023.

NWM Group's net fees and commissions for the year ended 31 December 2024, largely comprising those in respect of NWM Group's Capital Markets business, amounted to a net income of £263 million as compared to a net income of £202 million for the year ended 31 December 2023.

NWM Group's income from trading activities for the year ended 31 December 2024, which primarily includes trading and flow-related income across its core product offerings as well as legacy positions, amounted to £585 million, an increase of £108 million, or 23 per cent, as compared to £477 million for the year ended 31 December 2023. The increase was largely due to stronger performances across the primary business lines. NWM Group's other operating income for the year ended 31 December 2024 amounted to a loss of £43 million, a decrease of £78 million compared to a gain of £35 million for the year ended 31 December 2023. The decrease was largely due to FX reserves recycling relating to legacy overseas operations closure activity completed during 2024, in addition to a decrease of £31 million in the amount recognised pursuant to the Profit Share Arrangement, offset by increases from changes in the fair value of financial assets through profit and loss on redemption of own debt recognised in 2023.

Operating Expenses

NWM Group's operating expenses for the year ended 31 December 2024 amounted to £1,208 million, an increase of £66 million, or 6 per cent, as compared to £1,142 million for the year ended 31 December 2023, driven by increases in litigation and conduct costs and other operating expenses.

A reconciliation between the statutory and non-statutory presentations of operating expenses is set out in the table below (£m):

(£m)	2024			2023		
	Litigation and conduct costs	Other operating expenses	Statutory operating expenses	Litigation and conduct costs	Other operating expenses	Statutory operating expenses
Operating expenses						
Staff expenses.....	27	425	452	12	406	418
Premises and equipment	–	75	75	–	66	66
Other administrative expenses.....	75	596	671	48	594	642
Depreciation and amortisation.....	–	10	10	–	16	16
Total	102	1,106	1,208	60	1,082	1,142

NWM Group's staff expenses for the year ended 31 December 2024 amounted to £452 million, an increase of £34 million, or 8 per cent, as compared to £418 million for the year ended 31 December 2023. The increase was largely due to higher litigation and conduct costs reflecting ongoing progress in closing legacy matters, including any associated conduct remediation activity, and increases in bonus awards and salary costs.

NWM Group's premises and equipment expenses for the year ended 31 December 2024 amounted to £75 million, an increase of £9 million, or 14 per cent, as compared to £66 million for the year ended 31 December 2023.

NWM Group's other administrative expenses for the year ended 31 December 2024 amounted to £671 million, an increase of £29 million, or 5 per cent, as compared to £642 million for the year ended 31 December 2023. The increase was largely driven by an increase in litigation and conduct costs, reflecting ongoing progress in closing legacy matters, including any associated conduct remediation activity, in addition to increases in severance costs, bank levies and other smaller movements, partially offset by credits recognised in 2024 in relation to property charges and VAT recoveries relating to earlier periods.

NWM Group's depreciation and amortisation expenses for the year ended 31 December 2024 amounted to £10 million, a decrease of £6 million, or 38 per cent, as compared to £16 million for the year ended 31 December 2023.

Impairment Releases/(Losses)

NWM Group's impairment releases for the year ended 31 December 2024 amounted to £8 million, compared to losses of £2 million for the year ended 31 December 2023. The current year gain was mainly due to a number of smaller ECL releases and fortuitous recoveries.

Operating Profit/(Loss) Before Tax

NWM Group's operating profit before tax for the year ended 31 December 2024 amounted to £37 million, an increase of £112 million as compared to a loss of £75 million for the year ended 31 December 2023, due to the factors described above for each income and expense line.

Tax Credit/(Charge)

NWM Group's total tax credit for the year ended 31 December 2024 amounted to £26 million, an increase of £49 million as compared to a tax charge of £23 million for the year ended 31 December 2023. The 2024 tax credit of £26 million on operating profit before tax of £37 million is higher than the expected UK corporation tax rate of 25.0 per cent, primarily due to the increase in the carrying value of deferred tax assets in respect of losses in the Netherlands, tax adjustments for indexed linked gilts and paid-in equity, and unrecognised losses brought forward and utilised, partially offset by non-deductible losses on disposal and write-downs, bank levy and conduct costs.

Net Profit/(Loss) for the Year

NWM Group's net profit for the year ended 31 December 2024 amounted to £63 million, an increase of £161 million as compared to a loss of £98 million for the year ended 31 December 2023.

Balance Sheet

The following table sets forth NWM Group's consolidated and NWM Plc's unconsolidated balance sheet data as at the dates indicated.

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2024	2023	2024	2023
	£m		£m	
Assets				
Cash and balances at central banks.....	16,229	13,831	11,069	8,607
Trading assets(2)	48,883	45,324	26,186	28,411
Derivatives(1)	78,105	79,332	74,982	75,832
Settlement balances	2,043	7,227	550	2,168
Loans to banks – amortised cost.....	1,171	1,246	897	910
Loans to customers – amortised cost.....	17,921	12,986	17,089	12,104
Amounts due from holding company and fellow subsidiaries	343	1,730	3,341	6,472
Other financial assets.....	17,850	15,723	16,081	13,444
Investments in group undertakings.....	—	—	2,263	2,320
Other assets(3).....	621	518	479	390
Total assets	183,166	177,917	152,937	150,658
Liabilities				
Bank deposits	4,565	2,267	4,069	1,909
Customer deposits	4,840	6,998	2,350	3,060
Amounts due to holding company and fellow subsidiaries .	6,771	5,802	10,757	14,385
Settlement balances	1,729	6,641	444	400
Trading liabilities(2).....	54,512	53,623	30,130	34,079
Derivatives(1)	72,036	71,981	70,016	69,404
Other financial liabilities	31,263	23,574	27,966	20,655
Other liabilities(3)	521	653	386	453
Total liabilities.....	176,237	171,539	146,118	144,345
Owners' equity	6,929	6,380	6,819	6,313
Non-controlling interests	—	(2)	—	—
Total equity.....	6,929	6,378	6,819	6,313
Total liabilities and equity	183,166	177,917	152,937	150,658

(1) Derivatives are presented net of IFRS offsets, corresponding predominantly to positions settled through clearing houses.

(2) The line items 'Trading assets' and 'Trading liabilities' are further analysed as follows.

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2024	2023	2024	2023
	(£m)			
Trading assets				
Reverse repos	27,127	23,694	10,099	11,315
Derivative cash collateral given	7,333	8,914	5,606	7,263
Securities				
Central and local government				
- UK	2,077	2,729	2,077	2,729
- US	3,734	2,600	186	33
- Other	3,506	3,062	3,506	3,062
Financial institutions and Corporate.....	4,561	3,563	4,315	3,364
Total securities	13,878	11,954	10,084	9,188
Other loans	545	762	397	645
Total	48,883	45,324	26,186	28,411

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2024	2023	2024	2023
	(£m)			
Trading liabilities				
Repos.....	30,562	26,902	10,293	12,125
Derivative cash collateral received.....	12,307	15,062	9,993	12,455
Short positions.....				
Central and local government				
- UK.....	2,680	1,893	2,680	1,893
- US	1,677	2,071	14	17
- Other	4,755	4,049	4,755	4,033
Financial institutions and Corporate.....	1,379	1,790	1,287	1,723
Total short positions	10,491	9,803	8,736	7,666
Other deposits and issuance.....	1,152	1,856	1,108	1,833
Total	54,512	53,623	30,130	34,079

(3) The line items ‘Other assets’ and ‘Other liabilities’ are further analysed as follows

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2024	2023	2024	2023
	(£m)			
Other assets				
Property, plant and equipment.....	42	57	14	12
Pension schemes in net surplus	146	145	146	145
Accrued income.....	36	39	23	28
Tax recoverable	137	106	136	106
Deferred tax	172	55	87	—
Other assets.....	88	116	73	99
Total	621	518	479	390
Other liabilities				
Lease liabilities.....	41	41	5	2
Provisions for liabilities and charges	146	180	126	124
Retirement benefit liabilities	39	62	36	59
Accruals.....	177	182	129	113
Deferred income	43	47	34	38
Current tax	9	3	6	2
Deferred tax	37	54	35	49
Other liabilities	29	84	15	66
Total	521	653	386	453

NWM Group’s balance sheet profile as at 31 December 2024 can be summarised as follows.

Assets	£bn	Liabilities	£bn
Cash and balances at central banks.....	16.2		
Trading assets	48.9	Trading liabilities.....	54.5

Assets	£bn	Liabilities	£bn
Securities	13.9	Short positions	10.5
Reverse repos(1)	27.1	Repos(2)	30.6
Derivative collateral(3)	7.3	Derivative collateral(4)	12.3
Other trading assets	0.6	Other trading liabilities	1.1
Loans - amortised cost	19.1	Deposits - amortised cost	9.4
Settlement balances	2.0	Settlement balances	1.7
Amounts due from holding company and fellow subsidiaries	0.3	Amounts due to holding company and fellow subsidiaries	6.8
Other financial assets	17.9	Other financial liabilities	31.3
Other assets	0.7	Other liabilities	0.5
Funded assets	105.1	Liabilities excluding derivatives	104.2
Derivative assets	78.1	Derivative liabilities	72.0
Total assets	<u>183.2</u>	Total liabilities	<u>176.2</u>
		<i>of which: wholesale funding(5)</i>	<u>32.5</u>
		<i>of which: short-term wholesale funding(5)...</i>	16.8
Net derivative assets	2.4	Net derivative liabilities	3.5

(1) Comprises bank reverse repos of £5.9 billion (2023- £6.3 billion) and customer reverse repos of £21.2 billion (2023- £17.4 billion).

(2) Comprises bank repos of £7.2 billion (2024- £4.0 billion) and customer repos of £23.4 billion (2023- £22.9 billion).

(3) Comprises derivative collateral posted relating to banks of £3.6 billion (2023- £4.3 billion) and customers of £3.7 billion (2023- £4.6 billion).

(4) Comprises derivative collateral received relating to banks of £5.3 billion (2023- £6.8 billion) and customers of £7.0 billion (2023- £8.3 billion).

(5) Predominantly comprises bank deposits (excluding repos), debt securities in issue and third-party subordinated liabilities.

NWM Group's balance sheet is largely comprised of trading assets and liabilities and derivative assets and liabilities, centred around its product offering of Fixed Income, Currencies and Capital Markets. Trading assets and liabilities largely include debt securities, reverse repos and derivative collateral, together with short positions, repos and derivative collateral respectively. Derivative assets and liabilities include interest rate and foreign exchange contracts as well as smaller volumes of credit, equity and commodity derivatives. Banking book assets and liabilities predominantly relate to amortised cost portfolios of corporate lending and deposits, as well as Treasury activities such as the management of the liquidity portfolio of cash and bonds, and the issuance of senior unsecured, subordinated and equity instruments.

As NWM Group is not primarily a deposit-taking and lending institution, metrics such as net interest margin ('NIM') have limited significance for NWM Plc and do not relate to the basis on which the business is managed. The short term and fluctuating nature of the trading business can result in relatively large intra-period movements in the balance sheet with trading assets and liabilities primarily moving in unison. This is due to the flow nature of the trading business activities and balance sheet profile which is largely matched across trading and derivative assets, and trading and derivative liabilities. Risks and exposures may be managed on a net basis.

Assets

As at 31 December 2024, NWM Group's total assets amounted to £183,166 million, an increase of £5,249 million, or 3 per cent, as compared to £177,917 million as at 31 December 2023. The increase was mainly due to higher funded assets, driven by increases in loans to customers, trading assets, cash and balances at central banks and other financial assets, partially offset by a decrease in settlement balances. Derivative fair values decreased by £1,227 million, largely reflecting FX rate volatility across major currencies including the strengthening of the US dollar in the fourth quarter of 2024, and variations in interest rates across different currencies and tenors.

As at 31 December 2024, NWM Group's cash and balances at central banks amounted to £16,229 million, an increase of £2,398 million, or 17 per cent, as compared to £13,831 million as at 31 December 2023. The increase was mainly driven by funding raised to support planned banking book growth and associated liquidity requirements.

As at 31 December 2024, NWM Group's trading assets amounted to £48,883 million, an increase of £3,559 million, or 8 per cent, as compared to £45,324 million as at 31 December 2023, mainly driven by increases in reverse repos and securities, partially offset by a decrease in derivative cash collateral posted.

As at 31 December 2024, NWM Group's derivative assets amounted to £78,105 million, a decrease of £1,227 million, or 2 per cent, as compared to £79,332 million as at 31 December 2023. The decrease in mark-to-market value largely reflected FX rate volatility across major currencies including the strengthening of the US dollar in the fourth quarter of 2024, and variations in interest rates across different currencies and tenors.

As at 31 December 2024, NWM Group's loans to customers (amortised cost) amounted to £17,921 million, an increase of £4,935 million, or 38 per cent, as compared to £12,986 million as at 31 December 2023. The increase was mainly driven by growth in Capital Markets.

As at 31 December 2024, NWM Group's settlement balance assets amounted to £2,043 million, a decrease of £5,184 million, or 72 per cent, as compared to £7,227 million as at 31 December 2023. The decrease reflected comparatively higher levels of customer activity in the period leading up to 31 December 2023.

As at 31 December 2024, NWM Group's other financial assets amounted to £17,850 million, an increase of £2,127 million, or 14 per cent, as compared to £15,723 million as at 31 December 2023. The increase largely reflected an increase in held-to-collect securities purchased to support customer primary issuance.

As at 31 December 2024, NWM Group's other assets amounted to £621 million, an increase of £103 million, or 20 per cent, as compared to £518 million as at 31 December 2023. The increase was principally driven by increases in deferred tax and tax recoverable, partially offset by decreases in other assets and property, plant and equipment.

Liabilities

As at 31 December 2024, NWM Group's total liabilities amounted to £176,237 million, an increase of £4,698 million, or 3 per cent, as compared to £171,539 million as at 31 December 2023. The increase was largely driven by an increase in other financial liabilities, partially offset by a decrease in settlement balances.

As at 31 December 2024, NWM Group's settlement balance liabilities amounted to £1,729 million, a decrease of £4,912 million, or 74 per cent, as compared to £6,641 million as at 31 December 2023. The decrease reflected comparatively higher levels of customer activity in the period leading up to 31 December 2023.

As at 31 December 2024, NWM Group's trading liabilities amounted to £54,512 million, an increase of £889 million, or 2 per cent, as compared to £53,623 million as at 31 December 2023, mainly driven by increases in repos and short positions, offset by a decrease in derivative cash collateral received.

As at 31 December 2024, NWM Group's derivative liabilities amounted to £72,036 million, an increase of £55 million, or 0 per cent, as compared to £71,981 million as at 31 December 2023. The increase in mark-to-market value largely reflected FX rate volatility across major currencies including the strengthening of the US dollar in the fourth quarter of 2024, and variations in interest rates across different currencies and tenors.

As at 31 December 2024, NWM Group's other liabilities amounted to £521 million, a decrease of £132 million, or 20 per cent, as compared to £653 million as at 31 December 2023, mainly driven by decreases in provisions for liabilities and charges, retirement benefit liabilities, deferred tax and other liabilities.

Cash Flows

The following table sets forth NWM Group's cash flow data as at the dates and for the years indicated.

	NWM Group	
	For the years ended	
	2024	2023
	£m	
Cash flows from operating activities		
Operating profit/(loss) before tax	37	(75)
Adjustments for:		
Non-cash and other items	143	173
Changes in operating assets and liabilities	(226)	2,617
Income taxes received	(89)	99
Net cash flows from operating activities(1)	(135)	2,814
Cash flows from investing activities		
Sale and maturity of other financial assets	5,711	5,399
Purchase of other financial assets	(8,020)	(9,253)
Income received on other financial assets	971	632
Fair value given for businesses acquired	—	(27)
Additional investment in associates	(1)	—
Sale of property, plant and equipment	8	1
Purchase of property, plant and equipment	(2)	(3)
Net cash flows from investing activities	(1,333)	(3,251)
Cash flows from financing activities		
Issue of paid-in equity	592	—
Issue of subordinated liabilities	918	—
Redemption of subordinated liabilities	(814)	(676)
Interest paid on subordinated liabilities	(91)	(71)
Issue of MRELS	1,680	1,699
Maturity of MRELS	(433)	(1,744)
Interest paid on MRELS	(179)	(175)
Dividends Paid	(80)	(70)
Capital contribution	—	115
Net cash flows from financing activities	1,593	(922)
Effects of exchange rate on cash and cash equivalents	(532)	(526)
Net (decrease)/increase in cash and cash equivalents	(407)	(1,885)
Cash and cash equivalents at 1 January	24,943	26,828
Cash and cash equivalents at 31 December	24,536	24,943

(1) Includes interest received of £2,658 million (2023 - £1,981 million) and interest paid of £2,233 million (2023 - £1,738 million).

	NWM Group	
	For the years ended	
	2024	2023
	£m	
Non-cash and other items		
Impairment (releases)/losses	(8)	2
Depreciation and amortisation	10	16
Change in fair value taken to profit or loss on other financial liabilities and subordinated liabilities	(12)	90
Elimination of foreign exchange differences	560	261
Foreign exchange recycling losses/(gains)	70	(8)
Other non-cash items	270	198
Income receivable on other financial assets	(1,029)	(642)
(Profit)/loss on sale of other financial assets	(1)	1
Profit on sale of other assets and net assets and liabilities	—	(1)
Interest payable on MRELS and subordinated liabilities	291	252

	NWM Group	
	For the years ended	
	2024	2023
	£m	
Loss on redemption of own debt	—	14
Charges and release on provisions.....	11	(4)
Defined benefit pension schemes	(19)	(6)
Non-cash and other items	143	173
Change in operating assets and liabilities		
Change in trading assets	(5,397)	372
Change in derivative assets	929	20,794
Change in settlement balance assets	5,184	(4,669)
Change in net loans to banks	(19)	247
Change in net loans to customers	(4,932)	(2,812)
Change in amounts due from holding company and fellow subsidiaries.....	655	(573)
Change in other financial assets	17	84
Change in other assets	33	46
Change in bank deposits	2,298	(802)
Change in customer deposits	(2,158)	3,384
Change in amounts due to holding company and fellow subsidiaries	(414)	184
Change in settlement balance liabilities	(4,912)	4,631
Change in trading liabilities.....	888	831
Change in derivative liabilities	55	(21,604)
Change in other financial liabilities.....	7,674	2,627
Change in other liabilities.....	(127)	(123)
Change in operating assets and liabilities.....	(226)	2,617

Total cash outflow from operating activities was £135 million for the year ended 31 December 2024, a decrease of £2,949 million compared to the £2,814 million inflow for the year ended 31 December 2023. The increase in outflow was principally attributable to changes in operating assets and liabilities, largely due to higher outflows and lower inflows from derivative assets, settlement balance liabilities, trading assets and customer deposits, offset by lower outflows and higher inflows from derivative liabilities, settlement balance assets, other financial liabilities and bank deposits.

Total cash outflow from investing activities was £1,333 million for the year ended 31 December 2024; a decrease of £1,918 million as compared to the cash outflow of £3,251 million for the year ended 31 December 2023. The decrease in outflow was principally attributable to lower outflows from the purchase of other financial assets, and higher inflows from income received on other financial assets and the sale and maturity of other financial assets.

Total cash inflow from financing activities was £1,593 million for the year ended 31 December 2024, an increase of £2,515 million as compared to the outflow of £922 million for the year ended 31 December 2023. The increase was principally due to lower outflows from the maturity of MREs, higher inflows from the issue of subordinated liabilities and higher inflows from the issue of paid-in equity, partially offset by higher outflows from the redemption of subordinated liabilities.

Consolidated Financial Information for the Years Ended and as at 31 December 2023 and 2022

Income Statement

The following table sets forth a summary of NWM Group's results of operations for the years indicated.

	2023	2022
	£m	£m
Interest receivable.....	2,186	745
Interest payable.....	(1,831)	(654)
Net interest income	355	91

	2023	2022
	£m	£m
Fees and commissions receivable.....	377	349
Fees and commissions payable.....	(175)	(158)
Income from trading activities.....	477	389
Other operating income	35	18
Non-interest income.....	714	598
Total income.....	1,069	689
Staff costs	(418)	(400)
Premises and equipment	(66)	(60)
Other administrative expenses.....	(642)	(652)
Depreciation and amortisation.....	(16)	(16)
Operating expenses.....	(1,142)	(1,128)
Loss before impairment losses	(73)	(439)
Impairment losses.....	(2)	(8)
Operating loss before tax	(75)	(447)
Tax (charge)/credit	(23)	183
Loss for the year	(98)	(264)

The operating loss before tax of £75 million compares with a loss before tax of £447 million in the year ended 31 December 2022. Total income of £1,069 million increased by £380 million, or 55 per cent, largely driven by stronger performance in Fixed Income and Capital Markets business lines, and the impact of the Profit Share Arrangement. Net interest income, representing interest income from lending activity and capital hedges, offset by interest expense from the funding costs of the business, was a net income of £355 million for the year ended 31 December 2023, compared with a net income of £91 million in 2022, reflecting growth in lending activity, interest rate movements and other one-off items. Non-interest income increased by £116 million to £714 million compared with £598 million for the year ended 31 December 2022, largely driven by additional income recognised pursuant to the Profit Share Arrangement in an amount of £177 million, in addition to lower strategic exit activity in 2023 and fair value movements with regard to legacy and funding positions. This was partially offset by the impact of one-off items, a weaker performance in the Currencies business line as FX volatility levels reduced in 2023, and lower OCA's reflecting the widening of spreads in 2022.

Operating expenses increased by £14 million, or 1 per cent, to £1,142 million in the year ended 31 December 2023 from £1,128 million in the year ended 31 December 2022. Within these figures, litigation and conduct costs of £60 million for the year ended 31 December 2023 reflected ongoing progress in closing legacy matters, and were down by £20 million compared with £80 million in the prior year. Other operating expenses increased by £34 million, or 3 per cent, to £1,082 million for the year ended 31 December 2023, largely reflecting lower technology investment costs recognised in 2022 and the impact of one-off items.

Net Interest Income

NWM Group's net interest income for the year ended 31 December 2023 amounted to £355 million, an increase of £264 million compared with £91 million for the year ended 31 December 2022. Interest receivable of £2,186 million for the year ended 31 December 2023 was up by £1,441 million compared with £745 million in the prior year, largely driven by an increase in lending and movements in interest rates during the year. Interest payable of £1,831 million in the year ended 31 December 2023 increased by £1,177 million compared with £654 million in the prior year, largely due to the increase in lending and movements in interest rates during 2023.

Non-Interest Income

The following table sets forth NWM Group's non-interest income data as at the dates and for the years indicated.

	2023	2022
	£m	£m
Fees and commissions receivable		
Lending and financing.....	91	88
Brokerage	42	44

	2023	2022
	£m	£m
Underwriting fees.....	122	117
Other	122	100
Total	377	349
Fees and commissions payable	(175)	(158)
Net fees and commissions.....	202	191
Income from trading activities		
Foreign exchange	166	237
Interest rate	385	92
Credit.....	(72)	18
Changes in fair value of own debt and derivative liabilities attributable to own credit risk - debt securities in issue and derivative liabilities.....	(2)	42
	477	389
Other operating income		
Loss on redemption of own debt	(14)	(74)
Operating lease and other rental income	1	1
Changes in the fair value of financial assets and liabilities designated at fair value through profit or loss (1).....	(154)	16
Hedge ineffectiveness.....	3	(7)
Profit on disposal of amortised cost assets	1	87
Loss on disposal of fair value through other comprehensive income assets.....	(1)	(7)
Dividend income	5	6
Other income (2)	194	(4)
	35	18
Total Non-Interest Income.....	714	598

(1) Including related derivatives

(2) Other income includes the Profit Share Arrangement that was entered into in 2023.

NWM Group's non-interest income for the year ended 31 December 2023 amounted to £714 million, an increase of £116 million, or 19 per cent, as compared to £598 million for the year ended 31 December 2022. The increase was largely due to the Profit Share Arrangement in an amount of £177 million, higher income levels in Capital Management Unit & other which reflected lower strategic exit activity in 2023 and fair value movements with regard to legacy and funding positions, partially offset by weaker performance in Currencies as FX volatility levels reduced in the current year, and lower own credit adjustments reflecting the widening of spreads in the prior year.

NWM Group's net fees and commissions for the year ended 31 December 2023, largely comprising those in respect of NWM Group's Capital Markets business, amounted to a net income of £202 million as compared to a net income of £191 million for the year ended 31 December 2022.

NWM Group's income from trading activities for the year ended 31 December 2023, which primarily includes trading and flow-related income across its core product offerings as well as legacy positions, amounted to £477 million, an increase of £88 million, or 23 per cent, as compared to £389 million for the year ended 31 December 2022. The increase was largely due to higher income levels in Capital Management Unit & other which reflected lower strategic exit activity in 2023 and fair value movements with regard to legacy and funding positions, partially offset by a weaker performance in Currencies as FX volatility levels reduced in the current year, and lower own credit adjustments reflecting the widening of spreads in the prior year. NWM Group's other operating income for the year ended 31 December 2023 amounted to a gain of £35 million, an increase of £17 million compared to a gain of £18 million for the year ended 31 December 2022. The increase was largely due to additional income recognised pursuant to the Profit Share Arrangement in an amount of £177 million, offset by changes in the fair value of

financial assets designated at fair value through profit and loss of £(154) million, which was down by £170 million from £16 million in 2022.

Operating Expenses

NWM Group's operating expenses for the year ended 31 December 2023 amounted to £1,142 million, an increase of £14 million, or 1 per cent, as compared to £1,128 million for the year ended 31 December 2022, as a decrease in litigation and conduct costs was more than offset by an increase in other operating expenses.

A reconciliation between the statutory and non-statutory presentations of operating expenses is set out in the table below (£m):

Operating expenses	2023			2022		
	Litigation and conduct costs	Other operating expenses	Statutory operating expenses	Litigation and conduct costs	Other operating expenses	Statutory operating expenses
Staff expenses.....	12	406	418	5	395	400
Premises and equipment	—	66	66	—	60	60
Other administrative expenses.....	48	594	642	75	577	652
Depreciation and amortisation.....	—	16	16	—	16	16
Total	60	1,082	1,142	80	1,048	1,128

NWM Group's staff expenses for the year ended 31 December 2023 amounted to £418 million, an increase of £18 million, or 5 per cent, as compared to £400 million for the year ended 31 December 2022. The increase largely reflected higher litigation and conduct costs and the impact of one-off items in the current year.

NWM Group's premises and equipment expenses for the year ended 31 December 2023 amounted to £66 million, an increase of £6 million, or 10 per cent, as compared to £60 million for the year ended 31 December 2022. The increase largely reflected lower costs recognised in the prior year in relation to technology investment including the impact of the transfer of the NWM CDIO investment portfolio to NWB in 2022.

NWM Group's other administrative expenses for the year ended 31 December 2023 amounted to £642 million, a decrease of £10 million, or 2 per cent, as compared to £652 million for the year ended 31 December 2022. The decrease was largely driven by a decrease in litigation and conduct costs, reflecting ongoing progress in closing legacy matters, partially offset by increases in other operating expenses reflecting lower technology investment costs recognised in the prior year including the impact of the transfer of the NWM CDIO investment portfolio to NWB, and other one-off items.

NWM Group's depreciation and amortisation expenses for the year ended 31 December 2023 remained broadly flat at £16 million, no change compared to the year ended 31 December 2022.

Impairment Losses

NWM Group's impairment losses for the year ended 31 December 2023 amounted to £2 million, compared to losses of £8 million for the year ended 31 December 2022. The current year loss was mainly due to increased ECL provisions driven by business growth, and losses in the prior year were principally due to credit deterioration, partially offset by fortuitous recoveries.

Operating Loss Before Tax

NWM Group's operating loss before tax for the year ended 31 December 2023 amounted to £75 million, a decrease of £372 million, or 83 per cent, as compared to a loss of £447 million for the year ended 31 December 2022, due to the factors described above for each income and expense line.

Tax Charge

NWM Group's total tax charge for the year ended 31 December 2023 amounted to £23 million, an increase of £206 million as compared to a tax credit of £183 million for the year ended 31 December 2022. The 2023 tax charge

of £23 million on operating loss before tax of £75 million is higher than the expected tax credit based on the UK corporation tax rate of 23.5 per cent, primarily due to adjustments in respect of prior periods.

Net Loss for the Year

NWM Group's net loss for the year ended 31 December 2023 amounted to £98 million, a decrease of £166 million as compared to a loss of £264 million for the year ended 31 December 2022.

Balance Sheet

The following table sets forth NWM Group's consolidated and NWM Plc's unconsolidated balance sheet data as at the dates indicated.

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2023	2022	2023	2022
	£m		£m	
Assets				
Cash and balances at central banks.....	13,831	17,007	8,607	13,467
Trading assets(2)	45,324	45,291	28,411	27,301
Derivatives(1)	79,332	100,154	75,832	96,258
Settlement balances	7,227	2,558	2,168	1,686
Loans to banks – amortised cost.....	1,246	1,146	910	815
Loans to customers – amortised cost.....	12,986	10,171	12,104	9,154
Amounts due from holding company and fellow subsidiaries	1,730	740	6,472	6,665
Other financial assets.....	15,723	11,870	13,444	10,377
Investments in group undertakings.....	—	—	2,320	2,626
Other assets(3).....	518	832	390	712
Total assets	<u>177,917</u>	<u>189,769</u>	<u>150,658</u>	<u>169,061</u>
Liabilities				
Bank deposits	2,267	3,069	1,909	2,936
Customer deposits	6,998	3,614	3,060	2,665
Amounts due to holding company and fellow subsidiaries	5,802	6,217	14,385	12,867
Settlement balances	6,641	2,010	400	1,133
Trading liabilities(2)	53,623	52,792	34,079	33,225
Derivatives(1)	71,981	93,585	69,404	90,754
Other financial liabilities	23,574	21,103	20,655	18,396
Other liabilities(3)	653	816	453	567
Total liabilities.....	<u>171,539</u>	<u>183,206</u>	<u>144,345</u>	<u>162,543</u>
Owners' equity	6,380	6,565	6,313	6,518
Non-controlling interests	(2)	(2)	—	—
Total equity.....	<u>6,378</u>	<u>6,563</u>	<u>6,313</u>	<u>6,518</u>
Total liabilities and equity	<u>177,917</u>	<u>189,769</u>	<u>150,658</u>	<u>169,061</u>

(1) Derivatives are presented net of IFRS offsets, corresponding predominantly to positions settled through clearing houses.

(2) The line items 'Trading assets' and 'Trading liabilities' are further analysed as follows.

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2023	2022	2023	2022
	(£m)			
Trading assets				
Reverse repos	23,694	21,537	11,315	8,559

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2023	2022	2023	2022
	(£m)			
Derivative cash collateral given	8,914	12,719	7,263	10,468
Securities				
Central and local government				
- UK	2,729	2,205	2,729	2,204
- US	2,600	2,345	33	41
- Other	3,062	2,799	3,062	2,799
Financial institutions and Corporate.....	3,563	2,573	3,364	2,292
Total securities	11,954	9,922	9,188	7,336
Other loans	762	1,113	645	938
Total	45,324	45,291	28,411	27,301
Trading liabilities				
Repos.....	26,902	23,740	12,125	8,716
Derivative cash collateral received.....	15,062	17,663	12,455	14,556
Short positions.....				
Central and local government				
- UK	1,893	2,313	1,893	2,268
- US	2,071	1,293	17	52
- Other	4,049	3,936	4,033	3,920
Financial institutions and Corporate.....	1,790	1,982	1,723	1,850
Total short positions	9,803	9,524	7,666	8,090
Other deposits and issuance.....	1,856	1,865	1,833	1,863
Total	53,623	52,792	34,079	33,225

(3) The line items ‘Other assets’ and ‘Other liabilities’ are further analysed as follows

	NWM Group		NWM Plc	
	As at 31 December		As at 31 December	
	2023	2022	2023	2022
	(£m)			
Other assets				
Property, plant and equipment.....	57	59	12	8
Pension schemes in net surplus	145	241	145	241
Accrued income.....	39	111	28	101
Tax recoverable	106	294	106	295
Deferred tax	55	46	—	—
Other assets.....	116	81	99	67
Total	518	832	390	712
Other liabilities				
Lease liabilities.....	41	47	2	4
Provisions for liabilities and charges.....	180	274	124	161
Retirement benefit liabilities	62	63	59	55
Accruals.....	182	224	113	178
Deferred income	47	35	38	24
Current tax.....	3	21	2	12
Deferred tax	54	101	49	92
Other liabilities	84	51	66	41
Total	653	816	453	567

NWM Group's balance sheet profile as at 31 December 2023 can be summarised as follows.

Assets	£bn	Liabilities	£bn
Cash and balances at central banks.....	13.8	Trading liabilities.....	53.6
Trading assets	45.3	Short positions	9.8
Securities	12.0	Repos(2).....	26.9
Reverse repos(1)	23.7	Derivative collateral(4)	15.1
Derivative collateral(3).....	8.9	Other trading liabilities	1.8
Other trading assets.....	0.7	Deposits - amortised cost.....	9.3
Loans - amortised cost.....	14.2	Settlement balances	6.6
Settlement balances	7.2	Amounts due to holding company and	
Amounts due from holding company and		fellow subsidiaries	5.8
fellow subsidiaries	1.7	Other financial liabilities	23.6
Other financial assets.....	15.7	Other liabilities	0.6
Other assets.....	0.7	Liabilities excluding derivatives	99.5
Funded assets.....	98.6	Derivative liabilities	72.0
Derivative assets.....	79.3	Total liabilities	171.5
Total assets	177.9	<i>of which: wholesale funding(5)</i>	25.1
		<i>of which: short-term wholesale funding(5)...</i>	9.9
Net derivative assets	2.9	Net derivative liabilities.....	3.6

(1) Comprises bank reverse repos of £6.3 billion (2022- £4.6 billion) and customer reverse repos of £17.4 billion (2022- £16.9 billion).

(2) Comprises bank repos of £4.0 billion (2022- £1.6 billion) and customer repos of £22.9 billion (2022- £22.1 billion).

(3) Comprises derivative collateral posted relating to banks of £4.3 billion (2022- £4.6 billion) and customers of £4.6 billion (2022- £8.1 billion).

(4) Comprises derivative collateral received relating to banks of £6.8 billion (2022- £7.5 billion) and customers of £8.3 billion (2022- £10.2 billion).

(5) Predominantly comprises bank deposits (excluding repos), debt securities in issue and third-party subordinated liabilities.

NWM Group's balance sheet is predominantly comprised of trading assets and liabilities and derivative assets and liabilities, centred around its product offering of Fixed Income, Currencies and Capital Markets. Trading assets and liabilities largely include debt securities, reverse repos and derivative collateral, together with short positions, repos and derivative collateral respectively. Derivative assets and liabilities include interest rate and foreign exchange contracts as well as smaller volumes of credit, equity and commodity derivatives. Banking book assets and liabilities are limited to amortised cost portfolios of corporate lending and deposits, as well as Treasury activities such as the management of the liquidity portfolio of cash and bonds, and the issuance of senior unsecured, subordinated and equity instruments.

As NWM Group is not primarily a deposit-taking and lending institution, metrics such as NIM have limited significance for NWM Plc and do not relate to the basis on which the business is managed. The short term and fluctuating nature of the trading business can result in relatively large intra-period movements in the balance sheet with trading assets and liabilities primarily moving in unison. This is due to the flow nature of the trading business activities and balance sheet profile which is largely matched across trading and derivative assets, and trading and derivative liabilities. Risks and exposures may be managed on a net basis.

Assets

As at 31 December 2023, NWM Group's total assets amounted to £177,917 million, a decrease of £11,852 million, or 6 per cent, as compared to £189,769 million as at 31 December 2022. The decrease was mainly driven by lower derivative fair values, largely reflecting market volatility across major currencies and movements in interest rates. Funded assets, which exclude derivatives, increased by £9.0 billion to £98.6 billion, largely driven by higher settlement balances, loans to customers and other financial assets.

As at 31 December 2023, NWM Group's cash and balances at central banks amounted to £13,831 million, a decrease of £3,176 million, or 19 per cent, as compared to £17,007 million as at 31 December 2022. The decrease was largely driven by a reduction in excess liquidity and liquidity buffer optimisation offset by an increase in customer deposits.

As at 31 December 2023, NWM Group's trading assets amounted to £45,324 million, broadly stable as compared to £45,291 million as at 31 December 2022, mainly driven by increases in securities and reverse repos offset by a decrease in derivative cash collateral posted.

As at 31 December 2023, NWM Group's derivative assets amounted to £79,332 million, a decrease of £20,822 million, or 21 per cent, as compared to £100,154 million as at 31 December 2022. The decrease in mark-to-market value largely reflected market volatility across major currencies including the weakening of USD and an overall reduction in interest rates during 2023, following opposite trends in 2022.

As at 31 December 2023, NWM Group's loans to customers (amortised cost) amounted to £12,986 million, an increase of £2,815 million, or 28 per cent, as compared to £10,171 million as at 31 December 2022. The increase was mainly driven by growth in private financing in 2023.

As at 31 December 2023, NWM Group's other financial assets amounted to £15,723 million, an increase of £3,853 million, or 32 per cent, as compared to £11,870 million as at 31 December 2022. The increase largely reflected an increase in held-to-collect securities purchased to support customer primary issuance.

As at 31 December 2023, NWM Group's other assets amounted to £518 million, a decrease of £314 million, or 38 per cent, as compared to £832 million as at 31 December 2022. The decrease was principally driven by decreases in tax recoverable, pension schemes and accrued income, partially offset by an increase in other assets.

Liabilities

As at 31 December 2023, NWM Group's total liabilities amounted to £171,539 million, a decrease of £11,667 million, or 6 per cent, as compared to £183,206 million as at 31 December 2022. The decrease was mainly driven by lower derivative fair values, largely reflecting market volatility across major currencies and movements in interest rates.

As at 31 December 2023, NWM Group's customer deposits amounted to £6,998 million, an increase of £3,384 million, or 94 per cent, as compared to £3,614 million as at 31 December 2022. The increase was primarily related to NWM Group's strategy to increase customer deposits to match planned banking book activity.

As at 31 December 2023, NWM Group's trading liabilities amounted to £53,623 million, an increase of £831 million, or 2 per cent, as compared to £52,792 million as at 31 December 2022, mainly driven by an increase in repos, partially offset by a decrease in derivative cash collateral received.

As at 31 December 2023, NWM Group's derivative liabilities amounted to £71,981 million, a decrease of £21,604 million, or 23 per cent, as compared to £93,585 million as at 31 December 2022. The decrease in mark-to-market value largely reflected market volatility across major currencies including the weakening of USD and an overall reduction in interest rates during 2023, following opposite trends in 2022.

As at 31 December 2023, NWM Group's other liabilities amounted to £653 million, a decrease of £163 million, or 20 per cent, as compared to £816 million as at 31 December 2022, mainly driven by decreases in provisions for liabilities and charges, deferred tax and accruals, partially offset by an increase in other liabilities.

Cash Flows

The following table sets forth NWM Group's cash flow data as at the dates and for the years indicated.

	NWM Group	
	For the years ended	
	2023	2022
	£m	
Cash flows from operating activities		
Operating loss before tax	(75)	(447)

	NWM Group	
	For the years ended	
	2023	2022
	£m	
Adjustments for:		
Non-cash and other items	173	(488)
Changes in operating assets and liabilities	2,617	6,293
Income taxes received	99	135
Net cash flows from operating activities(1)	2,814	5,493
Cash flows from investing activities		
Sale and maturity of other financial assets	5,399	5,935
Purchase of other financial assets	(9,253)	(9,093)
Income received on other financial assets	632	236
Fair value given for businesses acquired	(27)	—
Purchase of investment in associates	—	(1)
Sale of property, plant and equipment	1	20
Purchase of property, plant and equipment	(3)	(2)
Net cash flows from investing activities	(3,251)	(2,905)
Cash flows from financing activities		
Redemption of subordinated liabilities	(676)	(481)
Interest paid on subordinated liabilities	(71)	(92)
Issue of MRELS	1,699	986
Maturity of MRELS	(1,744)	(1,862)
Interest paid on MRELS	(175)	(151)
Dividends Paid	(70)	(500)
Capital contribution	115	—
Net cash flows from financing activities	(922)	(2,100)
Effects of exchange rate on cash and cash equivalents	(526)	1,090
Net (decrease)/increase in cash and cash equivalents	(1,885)	1,578
Cash and cash equivalents at 1 January	26,828	25,250
Cash and cash equivalents at 31 December	24,943	26,828

(1) Includes interest received of £1,981 million (2022 - £637 million) and interest paid of £1,738 million (2022 - £524 million).

	NWM Group	
	For the years ended	
	2023	2022
	£m	
Non-cash and other items		
Impairment losses	2	8
Depreciation and amortisation	16	16
Change in fair value taken to profit or loss of other financial assets	—	168
Change in fair value taken to profit or loss on other financial liabilities and subordinated liabilities	90	(251)
Elimination of foreign exchange differences	253	(458)
Other non-cash items	198	(82)
Income receivable on other financial assets	(642)	(218)
Loss on sale of other financial assets	1	11
Profit on sale of other assets and net assets and liabilities	(1)	—
Interest payable on MRELS and subordinated liabilities	252	227
Loss on redemption of own debt	14	74
Charges and release on provisions	(4)	15
Defined benefit pension schemes	(6)	2
Non-cash and other items	173	(488)

	NWM Group	
	For the years ended	
	2023	2022
	£m	
Change in operating assets and liabilities		
Change in trading assets	372	14,994
Change in derivative assets	20,794	4,973
Change in settlement balance assets	(4,669)	(419)
Change in net loans to banks	247	4
Change in net loans to customers	(2,812)	(2,703)
Change in amounts due from holding company and fellow subsidiaries.....	(573)	577
Change in other financial assets	84	(62)
Change in other assets	46	(85)
Change in bank deposits	(802)	1,261
Change in customer deposits	3,384	1,346
Change in amounts due to holding company and fellow subsidiaries	184	719
Change in settlement balance liabilities	4,631	(58)
Change in trading liabilities.....	831	(11,690)
Change in derivative liabilities	(21,604)	(4,912)
Change in other financial liabilities	2,627	2,395
Change in other liabilities.....	(123)	(47)
Change in operating assets and liabilities.....	2,617	6,293

Total cash inflow from operating activities was £2,814 million for the year ended 31 December 2023; a decrease of £2,679 million compared to the £5,493 million inflow for the year ended 31 December 2022. The decrease in inflow was principally attributable to a decreased net inflow from changes in operating assets and liabilities, largely due to lower inflows and higher outflows from derivative liabilities, trading assets, and settlement balance assets, offset by higher inflows and lower outflows from derivative assets, trading liabilities and settlement balance liabilities. Adjustments for non-cash items increased by £661 million, driven by higher adjustments for elimination of foreign exchange differences, change in fair value taken to profit or loss on other financial liabilities and subordinated liabilities and other non-cash items, partially offset by lower adjustments for income receivable on other financial assets and change in fair value taken to profit or loss of other financial assets.

Total cash outflow from investing activities was £3,251 million for the year ended 31 December 2023; an increase of £346 million as compared to the cash outflow of £2,905 million for the year ended 31 December 2022. The increase in outflow was principally attributable to lower inflows from sale and maturity of other financial assets and increased outflow from purchase of other financial assets, partially offset by increased inflow from income received on other financial assets.

Total cash outflow from financing activities was £922 million for the year ended 31 December 2023, a decrease of £1,178 million from outflow of £2,100 million for the year ended 31 December 2022. The decrease was principally due to lower net outflows from issue, maturity and redemption of MREs, a reduction in dividends paid to NatWest Group plc, and cash inflow from a capital contribution during the year; partially offset by increased outflow from redemption of subordinated liabilities.

Contingent Liabilities

Contingent liabilities are possible obligations arising from past events, whose existence will be confirmed only by uncertain future events, or present obligations arising from past events that are not recognised because either an outflow of economic benefits is not probable or the amount of the obligation cannot be reliably measured. Contingent liabilities are not recognised but information about them is disclosed unless the possibility of any outflow of economic benefits in settlement is remote.

NWM Group uses a variety of loan-related financial instruments to meet customers' financial requirements. Instruments include loan offers and other credit facilities, guarantees and instruments not recognised in the balance sheet. If an instrument is likely to result in a payment obligation, a liability is recognised under other liabilities corresponding to the present value of expected payments.

The following table sets forth NWM Group's guarantees and other contingent liabilities as at the dates indicated.

	NWM Group			NWM Plc		
	For the years ended			For the years ended		
	2024	2023	2022	2024	2023	2022
	£m			£m		
Contingent liabilities and commitments						
Guarantees	696	754	594	272	296	144
Other contingent liabilities	17	26	30	17	26	30
Standby facilities, credit lines and other commitments ⁽¹⁾	14,097	14,840	13,973	8,319	8,763	7,967
Total	14,810	15,620	14,597	8,608	9,085	8,141

1) The 2024 and 2023 figures have been represented to reflect the regulatory treatment of revocable commitments.

Note: In the normal course of business, NWM Plc guarantees specified third-party liabilities of certain subsidiaries; it also gives undertakings that individual subsidiaries will fulfil their obligations to third parties under contractual or other arrangements.

Banking commitments and contingent obligations, which have been entered into on behalf of customers and for which there are corresponding obligations from customers, are not included in assets and liabilities. NWM Group's maximum exposure to credit loss, in the event of its obligation crystallising and all counterclaims, collateral or security proving valueless, is represented by the contractual nominal amount of these instruments included in the table above. These commitments and contingent obligations are subject to NWM Group's normal credit approval processes.

Guarantees

NWM Group gives guarantees on behalf of customers. A financial guarantee represents an irrevocable undertaking that NWM Group will meet a customer's specified obligations to a third-party if the customer fails to do so. The maximum amount that NWM Group could be required to pay under a guarantee is its principal amount as in the table above. NWM Group expects most guarantees it provides to expire unused.

Other Contingent Liabilities

These include standby letters of credit, supporting customer debt issues and contingent liabilities relating to customer trading activities such as those arising from performance and customs bonds, warranties and indemnities.

Standby Facilities and Credit Lines

Under a loan commitment NWM Group agrees to make funds available to a customer in the future. Loan commitments, which are usually for a specified term, may be unconditionally cancellable or may persist, provided all conditions in the loan facility are satisfied or waived. Commitments to lend include commercial standby facilities and credit lines, liquidity facilities to commercial paper conduits and unutilised overdraft facilities.

Other Commitments

These include documentary credits, which are commercial letters of credit providing for payment by NWM Group to a named beneficiary against presentation of specified documents, forward asset purchases, forward deposits placed and undrawn note issuance and revolving underwriting facilities, and other short-term trade-related transactions.

Capital Support Deed

As a pre-requisite for ring-fencing, from 1 November 2018 the Issuer has left NatWest Group's Capital Support Deed ('CSD') to which it was party to until that date. The Issuer, together with its UK subsidiaries outside the ring-fenced subgroup, is now party to a new CSD. Under the terms of the CSD, the Company may be required, if compatible with its legal obligations, to make distributions on, or repurchase or redeem, its ordinary shares. The

amount of this obligation is limited to the Company's capital resources in excess of the capital and financial resources needed to meet its regulatory requirements. The CSD also provides that, in certain circumstances, funding received by the Company from other parties to the CSD becomes immediately repayable, such repayment being limited to the Company's available resources.

The CSD, particularly compared to NatWest Group's CSD, has limited significance to NWM Plc as it is the only member-entity which is a bank and the other legacy entities have modest capitalisations and are subject to medium-term wind down plans.

Risk Sharing Agreements

NWM Plc and NWM N.V. have limited intra-group risk-sharing arrangements in place to facilitate the smooth provision of services to NWM Group's customers including:

- (i) A Funded Guarantee of up to £0.8 billion in aggregate by NWM Plc to NWM N.V. that limits NWM N.V.'s exposure to large individual customer credits. At 31 December 2024, NWM N.V. was in receipt of £0.4 billion of the Funded Guarantee from NWM Plc and the guarantee fees in the year ended 31 December 2024 amounted to £3.4 million. NWM Plc cash collateralises the Funded Guarantee in full and deposits funds with NWM N.V. where they are used for general corporate purposes.
- (ii) The provision of funded and unfunded guarantees by NWM Plc in respect of NWM N.V.'s Legacy portfolio. At 31 December 2024 the exposure at default covered by the guarantees was approximately £0.2 billion (of which none was cash collateralised). Fees of £0.6 million in relation to the guarantees were recognised in the year ended 31 December 2024.

See *'Operating and Financial Review—Primary Factors Affecting NWM Group's Results of Operations—Recent Changes to NWM Group's Scope of Activities Relating to the UK's Exit From The EU.'*

Indemnity Deed

NWM Plc and NWB have a cross indemnity agreement in place for losses incurred within the entities in relation to business transferred to or from the ring-fenced bank under NatWest Group's structural re-organisation. Under the agreement, NWM Plc is indemnified by NWB against losses relating to the NWB transferring businesses and ring-fenced bank obligations and NWB is indemnified by NWM Plc against losses relating to NWM Plc transferring businesses and non-ring-fenced bank obligations with effect from the relevant transfer date.

Funding and Liquidity

Funding

The Issuer monitors its funding mix to ensure that it is well diversified in terms of funding sources, maturities and currencies. A well-balanced portfolio of liabilities is intended to generate a stable flow of funding and provides protection against market disruptions. NWM Group seeks to diversify its funding base as much as reasonably possible and as part of this looks to supplement wholesale funding securities issuance by sourcing deposits from a broad range of counterparties. The Issuer regularly considers various market funding options and accesses the debt capital markets in a variety of issuance formats, currencies and tenors from time to time in connection with executing its funding plans.

The Issuer has the following principal sources of funding:

- Trading liabilities, including repos, which are largely matched by trading assets;
- Capital and funding (including internal MREL instruments), which totalled £10.0 billion as at 31 December 2024 and which is structurally subordinated to the Issuer's senior creditors;
- Term senior unsecured issuances totalled £19.5 billion as at 31 December 2024, of which £6 billion was issued in public benchmark format the year ended 31 December 2024. NWM Plc's 2025 funding plan currently anticipates £4 billion to £5 billion of public benchmark issuance;

- Money market instruments, principally certificates of deposit and commercial paper, which totalled £6.0 billion as at 31 December 2024; and
- Deposits consisting of customer deposits and wholesale deposits, which totalled £3.9 billion as at 31 December 2024; and
- Secured funding and other unsecured sources across a number of different formats, including private bilateral transactions such as bilateral loans.

The Issuer may also participate in a number of schemes operated by the BoE in the normal course of business. In particular, the Issuer is a participant in the BoE's Sterling Monetary Framework ('**SMF**') and may access SMF operations such as the Discount Window Facility and Indexed Long-Term Repo ('**ILTR**') operations by placing eligible collateral with the BoE.

As such, the Issuer seeks to cover its funding requirements from an increasingly wider investor, currency, product and geographic base with a split between secured and unsecured funding. The funding plan has diversification of funding types designed to ensure the Issuer has access to a range of options to minimise the risk of losing access to chosen markets, currencies, counterparties or instruments that enables it to meet its obligations as they fall due. A predetermined range of contingent funding options have been identified.

NWM Group's primary access to incremental funding is through wholesale funding markets. As such, NWM Group maintains a close dialogue with its rating agencies.

NWM Plc issued £6 billion (equivalent) of public benchmark issuances during 2024, which was higher than guidance of £3 billion to £5 billion for the year ended 2024. This was mainly due to taking advantage of favourable market conditions to pre-fund some of the NWM Group's 2025 funding needs. NWM Plc issued €1,000,000,000 3.125% Senior Notes on 10 January 2025, with a maturity date of 10 January 2030, under its £20,000,000,000 Euro Medium Term Note Programme. The Issuer has also raised funding in other formats, such as, but not limited to, structured notes and bilateral loans. The table below shows NWM Group's debt securities in issue, subordinated liabilities and internal MREL instruments by residual maturity.

	Trading liabilities	Other financial liabilities				Amounts due to holding company and fellow subsidiaries		
	Debt securities in issue	Debt securities in issue						
	Commercial paper and MTNs (1)	CDs	MTNs (1)	Subordinated liabilities	Total	Internal MREL	Subordinated liabilities	Total notes in issue
	£m	£m	£m	£m	£m	£m	£m	£m
2024								
Less than 1 year	20	7,228	7,548	—	14,776	929	—	15,725
1-3 years	35	377	9,959	—	10,336	1,751	—	12,122
3-5 years	42	—	3,652	—	3,652	1,678	987	6,359
More than 5 years	160	—	693	269	962	-	128	1,250
Total	257	7,605	21,852	269	29,726	4,358	1,115	35,456
2023								
Less than 1 year	418	4,228	3,759	—	7,987	434	839	9,678
1-3 years	48	205	9,342	18	9,565	1,722	—	11,335
3-5 years	—	—	3,851	—	3,851	914	—	4,765
More than 5 years	240	—	656	256	912	—	183	1,335
Total	706	4,433	17,608	274	22,315	3,070	1,022	27,113

(1) With respect to MTNs only, £7,568 million will mature in 2025, £4,655 million will mature in 2026, £5,338 million will mature in 2027, £942 million will mature in 2028 and £2,753 million will mature in 2029.

The table below shows the currency breakdown of total notes in issue.

	GBP	USD	EUR	Other	Total
	£m	£m	£m	£m	£m
2024					
Commercial paper and CDs	2,461	1,461	3,683	—	7,605
MTNs	2,306	5,069	11,804	2,930	22,109

	GBP	USD	EUR	Other	Total
	£m	£m	£m	£m	£m
External subordinated liabilities	18	17	234	—	269
Internal MREL due to NatWest Group plc	—	3,473	885	—	4,358
Subordinated liabilities due to NatWest Group plc	—	1,115	—	—	1,115
Total	4,785	11,135	16,606	2,930	35,456
2023 Total	2,948	8,153	13,017	2,995	27,113

The following table sets forth NWM Group's funding sources as at the dates indicated:

	2024			2023		
	Short-term less than 1 year	Long-term more than 1 year	Total	Short-term less than 1 year	Long-term more than 1 year	Total
	£m	£m	£m	£m	£m	£m
Bank deposits	4,056	509	4,565	1,622	645	2,267
<i>of which: repos (amortised cost).....</i>	2,487	—	2,487	452	—	452
Customer deposits	4,784	56	4,840	6,990	8	6,998
<i>of which: repos (amortised cost).....</i>	482	—	482	418	—	418
Trading liabilities (1)						
Repos (2)	29,752	810	30,562	26,634	268	26,902
Derivative cash collateral received.....	12,307	-	12,307	15,062	—	15,062
Other bank and customer deposits.....	627	268	895	768	382	1,150
Debt securities in issue	20	237	257	418	288	706
	42,706	1,315	44,021	42,882	938	43,820
Other financial liabilities						
Customer deposits (designated at fair value)	221	1,316	1,537	193	1,066	1,259
Debt securities in issue						
commercial paper and certificates of deposits.....	7,228	377	7,605	4,228	205	4,433
Medium-term notes (MTNs).....	7,548	14,304	21,852	3,759	13,849	17,608
Subordinated liabilities.....	—	269	269	—	274	274
	14,997	16,266	31,263	8,180	15,394	23,574
Amounts due to holding company and fellow subsidiaries (3)						
Internal MREL	929	3,429	4,358	434	2,636	3,070
Other bank and customer deposits.....	1,204	—	1,204	1,620	—	1,620
Subordinated liabilities.....	—	1,115	1,115	839	183	1,022
	2,133	4,544	6,677	2,893	2,819	5,712
Total funding	68,676	22,690	91,366	62,567	19,804	82,371
<i>Of which: available in resolution (4)</i>			4,813			3,093

- (1) Funding sources excludes short positions of £10,491 million (2023 - £9,803 million) reflected as trading liabilities on the balance sheet.
- (2) Comprises Central and other bank repos of £7,174 million (2023 - £3,957 million), other financial institution repos of £20,398 million (2023 - £20,394 million) and other corporate repos of £2,990 million (2023 - £2,551 million).
- (3) Amounts due to holding company and fellow subsidiaries relating to non-financial instruments of £94 million (2023 - £90 million) have been excluded from the table.
- (4) Eligible liabilities (as defined in the Banking Act 2009 as amended from time to time) that meet the eligibility criteria set out in the regulations, rules, policies, guidelines, or statements of the Bank of England including the Statement of Policy published in December 2021 (updating June 2018).

Liquidity Requirements

The Issuer adheres to the UK implementation of rules on minimum liquidity requirements as set out by the Basel Committee on Banking Supervision ('BCBS'). Following the UK exit from the European Union the relevant BCBS liquidity standards have been incorporated into the UK regulatory framework by inclusion in the PRA Rulebook. The UK liquidity rules came into effect on 1 January 2022, prior to this the Issuer was subject to similar rules under the CRR. The Issuer is required to comply with a minimum LCR requirement as defined in these regulations. The LCR is a regulatory liquidity stress ratio measuring the ability of an entity's liquid asset resources to absorb stressed net outflows over a 30-day period. The Issuer monitors compliance with LCR on a daily basis using a set of liquidity and funding indicators. As at 31 December 2024, the Issuer's LCR was 195 per cent (as at 31 December 2023, the Issuer's LCR was 183 per cent).

In addition to the LCR, BCBS has issued liquidity standards in the form of the NSFR which has also been implemented in the UK in the PRA Rulebook from 1 January 2022. The Issuer is required to comply with a minimum NSFR as defined in these regulations. The NSFR is intended to ensure a sound funding structure by promoting an increase in long-term funding. It is monitored against a risk appetite of greater than or equal to 100 per cent. The ratio uses a weighting mechanism for assets and liabilities and calculates an aggregate 'stability weighting' for liabilities (liabilities and equity securities having maturities over one year are preferred) and a 'liquidity weighting' for assets. The less liquid the assets are, the more stable the funding must be.

The table below shows the composition of the liquidity portfolio with primary liquidity aligned to high-quality liquid assets on a regulatory LCR basis. Secondary liquidity comprises of assets which are eligible as collateral for local central bank liquidity facilities and do not form part of the LCR eligible high-quality liquid assets.

	Liquidity value	
	2024	2023
	£m	£m
NWM Plc		
Cash and balances at central banks.....	10,965	8,547
High quality government/MDB/PSE and GSE bonds (1)	8,962	6,054
Extremely high quality covered bonds	—	1
LCR level 1 eligible assets	19,927	14,602
LCR level 2 eligible assets (2).....	1,031	104
Primary liquidity (HQLA) (3)	20,958	14,706
Secondary liquidity (4).....	30	39
Total liquidity value	20,988	14,745

The table below shows the liquidity value of the liquidity portfolio by currency.

	GBP	USD	EUR	Other	Total
	£m	£m	£m	£m	£m
Total liquidity portfolio					
2024.....	11,667	3,353	4,996	972	20,988
2023.....	5,153	3,350	6,150	92	14,745

(1) Multilateral development bank abbreviated to MDB, public sector entities abbreviated to PSE and government sponsored entities abbreviated to GSE.

(2) Includes Level 2A and Level 2B.

(3) High-quality liquid assets abbreviated to HQLA.

(4) Comprises assets eligible for discounting at the Bank of England and other central banks which do not form part of the LCR high-quality liquid assets.

Liquidity Risk Management

The Issuer operates independently for liquidity and funding as a non-ring-fenced bank within NatWest Group. The Issuer monitors and manages liquidity and funding risks against defined risk appetites. The liquidity and funding indicators are an important part of the daily management process since they are used as an early warning of potential issues and are reported to senior management.

Funding risk appetite is maintained by a maturity mismatch measure, in addition to the regulatory NSFR, which assesses whether the behavioural tenor of liabilities is longer than assets across various tenor buckets. The Issuer monitors the maturity mismatch by tenor in order to assess that the funding profile is manageable and in line with strategy.

A suite of tools is used to monitor, limit and stress test the risks on the balance sheet. Limit frameworks are in place to control the level of liquidity risk, asset and liability mismatches and funding concentrations. Liquidity risks are reviewed at significant legal entity and business levels daily, with performance regularly reported to the Assets & Liabilities Committee. Liquidity Condition Indicators are monitored daily. This ensures any build-up of stress is detected early and the response escalated appropriately through recovery planning.

Under the liquidity risk management framework, NWM Group maintains compliance with rules set out by the PRA for the Internal Liquidity Adequacy Assessment Process. Liquidity risk appetite is maintained using the internal SOC ratio, in addition to the regulatory LCR. The SOC ratio measures the ability of the liquidity portfolio to absorb net outflows over a three month horizon which are calculated using internally approved assumptions and methodologies. It measures the low point within a suite of severe but plausible stress scenarios. Each scenario tests a combination of vulnerabilities of NWM Plc and provides a particular perspective on the liquidity position of NWM Plc. The full suite is run daily to ensure that the most severe scenario is used to calculate the SOC metric. The scenarios fit into three themes: Idiosyncratic, Market-Wide and Combined, as detailed in the table below.

Idiosyncratic scenarios	The market perceives NWM Group to be suffering from a severe stress event, which results in an immediate assumption of increased credit risk or concerns over solvency.
Market-wide scenarios.....	A market stress event affecting all participants in a market through contagion, potential counterparty failure and other market risks. NWM Group is affected under these scenarios but no more severely than any other participants with equivalent exposure.
Combined scenarios.....	These scenarios model the combined impact of an idiosyncratic and market stress occurring at once, severely affecting funding markets and the liquidity of some assets.

The key risk drivers which lead to a change in liquidity metrics include, but are not limited to, intraday risk from timing mismatches between receipts and payments, off balance sheet items and both secured and unsecured wholesale funding. The Issuer has at its disposal a number of business as usual and contingency funding options in the event there is an indication of a future deterioration of the funding and liquidity position.

Capital and Solvency

General

The Issuer is a licensed financial services provider and is therefore subject to regulatory supervision in relation to the levels and quality of capital it is required to hold in connection with its business, including as a result of the transposition of the Basel Committee on Banking Supervision's regulatory capital framework ('**Basel III**') in Europe by CRD IV. The UK transposed the CRD IV framework, which applies to the Issuer and its financial subsidiaries in the UK. Similarly, the Issuer's financial subsidiaries outside the UK must comply with local capital requirements. The Issuer's internal capital adequacy assessment process ('**ICAAP**') is based on capital management policies and practices.

The Issuer is regulated and discloses capital ratios and RWAs on a legal entity basis and is currently targeting a CET1 ratio of around 14 per cent, an MREL ratio greater than 30 per cent and a leverage ratio of greater than 4 per cent in the medium-term. The Issuer's CET1 ratio increased to 18.2 per cent as at 31 December 2024 compared to 17.1 per cent as at 31 December 2023.

As at 31 December 2024, NWM Plc legal entity RWAs were £20.8 billion.

Total Capital

Capital consists of instruments and financial resources as laid down by applicable regulation and is categorised under two tiers ('**Tier 1**' and '**Tier 2**') according to the ability to absorb losses on either a going or gone concern basis, degree of permanency and the ranking of loss absorption. Tier 1 capital consists of CET1 instruments and reserves, including ordinary shares and retained earnings, which must be perpetual and capable of unrestricted and immediate use to cover risks or losses as soon as these occur. There is one other capital instrument constituting Tier 1 capital:

- Additional Tier 1 ("**AT1**") capital —In the case of the Issuer, these instruments will be written down if NWM Plc's CET1 ratio falls to 7 per cent in accordance with the terms of the instrument.

Tier 2 instruments, used to absorb losses on a gone concern basis after Tier 1 capital, typically consist of subordinated debt securities with a minimum maturity of five years.

From 1 January 2019, MREL requirements have applied to NWM Plc. MREL capital resource includes the sum of all Tier 1 and Tier 2 capital together with the portion of Tier 2 capital subject to the derecognition of capital treatment in the fifth year to twelve months prior to maturity where issued to other NatWest Group entities and 'gone concern' loss absorbing (MREL-eligible) securities of greater than one year residual maturity. Given NatWest Group has a Single Point of Entry resolution strategy, NWM Plc only issues internal MREL-eligible securities to NatWest Group plc. Total MREL for NWM Plc at 31 December 2024 was £10 billion, or 48.2 per cent of RWAs.

NWM Plc sources all of its capital funding from NatWest Group plc. As of December 2024 NWM Plc had three remaining legacy external subordinated debt instruments (Tier 2) with an outstanding notional value of £17 million, which no longer qualify as regulatory capital. NWM Plc had £0.7 billion of internally issued Tier 2 regulatory capital as of December 2024. The externally issued legacy instruments pre-date UK ring-fencing legislation and are subject to i) CRR legacy grandfathering or ii) regulatory amortisation within 5 years of maturity for the purpose of Own Funds Capital. All Tier 1 and senior internal MREL eligible instruments are held by NatWest Group plc. Going forward, NatWest Group plc is expected to be the sole subscriber of NWM Plc's AT1 and Tier 2 instruments and its senior MREL eligible instruments. This supports NatWest Group plc's single point of entry resolution strategy and ensures NatWest Group plc-level capital efficiency in relation to its external issuance programme.

NWM Plc's future ability to meet its internal AT1, Tier 2 and MREL requirements will be dependent on NatWest Group plc maintaining sufficient amounts of capital externally and use the proceeds thereof as required to subscribe to NWM Plc instruments. NWM Plc currently holds adequate regulatory capital and CRR compliant senior debt instruments to meet its minimum requirements. The table below outlines NWM Plc's regulatory capital levels and ratios as at 31 December 2024.

In the year ended 31 December 2024, NWM Plc issued an AT1 instrument (\$750 million), two Tier 2 instruments (\$1.2 billion in the aggregate) and three senior instruments (\$2.2 billion in the aggregate) to NatWest Group plc to manage its capital requirements.

NWM Plc has non-equity capital holdings in two of its subsidiaries, RBSH and NWMSI. RBSH's AT1 (notional €250 million) capital was acquired in November 2019, as part of the transfer of NWM N.V. from NatWest Group plc to NWM Plc, and Tier 2 (notional €150 million) was subscribed to in December 2019. NWM Plc continues to provide a committed unsecured credit facility to NWMSI, amounting to US\$1.1 billion at 31 December 2024.

	31 December 2024		31 December 2023		31 December 2022	
	£m	%	£m	%	£m	%
CET1	3,779	18.2	3,776	17.1	3,682	17.2
AT1.....	1,288	4.1	904	3.1	904	3.2
Tier 1	5,067	24.3	4,455	20.2	4,361	20.4
Tier 2	712	3.5	617	2.8	1,141	5.3
Total	5,779	27.8	5,072	23.0	5,502	25.7
MREL-eligible securities (including eligible Tier 2 amortisation).....	4,259	20.4	2,555	11.5	3,150	14.7
MREL.....	10,038	48.2	7,627	34.5	8,652	40.4

In line with paragraph 135 of IAS 1 ‘*Presentation of Financial Statements*,’ the Issuer manages capital having regard to regulatory requirements. Regulatory capital is monitored and reported on an individual regulated bank legal entity basis.

	31 December 2024	31 December 2023	31 December 2022
	£m		
RWAs			
Credit risk.....	8,908	7,895	7,110
Counterparty credit risk.....	5,797	6,516	5,682
Market risk	5,105	6,366	7,152
Operational risk	1,002	1,322	1,478
Total RWAs.....	20,812	22,099	21,422

Credit Risk. The Issuer uses approved Advanced Internal Ratings Based (AIRB) and Internal Model Method (‘IMM’) models alongside the standardised approach for the calculation of credit risk. The Issuer’s advanced internal measures of Credit Risk are based on assessments of the risk characteristics of both the borrower and the specific transaction. In the standardised approach the risk weights used in the capital calculation are determined by the regulator.

Market Risk. . The Issuer uses a comprehensive set of methodologies and techniques to measure traded market risk, namely VaR, stressed value-at-risk (‘SVaR’) and the Incremental Risk Charge (‘IRC’). Risks that are not adequately captured by VaR or SVaR are captured by the Risks not in VaR (‘RNIV’) framework to ensure that the Issuer is adequately capitalised for market risk.

Operational Risk. The Issuer uses the ‘Standardised Approach’ for the calculation of Operational Risk. Capital requirements are determined by multiplying three years’ historical qualifying gross income by a percentage determined by the regulator. The percentage ranges from 12 per cent to 18 per cent, depending on the type of underlying business undertaken.

The Issuer’s relevant capital ratios are outlined in the table below.

Risk asset ratios (%)	31 December 2024	31 December 2023	31 December 2022
CET1	18.2	17.1	17.9
Tier 1	24.3	20.2	21.0
Total	27.8	23.0	25.9

Expected Capital Developments

Areas in which, and examples of where, governmental policies, regulatory and accounting changes and increased public and regulatory scrutiny could have an impact on NWM Group’s operational and financial performance include:

- The PRA has decided to delay the implementation of Basel 3.1 in the UK by one year from 1 January 2026 to 1 January 2027.
- The PRA expects firms engaged in trading activities to have a set of capabilities that will allow them to execute a full or partial wind down of their trading activities in an orderly fashion. This framework came into effect from 3 March 2025.
- The UK countercyclical capital buffer was increased from 1 per cent to 2 per cent in July 2023, in line with its steady state target of 2.0 per cent.

Capital Requirements and Adequacy

Capital adequacy is the amount of capital supply required, in terms of size and composition of the Issuer's balance sheet, to cover the risks to which the Issuer is exposed. Capital adequacy consists of the regulatory minimum capital level for risks covered under Pillar I (Credit Risk including Counterparty Credit Risk, Market Risk and Operational Risk). The ICAAP evaluates capital requirements under Pillar II which includes part A (for risks not covered or adequately captured under Pillar I) and part B (for a forward-looking assessment of capital requirements in stress conditions). The total of Pillar I and Pillar IIA informs the total capital requirements ('TCR') set by the PRA. The TCR is the minimum level of regulatory capital that the Issuer is required to hold at all times.

As part of the ICAAP under Pillar II, capital adequacy is determined on the basis of an internal assessment of the Issuer's risk profile in relation to the minimum capital requirement. An important part of this process is determining adequacy and evaluating whether capital calculations take into account all material risks to which the Issuer is exposed under Pillar IIA. The Issuer uses its internal models as well as expert judgement and PRA benchmark models (where appropriate) to quantify whether the regulatory framework indicates that additional capital is needed.

CRD IV introduced a combined buffer that applies in addition to capital adequacy needs. For NWM Plc, the combined buffer consists of the capital conservation buffer and the countercyclical buffer.

The capital conservation buffer and the countercyclical buffer are designed to ensure that credit institutions accumulate a sufficient capital base over and above the Pillar I and Pillar IIA requirements during periods of economic growth to absorb losses during periods of stress. From 1 January 2019, the capital conservation buffer is 2.5 per cent of RWA. The countercyclical buffer requirement, which is set between 0 per cent and 2.5 per cent, is calculated as a weighted average of the national buffers in effect in the jurisdictions in which a bank has credit exposures. The determination of national buffers is made by host regulators, primarily informed by assessments of national GDP performance. Breaches of the Issuer's combined buffer requirement would result in regulatory restrictions on capital distributions, including the payment of dividends, payments on Additional Tier 1 capital instruments and variable remuneration.

The Financial Stability Board makes an annual assessment of each financial institution to determine whether it should be considered a Global Systemically Important Bank ('**G-SIB**') based on methodology developed by the Basel Committee on Banking Supervision. If designated as a G-SIB, a bank would be required to hold an additional capital buffer. NWM did not meet the requirements to be classified as a G-SIB and therefore it does not hold a G-SIB buffer. The PRA uses its discretion allowable within the European Banking Authority framework to designate some UK entities that would otherwise not be considered as G-SIBs to be classified as such (often referred to as **D-SIBs**). NWM Plc is not considered a G-SIB or a D-SIB.

The table below summarises the minimum capital requirements as at 31 December 2024 as a percentage of RWAs that the Issuer is expected to maintain exclusive of the Pillar IIA requirement. The Pillar IIA requirement is not disclosed publicly by the Issuer.

Type	CET1	Total Tier 1	Total capital
Minimum capital requirements (CRR)	4.5%	6.0%	8.0%
Capital conservation buffer	2.5%	2.5%	2.5%
Countercyclical capital buffer (1).....	1.0%	1.0%	1.0%
Total (excluding Pillar IIA add-on) (2)	8.0%	9.5%	11.5%

- (1) The institution specific countercyclical capital buffer requirement is based on the weighted average of geographical exposures. The Financial Policy Committee ('FPC') increased UK countercyclical capital buffer rate from 1 per cent to 2 per cent in July 2023. Foreign exposures may be subject to different countercyclical capital buffer rates dependent on the rate set in those jurisdictions. The capital conservation buffer and the countercyclical capital buffer are required to be met with CET1 capital only.
- (2) In addition, NWM Plc is subject to Pillar 2A requirements, which are not disclosed publicly.

Capital Planning

General

NWM Group's capital planning takes into account both short- and long-term horizons in order to give the Board of Directors a comprehensive view of current and future capital levels. Capital plans are produced for the regulated entities, NWM Plc and its subsidiaries NWM N.V. and NWMSI. The capital plan includes a forecast of NWM Group's expected capital performance based on budgets, 12-month rolling forecast, and takes pending regulation into account when future capital requirements are assessed. NWM Group also uses stress tests in its internal capital planning and compliance with regulatory capital requirements.

NWM Plc's capital plans are produced and updated by the bank on a monthly basis. This process includes integration into NatWest Group's wider annual budgeting process. Capital planning is one of the tools that NWM Group uses to monitor and manage capital adequacy risk on a going and gone concern basis, including the risk of excessive leverage.

NWM Group's capital planning process is summarised below:

Produce capital plans	• A capital plan is produced for NWM Plc using a five-year planning horizon under expected and stress conditions. Stressed capital plans are produced to support internal stress testing through the ICAAP or for regulatory purposes. • A shorter term rolling 12-month forecast is updated frequently in response to actual performance, changes in internal and external business environment and to manage risks and opportunities.
Assess capital adequacy	• Capital plans are developed to ensure that capital of sufficient quantity and quality is planned to be available to support NWM Group's business and strategic plans over the planning horizon within approved risk appetite, as determined via stress testing, and minimum regulatory requirements. • Impact assessment captures input from across NWM Group including from businesses.
Inform capital actions	• Capital planning informs potential capital actions including managing capital through new issuance, redemptions or internal transactions. • Decisions on capital actions will be influenced by strategic and regulatory requirements, the cost and prevailing market conditions. • As part of capital planning, NWM Group will monitor its portfolio of capital securities and assess the optimal blend.

Stress Tests

Stress testing is a key risk management tool and a fundamental component of the Issuer's approach to capital management. It is used to quantify, evaluate and understand the potential impact of specified changes to risk factors on the financial strength of the Issuer, including its capital position. A macroeconomic scenario which specifies a hypothetical future state of the world is translated into risk drivers and used to test the business model.

The results of both internal and regulatory stress tests show that NWM Plc and its consolidated subsidiaries are robust in the event of unfavourable economic developments in the selected stress test scenarios.

Internal Stress Tests

Stress testing is a key risk management tool and a fundamental component of the Issuer's approach to risk and capital management. It is used to quantify, evaluate and understand the potential impact of specified changes to risk factors on the financial strength of the Issuer, including its capital position. Stress testing includes:

- Scenario testing, which examines the impact of a hypothetical future state to define changes in risk factors; and
- Sensitivity testing, which examines the impact of an incremental change to one or more risk factors.

When the Issuer uses stress tests in its capital planning, it identifies Bank-specific vulnerabilities and risks, defines scenarios that examine those risks and assesses the impact of the scenario on income, costs and risk exposures held. Stressing income and costs affect the Issuer's capital, while stressing risk exposures affect its capital adequacy requirements. Scenario results are used to inform the Issuer's business and capital plans.

The Issuer uses stress testing in its annual ICAAP for the purpose of projecting its capital adequacy in a range of unfavourable scenarios and as an essential part of the Issuer's capital planning. The ICAAP is used to form a view of capital adequacy separately to the minimum regulatory requirements. The ICAAP is used by the PRA to make an assessment of NWM Plc's specific capital requirements through the Pillar II framework. NWM N.V. submits an ICAAP to its regulator, DNB.

The Issuer also conducts ‘**Reverse Stress Testing**.’ This examines circumstances that can lead to specific defined outcomes such as business failure. Reverse Stress Testing starts from an outcome of business failure and identifies scenarios and circumstances where this might occur. Reverse Stress Testing allows the Issuer to examine potential vulnerabilities in its business model more fully.

Regulatory Stress Tests

The Issuer’s parent, NatWest Group plc, takes part in a number of external stress tests which the Issuer supports, including the BoE’s annual solvency stress test. The requirements for these stress tests do not extend to the Issuer. However, NWM Plc provides support to its parent in conducting enterprise-wide stress tests.

Leverage Ratio

The leverage ratio represents a non-risk-adjusted capital requirement implemented to serve as a further backstop measure for risk-based capital. Since January 2014, CRD IV rules have required that a credit institution calculate, monitor and report on its leverage ratio (defined as Tier 1 capital as a percentage of total exposure). The PRA and FPC released their UK leverage framework update in October 2021 (PS 21//21) and outlined requirements for material UK entities. The issuer has been subject to a leverage ratio minimum requirement from 2023 as implemented under the UK framework with its risk appetite and planning targets set on this basis.

The following table sets forth certain information with respect to NWM Group’s leverage ratio as at the dates indicated.

Leverage	31 December 2024	31 December 2023	31 December 2022
Tier 1 capital (£m)	5,067	4,455	4,361
PRA UK leverage exposure (£m)	92,859	89,929	81,083
PRA UK leverage ratio (%)	5.5	5.0	5.4

Derivative Instruments

NWM Group applies hedge accounting to reduce the accounting mismatch caused in the income statement by using derivatives to hedge the following risks: interest rate, foreign exchange and the foreign exchange risk associated with net investment in foreign operations.

NWM Group’s interest rate hedging relates to the management of NWM Group’s non-trading structural interest rate risk, caused by the mismatch between fixed interest rates and floating interest rates on its financial instruments. NWM Group manages this risk within approved limits. Residual risk positions are hedged with derivatives, principally interest rate swaps.

Suitable larger fixed rate financial instruments are subject to fair value hedging in line with documented risk management strategies.

Cash flow hedges of interest rate risk relate to exposures to the variability in future interest payments and receipts due to the movement of interest rates on forecast transactions and on financial assets and financial liabilities. This variability in cash flows is hedged by interest rate swaps, which convert variable cash flows into fixed. For these cash flow hedge relationships, the hedged items are actual and forecast variable interest rate cash flows arising from financial assets and financial liabilities with interest rates linked to the relevant interest rates, most notably SOFR, EURIBOR, European Central Bank deposit rate, SONIA and the Bank of England Official Bank Rate. The variability in cash flows due to movements in the relevant interest rate is hedged; this risk component is identified using the risk management systems of NWM Group and encompasses the majority of cash flow variability risk.

Fair value hedges of interest rate risk involve interest rate swaps transforming the fixed interest rate risk in financial assets and financial liabilities to floating. The hedged risk is the risk of changes in the hedged item’s fair value attributable to changes in the interest rate risk component of the hedged item. The significant interest rates

identified as risk components are SOFR, EURIBOR and SONIA. These risk components are identified using the risk management systems of NWM Group and encompass the majority of the hedged item's fair value risk.

NWM Group hedges the exchange rate risk of its net investment in foreign currency denominated operations with currency borrowings and forward foreign exchange contracts. NWM Group reviews the value of the investments' net assets, executing hedges where appropriate to reduce the sensitivity of capital ratios to foreign exchange rate movement. Hedge accounting relationships will be designated where required. Exchange rate risk also arises in NWM Group where payments are denominated in currencies other than the functional currency. Residual risk positions are hedged with cross currency basis swaps, fixing the exchange rate the payments will be settled in. The derivatives are documented as cash flow hedges.

For all cash flow hedging, fair value hedge relationships and net investment hedging, NWM Group determines that there is an economic relationship between the hedged item and hedging instrument via assessing the initial and ongoing effectiveness by comparing movements in the fair value of the expected highly probable forecast interest cash flows/fair value of the hedged item attributable to the hedged risk with movements in the fair value of the expected changes in cash flows from the hedging instruments. The method used for comparing movements is either regression testing or the dollar offset method. The method for testing effectiveness and the period over which the test is performed depends on the applicable risk management strategy and is applied consistently to each risk management strategy. Hedge effectiveness is assessed on a cumulative basis and the determination of effectiveness is in line with the requirements of IAS39.

NWM Group uses either the actual ratio between the hedged item and hedging instrument(s) or one that minimises hedge ineffectiveness to establish the hedge ratio for hedge accounting. Hedge ineffectiveness is measured in line with the requirements of IAS39 and recognised in the income statement as it arises.

	NWM Group								
	2024			2023			2022		
	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities
	£bn	£m	£m	£bn	£m	£m	£bn	£m	£m
Exchange rate contracts	3,261	40,492	40,291	3,109	34,208	33,364	3,145	45,821	44,938
Interest rate contracts	9,773	37,502	31,510	9,689	44,943	38,292	10,356	54,097	48,372
Credit derivatives	13	111	235	16	181	325	15	236	275
Equity and commodity contracts	—	—	—	—	—	—	—	—	—
	<u>13,047</u>	<u>78,105</u>	<u>72,036</u>		<u>79,332</u>	<u>71,981</u>		<u>100,154</u>	<u>93,585</u>

As at 31 December 2024, NWM Group's derivative assets amounted to £78,105 million, a decrease of £1,227 million, or 2 per cent, as compared to £79,332 million as at 31 December 2023. The decrease in mark-to-market value largely reflected FX rate volatility across major currencies including the strengthening of the US dollar in the fourth quarter of 2024 and variations in interest rates across different currencies and tenors.

As at 31 December 2024, NWM Group's derivative liabilities amounted to £72,036 million, an increase of £55 million, or 0 per cent, as compared to £71,981 million as at 31 December 2023. The increase in mark-to-market value largely reflected FX rate volatility across major currencies including the strengthening of the US dollar in the fourth quarter of 2024 and variations in interest rates across different currencies and tenors.

Material Contracts

Revenue Share Agreements

NWM Group continues to provide access to markets products and services for the NatWest Group's ring-fenced sub-group and is party to a series of Revenue Share Agreements with certain Revenue Sharing Entities. The Revenue Share Agreements reflect the provision of products and services across NWM Group's Rates, Currencies and Financing products to customers that have their primary banking relationship with the Revenue Sharing Entities. The allocation of income from customers that have their primary banking relationship with the Revenue Sharing Entities across the relevant counterparties within NatWest Group is referred to as 'revenue share.' This operating model reflects NatWest Group plc's UK ring-fencing design to locate the entirety of its markets activity within NWM Group, and for customers from other Revenue Sharing Entities to be referred to NWM Group for risk

management and financing products. UK ring-fencing legislation and tax legislation dictates that all transactions with these entities are established on an arm's-length basis. Accordingly, the Revenue Share Agreements have been prepared on this basis. For further information, please see 'Operating and Financial Review—Primary Factors Affecting NWM Group's Results of Operations—Relationship with NatWest Group—Revenue Share Agreements.'

Profit Share Arrangement

In 2023 NWM Group entered into a profit share arrangement with fellow NatWest Group subsidiaries, pursuant to which NWM Group will be compensated on an arm's length basis for its contribution to the performance of the NatWest Group Commercial & Institutional business segment, of which NWM Group forms part. The amount recognised in income for 2024 in relation to the Profit Share Arrangement was £146 million.

Critical Accounting Policies and Key Accounting Estimates

The reported results of NWM Group are sensitive to the accounting policies, assumptions and estimates that underlie the preparation of its financial statements. The accounting standards used in the preparation of the financial statements require the directors, in preparing NWM Group's financial statements, to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent. In the absence of accounting guidance, standards used in the preparation of the financial statements require the directors to develop and apply an accounting policy that results in relevant and reliable information in the light of the requirements and guidance in IFRS dealing with similar and related issues and the IASB's 'Conceptual Framework for Financial Reporting'. The judgements and assumptions involved in NWM Group's accounting policies that are considered by the Board to be the most important to the portrayal of its financial condition are noted below. The use of estimates, assumptions or models that differ from those adopted by NWM Group would affect its reported results.

How climate risk affects NWM Group's accounting judgements and estimates

Business planning

Key financial estimates are based on management's latest five-year revenue and cost forecasts. The outputs from this forecast affect forward-looking accounting estimates. Measurement of deferred tax and expected credit losses are highly sensitive to reasonably possible changes in those anticipated conditions. In 2024, NWM Group's scenario planning was enhanced by the further integration of NatWest Group's climate transition plan, including the assessment of climate-related risks and opportunities. NWM Group's climate transition plan includes an assessment of:

- changes in products, services and business operations to support customer transition towards net zero;
- financial impacts of supporting customer transition, including investment required. The linkage between NWM Group's financial plan and its climate transition plan will continue to be developed and refreshed annually as part of the financial planning cycle; and
- the climate impact of policies, using the UK CCC Balanced Net Zero ('BNZ') pathway scenario, aligned with the UK's Sixth Carbon Budget. In addition, NWM Group have used the credibility ratings for sectoral policies provided by the UK CCC 2023 Progress Report, published in July, to the Parliament to develop a BNZ adjusted pathway to reflect estimated time delays of these policies.

There remains considerable uncertainty regarding this policy response, including the effect of wider geopolitical uncertainty on governmental ambitions regarding climate transition and the effect of decarbonisation on wider economic growth, technology development and customer behaviours.

Information used in other accounting estimates

NWM Group make use of reasonable and supportable information to make accounting judgements and estimates. This includes information about the observable effects of the physical and transition risks of climate change on the current creditworthiness of borrowers, asset values and market indicators. Many of the effects arising from climate change will be longer term in nature, with an inherent level of uncertainty, and have limited effect on accounting judgements and estimates for the current period. Some physical and transition risks can manifest in the shorter term. The following items represent the most significant effects:

- The classification of financial instruments linked to climate, or other sustainability indicators. Consideration is given to whether the effect of climate-related terms prevent the instrument cashflows being solely payments of principal and interest; and
- The use of market indicators as inputs to fair value is assumed to include current information and knowledge regarding the effect of climate risk.

Critical accounting policies

The judgements and assumptions involved in NWM Group's accounting policies that are considered by the Board to be the most important to the portrayal of its financial condition are noted below. The use of estimates, assumptions or models that differ from those adopted by NWM Group would affect its reported results. Management's consideration of uncertainty is outlined in the relevant sections of this document, including the ECL estimate in the Risk and capital management section.

Information used for significant estimate

Policy	Judgement	Estimate	Further information
Deferred tax	Determination of whether sufficient sustainable taxable profits will be generated in future years to recover the deferred tax asset.	NWM Group's estimates are based on the five-year revenue and cost forecasts (which include inherent uncertainties).	Note 7 to the 2024 Financial Statements
Fair value – financial instruments	Classification of a fair value instrument as level 3, where the valuation is driven by unobservable inputs.	Estimation of the fair value, where it is reasonably possible to have alternative assumptions in determining the fair value.	Note 10 to the 2024 Financial Statements
Provisions for liabilities and charges	Determination of whether a present obligation exists in respect of customer redress, litigation and other regulatory, property and other provisions. Legal proceedings often require a high degree of judgement and these are likely to change as the matter progresses.	Provisions remain sensitive to the assumptions used in the estimate. NWM Group considers a wide range of possible outcomes. It is often not practical to meaningfully quantify ranges of possible outcomes, given the uncertainties involved.	Note 20 to the 2024 Financial Statements

Changes in judgements and assumptions could result in a material adjustment to those estimates in future reporting periods.

Deferred tax

Deferred tax is the estimated tax expected to be payable or recoverable in respect of temporary differences between the carrying amount of an asset or liability for accounting purposes and the carrying amount for tax purposes in the future. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent their recovery is probable.

Deferred tax is calculated using tax rates expected to apply in the periods when the assets will be realised or the liabilities settled, based on tax rates and laws enacted, or substantively enacted, at the balance sheet date.

Deferred tax asset recoverability is based on the level of supporting offsetable deferred tax liabilities NWM Group has and of its future taxable profits. These future taxable profits are based on NWM Group's five-year revenue and cost forecasts and the expectation of long-term economic growth beyond this period. The five-year forecast takes account of management's current expectations of competitiveness and profitability. The long-term growth rate reflects external indicators which will include market expectations on climate risk. NWM Group does not consider any additional adjustments to this indicator.

Fair value – financial instruments

NWM Group measures financial instruments at fair value when they are classified as mandatory fair value through profit or loss; held-for-trading; designated fair value through profit or loss and fair value through other comprehensive income and they are recognised in the financial statements at fair value. All derivatives are measured at fair value.

NWM Group manages some portfolios of financial assets and financial liabilities based on its net exposure to either market or credit risk. In these cases, the fair value is derived from the net risk exposure of that portfolio with portfolio level adjustments applied to incorporate bid-offer spreads, counterparty credit risk, and funding costs (see ‘*Valuation Adjustments*’ in Note 10 to the 2024 Financial Statements).

Where the market for a financial instrument is not active, fair value is established using a valuation technique. These valuation techniques involve a degree of estimation, the extent of which depends on the instrument’s complexity and the availability of market-based data. The complexity and uncertainty in the financial instrument’s fair value is categorised using the fair value hierarchy.

The use of market indicators as inputs to fair value is assumed to include current information and knowledge regarding the effect of climate risk.

Provisions

NWM Group recognises a provision for a present obligation resulting from a past event when it is more likely than not that it will be required to pay to settle the obligation and the amount of the obligation can be estimated reliably.

Provision is made for restructuring costs, including the costs of redundancy, when NWM Group has a constructive obligation. An obligation exists when NWM Group has a detailed formal plan for the restructuring and has raised a valid expectation in those affected either by starting to implement the plan or by announcing its main features.

NWM Group recognises any onerous cost of the present obligation under a contract as a provision. An onerous cost is the unavoidable cost of meeting NWM Group’s contractual obligations that exceed the expected economic benefits. When NWM Group intends to vacate a leasehold property or right of use asset, the asset would be tested for impairment and a provision may be recognised for the ancillary contractual occupancy costs.

Future Accounting Developments

A number of IFRS changes will affect NWM Group and enter into effect on 1 January 2026 and 1 January 2027, as described below.

Effective 1 January 2026:

- Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7 – Issued May 2024).

Effective 1 January 2027:

- Presentation and Disclosures in Financial Statements (IFRS 18 – Issued April 2024); and
- Subsidiaries without Public Accountability (IFRS 19 – Issued May 2024).

NWM Group is assessing the effect of adopting these amendments on its financial statements but do not expect the effect to be material.

DESCRIPTION OF NWM GROUP

Overview

NWM Plc is a wholly owned subsidiary of NatWest Group plc, a banking and financial services group. NWM Group is a strategically important part of NatWest Group.

NWM Group provides liquidity, risk management, financing, and advisory services, principally to corporates, sponsors, financial institutions and sovereigns as well as customers of the broader NatWest Group.

The core business lines of NWM Group are:

- **Fixed Income.** A range of cash bond, repo and interest rate derivatives products with a focus on sterling, euros and U.S. dollars that support customers' financing and hedging needs, together with the provision of liquidity and credit trading capabilities for investment-grade and high-yield bonds and loans for both financial institutions and corporate issuers.
- **Currencies.** Offering FX spot, forwards, cross-currency swaps and options, as well as an FX prime service and FX digital solutions.
- **Capital Markets.** Access to global debt capital markets across a wide variety of products and target markets that include bonds, loans, commercial paper, medium-term notes, private placements, via bespoke financing solutions and primary lending products.

In addition to serving its own customers, NWM Group provides Fixed Income, Currencies and Capital Markets products to corporate, commercial, business and select retail clients of other NatWest Group entities. Revenue share arrangements are in place, pursuant to which a proportion of the income generated by NWM Group products from customers that have their primary relationship with other NatWest Group subsidiaries is shared between NWM Group and those subsidiaries. Approximately 22 per cent of NWM Group's total income for the year ended 31 December 2024 was sourced from customers referred to NWM Group by other NatWest Group entities, compared to 21 per cent for the year ended 31 December 2023.

NWM Group is focussed on leveraging technology and automation to add value for customers. NWM Group has developed digital self-service applications covering, among others, FX, rates, risk management, and international payments services. NWM's specialists across currencies, fixed income and capital markets offer content and ideas alongside market-leading economic insights in the key economies where its customers do business.

NWM Group's operations are centred around the UK, a market in which it has a strong positioning and a competitive value proposition. NWM Group targets customers in the UK and Europe and its activities in the US and the APAC region are focused on providing risk distribution capability and access to institutional clients in those regions. For the year ended 31 December 2024, 76 per cent (2023 - 78 per cent) of NWM Group's total income was generated in the UK and Europe, 17 per cent (2023 - 14 per cent) was generated in the US and 7 per cent (2023 - 8 per cent) was generated in the rest of the world. See '*—Geographic Footprint*' for further details.

As further discussed under '*—NWM Group's History and Development*,' in the year ended 31 December 2018 NatWest Group restructured its group legal entities and business model to meet the requirements of UK ring-fencing legislation. Following this, NWM Plc became the principal holding and operating company for NatWest Group's operations outside the ring-fence and NWM Group's business, operations and financial condition cannot be compared to its business, operations and financial condition prior to the implementation of the UK ring-fencing regime. The implementation of the UK ring-fencing regime had a material impact on NWM Group's operational footprint, balance sheet composition, funding strategy, capital requirements and credit ratings. Accordingly, NWM Group adapted its strategy and business model and adopted new processes and structures for, among other things, financial reporting, risk management and corporate governance and has also implemented a shared services model with the ring-fenced entities for certain other services.

In 2022, NatWest Group brought together its Commercial Banking, NatWest Markets and RBS International businesses to form a single segment, Commercial & Institutional, with common management and objectives to best support its customers across the full non-personal customer lifecycle.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

In addition, NWM Group's climate strategy is designed to support NatWest Group's climate ambition and is focused on helping customers achieve their climate goals by supporting their transition to a low carbon economy while managing NWM Group's own operations with respect to carbon emissions.

The following metrics have been set for NWM Plc in the medium-term and supersede all prior guidance:

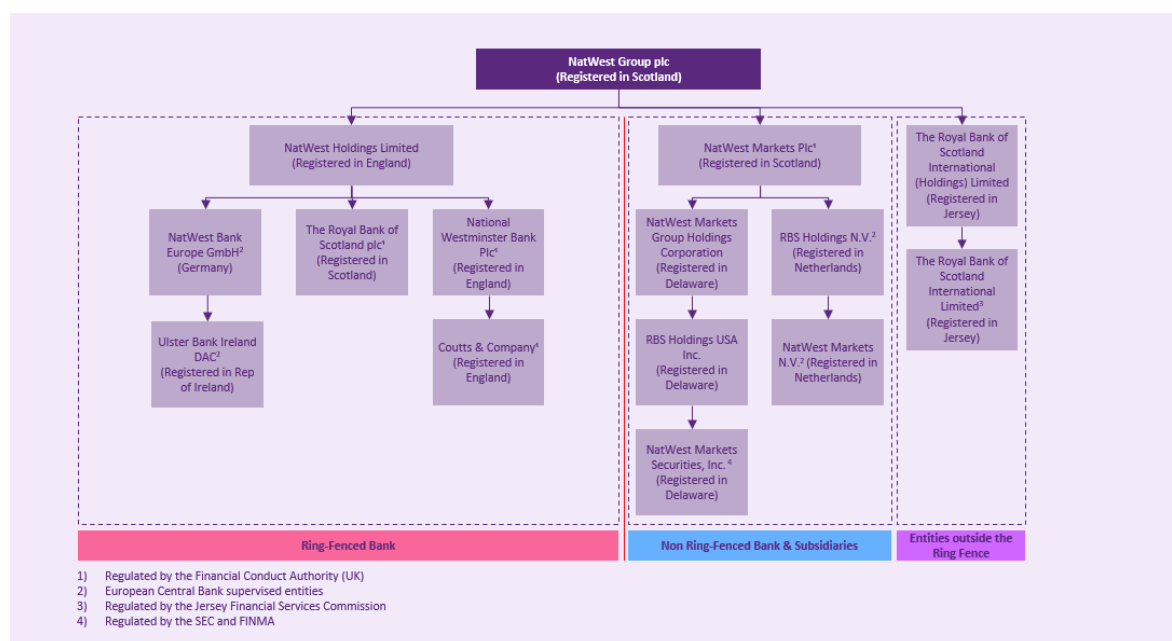
Metric	Estimate
CET 1 ratio ⁽¹⁾	~14%
MREL ratio ⁽¹⁾⁽²⁾	>30%
Leverage ratio	>4%

- (1) CET 1 stands for Common Equity Tier 1 capital and MREL refers to the minimum requirement for own funds and eligible liabilities.
- (2) Includes total regulatory capital, non-eligible capital and downstreamed internal MREL.

NWM Group's History and Development

NWM Plc is a public limited company incorporated in Scotland on 31 October 1984 with registration number SC090312. Prior to the implementation of the ring-fencing regime, NWM Plc was named RBS Plc and was NatWest Group's principal operating subsidiary, holding, directly or indirectly, the majority of the assets and operations of NatWest Group as intermediate holding company.

The chart below represents the current simplified organisational structure of NatWest Group:



NatWest Group, which is classified by the ECB as a 'third-country group' with two or more subsidiary banking institutions in the EU, was authorised by the ECB to establish a dual IPU structure on behalf of its European subsidiaries. To that effect, RBSH N.V., a wholly-owned subsidiary of NWM Plc, was designated to act as the IPU outside of the NatWest Group ring-fenced sub-group and is subject to ECB supervision since 1 January 2024. In November 2023 the ECB confirmed that RBS Holdings N.V. and NWM N.V. were classified as a 'significant supervised group'. Relatedly, on 1 December 2023, RBSI DS's immediate parent company changed from RBSIH to RBSH N.V. following supervisory approval.

NWM Group's Products and Customers

NWM Group's Products

NWM Group provides liquidity and risk management services in its Currencies and Fixed Income businesses through a range of distribution channels. Through its Capital Markets business, NWM Group also provides integrated financing solutions and advisory services.

NWM Group seeks to build deep and sustainable relationships with its customers by providing relevant market colour, content and ideas to customers. NWM Group's specialists across Currencies, Fixed Income and Capital Markets offer industry and economic insights in the key economies where NWM Group's customers do business.

NWM Group focuses on the digitisation and automation of its services and offers a range of digital FX, fixed income, risk management and international payments options through NWM Group applications or APIs (application programme interfaces), including Agile Markets, FXmicropay and Rate Manager.

The suite of the products and services that are offered by NWM Group centre around NWM Group's business lines:

- **Fixed Income.** NWM Group has long-standing expertise in the fixed income markets and offers cash bond, repo and interest rate derivatives, with a focus on sterling, euros and US dollars, that supports its customers' financing and hedging needs. In addition, NWM Group provides liquidity and credit for investment-grade and high-yield bonds and loans for both financial institutions and corporate issuers. For the year ended 31 December 2024, income from Fixed Income represented 14 per cent of NWM Group's income including shared revenue before OCA (2023 – 14 per cent).
- **Currencies.** NWM Group is an award-winning foreign exchange service provider offering FX spot, forwards, cross-currency swaps and options, as well as an FX prime service and FX digital solutions. For the year ended 31 December 2024, income from Currencies products represented 39 per cent of NWM Group's income including shared revenue before OCA (2023 - 45 per cent).
- **Capital Markets.** NWM Group helps customers to access global debt capital markets across a wide variety of products and target markets, including bonds, loans, commercial paper, medium-term notes ('MTNs'), private placements, as well as via bespoke financing solutions and primary lending products. NWM Group also provides customers with thought leadership, advice and products to support their climate and ESG strategies through its ESG and Climate capital markets platform. For the year ended 31 December 2024, income from Capital Markets products represented 50 per cent of NWM Group's income including shared revenue before OCA (2023 - 42 per cent).

Customer Segments and Ownership

NWM Group is focused on its core corporate and institutional customers. As part of NatWest Group, NWM Group also provides Fixed Income, Currency and Capital Markets products to corporate, commercial, business and select retail clients of other NatWest Group entities. As such, NWM Group as the non-ring-fenced bank entity and NatWest Group entities inside the ring-fence continue to work together to deliver an integrated products and services proposition for relevant NatWest Group customers.

Revenue share arrangements are in place, pursuant to which a proportion of the income generated by NWM Group products from customers that have their primary relationship with other NatWest Group subsidiaries is shared between NWM Group and those subsidiaries. NWM Group and these other NatWest Group entities follow an integrated customer-planning approach to maximise connectivity, which includes customer account planning, allocation decision-making, and opportunity identification. Ring-fence legislation has dictated that all transactions with these entities are established on an arm's-length, third-party basis. See also, '*Operating and Financial Review—Primary Factors Affecting NWM Group's Results of Operations—Relationship with NatWest Group—Revenue Share Agreements.*'

NWM Group's customer base is split into four customer segments:

- Financial Institutions, for which NWM Group owns the client relationship;

- Corporates, for which the NatWest Group ring-fenced sub-group generally owns the client relationship and for which NWM Group delivers markets products, with the exception of relationships with Western European corporates, where client coverage primarily resides in NWM Group;
- Commercial Mid-Market customers, for which the NatWest Group ring-fenced sub-group owns the client relationship and for which NWM Group delivers select markets products; and
- Business Banking customers, for which the NatWest Group ring-fenced sub-group owns the client relationship and for which NWM Group delivers select markets products.

The creation in 2022 of the NatWest Group C&I segment, of which NWM Group forms part, brought together the previously separate Commercial, NatWest Markets and RBS International customer businesses of NatWest Group. This segment aims to deliver a more integrated customer proposition and improved connectivity across entities in the NatWest Group.

NWM Group's Strategy

NWM Group supports NatWest Group's strategic framework of becoming a vital and trusted partner to its customers. It unites its ambition and purpose and is delivered by three clear strategic priorities. These enable NWM Group to succeed with customers and deliver sustainable shareholder value:

- Disciplined growth will attract new customers and deepen relationships.
- Bank-wide simplification will build a 'future-fit' platform, culture and operating systems to enable even greater impact.
- Active balance sheet and risk management will enable NWM Group to leverage its balance sheet and deliver within its existing risk profile.

NWM Group has an important role in delivering this strategy by connecting NatWest Group's corporate and institutional customers with international capital markets and helping them to manage their financing and risk management needs. NWM Group continues to simplify its operating model and allocate capital towards supporting NatWest Group's customers' needs and increasing its focus on digital solutions.

NWM Plc aligns itself to NatWest Group's strategy as part of the Commercial & Institutional segment.

Disciplined Growth

NWM Group will aim to be more customer-centric and develop a greater focus on specialisms, by tailoring services to meet the specific needs of clients in areas such as UK Debt Capital Markets. Additionally, it will enhance its competitive edge where it competes against global investment banks and creates relevance with customers as a multi-specialist provider recognised for deep expertise that customers value.

In addition to supporting its own customers, NWM Group also supports NatWest Group's business customers by providing them with capital markets expertise and thought leadership in areas across its Fixed Income, Currencies and Capital Markets offering. The creation by NatWest Group of the C&I segment, of which NWM Group forms part, has continued to enhance NWM Group's ability to work across NatWest Group to deliver on opportunities from referrals from other entities within the NatWest Group, including to support revenue growth.

In 2024, NWM Group continued to focus on anticipating its customers' needs and providing excellent customer service and execution. NWM Group's support with financing and risk solutions has been recognised by a number of industry awards including:

- 'World's Best FX Prime Brokerage' and 'UK's Best FX Bank' for the fifth consecutive year at the Euromoney Foreign Exchange Awards 2024.
- 'Best Prime Broker' for the fourth consecutive year and 'Best e-FX solution for corporates' for the first time at the e-FX Awards 2024.

- ‘Best Foreign Exchange Bank in the UK’ for the fifth consecutive year at the Global Finance 2024 Awards.
- ‘Most Impressive Corporate MTN Dealer’, which recognised performance in the international bond markets at the Global Capital Bond Awards 2024.
- ‘Best ESG SSA Bookrunner/Dealer’, ‘Best FIG MTN Private Placement Dealer’ and ‘Best GBP Bookrunner/Dealer’ at the CMD Portal 2024 Awards.
- ‘Lead manager of the year, green bonds – financial institution’ and ‘Lead manager of the year, social bonds – supranational, sub-sovereign and agency’ at the Environmental Finance’s Bond Awards 2024.

NWM Group has continued to support its customers’ transition to net zero as well as their broader ESG ambitions and targets. In 2024, NWM Group completed £17.7 billion of climate and sustainable funding and financing, contributing a cumulative £48.1 billion towards the NatWest Group target to provide £100 billion of climate and sustainable funding and financing between 1 July 2021 and the end of 2025.

Bank-wide simplification

NWM Group intends to simplify products and services to clients so it can provide an improved customer experience and benefits at lower cost. It will also continue to develop a simpler, more technology-focused operating model for greater agility and scalability, modernise and simplify core platforms, and improve colleague productivity by streamlining governance and resources.

Active balance sheet and risk management

NWM Group will aim to be more agile in the way that it deploys capital to customers who need its support and where NWM Group can most effectively use it, allocating capital dynamically and decisively. NWM Group will also continue to build risk management capabilities, broaden distribution capabilities, and improve returns through disciplined continuous review. This includes focusing on serving core NWM Group customers, as well as large- / mid-corporate customers across NatWest Group’s C&I segment. Capital is therefore intended to be deployed towards activities supporting NWM Group’s and NatWest Group’s corporate and institutional customers. Through the effective use of capital NWM Group sought to reduce risk-weighted assets (RWAs) on the one hand, while redeploying capital to its growth areas on the other hand.

Competitive Position and Main Markets

NWM Group works in close collaboration with teams across NatWest Group to provide full-service risk management, trading and debt financing solutions to both financial institutions and UK, European, and US corporate customers. It operates in a highly competitive market with large UK domestic banks, a number of investment banks and universal banks that offer combined investment and commercial banking capabilities.

Competitive dynamics intensified across the principal markets NWM Group in during 2024 as the capital markets backdrop improved and peers looked to capture opportunities. However, corporate and investment banks continued to face heightened geopolitical risks, elevated interest rates and changing financial regulation. Against this backdrop, peers responded with measures to improve operational efficiency, implementing new technology, including the adoption of AI and machine learning to better manage risk and personalise banking services, and increasing focus on their ESG offerings.

In 2024, DCM sentiment turned more positive, with inflation steadying and central banks starting to cut interest rates. This led to refinancing volumes increasing on favourable market conditions. FICC divisions of NWM Group delivered a robust yearly performance with increased client activity and elevated volatility driving up broad FICC and equity markets trading volumes.

The strategy NWM Group has developed over the years is designed to ensure that NWM Group is well positioned to respond to evolving threats from other players in the banking market during 2024. Furthermore, its expertise in climate finance, ESG advisory, fixed income, FX and its debt capital markets proposition continued to support customers’ core risk-management needs and provide capabilities from advisory, execution and distribution, to secondary market liquidity.

Geographic Footprint

NWM offers its customers global market access, providing them with trading, risk management and financing solutions through its trading and sales operations in Amsterdam, London, Singapore and Stamford, and sales offices across key locations in the UK, EU, US and APAC.

NWM Plc maintains the following geographic footprint:

- UK & Western Europe: NWM Plc has its primary trading and origination hub in London whilst NWM N.V. operates its trading and sales operations in Amsterdam and branches in select EEA locations to provide continuity of services for its European customers;
- Asia: Trading and sales origination hub based in Singapore with sales offices supporting risk distribution and access to investor capital in Tokyo and Hong Kong; and
- US: NatWest Markets Securities Inc. ('**NWMSI**'), its broker-dealer in Stamford, provides access to US capital markets and USD products.

For the year ended 31 December 2024, 76 per cent (2023 - 78 per cent) of NWM Group's total income was generated in the UK and Europe, 17 per cent (2023 - 14 per cent) was generated in the US and 7 per cent (2023 - 8 per cent) was generated in the rest of the world. In the US and APAC region, NWM Group provides customers mainly with risk management solutions but only has a limited customer business in primary markets.

The geographical analysis in the tables below has been compiled on the basis of location of office where the transactions are recorded.

In December 2024, NatWest Group decided that it would further simplify its operating model in Europe by designating NWM N.V. as the primary European corporate and institutional customer-facing entity of NatWest Group, subject to regulatory approval. It is currently intended that this change will be made by a measured transition of NatWest Bank Europe GmbH assets and certain personnel to NWM N.V., and potentially transfers of some assets of NatWest Bank Europe GmbH to third parties.

	2024				
	UK £m	USA £m	Europe £m	ROW £m	Total £m
Total revenue	2,725	297	625	91	3,738
Interest receivable.....	2,238	32	438	12	2,720
Interest payable.....	(1,900)	(63)	(323)	(2)	(2,288)
Fees and commissions receivable....	73	134	213	56	476
Fees and commissions payable.....	(161)	(26)	(25)	(1)	(213)
Income from trading activities.....	414	135	13	23	585
Other operating income	–	(4)	(39)	–	(43)
Total income.....	664	208	277	88	1,237
Operating (loss)/profit before tax	(195)	75	112	45	37
Total assets	123,458	25,793	32,984	931	183,166
Total liabilities.....	128,675	23,495	23,449	618	176,237
Contingent liabilities and commitments	8,356	–	6,453	1	14,810

	2023				
	UK £m	USA £m	Europe £m	ROW £m	Total £m
Total revenue	2,273	167	545	90	3,075
Interest receivable.....	1,729	39	406	12	2,186
Interest payable.....	(1,548)	(1)	(280)	(2)	(1,831)
Fees and commissions receivable....	68	72	180	57	377
Fees and commissions payable.....	(133)	(22)	(20)	–	(175)
Income from trading activities.....	394	66	(2)	19	477

	2023				
	UK £m	USA £m	Europe £m	ROW £m	Total £m
Other operating income	82	(10)	(39)	2	35
Total income.....	592	144	(245)	88	1,069
Operating (loss)/profit before tax	(235)	44	91	25	(75)
Total assets	119,783	23,724	32,539	1,871	177,917
Total liabilities.....	125,058	22,106	22,853	1,522	171,539
Contingent liabilities and commitments	8,732	–	6,717	21	15,470

Litigation and Regulatory Matters

NWM Plc and its subsidiary and associated undertakings (NWM Group) are party to various legal proceedings and are involved in, or subject to, various regulatory matters, including as the subject of investigations and other regulatory and governmental action ('Matters') in the United Kingdom (UK), the United States (US), the European Union (EU) and other jurisdictions.

NWM Group recognises a provision for a liability in relation to these Matters when it is probable that an outflow of economic benefits will be required to settle an obligation resulting from past events, and a reliable estimate can be made of the amount of the obligation.

In many of the Matters, it is not possible to determine whether any loss is probable, or to estimate reliably the amount of any loss, either as a direct consequence of the relevant proceedings and regulatory matters or as a result of adverse impacts or restrictions on NWM Group's reputation, businesses and operations. Numerous legal and factual issues may need to be resolved, including through potentially lengthy discovery and document production exercises and determination of important factual matters, and by addressing novel or unsettled legal questions relevant to the proceedings in question, before the probability of a liability, if any, arising can reasonably be estimated in respect of any Matter. NWM Group cannot predict if, how, or when such claims will be resolved or what the eventual settlement, damages, fine, penalty or other relief, if any, may be, particularly for Matters that are at an early stage in their development or where claimants seek substantial or indeterminate damages.

There are situations where NWM Group may pursue an approach that in some instances leads to a settlement agreement. This may occur in order to avoid the expense, management distraction or reputational implications of continuing to contest liability, or in order to take account of the risks inherent in defending or contesting Matters, even for those for which NWM Group believes it has credible defences and should prevail on the merits. The uncertainties inherent in all Matters affect the amount and timing of any potential economic outflows for both Matters with respect to which provisions have been established and other contingent liabilities in respect of any such Matter.

It is not practicable to provide an aggregate estimate of potential liability for NWM Group's Matters as a class of contingent liabilities.

The future economic outflow in respect of any Matter may ultimately prove to be substantially greater than, or less than, the aggregate provision, if any, that NWM Group has recognised in respect of such Matter. Where a reliable estimate of the economic outflow cannot be reasonably made, no provision has been recognised.

Other than those discussed below, NWM Group is not involved in any governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened) which may have, or have had during the 12 months preceding the date of this Registration Document, a significant effect on the financial position or profitability of NWM Group. NWM Group expects that in future periods, additional provisions and economic outflows relating to Matters that may or may not be currently known by NWM Group may be necessary, in amounts that may be substantial in some instances. Refer to Note 20 ('Other liabilities') to the 2024 Financial Statements for information on material provisions.

Matters which are, or could be, material, either individually or in aggregate, having regard to NWM Group, considered as a whole, in which NWM Group is currently involved are set out below. Information has been provided

on the procedural history of certain Matters, where NWM Group believes appropriate, to aid the understanding of the Matter.

For a discussion of certain risks associated with NWM Group's litigation, investigations and reviews, see '*Risk Factors—Legal, regulatory and conduct risk— NWM Group is exposed to the risks of various litigation matters, regulatory and governmental actions and investigations as well as remedial undertakings, the outcomes of which are inherently difficult to predict, and which could have an adverse effect on NWM Group.*'

Litigation

London Interbank Offered Rate (LIBOR) and other rates litigation

NWM Plc and certain other members of NatWest Group, including NatWest Group plc, are defendants in a number of claims pending in the United States District Court for the Southern District of New York (SDNY) with respect to the setting of USD LIBOR. The complainants allege that the NWM Group defendants and other panel banks violated various federal laws, including the US commodities and antitrust laws, and state statutory and common law, as well as contracts, by manipulating LIBOR and prices of LIBOR-based derivatives in various markets through various means.

The co-ordinated proceeding in the SDNY relating to USD LIBOR now includes one remaining class action, which is on behalf of persons who purchased LIBOR-linked instruments from defendants and bonds issued by defendants, as well as several non-class actions. The defendants in the co-ordinated proceeding have filed a summary judgment motion on the issue of liability, and briefing on that motion concluded in January 2025.

In March 2024, NWM Group companies reached an agreement to settle the USD LIBOR class action that asserted claims on behalf of lenders who made USD LIBOR based loans. The settlement amount, which was covered in full by an existing provision, has been paid and the settlement has now received final court approval.

The non-class claims filed in the SDNY include claims that the Federal Deposit Insurance Corporation ('FDIC') is asserting on behalf of certain failed US banks. In July 2017, the FDIC, on behalf of 39 of those failed US banks, commenced substantially similar claims against NWM Plc, NatWest Group plc and others in the High Court of Justice of England and Wales. The action alleges collusion with regard to the setting of USD LIBOR and that the defendants breached UK and European competition law, as well as asserting common law claims of fraud under US law. The defendant banks consented to a request by the FDIC for discontinuance of the claim in respect of 20 failed US banks, leaving 19 failed US banks as claimants. The trial is currently scheduled to commence in Q1 2026.

In addition to the USD LIBOR cases described above, there is a class action relating to derivatives allegedly tied to JPY LIBOR and Euroyen TIBOR, which was dismissed by the SDNY in relation to NWM Plc and other NatWest Group companies in September 2021. That dismissal is now the subject of an appeal to the United States Court of Appeals for the Second Circuit (US Court of Appeals).

Two other IBOR-related class actions involving NWM Plc, concerning alleged manipulation of Euribor and Pound Sterling LIBOR, were previously dismissed by the SDNY for various reasons. The plaintiffs' appeals in those two cases remain pending.

In August 2020, a complaint was filed in the United States District Court for the Northern District of California by several United States retail borrowers against the USD ICE LIBOR panel banks and their affiliates (including NatWest Group plc, NWM Plc, NatWest Markets Securities Inc. (NWMSI) and NWB Plc), alleging (i) that the very process of setting USD ICE LIBOR amounts to illegal price-fixing; and (ii) that banks in the United States have illegally agreed to use LIBOR as a component of price in variable retail loans. In September 2022, the district court dismissed the complaint. In December 2024, the United States Court of Appeals for the Ninth Circuit affirmed the district court's decision.

NWM Plc is also named as a defendant in a motion to certify a class action relating to LIBOR in the Tel Aviv District Court in Israel. NWM Plc filed a motion for cancellation of service outside the jurisdiction, which was granted in July 2020. The claimants appealed that decision and in November 2020 the appeal was refused and the claim dismissed by the Appellate Court. The claim could in future be recommenced depending on the outcome of an

appeal to Israel's Supreme Court in respect of the dismissal of the substantive case against banks that had a presence in Israel.

Foreign exchange litigation

NWM Plc, NWMSI and/or NatWest Group plc are defendants in several cases relating to NWM Plc's FX business.

In May 2019, a cartel class action was filed in the Federal Court of Australia against NWM Plc and four other banks on behalf of persons who bought or sold currency through FX spots or forwards between 1 January 2008 and 15 October 2013 with a total transaction value exceeding AUD 0.5 million. The claimant has alleged that the banks, including NWM Plc, contravened Australian competition law by sharing information, coordinating conduct, widening spreads and manipulating FX rates for certain currency pairs during this period. NatWest Group plc and NWMSI have been named in the action as 'other cartel participants', but are not respondents. The claim was served in June 2019 and NWM Plc filed its defence in March 2022. The court has ordered that potential class members are required to either opt out of the proceedings or register to be included in or benefit from any potential settlement of the claim. Directions have been made for the provision of evidence during 2025 and 2026.

In July and December 2019, two separate applications seeking opt-out collective proceedings orders were filed in the UK Competition Appeal Tribunal ('CAT') against NatWest Group plc, NWM Plc and other banks. Both applications were brought on behalf of persons who, between 18 December 2007 and 31 January 2013, entered into a relevant FX spot or outright forward transaction in the European Economic Area with a relevant financial institution or on an electronic communications network. In March 2022, the CAT declined to certify as collective proceedings either of the applications, which was appealed by the applicants, and the subject of an application for judicial review.

In its amended judgment in November 2023, the Court of Appeal allowed the appeal and decided that the claims should proceed on an opt-out basis. Separately, the court determined which of the two competing applicants can proceed as class representative, and dismissed the application for judicial review of the CAT's decision. The other applicant has discontinued its claim and withdrawn from the proceedings. The banks sought permission to appeal the Court of Appeal decision directly to the UK Supreme Court, which was granted in April 2024. The appeal is scheduled to be heard in April 2025.

Two motions to certify FX-related class actions were filed in the Tel Aviv District Court in Israel in September and October 2018, and were subsequently consolidated into one motion. The consolidated motion to certify, which names The Royal Bank of Scotland plc (now NWM Plc) and several other banks as defendants, was served on NWM Plc in May 2020. The applicants sought the court's permission to amend their motions to certify the class actions. NWM Plc filed a motion challenging the permission granted by the court for the applicants to serve the consolidated motion outside the Israeli jurisdiction. That NWM Plc motion remains pending. In February 2024, NWM Plc executed an agreement to settle the claim, subject to court approval. The settlement amount is covered in full by an existing provision.

In December 2021, a summons was served in the Netherlands against NatWest Group plc, NWM Plc and NWM N.V. by Stichting FX Claims on behalf of a number of parties, seeking declarations from the court concerning liability for anti-competitive FX market conduct described in decisions of the European Commission (EC) of 16 May 2019, along with unspecified damages. The claimant amended its claim to also refer to a 2 December 2021 decision by the EC, which described anti-competitive FX market conduct. NatWest Group plc, NWM Plc and other defendants contested the jurisdiction of the Dutch court. In March 2023, the district court in Amsterdam accepted that it has jurisdiction to hear claims against NWM N.V. but refused jurisdiction to hear any claims against the other defendant banks (including NatWest Group plc and NWM Plc) brought on behalf of the parties represented by the claimant that are domiciled outside of the Netherlands. The claimant is appealing that decision. The defendant banks have brought cross-appeals which seek a ruling that the Dutch court has no jurisdiction to hear any claims against the defendant banks domiciled outside of the Netherlands, irrespective of whether the claim has been brought on behalf of a party represented by the claimant that is domiciled within or outside of the Netherlands. The Amsterdam Court of Appeal has stayed these appeal proceedings until the Court of Justice of the European Union has answered preliminary questions that have been referred to it in another matter.

In September 2023, a second summons was served by Stichting FX Claims on NatWest Group plc, NWM Plc and NWM N.V., on behalf of a new group of parties. The claimant seeks declarations from the district court in

Amsterdam concerning liability for anti-competitive FX market conduct described in the above referenced decisions of the EC of 16 May 2019 and 2 December 2021, along with unspecified damages. NatWest Group plc, NWM Plc and other defendants are contesting the Dutch court's jurisdiction. The district court has stayed the proceedings pending judgment in the above-mentioned appeals.

In January 2025, a third summons was served by Stichting FX Claims on NatWest Group plc, NWM Plc and NWM N.V., on behalf of another new group of parties. The claimant seeks similar declarations from the district court in Amsterdam to those being sought in the above-mentioned claims, along with unspecified damages.

Certain other foreign exchange transaction related claims have been or may be threatened. NWM Group cannot predict whether all or any of these claims will be pursued.

Government securities antitrust litigation

Class action antitrust claims commenced in March 2019 were pending in the SDNY against NWM Plc, NWMSI and other banks in respect of Euro-denominated bonds issued by various European central banks (European government bonds or EGBs). The complaint alleged a conspiracy among dealers of EGBs to widen the bid-ask spreads they quoted to customers, thereby increasing the prices customers paid for the EGBs or decreasing the prices at which customers sold EGBs.

In March 2024, NWM Group companies reached an agreement to settle the class action. The settlement amount, which was covered in full by an existing provision, has been paid and the settlement has now received final court approval.

Swaps antitrust litigation

NWM Plc, NWMSI and NatWest Group plc, as well as a number of other interest rate swap dealers, are defendants in several cases pending in the SDNY alleging violations of the US antitrust laws in the market for interest rate swaps. There is a consolidated class action complaint on behalf of persons who entered into interest rate swaps with the defendants, as well as non-class action claims by three swap execution facilities (TeraExchange, Javelin, and trueEx). The plaintiffs allege that the swap execution facilities would have successfully established exchange-like trading of interest rate swaps if the defendants had not unlawfully conspired to prevent that from happening through boycotts and other means. Discovery in the non-class action claims is complete. In March 2024, NWM Group companies reached an agreement to settle the class action. The settlement amount has been paid into escrow pending final court approval of the settlement and was covered in full by an existing provision.

In June 2021, a class action antitrust complaint was filed against a number of credit default swap dealers, in New Mexico federal court on behalf of persons who, from 2005 onwards, settled credit default swaps in the United States by reference to the ISDA credit default swap auction protocol. The complaint alleges that the defendants conspired to manipulate that benchmark through various means in violation of the antitrust laws and the Commodity Exchange Act. The defendants filed a motion to dismiss the complaint and, in June 2023, such motion was denied as regards to NWMSI and other financial institutions, but granted as regards to NWM Plc on the ground that the court lacks jurisdiction over that entity. As a result, the case entered the discovery phase as against the non-dismissed defendants. In January 2024, the SDNY issued an order barring the plaintiffs in the New Mexico case from pursuing claims based on conduct occurring before 30 June 2014 on the ground that such claims were extinguished by a 2015 settlement agreement that resolved a prior class action relating to credit default swaps. The SDNY's decision is the subject of a pending appeal to the US Court of Appeals.

Odd lot corporate bond trading antitrust litigation

In July 2024, the US Court of Appeals vacated the SDNY's October 2021 dismissal of the class action antitrust complaint alleging that from August 2006 onwards various securities dealers, including NWMSI, conspired artificially to widen spreads for odd lots of corporate bonds bought or sold in the United States secondary market and to boycott electronic trading platforms that would have allegedly promoted pricing competition in the market for such bonds. The appellate court held that the district judge who made the decision should not have been presiding over the case because a member of the judge's family had owned stock in one of the defendants while the motion was pending. The defendants are now seeking dismissal by a different district court judge.

Spoofing litigation

In December 2021, three substantially similar class actions complaints were filed in federal court in the United States against NWM Plc and NWMSI alleging Commodity Exchange Act and common law unjust enrichment claims arising from manipulative trading known as spoofing. The complaints refer to NWM Plc's December 2021 spoofing-related guilty plea (described below under "US investigations relating to fixed-income securities") and purport to assert claims on behalf of those who transacted in US Treasury securities and futures and options on US Treasury securities between 2008 and 2018. In July 2022, the defendants filed a motion to dismiss these claims, which have been consolidated into one matter in the United States District Court for the Northern District of Illinois.

Madoff

NWM N.V. was named as a defendant in two actions filed by the trustee for the bankrupt estates of Bernard L. Madoff and Bernard L. Madoff Investment Securities LLC, in bankruptcy court in New York, which together seek to clawback more than US\$298 million that NWM N.V. allegedly received from certain Madoff feeder funds and certain swap counterparties. The claims were previously dismissed, but as a result of an August 2021 decision by the US Court of Appeals, they are now proceeding in the discovery phase in the bankruptcy court, where they have been consolidated into one action.

US Anti-Terrorism Act litigation

NWM N.V. and certain other financial institutions are defendants in several actions filed by a number of US nationals (or their estates, survivors, or heirs), most of whom are or were US military personnel, who were killed or injured in attacks in Iraq between 2003 and 2011. NWM Plc is also a defendant in some of these cases.

According to the plaintiffs' allegations, the defendants are liable for damages arising from the attacks because they allegedly conspired with and/or aided and abetted Iran and certain Iranian banks to assist Iran in transferring money to Hezbollah and the Iraqi terror cells that committed the attacks, in violation of the US Anti-Terrorism Act, by agreeing to engage in 'stripping' of transactions initiated by the Iranian banks so that the Iranian nexus to the transactions would not be detected.

The first of these actions, alleging conspiracy claims but not aiding and abetting claims, was filed in the United States District Court for the Eastern District of New York in November 2014. In September 2019, the district court dismissed the case, finding that the claims were deficient for several reasons, including lack of sufficient allegations as to the alleged conspiracy and causation. In January 2023, the US Court of Appeals affirmed the district court's dismissal of this case. The plaintiffs have now filed a motion in the district court to re-open the case to assert aiding and abetting claims that they previously did not assert, which the defendants are opposing. Another action, filed in the SDNY in 2017, which asserted both conspiracy and aiding and abetting claims, was dismissed by the SDNY in March 2019 on similar grounds as the first case, but remains subject to appeal to the US Court of Appeals.

Other follow-on actions that are substantially similar to those described above are pending in the same courts.

1MDB litigation

A Malaysian court claim was served in Switzerland in November 2022 by 1MDB, a Sovereign Wealth Fund, in which Coutts & Co Ltd was named, along with six others, as a defendant in respect of losses allegedly incurred by 1MDB. It is claimed that Coutts & Co Ltd is liable as a constructive trustee for having dishonestly assisted the directors of 1MDB in the breach of their fiduciary duties by failing (amongst other alleged claims) to undertake due diligence in relation to a customer of Coutts & Co Ltd, through which funds totalling c.US\$1 billion were received and paid out between 2009 and 2011. 1MDB seeks the return of that amount plus interest. Coutts & Co Ltd filed an application in January 2023 challenging the validity of service and the Malaysian court's jurisdiction to hear the claim, and a hearing took place in February 2024. In March 2024, the court granted that application. 1MDB has appealed that decision and a prior decision by the court not to allow them to discontinue their claim. Both appeals are scheduled to be heard in November 2025.

Coutts & Co Ltd (a subsidiary of RBS Netherlands Holdings B.V., which in turn is a subsidiary of NWM Plc) is a company registered in Switzerland and is in wind-down following the announced sale of its business assets in 2015.

Regulatory Matters (including investigations)

NWM Group's financial condition can be affected by the actions of various governmental and regulatory authorities in the UK, the US, the EU and elsewhere. NWM Group companies have engaged, and will continue to engage, in discussions with relevant governmental and regulatory authorities, including in the UK, the US, the EU and elsewhere, on an ongoing and regular basis, and in response to informal and formal inquiries or investigations, regarding operational, systems and control evaluations and issues including those related to compliance with applicable laws and regulations, including consumer protection, investment advice, business conduct, competition/anti-trust, VAT recovery, anti-bribery, anti-money laundering and sanctions regimes.

Any matters discussed or identified during such discussions and inquiries may result in, among other things, further inquiry or investigation, other action being taken by governmental and regulatory authorities, increased costs being incurred by NWM Group, remediation of systems and controls, public or private censure, restriction of NWM Group's business activities and/or fines. Any of the events or circumstances mentioned in this paragraph or below could have a material adverse effect on NWM Group, its business, authorisations and licences, reputation, results of operations or the price of securities issued by it, or lead to material additional provisions being taken.

NWM Group is co-operating fully with the matters described below.

US investigations relating to fixed-income securities

In December 2021, NWM Plc pled guilty in the United States District Court for the District of Connecticut to one count of wire fraud and one count of securities fraud in connection with historical spoofing conduct by former employees in US Treasuries markets between January 2008 and May 2014 and, separately, during approximately three months in 2018. The 2018 trading occurred during the term of a non-prosecution agreement (NPA) between NWMSI and the United States Attorney's Office for the District of Connecticut (USAO CT), under which non-prosecution was conditioned on NWMSI and affiliated companies not engaging in criminal conduct during the term of the NPA. The relevant trading in 2018 was conducted by two NWM traders in Singapore and breached that NPA. The plea agreement reached with the US DoJ and the USAO CT resolved both the spoofing conduct and the breach of the NPA.

As required by the resolution and sentence imposed by the court, NWM Plc is subject to a probationary period, which was extended to end concurrently with the conclusion of the independent monitorship, which is also required under the plea agreement. The term of the independent monitorship and the ongoing implementation of recommendations made by it is currently scheduled to conclude in December 2025 but may be extended by agreement with the DoJ. In addition, NWM Plc has committed to compliance programme reviews and improvements and agreed to reporting and co-operation obligations.

In the event that NWM Plc does not meet its obligations to the DoJ, this may lead to adverse consequences such as increased costs from any extension of monitorship and/or the period of the probation, findings that NWM Plc violated its probation term, and possible re-sentencing, amongst other consequences. Other material adverse collateral consequences may occur as a result of this matter, as further described in the section '*Risk Factors—NWM Group is exposed to the risks of various litigation matters, regulatory and governmental actions and investigations as well as remedial undertakings, the outcomes of which are inherently difficult to predict, and which could have an adverse effect on NWM Group*'.

Facilities

In the UK, NWM Group leases its facilities from NWB.

IT

Chief Digital Information Officer ("CDIO") roles are established across each of NWM Group's customer businesses to deliver a 'One Bank' approach and to enhance the value, speed, and flexibility of the services provided to its customers as well as ensuring the strength and resilience of its platforms.

The C&I CDIO team supporting NWM Group is a global team that spans locations in the UK, US, India, and APAC with key technology opportunities focused on supporting the bank's strategic goals to drive sustainable growth and build a connected digital bank that evolves with customer needs.

NWM Group continues to invest in remediation and upgrade of its legacy technology estate aligned to the highest risk assets, however, there are increasing dependencies on technology and operational efficiencies and there remains opportunity to further simplify the front to back operating model and optimise against cost and control objectives. To achieve this, NWM Group will focus on:

- Rationalising the number of technology applications and continue migration to cloud to reduce cost and improve efficiency;
- Simplifying and digitising front to back products and processes to enable business scalability and ensure a safe and secure operating and control environment;
- Data improvements to embed data-led distribution of content, product, and analytics, leveraging AI insights and approaches aligned to bank-wide data models and reusable data assets to unlock analytics and keep NWM Group's customers safe and secure; and
- Transforming to a digital first centre of excellence to enable greater investment on customer products and distribution, digitising NWM Group's end-to-end customer journeys to improve customer experience, support revenue optimisation and drive efficiencies across pricing, execution, and hedging.

Employees

As at 31 December 2024, NWM Group employed 1,700 people (full-time equivalent basis, excluding contingent workers) rounded to the nearest hundred. The majority of NWM Group's employees are located in the UK.

The number of persons employed by NWM Group at 31 December 2024, excluding contingent workers, was as follows (rounded to the nearest hundred for 2024 and 2023):

	2024	2023
UK.....	1000	900
USA	300	300
Rest of the World.....	400	500
Total.....	1,700	1,700

Material Adverse Change and Significant Change

There has been no significant change in the financial position or financial performance of the NWM Group taken as a whole since 31 December 2024 (the end of the last financial period for which the latest audited or interim financial information of the NWM Group has been published).

There has been no material adverse change in the prospects of NWM Group since 31 December 2024 (the last date to which the latest audited published financial information of NWM Group was prepared).

SELECTED STATISTICAL DATA AND OTHER INFORMATION

The following information is included for analytical purposes and should be read in connection with, and is qualified in its entirety by, the Financial Statements incorporated by reference into this Registration Document, as well as 'Operating and Financial Review.' The information included in this section has not been derived from the Financial Statements. This information has been derived from the Issuer's accounting records and has not been audited.

The information included in this section is not intended to, and does not, comply with subpart 1400 of Regulation S-K under the Securities Act applicable to offerings of securities by bank holding companies that are registered with the SEC.

Trading Portfolio Assets and Liabilities

The table below summarises debt securities held at mandatory fair value through profit or loss by Issuer as well as ratings based on the lowest of S&P's, Moody's and Fitch.

	Central and local government			Financial institutions	Corporate	Total
	UK	US	Other			
	£m	£m	£m	£m		£m
2024						
AAA	—	—	1,335	1,368	—	2,703
AA to AA+	—	3,734	74	569	2	4,379
A to AA-	2,077	—	1,266	381	519	4,243
BBB- to A-	—	—	831	562	885	2,278
Non-investment grade	—	—	—	108	167	275
Unrated	—	—	—	—	—	—
Total	2,077	3,734	3,506	2,988	1,573	13,878
2023						
AAA	—	—	1,333	1,132	—	2,465
AA to AA+	—	2,600	19	762	4	3,385
A to AA-	2,729	—	1,017	251	283	4,280
BBB- to A-	—	—	693	295	489	1,477
Non-investment grade	—	—	—	198	149	347
Unrated	—	—	—	—	—	—
Total	2,729	2,600	3,062	2,638	925	11,954
2022						
AAA	—	—	469	766	3	1,238
AA to AA+	—	2,345	1,042	1,114	21	4,522
A to AA-	2,205	—	372	77	29	2,683
BBB- to A-	—	—	916	149	296	1,361
Non-investment grade	—	—	—	65	49	114
Unrated	—	—	—	1	3	4
Total	2,205	2,345	2,799	2,172	401	9,922

Trading assets and liabilities held at fair value in trading portfolios are analysed as follows.

	NWM Group			NWM Plc		
	2024	2023	2022	2024	2023	2022
	£m	£m	£m	£m	£m	£m
Trading Assets						
Loans						
– Reverse repos	27,127	23,694	21,537	10,099	11,315	8,559

	NWM Group			NWM Plc		
	2024	2023	2022	2024	2023	2022
	£m	£m	£m	£m	£m	£m
– Cash collateral given.....	7,333	8,914	12,719	5,606	7,263	10,468
– Other loans.....	545	762	1,113	397	645	938
Total loans	35,005	33,370	35,369	16,102	19,223	19,965
Securities						
– Central and local government						
– UK	2,077	2,729	2,205	2,077	2,729	2,204
– US	3,734	2,600	2,345	186	33	41
– Other	3,506	3,062	2,799	3,506	3,062	2,799
– Financial Institutions and Corporate	4,561	3,563	2,573	4,315	3,364	2,292
Total securities	13,878	11,954	9,922	10,084	9,188	7,336
Total	48,883	45,324	45,291	26,186	28,411	27,301
Trading Liabilities						
Deposits						
– Repos	30,562	26,902	23,740	10,293	12,125	8,716
– Cash collateral received	12,307	15,062	17,663	9,993	12,455	14,556
– Other deposits	895	1,150	1,068	851	1,127	1,066
Total deposits	43,764	43,114	42,471	21,137	25,707	24,338
Debt securities in issue	257	706	797	257	706	797
Short positions						
– Central and local government						
– UK	2,680	1,893	2,313	2,680	1,893	2,268
– US	1,677	2,071	1,293	14	17	52
– Other	4,755	4,049	3,936	4,755	4,033	3,920
– Financial Institutions and Corporate	1,379	1,790	1,982	1,287	1,723	1,850
Total short positions	10,491	9,803	9,524	8,736	7,666	8,090
Total	54,512	53,623	52,792	30,130	34,079	33,225

Companies within NWM Group transact derivatives as principal either as a trading activity or to manage balance sheet foreign exchange, interest rate and credit risk. Further details are set out in the table below.

NWM Group									
	2024			2023			2022		
	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities
	£bn	£m	£m	£bn	£m	£m	£bn	£m	£m
Exchange rate contracts	3,261	40,492	40,291	3,109	34,208	33,364	3,145	45,821	44,938
Interest rate contracts.....	9,773	37,502	31,510	9,689	44,943	38,292	10,356	54,097	48,372
Credit derivatives.....	13	111	235	16	181	325	15	236	275
Equity and commodity contracts ..	—	—	—	—	—	—	—	—	—
		<u>78,105</u>	<u>72,036</u>		<u>79,332</u>	<u>71,981</u>		<u>100,154</u>	<u>93,585</u>

NWM Plc									
	2024			2023			2022		
	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities	Notional amount	Assets	Liabilities
	£bn	£m	£m	£bn	£m	£m	£bn	£m	£m
Exchange rate contracts	3,274	40,602	40,417	3,116	34,415	33,508	3,178	46,528	45,592
Interest rate contracts.....	9,252	34,270	29,370	9,267	41,237	35,577	8,840	49,496	44,890
Credit derivatives.....	13	110	229	15	180	319	15	234	272
Equity and commodity contracts ...	—	—	—	—	—	—	—	—	—
		<u>74,982</u>	<u>70,016</u>		<u>75,832</u>	<u>69,404</u>		<u>96,258</u>	<u>90,754</u>

See Note 31 ('*Related parties*') to the 2024 Financial Statements for further information on the amounts due to/from fellow NatWest Group subsidiaries.

Investment Securities

Investment securities, comprising debt securities held outside of trading portfolios, are broken down in the following table. For further information please see Note 15 ('Other financial assets') to the 2024 Financial Statements.

	NWM Group Debt securities				
	Central and local government				
	UK	US	Other	Other debt	Total
	£m				
2024					
Mandatory fair value through profit or loss.....	—	—	—	1	1
Designated as at fair value	—	—	2	3	5
Fair value through other comprehensive income.....	—	2,523	835	1,144	4,502
Amortised cost.....	—	—	—	13,185	13,185
Total	—	2,523	837	14,333	17,693
2023					
Mandatory fair value through profit or loss.....	—	—	—	1	1
Designated as at fair value	—	—	3	2	5
Fair value through other comprehensive income.....	—	2,472	573	948	3,993
Amortised cost.....	—	—	—	11,555	11,555
Total	—	2,472	576	12,506	15,554
2022					
Mandatory fair value through profit or loss.....	—	—	—	2	2
Designated as at fair value	—	—	—	—	—
Fair value through other comprehensive income.....	—	3,920	1,213	700	5,833
Amortised cost.....	—	—	—	5,750	5,750
Total	—	3,920	1,213	6,452	11,585
	NWM Plc Debt securities				
	Central and local government				
	UK	US	Other	Other debt	Total
	£m				
2024					
Mandatory fair value through profit or loss.....	—	—	—	1	1
Fair value through other comprehensive income.....	—	2,523	345	1,140	4,008
Amortised cost.....	—	—	—	11,927	11,927
Total	—	2,523	345	13,068	15,936
2023					
Mandatory fair value through profit or loss.....	—	—	—	1	1
Fair value through other comprehensive income.....	—	2,393	352	900	3,645
Amortised cost.....	—	—	—	9,641	9,641
Total	—	2,393	352	10,542	13,287
2022					
Mandatory fair value through profit or loss.....	—	—	—	2	2
Fair value through other comprehensive income.....	—	3,714	559	465	4,738
Amortised cost.....	—	—	—	5,428	5,428
Total	—	3,714	559	5,895	10,168

Deposits and Short-Term Borrowings

The table below shows NWM Group's carrying values of the principal funding sources based on contractual maturity.

	2024			2023		
	Short-term less than 1 year	Long-term more than 1 year	Total	Short-term less than 1 year	Long-term more than 1 year	Total
	£m	£m	£m	£m	£m	£m
Bank deposits	4,056	509	4,565	1,622	645	2,267
<i>of which: repos (amortised cost).....</i>	2,487	—	2,487	452	—	452
Customer deposits	4,784	56	4,840	6,990	8	6,998
<i>of which: repos (amortised cost).....</i>	482	—	482	418	—	418
Trading liabilities (1)						
Repos (2)	29,752	810	30,562	26,634	268	26,902
Derivative cash collateral received.....	12,307	—	12,307	15,062	—	15,062
Other bank and customer deposits.....	627	268	895	768	382	1,150
Debt securities in issue	20	237	257	418	288	706
	42,706	1,315	44,021	42,882	938	43,820
Other financial liabilities						
Customer deposits (designated at fair value)	221	1,316	1,537	193	1,066	1,259
Debt securities in issue commercial paper and certificates of deposits	7,228	377	7,605	4,228	205	4,433
Medium-term notes (MTNs).....	7,548	14,304	21,852	3,759	13,849	17,608
Subordinated liabilities.....	—	269	269	—	274	274
	14,997	16,266	31,263	8,180	15,394	23,574
Amounts due to holding company and fellow subsidiaries (3)						
Internal MREL	929	3,429	4,358	434	2,636	3,070
Other bank and customer deposits.....	1,204	—	1,204	1,620	—	1,620
Subordinated liabilities.....	—	1,115	1,115	839	183	1,022
	2,133	4,544	6,677	2,893	2,819	5,712
Total funding	68,676	22,690	91,366	62,567	19,804	82,371
<i>Of which: available in resolution (4) .</i>			4,813			3,093

- (1) Funding sources excludes short positions of £10,491 million (2023 - £9,803 million) reflected as trading liabilities on the balance sheet.
- (2) Comprises Central and other bank repos of £7,174 million (2023 - £3,957 million), other financial institution repos of £20,398 million (2023 - £20,394 million) and other corporate repos of £2,990 million (2023 - £2,551 million).
- (3) Amounts due to holding company and fellow subsidiaries relating to non-financial instruments of £94 million (2023 - £90 million) have been excluded from the table.
- (4) Eligible liabilities (as defined in the Banking Act 2009 as amended from time to time) that meet the eligibility criteria set out in the regulations, rules, policies, guidelines, or statements of the Bank of England including the Statement of Policy published in December 2021 (updating June 2018).

Senior notes and subordinated liabilities – residual maturity profile by instrument type

The table below shows NWM Group's debt securities in issue, subordinated liabilities and internal resolution instruments by residual maturity.

	Trading liabilities	Other financial liabilities				Amounts due to holding company and fellow subsidiaries		
	Debt securities in issue	Debt securities in issue		Subordinated		Internal MREL	Subordinated	Total notes
	Commercial paper and							
	MTNs (1)	CDs	MTNs (1)	liabilities	Total		liabilities	in issue
	£m	£m	£m	£m	£m	£m	£m	£m
2024								
Less than 1 year	20	7,228	7,548	—	14,776	929	—	15,725
1-3 years	35	377	9,959	—	10,336	1,751	—	12,122
3-5 years	42	—	3,652	—	3,652	1,678	987	6,359
More than 5 years	160	—	693	269	962	—	128	1,250
Total	257	7,605	21,852	269	29,726	4,358	1,115	35,456
2023								
Less than 1 year	418	4,228	3,759	—	7,987	434	839	9,678
1-3 years	48	205	9,342	18	9,565	1,722	—	11,335
3-5 years	—	—	3,851	—	3,851	914	—	4,765
More than 5 years	240	—	656	256	912	—	183	1,335
Total	706	4,433	17,608	274	22,315	3,070	1,022	27,113

(1) With respect to MTNs only, £7,568 million will mature in 2025, £4,655 million will mature in 2026, £5,338 million will mature in 2027, £942 million will mature in 2028 and £2,753 million will mature in 2029.

The table below shows the currency breakdown of total notes in issue.

	GBP	USD	EUR	Other	Total
	£m	£m	£m	£m	£m
2024					
Commercial paper and CDs	2,461	1,461	3,683	—	7,605
MTNs	2,306	5,069	11,804	2,930	22,109
External subordinated liabilities	18	17	234	—	269
Internal MREL due to NatWest Group plc	—	3,473	885	—	4,358
Subordinated liabilities due to NatWest Group plc	—	1,115	—	—	1,115
Total	4,785	11,135	16,606	2,930	35,456
2023 Total	2,948	8,153	13,017	2,995	27,113

Maturity

The following tables show the residual maturity of financial instruments, based on contractual date of maturity.

	NWM Group								
	2024			2023			2022		
	Less than 12 months	More than 12 months	Total	Less than 12 months	More than 12 months	Total	Less than 12 months	More than 12 months	Total
	£m	£m	£m	£m	£m	£m	£m	£m	£m
Assets									
Cash and balances at central banks	16,229	—	16,229	13,831	—	13,831	17,007	—	17,007
Trading assets	37,134	11,749	48,883	36,496	8,828	45,324	35,658	9,633	45,291
Derivatives	33,968	44,137	78,105	29,995	49,337	79,332	38,174	61,980	100,154
Settlement balances	2,043	—	2,043	7,227	—	7,227	2,558	—	2,558
Loans to banks—amortised cost	1,152	19	1,171	1,246	—	1,246	1,129	17	1,146
Loans to customers—amortised cost.....	8,157	9,764	17,921	5,032	7,954	12,986	4,282	5,889	10,171
Amounts due from holding company and fellow subsidiaries(1)	271	18	289	1,462	74	1,536	615	97	712
Other financial assets.....	1,239	16,611	17,850	1,453	14,270	15,723	3,955	7,915	11,870
Liabilities									
Bank deposits	4,056	509	4,565	1,622	645	2,267	2,427	642	3,069
Customer deposits	4,784	56	4,840	6,990	8	6,998	3,353	261	3,614
Amounts due to holding company and fellow subsidiaries(2)	2,136	4,553	6,689	2,897	2,827	5,724	3,519	2,494	6,013
Settlement balances	1,729	—	1,729	6,641	—	6,641	2,010	—	2,010
Trading liabilities.....	44,481	10,031	54,512	45,336	8,287	53,623	42,744	10,048	52,792
Derivatives	34,172	37,864	72,036	30,433	41,548	71,981	39,166	54,419	93,585
Other financial liabilities	14,997	16,266	31,263	8,181	15,393	23,574	6,129	14,974	21,103
Lease liabilities	9	32	41	8	33	41	8	39	47

	NWM Plc								
	2024			2023			2022		
	Less than 12 months	More than 12 months	Total	Less than 12 months	More than 12 months	Total	Less than 12 months	More than 12 months	Total
	£m	£m	£m	£m	£m	£m	£m	£m	£m
Assets									
Cash and balances at									
central banks	11,069	—	11,069	8,607	—	8,607	13,467	—	13,467
Trading assets	17,697	8,489	26,186	21,047	7,364	28,411	20,085	7,216	27,301
Derivatives.....	33,889	41,093	74,982	29,990	45,842	75,832	38,402	57,856	96,258
Settlement balances	550	—	550	2,168	—	2,168	1,686	—	1,686
Loans to banks—									
amortised cost	878	19	897	910	—	910	798	17	815
Loans to customers—									
amortised cost	7,730	9,359	17,089	4,745	7,359	12,104	4,062	5,092	9,154
Amounts due from									
holding company and									
fellow subsidiaries(1)....	2,363	893	3,256	5,145	1,093	6,238	4,068	2,538	6,606
Other financial assets.....	736	15,345	16,081	916	12,528	13,444	2,727	7,650	10,377
Liabilities									
Bank deposits	3,601	468	4,069	1,351	558	1,909	2,338	598	2,936
Customer deposits	2,305	45	2,350	3,059	1	3,060	2,411	254	2,665
Amounts due to holding									
company and fellow									
subsidiaries(2).....	5,796	4,864	10,660	11,439	2,827	14,266	9,808	2,842	12,650
Settlement balances	444	—	444	400	—	400	1,133	—	1,133
Trading liabilities	21,797	8,333	30,130	27,341	6,738	34,079	24,230	8,995	33,225
Derivatives.....	34,081	35,935	70,016	30,234	39,170	69,404	39,380	51,374	90,754
Other financial liabilities ..	13,383	14,583	27,966	6,149	14,506	20,655	4,419	13,977	18,396
Lease liabilities.....	2	3	5	2	—	2	2	2	4

(1) Amounts due from holding company and fellow subsidiaries relating to non-financial instruments of £54 million (2023—£194 million) for NWM Group and £85 million (2023—£234 million) for the Issuer have been excluded from the tables.

(2) Amounts due to holding company and fellow subsidiaries relating to non-financial instruments of £82 million (2023—£78 million) for NWM Group and £97 million (2023—£119 million) for the Issuer have been excluded from the tables.

The table below shows the timing of cash outflows to settle financial liabilities, prepared on the following basis.

Financial liabilities are included at the earliest date on which the counterparty can require repayment regardless of whether or not such early repayment results in a penalty. If repayment is triggered by, or is subject to, specific criteria such as market price hurdles being reached, the liability is included at the earliest possible date that the conditions could be fulfilled without considering the probability of the conditions being met. For example, if a structured note automatically prepays when an equity index exceeds a certain level, the cash outflow will be included in the less-than-three-months' period whatever the level of the index at the year end. The settlement date of debt securities issued by certain securitisation vehicles consolidated by NWM Group depends on when cash flows are received from the securitised assets. Where these assets are prepayable, the timing of the cash outflow relating to securities assumes that each asset will be prepaid at the earliest possible date.

Liabilities with a contractual maturity of greater than 20 years — The principal amounts of financial liabilities that are repayable after 20 years or where the counterparty has no right to repayment of the principal, are excluded from the table along with interest payments after 20 years.

Held-for-trading liabilities — Held-for-trading liabilities of £127 billion (2023—£126 billion) for NWM Group and £104 billion (2023—£111 billion) for the Issuer, have been excluded from the following tables.

NWM Group						
	0-3 months	3-12 months	1-3 years	3-5 years	5-10 years	10-20 years
	£m	£m	£m	£m	£m	£m
2024						
Liabilities by contractual maturity						
Bank deposits	2,945	1,117	429	81	—	—
Customer deposits	3,483	1,332	51	—	—	14
Amounts due to holding companies and fellow subsidiaries(1)	339	1,184	1,757	2,667	128	—
Settlement balances	1,729	—	—	—	—	—
Derivatives held for hedging	31	290	271	155	2	—
Other financial liabilities	4,733	8,498	12,496	4,582	501	550
Lease liabilities	2	7	16	10	6	—
	<u>13,262</u>	<u>12,428</u>	<u>15,020</u>	<u>7,495</u>	<u>637</u>	<u>564</u>
Guarantees and commitments notional amount (5)						
Guarantees(2)	696	—	—	—	—	—
Commitments(3)	13,107	—	—	—	—	—
	<u>13,803</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>
2023						
Liabilities by contractual maturity						
Bank deposits	1,087	541	645	—	—	—
Customer deposits	5,317	1,708	3	1	2	19
Amounts due to holding companies and fellow subsidiaries	1,434	435	1,730	915	183	—
Settlement balances	6,641	—	—	—	—	—
Derivatives held for hedging	28	110	199	84	14	—
Other financial liabilities	2,400	6,183	10,075	4,166	348	505
Lease liabilities	1	4	9	15	12	—
	<u>16,908</u>	<u>8,981</u>	<u>12,661</u>	<u>5,181</u>	<u>559</u>	<u>524</u>
Guarantees and commitments notional amount (5)						
Guarantees(2)	754	—	—	—	—	—
Commitments(3)	13,789	—	—	—	—	—
	<u>14,543</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>
2022						
Liabilities by contractual maturity						
Bank deposits	1,302	1,135	643	—	—	—
Customer deposits	2,286	1,339	21	1	2	20
Amounts due to holding companies and fellow subsidiaries	190	2,199	1,805	—	190	—
Settlement balances	2,010	—	—	—	—	—
Derivatives held for hedging	17	76	202	53	21	—
Other financial liabilities	1,600	4,345	9,113	5,271	401	437
Lease liabilities	1	7	12	10	17	—
	<u>7,406</u>	<u>9,101</u>	<u>11,796</u>	<u>5,335</u>	<u>631</u>	<u>457</u>
Guarantees and commitments notional amount						
Guarantees(2)	594	—	—	—	—	—
Commitments(3)	12,873	—	—	—	—	—
	<u>13,467</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>
NWM Plc						
	0-3 months	3-12 months	1-3 years	3-5 years	5-10 years	10-20 years
	£m	£m	£m	£m	£m	£m
2024						
Liabilities by contractual maturity						
Bank deposits	2,741	862	387	81	—	—
Customer deposits	1,604	722	47	—	—	—

	NWM Plc					
	0-3 months	3-12 months	1-3 years	3-5 years	5-10 years	10-20 years
	£m	£m	£m	£m	£m	£m
2024						
Amounts due to holding companies and fellow subsidiaries	581	1,318	1,857	2,878	128	—
Settlement balances	444	—	—	—	—	—
Derivatives held for hedging	31	290	271	155	2	—
Other financial liabilities	4,002	7,605	11,742	4,271	298	116
Lease liabilities	1	2	3	—	—	—
	<u>9,404</u>	<u>10,799</u>	<u>14,307</u>	<u>7,385</u>	<u>428</u>	<u>116</u>
Guarantees and commitments notional amount (5)						
Guarantees	272	—	—	—	—	—
Commitments	7,384	—	—	—	—	—
	<u>7,656</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>
2023						
Liabilities by contractual maturity						
Bank deposits	1,075	280	558	—	—	—
Customer deposits	1,911	1,172	3	1	2	3
Amounts due to holding companies and fellow subsidiaries	3,194	435	1,729	915	183	—
Settlement balances	400	—	—	—	—	—
Derivatives held for hedging	29	109	199	84	14	—
Other financial liabilities	1,702	4,703	9,920	3,898	340	167
Lease liabilities	—	1	—	—	—	—
	<u>8,311</u>	<u>6,700</u>	<u>12,409</u>	<u>4,898</u>	<u>539</u>	<u>170</u>
Guarantees and commitments notional amount (5)						
Guarantees	296	—	—	—	—	—
Commitments	7,798	—	—	—	—	—
	<u>8,094</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>
2022						
Liabilities by contractual maturity						
Bank deposits	1,302	1,045	599	—	—	—
Customer deposits	1,689	987	21	1	2	3
Amounts due to holding companies and fellow subsidiaries	1,582	2,199	2,153	—	190	—
Settlement balances	1,133	—	—	—	—	—
Derivatives held for hedging	18	76	201	53	21	-
Other financial liabilities	743	3,478	8,512	5,164	401	161
Other liabilities(4)	1	1	2	—	—	—
	<u>6,468</u>	<u>7,786</u>	<u>11,488</u>	<u>5,218</u>	<u>614</u>	<u>164</u>
Guarantees and commitments notional amount						
Guarantees(2)	144	—	—	—	—	—
Commitments(3)	6,956	—	—	—	—	—
	<u>7,100</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>

- (1) Amounts due from holding company and fellow subsidiaries relating to non-financial instruments have been excluded from the tables.
- (2) NWM Group is only called upon to satisfy a guarantee when the guaranteed party fails to meet its obligations. NWM Group expects most guarantees it provides to expire unused.
- (3) NWM Group has given commitments to provide funds to customers under undrawn formal facilities, credit lines and other commitments to lend subject to certain conditions being met by the counterparty. NWM Group does not expect all facilities to be drawn, and some may lapse before drawdown.
- (4) Other liabilities includes notes in circulation.
- (5) The 2024 and 2023 figures have been represented to reflect the regulatory treatment of revocable commitments.

RISK AND CAPITAL MANAGEMENT

Presentation of Information

Where marked as ‘audited’ in the section header, certain information in this section is within the scope of the independent auditor’s report. Risk and capital management is generally conducted on an overall basis within NatWest Group such that common policies, procedures, frameworks and models apply across NatWest Group. Therefore, for the most part, discussion on these qualitative aspects reflects those in NatWest Group as relevant for the businesses and operations in NWM Group.

Risk Management Framework

Introduction

NWM Group operates under NatWest Group’s enterprise-wide risk management framework, which is centred on the embedding of a strong risk culture. The framework ensures the governance, capabilities and methods are in place to facilitate risk management and decision-making across the organisation.

The framework ensures that NWM Group’s principal risks – which are detailed in this section – are appropriately controlled and managed. It sets out the standards and objectives for risk management as well as defining the division of roles and responsibilities.

This seeks to ensure a consistent approach to risk management across NWM Group. It aligns risk management with NWM Group’s overall strategic objectives.

The framework, which is designed and maintained by NatWest Group’s independent Risk function, is owned by the NatWest Group Chief Risk Officer. It is reviewed and approved annually by the Board. The framework incorporates risk governance, the three lines of defence operating model and the Risk function’s mandate.

Risk appetite, supported by a robust set of principles, policies and practices, defines the levels of tolerance for a variety of risks and provides a structured approach to risk-taking within agreed boundaries.

While all NWM Group colleagues are responsible for managing risk, the Risk function provides oversight and monitoring of risk management activities, including the implementation of the framework and adherence to its supporting policies, standards and operational procedures. The Chief Risk Officer plays an integral role in providing the Board with advice on NWM Group’s risk profile, the performance of its controls and in providing challenge where a proposed business strategy may exceed risk tolerance.

In addition, there is a process to identify and manage top and emerging risks, which are those that could have a significant negative impact on NWM Group’s ability to meet its strategic objectives. Both top and emerging risks may incorporate aspects of – or correlate to – a number of principal risks and are reported alongside them to the Board on a regular basis.

Culture

The approach to risk culture, under the banner of intelligent risk-taking, ensures a focus on robust risk management behaviours and practices. This underpins the strategy and values across all three lines of defence, enables NWM Group to support better customer outcomes, develop a stronger and more sustainable business and deliver an improved cost base.

NWM Group expects leaders to act as role models for strong risk behaviours and practices building clarity, developing capability and motivating employees to reach the required standards set out in the intelligent risk-taking approach. Colleagues are expected to:

- Consistently role-model the values and behaviours in Our Code, based on strong ethical standards.
- Empower others to take risks aligned to NWM Group’s strategy, explore issues from a fresh perspective, and tackle challenges in new and better ways across organisational boundaries.
- Manage risk in line with appropriate risk appetite.

- Ensure each decision made keeps NWM Group, colleagues, customers, communities and shareholders safe and secure.
- Understand their role in managing risk, remaining clear and capable, grounded in knowledge of regulatory obligations.
- Consider risk in all actions and decisions.
- Escalate risks and issues early; taking action to mitigate risks and learning from mistakes and near-misses, reporting and communicating these transparently.
- Challenge others' attitudes, ideas and actions.

The target intelligent risk-taking behaviours are embedded in NatWest Group's Critical People Capabilities and are clearly aligned to the core values of inclusive, curious, robust, sustainable and ambitious. These aim to act as an effective basis for a strong risk culture because the Critical People Capabilities form the basis of all recruitment and selection processes.

Training

Enabling employees to have the capabilities and confidence to manage risk is core to NWM Group's learning strategy. NWM Group offers a wide range of learning, both technical and behavioural, across the risk disciplines. This training may be mandatory, role-specific or for personal development. Mandatory learning for all staff is focused on keeping employees, customers and NWM Group safe. This is easily accessed online and is assigned to each person according to their role and business area. The system allows monitoring at all levels to ensure completion.

Our Code

NWM Group operates under NatWest Group's conduct guidance, Our Code, which provides direction on expected behaviour and sets out the standards of conduct that support the values. The code explains the effect of decisions that are taken and describes the principles that must be followed.

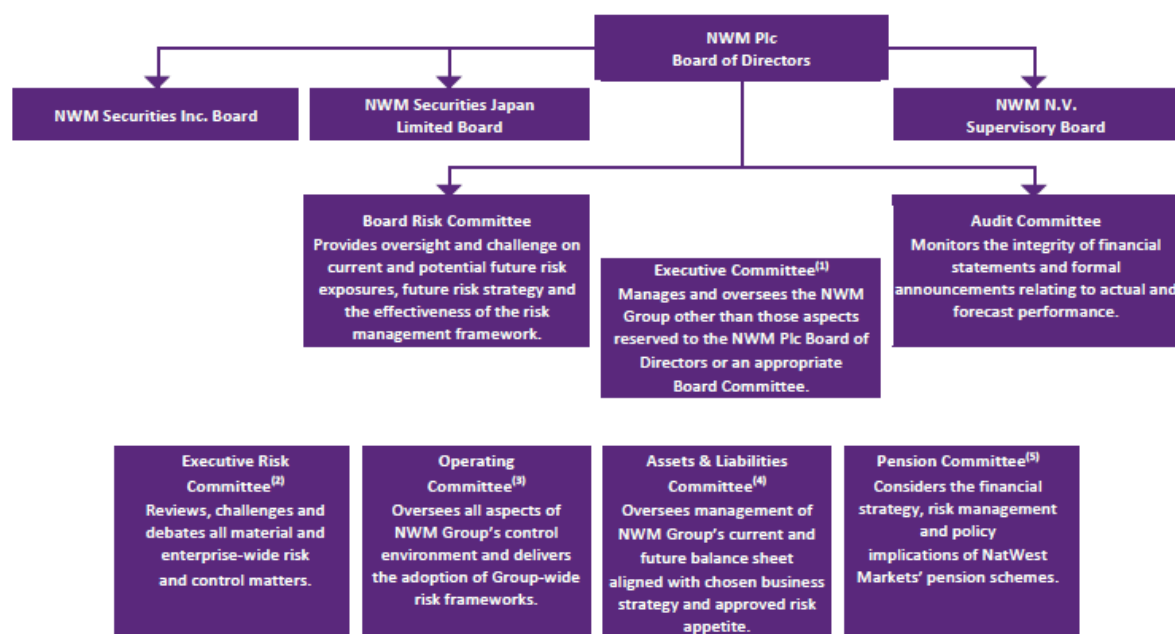
These principles cover conduct-related issues as well as wider business activities. They focus on desired outcomes, with practical guidelines to align the values with commercial strategy and actions. The embedding of these principles facilitates sound decision-making and a clear focus on good customer outcomes.

Any employee falling short of the expected standards would be subject to internal disciplinary policies and procedures and if appropriate, the relevant authority would be notified. The accountability review process is used to assess how this should be reflected in variable pay outcomes for the individuals concerned. The NatWest Group remuneration policy ensures that the remuneration arrangements for all employees reflect the principles and standards prescribed by the PRA rulebook and the FCA handbook.

Governance

Committee structure

The diagram shows NWM Plc's risk governance structure in 2024 and the main purposes of each committee.



- (1) The NWM Chief Executive Officer has established the Executive Committee to support him in discharging his individual responsibilities in managing the day to day activities of NWM.
- (2) The Executive Risk Committee is chaired by the NWM Chief Risk Officer and supports him in discharging his risk management accountabilities.
- (3) The Operating Committee is chaired by the NWM Chief Operating Officer and supports him in discharging his individual accountabilities in accordance with the authority delegated to him by the NWM Chief Executive Officer.
- (4) The Assets & Liabilities Committee (“**ALCo**”) is chaired by the NWM Chief Financial Officer and supports him in discharging his individual accountabilities relating to treasury and balance sheet management.
- (5) The Pension Committee is chaired by the NWM Chief Financial Officer and supports him in discharging his individual accountabilities relating to the management of NatWest Markets’ pension schemes.
- (6) The Climate & Sustainability Committee was retired on 10 July 2024. The committee’s activities are being taken forward through the broader governance framework.
- (7) The Financial Crime Risk Committee, the NWM Electronic Trading Risk Committee, the Reputational Risk Committee, the Valuations Committee, the Policy Approval Committee, the NWM Model Risk Committee, the Provisions Committee and the Credit Risk Committee are not shown here. They support the Executive Risk Committee in discharging its risk management responsibilities.

The Board Risk Committee (BRC) is responsible for:

- Providing oversight and advice to the Board on current and potential future risk exposures and future risk profile, including risk appetite and the approval and effectiveness of internal controls required to manage risk.
- Reviewing the performance of NWM Group relative to risk appetite.
- Reviewing all material risk exposures and management’s recommendations to monitor, control and mitigate such exposures, including all principal risks.
- Approving the Key Risk Policies.
- Providing input to remuneration decisions from a risk management perspective.

- Reviewing and recommending to the Board the assumptions, scenarios and metrics used for stress tests.

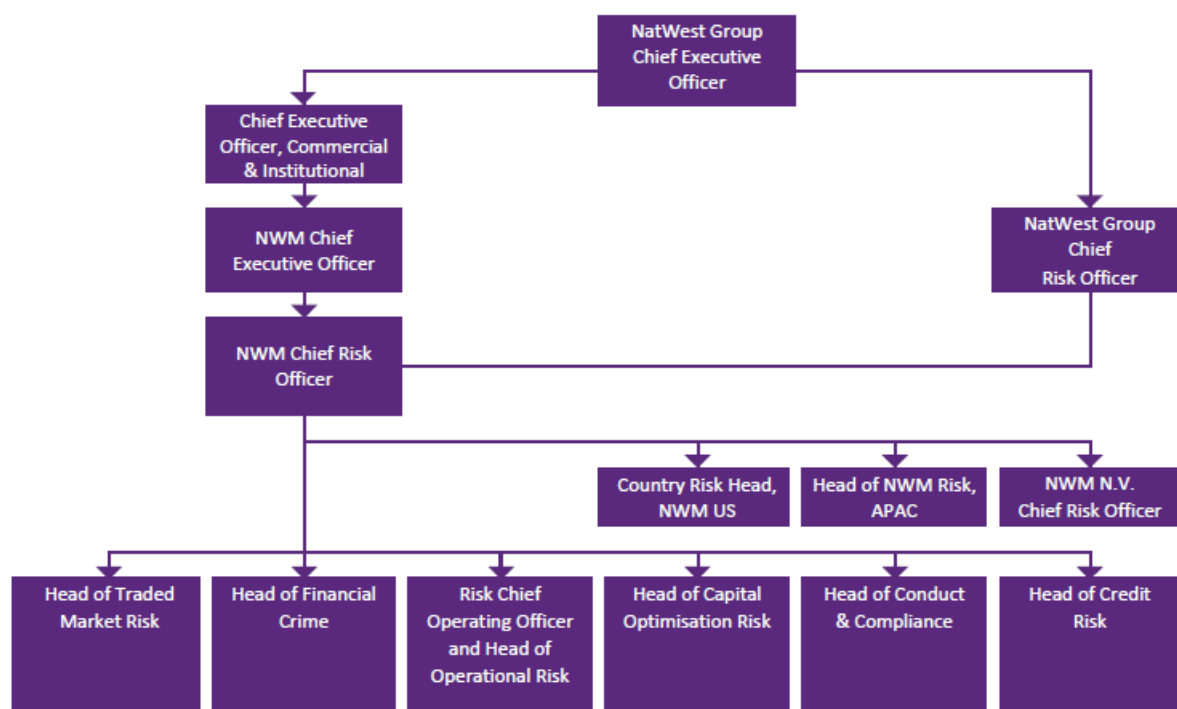
The Executive Risk Committee (ERC) is responsible for:

- Supporting the Chief Risk Officer and other accountable individuals in discharging their risk management accountabilities.
- Reviewing performance relative to risk appetite.
- Reviewing and debating all material risk exposures across NWM Group and management's recommendations to monitor and control such exposures.
- Reviewing the EWRMF, supporting its recommendation to BRC and overseeing its implementation across NWM Group.
- Reviewing the Key Risk Policies and supporting their recommendation to BRC.

Governance

Risk management structure

The diagram shows NWM Group's risk management structure in 2024.



- (1) The NWM Chief Risk Officer reports directly to the NWM Chief Executive Officer and the NatWest Group Chief Risk Officer. The NWM Chief Risk Officer also has an additional reporting line to the chair of the NWM Board Risk Committee, and a right of access to the committee.
- (2) The NWM Group Risk function is independent and provides oversight of risk management activities to ensure risks are adequately monitored and controlled. The heads of risk work closely with the NWM N.V. Chief Risk Officer, the US Country Risk Head and the Head of NWM Risk, APAC to ensure consistency across the international businesses.
- (3) The NWH Group Risk function provides services across NatWest Group, including – where agreed – to the NWM Chief Risk Officer. These services are managed, as applicable, through service level agreements and resource augmentation agreements.

Three lines of defence

NWM Group uses the industry-standard three lines of defence model to articulate accountabilities and responsibilities for managing risk. This supports the embedding of effective risk management throughout the organisation.

First line of defence

The first line of defence incorporates most roles in NWM Group, including those in the customer-facing businesses, Technology and Services as well as support functions such as People and Transformation, Legal and Finance.

The first line of defence is empowered to take risks within the constraints of the risk management framework, policies, risk appetite statements set by NatWest Group and measures set by the NWM Group Board.

The first line of defence is responsible for managing its direct risks, and with the support of specialist functions, it is also responsible for managing its consequential risks, by identifying, assessing, mitigating, monitoring and reporting risks.

Second line of defence

The second line of defence comprises the Risk function and is independent of the first line.

The second line of defence is empowered to design and maintain the risk management framework and its components. It undertakes proactive risk oversight and continuous monitoring activities to confirm that NWM Group engages in permissible and sustainable risk-taking activities.

The second line of defence advises on, monitors, challenges, approves and escalates where required and reports on the risk-taking activities of the first line of defence, ensuring that these are within the constraints of the risk management framework, policies, risk appetite statements set by NatWest Group and measures set by the NWM Group Board.

Third line of defence

The third line of defence is the Internal Audit function and is independent of the first and second lines.

The third line of defence is responsible for providing independent assurance to the Board, its subsidiary legal entity boards and executive management on the overall design and operating effectiveness of the risk management framework and its components. This includes the adequacy and effectiveness of key internal controls, governance and the risk management in place to monitor, manage and mitigate the principal risks to NWM Group and its subsidiary companies.

The third line of defence executes its duties freely and objectively in accordance with the Chartered Institute of Internal Auditors' Code of Ethics and International Standards on independence and objectivity.

Risk Appetite

Risk appetite defines the type and aggregate level of risk NWM Group is willing to accept in pursuit of its strategic objectives and business plans. Risk appetite supports sound risk-taking, the promotion of robust risk practices and risk behaviours, and is calibrated at least annually.

For certain principal risks, risk capacity defines the maximum level of risk NWM Group can assume before breaching constraints determined by regulatory capital and liquidity requirements, the operational environment, and from a conduct perspective. Establishing risk capacity helps determine where risk appetite should be set, ensuring there is a buffer between internal risk appetite and NWM Group's ultimate capacity to absorb losses.

Risk appetite framework

The risk appetite framework supports effective risk management by promoting sound risk-taking through a structured approach, within agreed boundaries. It also ensures emerging risks and risk-taking activities that might be out of appetite are identified, assessed, escalated and addressed in a timely manner.

To facilitate this, a detailed review of the framework is carried out annually which is approved by the Board. The review includes:

- Assessing the adequacy of the framework compared to internal and external expectations.
- Ensuring the framework remains effective and acts as a strong control environment for risk appetite.
- Assessing the level of embedding of risk appetite across the organisation.

Establishing risk appetite

In line with the risk appetite framework, risk appetite is maintained across NWM Group through risk appetite statements. These are in place for all principal risks and describe the extent and type of activities that can be undertaken.

Risk appetite statements consist of qualitative statements of appetite supported by risk limits and triggers that operate as a defence against excessive risk-taking. Risk measures and their associated limits are an integral part of the risk appetite approach and a key part of embedding risk appetite in day-to-day risk management decisions. A clear tolerance for each principal risk is set in alignment with business activities.

The process of reviewing and updating risk appetite statements is completed alongside the business and financial planning process. This ensures that plans and risk appetite are appropriately aligned.

The Board sets risk appetite for all principal risks to help ensure NWM Group is well placed to meet its priorities and long-term targets, even in challenging economic environments. This supports NWM Group in remaining resilient and secure as it pursues its strategic business objectives.

Risk appetite statements and associated measures are reviewed at least annually by the Board on the Board Risk Committee's recommendation to ensure they remain appropriate and aligned to strategy.

NWM Group's risk profile is continually monitored and frequently reviewed. Management focus is concentrated on all principal risks as well as the top and emerging risks that may correlate to them. Risk profile relative to risk appetite is reported regularly to senior management and the Board.

NWM Group key risk policies define at a high level the qualitative expectations, guidance and standards that stipulate the nature and extent of permissible risk taking across all principal risks. They form part of the qualitative expression of risk appetite and are consistently applied across NWM Group and its subsidiaries. Key risk policies are reviewed and approved by the Board Risk Committee at least annually.

Identification and Measurement

Identification and measurement within the risk management process comprises:

- Regular assessment of the overall risk profile, incorporating market developments and trends, as well as external and internal factors.
- Monitoring of the risks associated with lending and credit exposures.
- Assessment of trading and non-trading portfolios.
- Review of potential risks in new business activities and processes.
- Analysis of potential risks in any complex and unusual business transactions.

The financial and non-financial risks that NWM Group faces are detailed in the NatWest Group risk directory. This provides a common risk language to ensure consistent terminology is used across NWM Group. The NatWest Group risk directory is subject to annual review to ensure it continues to fully reflect the risks that NWM Group faces.

Mitigation

Mitigation is a critical aspect of ensuring that risk profile remains within risk appetite. Risk mitigation strategies are discussed and agreed within NWM Group.

When evaluating possible strategies, costs and benefits, residual risks (risks that are retained) and secondary risks (those that arise from risk mitigation actions themselves) are also considered. Monitoring and review processes are in place to evaluate results. Early identification, and effective management of changes in legislation and regulation are critical to the successful mitigation of compliance and conduct risk. The effects of all changes are managed to ensure the timely achievement of compliance. Those changes assessed as having a high or medium-high impact are managed more closely. Emerging risks that could affect future results and performance are also closely monitored. Action is taken to mitigate potential risks as and when required. Further in-depth analysis, including the stress testing of exposures, is also carried out.

Testing and monitoring

Specific activities relating to compliance and conduct, credit and financial crime risks are subject to testing and monitoring by the Risk function. This confirms to both internal and external stakeholders – including the Board, senior management, the customer-facing businesses, Internal Audit and NatWest Group’s regulators – that risk policies and procedures are being correctly implemented and that they are operating adequately and effectively. Thematic reviews and targeted reviews are also carried out where relevant to ensure appropriate customer outcomes.

Stress Testing

Stress testing – capital management

Stress testing is a key risk management tool and a fundamental component of NWM Group’s approach to capital management. It is used to quantify and evaluate the potential impact of specified changes to risk factors on the financial strength of NWM Group, including its capital position.

Stress testing includes:

- Scenario testing, which examines the impact of a hypothetical future state to define changes in risk factors.
- Sensitivity testing, which examines the impact of an incremental change to one or more risk factors.

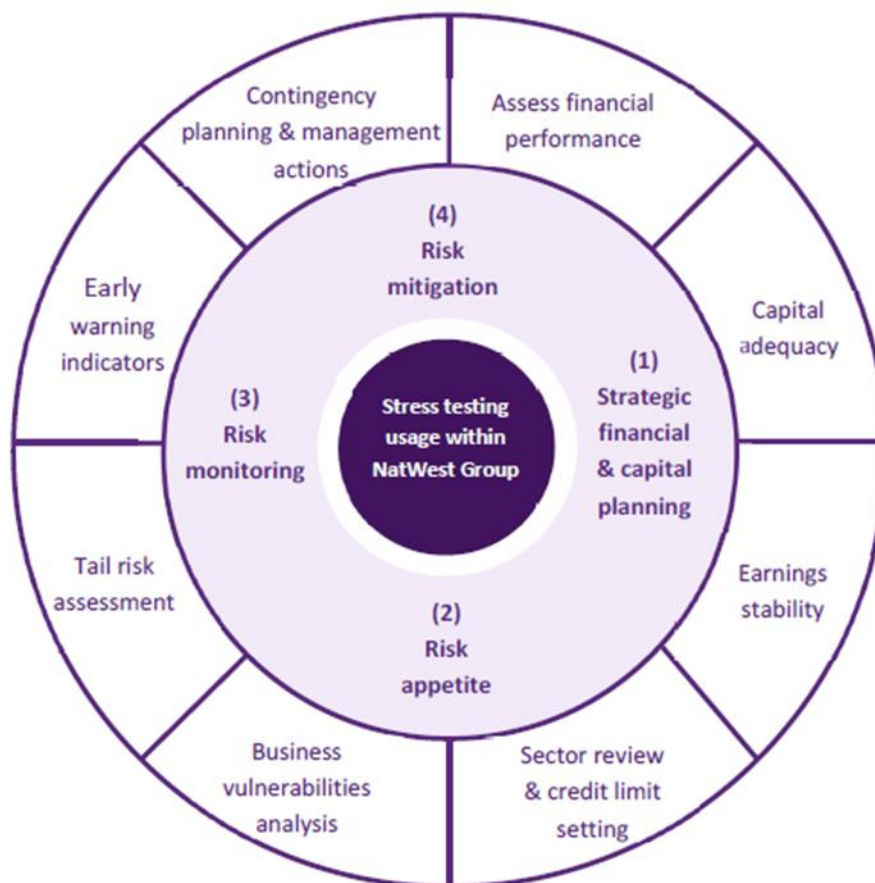
The process for stress testing consists of four broad stages:

- | | |
|--|---|
| Define scenarios | <ul style="list-style-type: none">• Identify macro and NWM Group-specific vulnerabilities and risks.• Define and calibrate scenarios to examine risks and vulnerabilities.• Formal governance process to agree scenarios. |
| Assess impact | <ul style="list-style-type: none">• Translate scenarios into risk drivers.• Assess impact to current and projected profit and loss and balance sheet across NWM Group. |
| Calculate results and assess implications | <ul style="list-style-type: none">• Aggregate impacts into overall results.• Results form part of the risk management process. |

Develop and agree management actions

- Scenario results are used to inform NWM Group's business and capital plans.
- Stress scenario results are analysed by subject matter experts. Appropriate management actions are then developed.
- Scenario results and management actions are reviewed by the Board Risk Committee and recommended to the Board for approval.

Stress testing is used widely across NatWest Group, including at NWM Group level. The diagram below summarises key areas of focus.



Specific areas that involve capital management include:

- **Strategic financial and capital planning** – by assessing the impact of sensitivities and scenarios on the capital plan and capital ratios.
- **Risk appetite** – by gaining a better understanding of the drivers of, and the underlying risks associated with, risk appetite.
- **Risk monitoring** – by monitoring the risks and horizon-scanning events that could potentially affect NWM Group's financial strength and capital position.
- **Risk mitigation** – by identifying actions to mitigate risks, or those that could be taken, in the event of adverse changes to the business or economic environment. Principal risk mitigating actions are documented in NWM Group's recovery plan.

Reverse stress testing is also carried out in order to identify and assess scenarios that would cause NWM Group's business model to become unviable. Reverse stress testing allows potential vulnerabilities in the business model to be examined more fully.

Capital sufficiency – going concern forward-looking view

Going concern capital requirements are examined on a forward-looking basis – including as part of the annual budgeting process – by assessing the resilience of capital adequacy and leverage ratios under hypothetical future states. These assessments include assumptions about regulatory and accounting factors (such as IFRS 9). They incorporate economic variables and key assumptions on balance sheet and profit and loss drivers, such as impairments, to demonstrate that NWM Group and its operating subsidiaries maintain sufficient capital.

A range of future states are tested. In particular, capital requirements are assessed:

- Based on a forecast of future business performance, given expectations of economic and market conditions over the forecast period.
- Based on a forecast of future business performance under adverse economic and market conditions over the forecast period. Scenarios of different severity may be examined.

The potential impact of normal and adverse economic and market conditions on capital requirements is assessed through stress testing, the results of which are not only used widely across NWM Group but also by the regulators to set specific capital buffers. NWM Group takes part in stress tests run by regulatory authorities to test industry-wide vulnerabilities under crystallising global and domestic systemic risks.

Stress and peak-to-trough movements are used to help assess the amount of capital NWM Group needs to hold in stress conditions in accordance with the capital risk appetite framework.

Internal assessment of capital adequacy

An internal assessment of material risks is carried out annually to enable an evaluation of the amount, type and distribution of capital required to cover these risks. This is referred to as the Internal Capital Adequacy Assessment Process. The ICAAP consists of a point-in-time assessment of exposures and risks at the end of the financial year together with a forward-looking stress capital assessment. The ICAAP is approved by the Board and submitted to the PRA.

The ICAAP is used to form a view of capital adequacy separately to the minimum regulatory requirements. The ICAAP is used by the PRA to assess NWM Group's specific capital requirements through the Pillar 2 framework.

Capital allocation

NWM Group has mechanisms to allocate capital across its businesses. These aim to optimise the use of capital resources taking into account applicable regulatory requirements, strategic and business objectives and risk appetite. The framework for allocating capital is approved by the CFO with support from the Assets & Liabilities Committee.

Governance

Capital management is subject to substantial review and governance. The Board approves the capital plans, including those for key legal entities and businesses as well as the results of the stress tests relating to those capital plans.

Stress testing – liquidity

Liquidity risk monitoring and contingency planning

A suite of tools is used to monitor, limit and stress-test the liquidity and funding risks on the balance sheet. Limit frameworks are in place to control the level of liquidity risk, asset and liability mismatches and funding concentrations. Liquidity and funding risks are reviewed at significant legal entity and business levels daily, with performance reported to the Assets & Liabilities Committee on a regular basis. Liquidity condition indicators are

monitored daily. This ensures any build-up of stress is detected early and the response escalated appropriately through recovery planning.

Internal assessment of liquidity

Under the liquidity risk management framework, NWM Group maintains the Internal Liquidity Adequacy Assessment Process. This includes assessment of net stressed liquidity outflows under a range of severe but plausible stress scenarios. Each scenario evaluates either an idiosyncratic, market-wide or combined stress event as described in the table below.

Type	Description
Idiosyncratic scenario	The market perceives NWM Group to be suffering from a severe stress event, which results in an immediate assumption of increased credit risk or concerns over solvency.
Market-wide scenario	A market stress event affecting all participants in a market through contagion, potential counterparty failure and other market risks. NWM Group is affected under this scenario but no more severely than any other participants with equivalent exposure.
Combined scenario	This scenario models the combined impact of an idiosyncratic and market stress occurring at once, severely affecting funding markets and the liquidity of some assets.

NWM Group uses the most severe outcome to set the internal stress testing scenario which underpins its internal liquidity risk appetite. This complements the regulatory liquidity coverage ratio requirement.

Stress testing – recovery and resolution planning

Within NWM Group, both NWM Plc and RBSH N.V. each have a recovery plan explaining how they would identify and respond to a financial stress event and restore their financial position so that they remain viable on an ongoing basis.

The recovery plan ensures risks that could delay the implementation of a recovery strategy are highlighted and preparations are made to minimise the impact of these risks. Preparations include:

- Developing a series of recovery indicators to provide early warning of potential stress events.
- Clarifying roles, responsibilities and escalation routes to minimise uncertainty or delay.
- Developing a recovery playbook to provide a concise description of the actions required during recovery.
- Detailing a range of options to address different stress conditions.
- Appointing dedicated option owners to reduce the risk of delay and capacity concerns.

The plan is intended to enable critical services and products to be maintained, as well as core business lines, while operating and restoring financial health. It is assessed for appropriateness on an ongoing basis. The NWM Plc plan is reviewed and approved by the Board prior to submission to the PRA.

Fire drill simulations of possible recovery events are used to test the effectiveness of the recovery plans. The fire drills are designed to replicate possible financial stress conditions and allow senior management to rehearse the responses and decisions that may be required in an actual stress event. The results and lessons learnt from the fire drills are used to enhance the overall approach to recovery planning.

Under the resolution assessment part of the PRA rulebook, NatWest Group is required to carry out an assessment of its preparations for resolution, submit a report of the assessment to the PRA and publish a summary of this report.

Resolution would be implemented if NatWest Group was assessed by the UK authorities to have failed and the appropriate regulator put it into resolution. The process of resolution is owned and implemented by the Bank of England (as the UK Resolution Authority). NatWest Group ensures ongoing maintenance and enhancements of its

resolution capabilities, in line with regulatory requirements. These requirements include the development of contingency plans to wind-down parts of the trading book.

Stress testing – market risk

Non-traded market risk

Scenario analysis based on hypothetical adverse scenarios is performed on non-traded exposures as part of the Bank of England and European Banking Authority stress test exercises. NatWest Group also produces an internal scenario analysis as part of its financial planning cycles.

Non-traded exposures are capitalised through the ICAAP. This covers gap risk, basis risk, credit spread risk, pipeline risk, structural foreign exchange risk, prepayment risk, equity risk and accounting volatility risk. The ICAAP is completed with a combination of value and earnings measures. The total non-traded market risk capital requirement is determined by adding the different charges for each sub risk type.

The ICAAP methodology captures at least ten years of historical volatility, produced with a 99% confidence level. Methodologies are reviewed by NatWest Group Model Risk and the results are approved by the NatWest Group Balance Sheet Management Committee.

Non-traded market risk stress results are combined with those for other risks into the capital plan presented to the Board. The cross-risk capital planning process is conducted once a year, with a planning horizon of five years. The scenario narratives cover both regulatory scenarios and macroeconomic scenarios identified by NatWest Group.

Vulnerability-based stress testing begins with the analysis of a portfolio and expresses its key vulnerabilities in terms of plausible, vulnerability scenarios under which the portfolio would suffer material losses. These scenarios can be historical, macroeconomic or forward-looking/hypothetical. Vulnerability-based stress testing is used for internal management information and is not subject to limits. The results for relevant scenarios are reported to senior management.

Traded market risk

NWM Group carries out regular market risk stress testing to identify vulnerabilities and potential losses in excess of, or not captured in, value-at-risk. The calculated stresses measure the impact of changes in risk factors on the fair values of the trading portfolios.

NWM Group conducts historical, macroeconomic and vulnerability-based stress testing. Historical stress testing is a measure that is used for internal management. Using the historical simulation framework employed for value-at-risk, the current portfolio is stressed using historical data since 1 January 2005. This methodology simulates the impact of the 99.9 percentile loss that would be incurred by historical risk factor movements over the period, assuming variable holding periods specific to the risk factors and the businesses.

Historical stress tests form part of the market risk limit framework and their results are reported regularly to senior management. Macroeconomic stress tests are carried out periodically as part of the bank-wide, cross-risk capital planning process. The scenario narratives are translated into risk factor shocks using historical events and insights by economists, risk managers and the first line.

Market risk stress results are combined with those for other risks into the capital plan presented to the Board. The cross-risk capital planning process is conducted at least once a year, with a planning horizon of five years. The scenario narratives cover both regulatory scenarios and macroeconomic scenarios.

Vulnerability-based stress testing begins with the analysis of a portfolio and expresses its key vulnerabilities in terms of plausible vulnerability scenarios under which the portfolio would suffer material losses. These scenarios can be historical, macroeconomic or forward-looking/hypothetical. Vulnerability-based stress testing is used for internal management information and is not subject to limits. The results for relevant scenarios are reported to senior management.

Internal scenarios – climate and nature

During 2024, NWM Group continued to review and refine its internal scenarios where appropriate, while building out the underlying tools at a granular level (climate decisioning framework and environmental decisioning framework).

In addition, NWM Group vulnerabilities are considered as part of the development of all NatWest Group-wide integrated scenarios and exercises.

In 2024, NatWest Group deployed an enhanced in-house corporate transition risk model, as part of an internal scenario analysis exercise, to assess climate transition related credit risks to corporate counterparties.

This involved running the following two climate scenarios:

- A disruptive transition scenario, where the onset of climate policy from the Network for Greening the Financial System ('**NGFS**') delayed transition scenario is accelerated from 2031 to 2025, which could result in an accompanying macro-economic shock.
- The orderly transition scenario, which explores a rapid increase in carbon prices, based on the NGFS net zero 2050 scenario, but no accompanying macro-economic shock.

These scenarios tested NatWest Group's resilience to alternative transition pathways, including a disruptive transition, and to identify losses that are sensitive to scenario policy and technology assumptions.

The corporate transition risk model and internal exercise builds on the learnings from the climate biennial exploratory scenario and NatWest Group's first-generation deployment in 2023. It also supports the processes for integration of climate into ICAAP and credit risk business use-cases. The model is capable of accounting for sector specific exposure to climate-related transition risks and counterparty specific response to a limited set of demand shocks and rising carbon prices, by mitigating emissions and passing costs through to customers.

Regulatory stress testing

In October 2023, the Bank of England undertook round one of its system-wide exploratory scenario ("SWES") to enhance understanding of the behaviours of banks and non-bank financial institutions under a scenario informed by the liability driven investment and 'dash for cash' crises.

NatWest Group submitted its response to round one during H1 2024. The Bank of England subsequently published the anonymised results in the June 2024 Financial Stability Report providing a narrative account of the market-wide response.

Round two commenced in June 2024. Participants were asked to reconsider their assumptions in light of round one results and submit revised actions if applicable. The overall results of the SWES exercise were published in November 2024.

In addition to its participation in NatWest Group's stress testing programme, NWM Group has a further regulatory commitment in relation to its traded risk model approvals for market risk and counterparty credit risk. A robust stress testing framework is a regulatory requirement.

The purpose of this stress testing framework includes the identification of possible causes of large losses, an estimation of their size and potential impact on capital adequacy together with the identification of steps that could be taken to manage those exposures as required. Such risk management-led stress testing covers both traded market risk and counterparty credit risk and is used to monitor and set risk appetite.

The requirements of NWM Group's stress testing programme are codified in NWM Group's stress testing policy and associated mandatory procedures.

Market risk (audited)

NWM Group is exposed to traded market risk through its trading activities and to non-traded market risk through its banking activities. Traded and non-traded market risk exposures are managed and discussed separately. The traded market risk section begins below. The non-traded market risk section begins on page 132.

Pension-related activities also give rise to market risk. Refer to page 165 for more information on risk related to pensions.

Traded Market Risk

Definition (audited)

Traded market risk is the risk of losses in trading book positions from fluctuations in market variables, such as interest rates, credit spreads, foreign exchange rates, equity prices, implied volatilities and asset correlations.

Sources of risk (audited)

NWM Group is exposed to traded market risk through trading activities that it enters into where such risk arises from market-making activity and by facilitating customer-facing business that cannot be immediately offset with other customers or market participants. From a market risk perspective, activities are focused on rates; currencies; and traded credit. NWM Group undertakes transactions in financial instruments including debt securities, as well as securities financing and derivatives.

The key categories of traded market risk are interest rate risk, credit spread risk and foreign currency price risk.

Trading activities may also give rise to counterparty credit risk. For further detail, refer to the Credit risk section.

Key developments in 2024

- The year was marked by periods of increased market volatility reflecting UK political developments, global inflationary concerns, the ongoing Russia-Ukraine conflict and geopolitical tensions in the Middle East.
- The significant volatility in Gilts, sterling swaps and inflation entered the rolling window for the VaR calculation during 2024. However, traded VaR and SVaR remained within appetite and, on an average basis, at similar levels compared to 2023, aided by NWM Group's continued disciplined approach to risk-taking.

Governance (audited)

Traded market risk policy defines the key principles and approach to managing and reporting traded market risks across NWM Group. Responsibility for identifying, measuring, monitoring and controlling market risk arising from trading activities lies with the relevant trading business. The Market Risk function independently advises on, monitors and challenges the risk-taking activities undertaken by the trading business ensuring these are within the constraints of the market risk framework, policies, and risk appetite statements and measures.

Risk appetite

NWM Group's qualitative appetite for traded market risk is set out in the traded market risk appetite statement. Quantitative appetite is expressed in terms of exposure limits. The limits at NWM Group level comprise VaR, SVaR and stress-testing. More details on these are provided on the following pages.

For each trading business, a document known as a dealing authority compiles details of all applicable limits and trading restrictions. The desk-level mandates comprise qualitative limits related to the product types within the scope of each desk, as well as quantitative metrics specific to the desk's market risk exposures. These additional limits and metrics aim to control various risk dimensions such as exposure size, aged inventory, currency and tenor.

The limits are reviewed to reflect changes in risk appetite, business plans, portfolio composition and the market and economic environments and recalibrated to ensure that they remain aligned to NWM Group RWA targets. Limit reviews focus on optimising the alignment between traded market risk exposure and capital usage.

To ensure approved limits are not breached and that NWM Group remains within its risk appetite, triggers have been set such that if exposures exceed a specified level, action plans are developed by the relevant business and the Market Risk function and implemented.

The risk appetite statements and associated measures are reviewed at least annually by the relevant legal entity board on the relevant board risk committee's recommendation to ensure they remain appropriate and aligned to strategy. For more detail on risk appetite, refer to page 121.

Monitoring and mitigation

Traded market risk is identified and assessed by gathering, analysing, monitoring and reporting market risk information at desk, business and NWM Group-wide levels. Industry expertise continued system developments and techniques such as stress testing are also used to enhance the effectiveness of the identification and assessment of all material market risks.

Traded market risk exposures are monitored against limits and analysed daily. A daily report summarising the position of exposures against limits at desk, business and NWM Group levels is provided to senior management and market risk managers across the function. Limit reporting is supplemented with regulatory capital and stress testing information as well as ad-hoc reporting.

A risk review of trading businesses is undertaken weekly with senior risk and front office staff. This includes a review of profit and loss drivers, notable position concentrations and other positions of concern.

Business profit and loss performance is monitored automatically through loss triggers which, if breached, require a remedial action plan to be agreed between the Market Risk function and the business. The loss triggers are set using both a fall-from-peak approach and an absolute loss level. In addition, regular updates on traded market risk positions are provided to NWM Group's Executive Risk Committee and Board Risk Committee.

Measurement (audited)

NWM Group uses VaR, SVaR and the IRC to capitalise traded market risk. Risks that are not adequately captured by VaR or SVaR are captured by the RNIV framework to ensure that NWM Group is adequately capitalised for market risk. In addition, stress testing is used to identify any vulnerabilities and potential losses.

The key inputs into these measurement methods are market data and risk factor sensitivities. Sensitivities refer to the changes in trade or portfolio value that result from small changes in market parameters that are subject to the market risk limit framework. Revaluation ladders are used in place of sensitivities to capture the impact of large moves in risk factors or the joint impact of two risk factors.

The suite of internal metrics used for risk management purposes at NWM Group level have been designed to capture correlation effects and to allow for an aggregated view of traded market risk across risk types, markets and business lines while also taking into account the characteristics of each risk type.

Value-at-risk

For internal risk management purposes, VaR assumes a time horizon of one trading day and a confidence level of 99%.

The internal VaR model – which captures all trading book positions including those products approved by the regulator – is based on a historical simulation, utilising market data from the previous 500 days, and is sensitive to recent market conditions.

The model also captures the potential impact of interest rate risk, credit spread risk, foreign currency price risk, equity price risk and commodity price risk.

When simulating potential movements in such risk factors, a combination of absolute, relative and rescaled returns is used.

The performance and adequacy of the VaR model are tested regularly through the following processes:

- Back-testing: Internal and regulatory back-testing is conducted on a daily basis. For further information on back-testing, refer to the following page.
- Ongoing model validation: VaR model performance is assessed both regularly and, on an ad-hoc basis if market conditions or portfolio profile change significantly.
- Model Risk Management review: As part of the model lifecycle, all risk models (including the VaR model) are independently reviewed to ensure the model is still fit for purpose given current market conditions and portfolio profile. For further detail on the independent model validation carried out by Model Risk Management, refer to “—Model Risk” below.

One-day 99% traded internal VaR

The table below shows one-day 99% internal VaR for the trading portfolios of NWM Group, split by exposure type.

	2024				2023			
	Average	Maximum	Minimum	Period end	Average	Maximum	Minimum	Period end
Traded internal VaR (1-day 99%)	£m	£m	£m	£m	£m	£m	£m	£m
Interest rate	6.6	12.1	3.0	3.8	9.8	19.3	4.3	7.4
Credit spread.....	7.7	10.1	5.6	5.6	6.2	7.1	4.9	6.8
Currency	2.0	6.7	0.5	1.3	2.3	7.0	0.9	1.8
Equity	0.1	0.3	-	-	-	0.1	-	0.1
Diversification (1)	(6.3)			(5.4)	(7.0)			(7.2)
Total	10.1	16.2	5.3	5.3	11.3	20.0	6.6	8.9

(1) NWM Group benefits from diversification across various financial instrument types, currencies and markets. The extent of the diversification benefit depends on the correlation between the assets and risk factors in the portfolio at a particular time. The diversification factor is the sum of the VaR on individual risk types less the total portfolio VaR.

- On an average basis, traded VaR remained at similar levels in 2024 compared to 2023.
- The decrease in average total traded VaR and interest rate VaR reflected the decrease in curve risk in sterling and euro flow trading.

VaR back-testing

The main approach employed to assess the VaR model’s ongoing performance is back-testing, which counts the number of days when a loss exceeds the corresponding daily VaR estimate, measured at a 99% confidence level.

Two types of profit and loss (“P&L”) are used in back-testing comparisons: Actual P&L and Hypothetical P&L.

The table below shows regulatory back-testing exceptions in NWM Plc for the 250-business-day period to 31 December 2024 for one-day 99% traded regulatory VaR compared with Actual and Hypothetical (Hypo) P&L.

	Back-testing exceptions	
	Actual	Hypo
NWM Plc.....	-	-

- In the 250-day rolling window to 31 December 2024, there were no NWM Plc Actual or Hypothetical VaR P&L back-testing exceptions.

The table below shows internal back-testing exceptions in the major NWM businesses for the 250-business-day period to 31 December 2024. Internal back-testing compares one-day 99% traded internal VaR with Actual and Hypo P&L.

	Back-testing exceptions	
	Actual	Hypo
Rates	—	—
Currencies.....	—	3
Credit.....	—	—
xVA	—	—

- The back-testing exceptions were driven by losses in Currencies in February, July and December 2024 due to increased foreign exchange and rates market volatility.

Stressed VaR (SVaR)

As with VaR, the SVaR methodology produces estimates of the potential change in the market value of a portfolio, over a specified time horizon, at a given confidence level. SVaR is a VaR-based measure using historical data from a one-year period of stressed market conditions. A simulation of 99% VaR is run on the current portfolio for each 250-day period from 2005 to the current VaR date, moving forward one day at a time. The SVaR is the worst VaR outcome of the simulated results.

This is in contrast with VaR, which is based on a rolling 500-day historical data set. A time horizon of ten trading days is assumed with a confidence level of 99%. NWM Group's internal traded SVaR model captures all trading book positions.

The table below analyses 10-day 99% internal SVaR for the trading portfolios of NWM Group.

	2024				2023			
	Average	Maximum	Minimum	Period end	Average	Maximum	Minimum	Period end
	£m	£m	£m	£m	£m	£m	£m	£m
Total internal traded SVaR.....	56	136	31	41	56	140	28	36

- Traded SVaR, on an average basis, remained at similar levels in 2024 compared to 2023.

Risks Not In VaR (RNIVs)

The RNIV framework is used to identify and quantify market risks that are not fully captured by the internal VaR and SVaR models.

RNIV calculations form an integral part of ongoing model and data improvement efforts to capture all market risks in scope for model approval in VaR and SVaR.

Stress testing

For information on stress testing, refer to page 120.

Incremental risk charge (IRC)

The IRC model quantifies the impact of rating migration and default events on the market value of instruments with embedded credit risk (in particular, bonds and credit default swaps) held in the trading book. It further captures basis risk between different instruments, maturities and reference entities.

Non-Traded Market Risk

Definition (audited)

Non-traded market risk is the risk to the value of assets or liabilities outside the trading book, or the risk to income, that arises from changes in market prices such as interest rates, foreign exchange rates and equity prices, or from changes in managed rates.

Sources of risk (audited)

Non-traded market risk exists in all balance-sheet exposure that makes reference to market risk factors. The key sources of non-traded market risk are interest rate risk, credit spread risk, foreign exchange risk and equity risk.

Key developments in 2024

- NWM Plc's non-traded market risk internal VaR decreased on an average and period-end basis compared to 2023. The decrease was driven by interest rate VaR.
- NWM Plc maintains a structural hedge of its common equity and reserves. At 31 December 2024 the notional amount of the structural hedge in place was £3.4 billion (£3.4 billion at 31 December 2023). NWM N.V. also maintains a structural hedge of its common equity and reserves; at 31 December 2024, the notional amount of this hedge, in sterling equivalent terms, was £1.2 billion (£1.4 billion at 31 December 2023).

Governance (audited)

Responsibility for identifying, measuring, monitoring and controlling market risk arising from non-trading activities lies with the relevant business. Oversight is provided by NWM Group's Non-Traded Market Risk function.

Risk positions are reported regularly to NWM Group's Executive Risk Committee and the Board Risk Committee, as well as to the Assets & Liabilities Committee. Non-traded market risk policy statements set out the governance and risk management framework.

Non-traded market risk is managed separately on both sides of the ring-fence. It is aggregated and monitored against risk appetite at both NWM Plc and NatWest Group levels.

Risk appetite

NWM Group's qualitative appetite is set out in the non-traded market risk appetite statement.

Its quantitative appetite is expressed in terms of exposure limits set, where Board-approved, at legal entity level. At NWM Plc level, the Board limit comprises a VaR measure. This is supplemented with SVaR, sensitivities (including of the CET1 ratio), earnings-at-risk and economic-value-of-equity measures monitored at Executive governance level.

To ensure limits are not breached, triggers have been set such that if exposures exceed a specified level, action plans are developed by the business, Non-Traded Market Risk and Finance for implementation. Limits are reviewed regularly to reflect changes in risk appetite, business plans, portfolio composition and the external environment. For further information on risk appetite, refer to page 121.

Non-traded internal VaR (one-day 99%)

The following table shows NWM Plc's one-day internal banking book VaR at a 99% confidence level, split by risk type. VaR values for each year are calculated based on one-day values for each of the 12 month-end reporting dates.

	2024				2023			
	Average	Maximum	Minimum	Period end	Average	Maximum	Minimum	Period end
NWM Plc	£m	£m	£m	£m	£m	£m	£m	£m
Interest rate	3.4	4.9	1.3	2.3	5.2	7.4	3.0	5.6

	2024				2023			
	Average	Maximum	Minimum	Period end	Average	Maximum	Minimum	Period end
NWM Plc	£m	£m	£m	£m	£m	£m	£m	£m
Credit spread.....	5.1	6.3	4.2	4.2	5.6	7.3	3.8	7.3
Structural foreign exchange rate.....	2.9	3.4	2.5	2.9	3.5	4.8	2.8	4.8
Equity risk	1.0	1.2	0.8	0.9	1.2	1.2	1.1	1.1
Diversification (1)	(4.5)			(5.3)	(6.0)			(5.7)
Total	7.9	10.3	4.9	5.0	9.5	13.1	7.1	13.1

(1) NWM Plc benefits from diversification across various financial instrument types, currencies and markets. The extent of the diversification benefit depends on the correlation between the assets and risk factors in the portfolio at a particular time. The diversification factor is the sum of the VaR on individual risk types less the total portfolio VaR.

- NWM Plc's total non-traded VaR decreased on an average and period-end basis compared to 2023.
- Interest rate VaR decreased, mainly driven by earlier periods of interest rate volatility falling out of the VaR calculation window.

Interest rate risk

NTIRR mainly arises from capital hedges, in portfolios held for liquidity purposes and from interest rate repricing mismatches between assets and liabilities in other portfolios. When aggregated, these products form portfolios of assets and liabilities with varying degrees of sensitivity to changes in market interest rates. Mismatches can give rise to volatility in net interest income as interest rates vary.

NTIRR comprises the following three primary risk types:

- Gap risk: arises from the timing of rate changes in non-trading book instruments. The extent of gap risk depends on whether changes to the term structure of interest rates occur consistently across the yield curve (parallel risk) or differentially by period (non-parallel risk).
- Basis risk: captures the impact of relative changes in interest rates for financial instruments that have similar tenors but are priced using different interest rate indices, or on the same interest rate indices but with different tenors.
- Option risk: arises from option derivative positions or from optional elements embedded in assets, liabilities and/or off-balance sheet items, where NWM Group or its customer can alter the level and timing of their cash flows.

NWM Group manages its interest rate positions within limits at legal entity level and hedges these positions externally using cash and derivatives (primarily interest rate swaps).

Credit spread risk

Credit spread risk arises from the potential adverse economic impact of a change in the spread between bond (or other credit-sensitive instrument) yields and swap rates, where the portfolios are accounted at fair value through other comprehensive income. Credit risk also arises on loan portfolios classified at fair value.

To ensure NWM Group can continue to meet its obligations in the event that access to wholesale funding markets is restricted, it maintains a liquidity buffer in the form of bond portfolios – comprising primarily high-quality securities – and central bank cash.

Credit spread risk is monitored daily through sensitivities and VaR measures. Exposures and limit utilisations are reported to senior management on a regular basis. The dealing mandates in place for the bond portfolios further mitigate the risk by imposing constraints by duration, asset class and credit rating.

Foreign exchange risk

Non-traded foreign exchange risk arises from two main sources:

- Structural foreign exchange rate risk - mainly arises from the capital deployed in foreign subsidiaries and branches.
- Transactional foreign exchange rate risk - arises from customer transactions and profits and losses that are in a currency other than the functional currency.

Structural foreign exchange rate risk is assessed and managed by NWM Plc Treasury, with the aim of reducing NWM Plc's solo CET1 ratio sensitivity to unexpected movements in spot foreign exchange rates.

The position is managed within risk appetite levels under delegated authority from NWM Plc ALCo. The sensitivity of the CET1 ratio to exchange rates is reported to NWM Plc senior management monthly.

Gains or losses arising from the retranslation of net investments in overseas operations are recognised in equity reserves and reduce the sensitivity of capital ratios to foreign exchange rate movements primarily arising from the retranslation of non-sterling denominated RWAs.

Foreign exchange exposures arising from customer transactions are hedged by businesses on a regular basis in line with NatWest Group policy.

Foreign exchange exposures

The table below shows NWM Group's structural foreign currency exposures.

	Net investments in foreign operations	Net investment hedges	Structural foreign currency exposures	Economic hedges	Residual structural foreign currency exposures
	£m	£m	£m	£m	£m
2024					
US dollar (1)	1,824	(598)	1,226	(1,226)	—
Euro	2,392	(355)	2,037	—	2,037
Swiss franc	180	(180)	—	—	—
Other non-sterling	313	(38)	275	—	275
	<u>4,709</u>	<u>(1,171)</u>	<u>3,538</u>	<u>(1,226)</u>	<u>2,312</u>
2023					
US dollar (1)	1,181	(228)	953	(902)	51
Euro	2,420	(420)	2,000	—	2,000
Swiss franc	192	(192)	—	—	—
Other non-sterling	355	(74)	281	—	281
	<u>4,148</u>	<u>(914)</u>	<u>3,234</u>	<u>(902)</u>	<u>2,332</u>

(1) Economic hedges of US dollar net investments in foreign operations represent US dollar equity securities that do not qualify as net investment hedges for accounting purposes.

- Sterling weakened against the US dollar, to 1.25 at 31 December 2024 compared to 1.27 at 31 December 2023. It strengthened against the euro, to 1.20 at 31 December 2024 compared to 1.15 at 31 December 2023.
- Changes in foreign currency exchange rates affect equity in proportion to structural foreign currency exposure. For example, a 5% strengthening or weakening in foreign currencies against sterling would result in a gain or loss of £0.2 billion in equity, respectively.

Capital, Liquidity and Funding Risk

NWM Group continually ensures a comprehensive approach is taken to the management of capital, liquidity and funding, underpinned by frameworks, risk appetite and policies, to manage and mitigate capital, liquidity &

funding risks. The framework ensures the tools and capability are in place to facilitate the management and mitigation of risk ensuring the Group operates within its regulatory requirements and risk appetite.

Definitions (audited)

Regulatory capital consists of reserves and instruments issued that are available, have a degree of permanency and are capable of absorbing losses. A number of strict conditions are set by applicable regulations to determine capital eligibility.

Capital risk is the inability to conduct business in base or stress conditions on a risk or leverage basis due to insufficient qualifying capital as well as the failure to assess, monitor, plan and manage capital adequacy requirements.

Liquidity risk is defined as the risk that the Group or any of its subsidiaries or branches cannot meet its actual or potential financial obligations in a timely manner as they fall due in the short term.

Funding risk is the current or prospective risk that the Group or its subsidiaries or branches cannot meet financial obligations as they fall due in the medium to long term, either at all or without increasing funding costs unacceptably.

Liquidity and funding risks arise in a number of ways, including through the maturity transformation role that banks perform. The risks are dependent on factors such as:

- Maturity profile;
- Composition of sources and uses of funding;
- The quality and size of the liquidity portfolio;
- Wholesale market conditions; and
- Depositor and investor behaviour.

Sources (audited)

Capital

The eligibility of instruments and financial resources as regulatory capital is laid down by applicable regulation. Capital is categorised by applicable regulation under two tiers (Tier 1 and Tier 2) according to the ability to absorb losses on either a going or gone concern basis, degree of permanency and the ranking of loss absorption. There are three broad categories of capital across these two tiers:

- **CET1 capital** - CET1 capital must be perpetual and capable of unrestricted and immediate use to cover risks or losses as soon as these occur. This includes ordinary shares issued and retained earnings.
- **AT1 capital** - This is the second type of loss absorbing capital and must be capable of absorbing losses on a going concern basis. These instruments are perpetual in nature, with an initial call period of at least five years from issue and are written off or converted into CET1 capital if a pre-specified CET1 ratio is reached. The sum of CET1 and AT1 capital is referred to as Tier 1 capital.
- **Tier 2 capital** - Tier 2 capital is the bank entities' supplementary capital and provides loss absorption on a gone concern basis. Gone concern refers to the situation in which resources must be available to enable an orderly resolution, in the event that the BoE deems that NWM Plc has failed. Tier 2 capital absorbs losses after Tier 1 capital. It typically consists of subordinated debt securities with a minimum initial maturity of five years.

Minimum requirement for own funds and eligible liabilities (MREL)

In addition to capital, other specific loss absorbing instruments, including senior notes with a residual maturity of at least one year issued by NWM Plc, may be used to cover certain gone concern capital requirements.

Liquidity

NWM Group maintains a prudent approach to the definition of liquidity portfolio to ensure it is available when and where required, taking into account regulatory, legal and other constraints.

Liquidity portfolio is divided into primary and secondary liquidity as follows:

- Primary liquidity is LCR eligible assets and includes cash and balances at central banks, Treasury bills and high-quality government securities.
- Secondary liquidity is assets eligible as collateral for local central bank liquidity facilities. These assets include own-issued securitisations or whole loans that are retained on balance sheet and pre-positioned with a central bank so that they may be converted into additional sources of liquidity at very short notice.

Funding

NWM Group's primary funding sources are as follows:

Type	Description
Wholesale markets	Includes: • Short-term (less than 1 year) unsecured money market funding. • Commercial paper and certificates of deposit. • Secured repo market funding.
Term debt	Includes: • Long-term (typically more than 1 year) senior unsecured and secured debt securities. • Long-term subordinated liabilities.
Internal capital and MREL	Includes: • Equity, AT1, Tier 2 capital instruments and MREL issued to NatWest Group plc (under the Single Point of Entry regime).

Managing capital, liquidity and funding requirements: regulated entities

In line with paragraph 135 of IAS 1 'Presentation of Financial Statements', NWM Group manages capital having regard to regulatory requirements. Regulatory capital, MREL, RWA and leverage is monitored and reported on an individual regulated bank legal entity basis ('bank entity'), which is the CRR transitional basis as relevant in the UK and EU.

Liquidity metrics including the LCR are presented for the solo legal entity as regulated by the PRA. Disclosures for funding sources and notes issued are presented for NWM Group rather than for NatWest Markets Plc.

Key developments in 2024

- NWM Plc's RWAs decreased by £1.3 billion to £20.8 billion at 31 December 2024, reflecting lower market risk, counterparty credit risk, and a decrease from the annual update to operational risk RWAs; partially offset by an increase in credit risk.
- NWM Plc's CET1 ratio increased by 110 basis points to 18.2% at 31 December 2024, from 17.1% at 31 December 2023, largely driven by the decrease in RWAs.
- NWM Plc issued a \$750 million AT1 instrument to NatWest Group plc in 2024.

- NWM Plc's MREL at 31 December 2024 was £10.0 billion, or 48.2% of RWAs, compared to £7.6 billion or 34.5% of RWAs at 31 December 2023. The increase in total MREL was due to a £0.7 billion increase in eligible capital and a £1.7 billion increase in senior unsecured debt. The increase in eligible capital was mainly due to the AT1 instrument issued to NatWest Group plc of \$0.75 billion and two new internal Tier 2 instruments amounting to \$1.16 billion, partially offset by the redemption of an internal €0.95 billion Tier 2 instrument. The increase in senior unsecured debt was driven by the issuance of three new MREL instruments with NatWest Group plc amounting to \$2.15 billion.
- NWM Plc's leverage ratio increased by 50 basis points to 5.5%. The increase was largely driven by a £0.6 billion increase in Tier 1 capital, primarily due to the AT1 instrument issued to NatWest Group plc, partially offset by a £2.9 billion increase in leverage exposure. The key drivers for the leverage exposure were an increase in other financial assets and net derivatives, partially offset by a decrease in trading assets and net settlement balances.
- The NWM Plc liquidity portfolio increased by £6.3 billion to £21.0 billion at 31 December 2024, compared with £14.7 billion at the prior year end, largely driven by funding raised to support banking book growth.
- The spot LCR for NWM Plc was 195% at 31 December 2024, compared with 183% at 31 December 2023. The average LCR was 192%, compared with 240% at 31 December 2023.

Capital Management

Capital management is the process by which banks ensure that they have sufficient capital and other loss absorbing instruments to operate effectively. This includes meeting minimum regulatory requirements, operating within Board-approved risk appetite, maintaining credit ratings and supporting strategic goals. Capital management is critical in supporting banks businesses. Capital management within NWM Group is executed in accordance with the NatWest Group-wide framework.

NWM Plc's capital plans are produced and updated by the bank on a monthly basis. This process includes integration into NatWest Group's wider annual budgeting process and is summarised below. Other elements of capital management, including risk appetite and stress testing, are set out on pages 121 to 123.

Produce capital plans	• A capital plan is produced for NWM Plc using a five-year planning horizon under expected and stress conditions. Stressed capital plans are produced to support internal stress testing through the ICAAP or for regulatory purposes. • A shorter term (rolling 12 month) forecast is updated frequently in response to actual performance, changes in internal and external business environment and to manage risks and opportunities.
Assess capital adequacy	• Capital plans are developed to ensure that capital of sufficient quantity and quality is planned to be available to support NWM Group's business and strategic plans over the planning horizon within approved risk appetite, as determined via stress testing, and minimum regulatory requirements. • Impact assessment captures input from across NWM Group including from businesses.
Inform capital actions	• Capital planning informs potential capital actions including managing capital through new issuance, redemptions or internal transactions. • Decisions on capital actions will be influenced by strategic and regulatory requirements, the cost and prevailing market conditions. • As part of capital planning, NWM Group will monitor its portfolio of capital securities and assess the optimal blend.

Capital planning is one of the tools that NWM Group uses to monitor and manage capital adequacy risk on a going and gone concern basis, including the risk of excessive leverage.

Liquidity and Funding Management

Liquidity and funding management follows a similar process to that outlined above for capital.

Liquidity portfolio management

The size of the portfolio is determined by reference to NWM Group's liquidity risk appetite. Consistent with NatWest Group, NWM Group retains a prudent approach to setting the composition of the liquidity portfolio, which is subject to internal policies and limits covering quality of counterparty, maturity mix and currency mix. NWM Group categorises its liquidity portfolio, including its locally managed liquidity portfolios, into primary and secondary liquid assets. The majority of the NWM Plc portfolio is managed by NatWest Holdings Treasury on behalf of NWM Plc, for which the NatWest Markets Treasurer is responsible.

NatWest Markets Securities Inc. and NatWest Markets N.V., both of which are significant operating subsidiaries of NWM Plc, hold locally managed liquidity portfolios to comply with local regulations that differ from PRA rules.

The liquidity value of the portfolio is determined by taking current market prices and applying a discount or haircut, to determine a liquidity value that represents the amount of cash that can be generated by the asset.

Funding risk management

NWM Group manages funding risk through a comprehensive framework which measures and monitors the funding risk on the balance sheet.

The long-term obligations of NWM Group must be met with diverse and stable funding sources, the behavioural maturity of these liabilities must at a minimum equal those of the assets.

Minimum Requirements

Capital ratios

NWM Plc is subject to minimum capital requirements relative to RWAs. The table below summarises the minimum Pillar 1 capital requirements and additional capital buffers that the entity is expected to have to meet.

Type	CET1	Total tier 1	Total capital
Minimum capital requirements.....	4.5%	6.0%	8.0%
Capital conservation buffer (1).....	2.5%	2.5%	2.5%
Countercyclical capital buffer (1).....	1.0%	1.0%	1.0%
Total	8.0%	9.5%	11.5%

- (1) The UK countercyclical buffer ("CCyB") rate is currently being maintained at 2%. This may vary in either direction in the future subject to how risks develop. Foreign exposures may be subject to different CCyB rates depending on the rate set in those jurisdictions. The capital conservation buffer and the countercyclical capital buffer are required to be met with CET1 capital only.
- (2) In addition, NWM Plc is subject to Pillar 2A requirements for CET1, AT1 and T2.

Leverage ratio

The table below summarises the minimum ratios of capital to leverage exposure under the binding PRA UK leverage framework applicable for NWM Plc.

Type	CET1	Total tier 1
Minimum ratio.....	2.44%	3.25%
Countercyclical leverage ratio buffer (1).....	0.3%	0.3%
Total	2.74%	3.55%

- (1) The countercyclical leverage ratio buffer is set at 35% of NWM Plc's CCyB. The UK CCyB is currently being maintained at 2%. Foreign exposure may be subject to different CCyB rates depending on the rates set in those jurisdictions.

Liquidity ratio

NWM Plc has a minimum LCR requirement under the PRA framework of 100%.

Measurement

Capital, RWAs and leverage

Capital resources, RWAs and leverage based on the PRA transitional arrangements in respect of ECL provisions ⁽²⁾ for NWM Plc are set out below. Regulatory capital is monitored and reported at legal entity level for large subsidiaries of NatWest Group.

	2024	2023
Capital adequacy ratios	%	%
CET1	18.2	17.1
Tier 1	24.3	20.2
Total	27.8	23.0
Total MREL	48.2	34.5
Capital	£m	£m
CET1	3,779	3,776
Tier 1	5,067	4,455
Total	5,779	5,072
Total MREL (1).....	10,038	7,627
RWAs		
Credit risk.....	8,908	7,895
Counterparty credit risk.....	5,797	6,516
Market risk	5,105	6,366
Operational risk	1,002	1,322
Total RWAs.....	20,812	22,099

- (1) Includes senior debt instruments issued to NatWest Group plc with a regulatory value of £4.3 billion (2023 - £2.6 billion).

- (2) The IFRS 9 transitional capital rules in respect to ECL provisions will no longer apply from 1 January 2025.

Leverage

	2024	2023
Tier 1 capital (£m)	5,067	4,455
Leverage exposure (£m) (1)	92,859	89,929
Leverage ratio (%).....	5.5	5.0

- (1) Leverage exposure is broadly aligned to the accounting value of on and off-balance sheet exposures, subject to specific adjustments for derivatives, securities financing positions and off-balance sheet exposures.

Leverage exposure

The leverage metrics for UK entities are calculated in accordance with the Leverage ratio (CRR) part of the PRA Rulebook.

	2024	2023
Leverage	£m	£m
Cash and balances at central banks.....	11,069	8,607

	2024	2023
Leverage	£m	£m
Trading assets	26,186	28,411
Derivatives.....	74,982	75,832
Financial assets.....	37,408	32,930
Other assets.....	3,292	4,878
Total assets	152,937	150,658
Derivatives		
- netting.....	(72,159)	(73,927)
- potential future exposures.....	15,093	15,691
Securities financing transactions gross up	1,959	1,301
Undrawn commitments	8,638	8,493
Regulatory deductions and other adjustments	(2,266)	(3,373)
Exclusion of core UK-group exposures.....	(288)	(310)
Claims on central banks.....	(11,055)	(8,604)
Leverage exposure.....	92,859	89,929

Liquidity portfolio

The table below shows the composition of the liquidity portfolio with primary liquidity aligned to high-quality liquid assets on a regulatory LCR basis. Secondary liquidity comprises of assets which are eligible as collateral for local central bank liquidity facilities and do not form part of the LCR eligible high-quality liquid assets.

	2024	2023
	£m	£m
Cash and balances at central banks.....	10,965	8,547
High quality government/MDB/PSE and GSE bonds (1).....	8,962	6,054
Extremely high quality covered bonds	—	1
LCR Level 1 eligible assets	19,927	14,602
LCR Level 2 eligible assets (2)	1,031	104
Primary liquidity (HQLA) (3)	20,958	14,706
Secondary liquidity (4)	30	39
Total liquidity value	20,988	14,745

- (1) Multilateral development bank abbreviated to MDB, public sector entities abbreviated to PSE and government sponsored entities abbreviated to GSE.
- (2) Includes Level 2A and Level 2B.
- (3) High-quality liquid assets abbreviated to HQLA.
- (4) Comprises assets eligible for discounting at the Bank of England and other central banks which do not form part of the LCR high-quality liquid assets.

The table below shows the liquidity value of the liquidity portfolio by currency.

	GBP	USD	EUR	Other	Total
Total liquidity portfolio	£m	£m	£m	£m	£m
2024	11,667	3,353	4,996	972	20,988
2023	5,153	3,350	6,150	92	14,745

Funding sources (audited)

The table below shows NWM Group's carrying values of the principal funding sources based on contractual maturity.

	2024			2023		
	Short-term less than 1 year	Long-term more than 1 year	Total	Short-term less than 1 year	Long-term more than 1 year	Total
	£m	£m	£m	£m	£m	£m
Bank deposits	4,056	509	4,565	1,622	645	2,267
of which: repos (amortised cost).....	2,487	—	2,487	452	—	452
Customer deposits	4,784	56	4,840	6,990	8	6,998
of which: repos (amortised cost).....	482	—	482	418	—	418
Trading liabilities (1)						
Repos (2).....	29,752	810	30,562	26,634	268	26,902
Derivative cash collateral received	12,307	—	12,307	15,062	—	15,062
Other bank and customer deposits	627	268	895	768	382	1,150
Debt securities in issue	20	237	257	418	288	706
	42,706	1,315	44,021	42,882	938	43,820
Other financial liabilities						
Customer deposits (designated at fair value)	221	1,316	1,537	193	1,066	1,259
Debt securities in issue						
Commercial paper and certificates of deposits	7,228	377	7,605	4,228	205	4,433
Medium term notes (MTNs)	7,548	14,304	21,852	3,759	13,849	17,608
Subordinated liabilities	—	269	269	—	274	274
	14,997	16,266	31,263	8,180	15,394	23,574
Amounts due to holding company and fellow subsidiaries (3)						
Internal MREL	929	3,429	4,358	434	2,636	3,070
Other bank and customer deposits	1,204	—	1,204	1,620	—	1,620
Subordinated liabilities	—	1,115	1,115	839	183	1,022
	2,133	4,544	6,677	2,893	2,819	5,712
Total funding	68,676	22,690	91,366	62,567	19,804	82,371
Of which: available in resolution (4)			4,813			3,093

- (1) Funding sources excludes short positions of £10,491 million (2023 - £9,803 million) reflected as trading liabilities on the balance sheet.
- (2) Comprises Central and other bank repos of £7,174 million (2023 - £3,957 million), other financial institution repos of £20,398 million (2023 - £20,394 million) and other corporate repos of £2,990 million (2023 - £2,551 million).
- (3) Amounts due to holding company and fellow subsidiaries relating to non-financial instruments of £94 million (2023 - £90 million) have been excluded from the table.
- (4) Eligible liabilities (as defined in the Banking Act 2009 as amended from time to time) that meet the eligibility criteria set out in the regulations, rules, policies, guidelines, or statements of the Bank of England including the Statement of Policy published in December 2021 (updating June 2018).

Senior notes and subordinated liabilities - residual maturity profile by instrument type (audited)

The table below shows NWM Group's debt securities in issue, subordinated liabilities and internal resolution instruments by residual maturity.

	Trading liabilities	Other financial liabilities						
	Debt securities in issue	Debt securities in issue				Amounts due to holding company and fellow subsidiaries		
	MTNs	Commercial paper and CDs	MTNs	Subordinated liabilities	Total	Internal MREL	Subordinated liabilities	Total notes in issue
	£m	£m	£m	£m	£m	£m	£m	£m
2024								
Less than 1 year	20	7,228	7,548	—	14,776	929	—	15,725
1-3 years	35	377	9,959	—	10,336	1,751	—	12,122
3-5 years	42	—	3,652	—	3,652	1,678	987	6,359
More than 5 years	160	—	693	269	962	—	128	1,250
Total	257	7,605	21,852	269	29,726	4,358	1,115	35,456
2023								
Less than 1 year	418	4,228	3,759	—	7,987	434	839	9,678
1-3 years	48	205	9,342	18	9,565	1,722	—	11,335
3-5 years	—	—	3,851	—	3,851	914	—	4,765
More than 5 years	240	—	656	256	912	—	183	1,335
Total	706	4,433	17,608	274	22,315	3,070	1,022	27,113

The table below shows the currency breakdown of total notes in issue.

	GBP	USD	EUR	Other	Total
	£m	£m	£m	£m	£m
2024					
Commercial paper and CDs	2,461	1,461	3,683	—	7,605
MTNs	2,306	5,069	11,804	2,930	22,109
External subordinated liabilities	18	17	234	—	269
Internal MREL due to NatWest Group plc	—	3,473	885	—	4,358
Subordinated liabilities due to NatWest Group plc	—	1,115	—	—	1,115
Total	4,785	11,135	16,606	2,930	35,456
2023 total	2,948	8,153	13,017	2,995	27,113

Credit Risk

Definition (audited)

Credit risk is the risk that customers, counterparties or issuers fail to meet a contractual obligation to settle outstanding amounts.

Sources of risk (audited)

The principal sources of credit risk for NWM Group are lending, off-balance sheet products, derivatives and securities financing, debt securities, and settlement risk through trading activities.

Key developments in 2024 (audited)

- The credit profile remained stable and NWM Group has yet to see signs of financial stress materially affecting customers' ability to repay.
- Current and potential credit exposure increased in the context of planned business growth.

- NWM Group continued to progress embedding climate change considerations in credit assessment and monitoring, including scenario analysis and development of second generation climate risk scorecards.

Governance (audited)

The Credit Risk function provides oversight and challenge of frontline credit risk management activities. Authority is delegated to credit risk officers who operate within designated limits set at a customer level and a portfolio level.

Governance activities include:

- Defining and proposing credit risk appetite measures for Board approval.
- Establishing credit risk policy, standards and toolkits which set out the mandatory limits and parameters required to ensure that credit risk is managed within risk appetite and which provide the minimum standards for the identification, assessment, management, monitoring and reporting of credit risk.
- Oversight of the first line of defence to ensure that credit risk remains within the appetite set by the Board and that it is being managed adequately and effectively.
- Assessing the adequacy of ECL provisions including approving key IFRS 9 inputs (such as significant increase in credit risk (“SICR”) thresholds) and any necessary in-model and post model adjustments through provisions and model committees.
- Development and approval of credit grading models.
- Providing regular reporting on credit risk to the Board.

The Credit Risk Committee provides oversight of the overall credit risk profile and sector/product/asset class concentrations.

Risk appetite

Credit risk appetite is approved by the Board and is set and monitored through a risk appetite framework.

The framework has been designed to reflect factors that influence the ability to operate within risk appetite. Tools such as stress testing and economic capital are used to measure credit risk volatility and develop links between the framework and risk appetite limits.

Risk appetite statements and associated measures are reviewed and approved at least annually by the Board on the Board Risk Committee’s recommendation to ensure they remain appropriate and aligned to strategy.

The framework is used to manage concentrations of risk which may arise across four lenses – single name, sector, country and product and asset classes.

The framework is supported by a suite of transactional acceptance standards that set out the risk parameters within which businesses should operate.

Identification and measurement

Credit stewardship (audited)

Risks are identified through relationship management and credit stewardship of customers and portfolios. Credit stewardship takes place throughout the customer relationship, beginning with the initial approval. It includes the application of credit assessment standards, credit risk mitigation and collateral, ensuring that credit documentation is complete and appropriate, carrying out regular portfolio or customer reviews and problem debt identification and management.

Asset quality (audited)

All credit grades map to an asset quality (“**AQ**”) scale, used for financial reporting. This AQ scale is based on Basel probability of defaults (“**PDs**”). Performing loans are defined as AQ1-AQ9 (where the PD is less than 100%) and defaulted non-performing loans as AQ10 or Stage 3 under IFRS 9 (where the PD is 100%). Loans are defined as defaulted when the payment status becomes 90 days past due, or earlier if there is clear evidence that the borrower is unlikely to repay, for example bankruptcy or insolvency.

Counterparty credit risk

Counterparty credit risk arises from the obligations of customers under derivative and securities financing transactions. It is a material part of NWM Group’s credit risk.

NWM Group mitigates counterparty credit risk through collateralisation and netting agreements, which allow amounts owed by NWM Group to a counterparty to be netted against amounts the counterparty owes NWM Group.

Mitigation

Mitigation techniques, as set out in the appropriate credit risk toolkits and transactional acceptance standards, are used in the management of credit portfolios across NWM Group. These techniques mitigate credit concentrations in relation to an individual customer, a borrower group or a collection of related borrowers. Where possible, customer credit balances are netted against obligations. Mitigation tools can include structuring a security interest in a physical or financial asset, the use of credit derivatives including credit default swaps, credit-linked debt instruments and securitisation structures, and the use of guarantees and similar instruments (for example, credit insurance) from related and third parties.

Assessment and monitoring

Customers, including corporates, banks and other financial institutions are typically managed on an individual basis. Customers are aggregated as a single risk when sufficiently interconnected to the extent that a failure of one could lead to the failure of another.

A credit assessment is carried out before credit facilities are made available to customers. The assessment process is dependent on the complexity of the transaction. Credit approvals are subject to environmental, social and governance risk policies which restrict exposure to certain highly carbon intensive industries as well as those with potentially heightened reputational impacts. Customer specific climate risk commentary is now mandatory.

For lower-risk transactions below specific thresholds, credit decisions can be approved through a combination of fully automated or relationship manager self-sanctioning within the business. This process is facilitated through an auto-decision making system, which utilises scorecards, strategies and policy rules.

For other transactions, both business approval and credit approval are required. The joint business and credit approvers act within a delegated approval authority under the Wholesale Credit Authorities policy. The level of delegated authority held by approvers is dependent on their experience and expertise with only a small number of senior executives holding the highest approval authority.

Transactional acceptance standards provide detailed transactional lending and risk acceptance metrics and structuring guidance. As such, these standards provide a mechanism to manage risk appetite at the customer/transaction level and are supplementary to the established credit risk appetite.

Credit quality, and loss given default (“**LGD**”) are reviewed annually. The review process assesses borrower performance, the adequacy of security, compliance with terms and conditions, and refinancing risk.

Problem debt management

Early problem identification

Each sector has defined early warning indicators to identify customers experiencing financial difficulty, and to increase monitoring if needed. Early warning indicators may be internal, such as a customer’s bank account activity, or external, such as a publicly listed customer’s share price. If early warning indicators show a customer is

experiencing potential or actual difficulty, or if relationship managers or credit officers identify other signs of financial difficulty, they may decide to classify the customer within the Wholesale Problem Debt Management framework. Broader macro-economic trends including commodity prices, foreign exchange rates and consumer and government spend are also tracked, helping inform decisions on sector risk appetite. Customer level early warning indicators are regularly reviewed to ensure alignment with prevailing economic conditions, ensuring both the volume and focus of alerts is aligned to the point-in-time risk within each sector.

The Wholesale Problem Debt Management framework

This framework focuses on customers to provide early identification of credit deterioration, support intelligent risk-taking, ensure fair and consistent customer outcomes and provide key insights into lending portfolios. Expert judgement is applied by experienced credit risk officers to classify cases into categories that reflect progressively deteriorating credit risk to NWM Group. There are two classifications in the framework that apply to non-defaulted customers who are in financial stress – Heightened Monitoring and Risk of Credit Loss. For the purposes of provisioning, all exposures categorised as Heightened Monitoring or Risk of Credit Loss are categorised as Stage 2 and subject to a lifetime loss assessment. The framework also applies to those customers that have met NWM Group's default criteria (AQ10 exposures). Defaulted exposures are categorised as Stage 3 impaired for provisioning purposes.

Customers classified in the Heightened Monitoring category are those who are still performing but have certain characteristics – such as trading issues, covenant breaches, material PD downgrades and past due facilities – that may affect the ability to meet repayment obligations. Heightened Monitoring customers require pre-emptive actions to return or maintain their facilities within risk appetite.

Risk of Credit Loss customers are performing customers that have met the criteria for Heightened Monitoring and also pose a risk of credit loss to NWM Group in the next 12 months should mitigating action not be taken or not be successful.

Once classified as either Heightened Monitoring or Risk of Credit Loss, a number of mandatory actions are taken in accordance with policies. Actions include a review of the customer's credit grade, facility and security documentation and the valuation of security. Depending on the severity of the financial difficulty and the size of the exposure, the customer relationship strategy is reassessed by credit officers, by specialist credit risk or relationship management units in the relevant business, or by Restructuring.

Restructuring

Where customers are categorised as Risk of Credit Loss, relationships are mainly managed by the Restructuring team in NatWest Bank Plc as a service to NWM Group. The team protects NWM Group's capital by working with corporate and commercial customers to support their turnaround and recovery strategies and enable them to return to mainstream banking.

Forbearance (audited)

Forbearance takes place when a concession is made on the contractual terms of a loan/debt in response to a customer's financial difficulties. The aim of forbearance is to support and restore the customer to financial health while minimising risk. The type of forbearance offered is tailored to the customer's individual circumstances and may involve covenant waivers, amendments to margins, payment concessions and loan rescheduling (including extensions in contractual maturity), capitalisation of arrears, and debt forgiveness or debt-for-equity swaps.

Provisioning for forbearance

Provisions for forbore loans are assessed in accordance with normal provisioning policies. The customer's financial position and prospects – as well as the likely effect of the forbearance, including any concessions granted, and revised PD or LGD gradings – are considered in order to establish whether an impairment provision increase is required.

Loans granted forbearance are individually credit assessed in most cases. Performing loans subject to forbearance treatment are categorised as Stage 2 and subject to a lifetime loss assessment.

In line with regulatory guidance, forbearance may lead to a customer being classified as non-performing.

In the case of non-performing forborne loans, an individual loan impairment provision assessment generally takes place prior to forbearance being granted. The amount of the loan impairment provision may change once the terms of the forbearance are known, resulting in an additional provision charge or a release of the provision in the period the forbearance is granted.

The transfer of loans from impaired to performing status follows assessment by relationship managers and credit. When no further losses are anticipated and the customer is expected to meet the loan's revised terms, any provision is written-off or released and the balance of the loan can be returned to performing status once the exit criteria, as set out by regulatory guidance, are met.

Credit grading models

Credit grading models is the collective term used to describe all models, frameworks and methodologies used to calculate PD, exposure at default (“**EAD**”), LGD, maturity and the production of credit grades.

Credit grading models are designed to provide:

- An assessment of customer and transaction characteristics.
- A meaningful differentiation of credit risk.
- Accurate internal default rate, loss and exposure estimates that are used in the capital calculation or wider risk management purposes.

Impairment, provisioning and write-offs (audited)

In the overall assessment of credit risk, impairment provisioning and write-offs are used as key indicators of credit quality.

NWM Group's IFRS 9 provisioning models, which use existing internal ratings based (“**IRB**”) models as a starting point, incorporate term structures and economic forecasts. Regulatory conservatism within the IRB models has been removed as appropriate to comply with the IFRS 9 requirement for unbiased ECL estimates.

Five key areas may materially influence the measurement of credit impairment under IFRS 9 – two of these relate to model build and three relate to model application:

Model build:

- The determination of economic indicators that have most influence on credit loss for each portfolio and the severity of impact (this leverages existing stress testing models which are reviewed annually).
- The build of term structures to extend the determination of the risk of loss beyond 12 months that will influence the impact of lifetime loss for exposures in Stage 2.

Model application:

- The assessment of the SICR and the formation of a framework capable of consistent application.
- The determination of asset lifetimes that reflect behavioural characteristics while also representing management actions and processes (using historical data and experience).
- The choice of forward-looking economic scenarios and their respective probability weights.

For accounting policy information, refer to Accounting policy 3.11.

IFRS 9 ECL model design principles (audited)

Modelling of ECL for IFRS 9 follows the conventional approach to divide the estimation of credit losses into its component parts of PD, LGD and EAD.

To meet IFRS 9 requirements, the PD, LGD and EAD parameters differ from their Pillar 1 IRB counterparts in the following aspects:

- **Unbiased** – conservatism has been removed from IFRS 9 parameters to produce unbiased estimates.
- **Point-in-time** – IFRS 9 parameters reflect actual economic conditions at the reporting date instead of long-run average or downturn conditions.
- **Economic forecasts** – IFRS 9 PD estimates and, where appropriate, EAD and LGD estimates reflect forward-looking economic conditions.
- **Lifetime measurement** – IFRS 9 PD, LGD and EAD are provided as multi-period term structures up to exposure lifetimes instead of over a fixed one-year horizon.

IFRS 9 requires that, at each reporting date, an entity shall assess whether the credit risk on an account has increased significantly since initial recognition. Part of this assessment requires a comparison to be made between the current lifetime PD (i.e. the PD over the remaining lifetime at the reporting date) and the equivalent lifetime PD as determined at the date of initial recognition.

For assets originated before IFRS 9 was introduced, comparable lifetime origination PDs did not exist. These have been retrospectively created using the relevant model inputs applicable at initial recognition.

PD estimates

PD models use a point-in-time/through-the-cycle framework to convert one-year regulatory PDs into point-in-time estimates that reflect economic conditions at the reporting date. The framework utilises credit cycle indices (“CCIs”) for a comprehensive set of region/industry segments. Further detail on CCIs is provided in the Economic loss drivers section.

One-year PDs are extended to lifetime PDs using a conditional transition matrix approach and economic forecasts.

LGD estimates

The general approach for the IFRS 9 LGD models is to leverage corresponding IRB LGD models with bespoke adjustments to ensure estimates are unbiased and, where relevant, include economic forecasts.

Economic forecasts are incorporated into LGD estimates using the existing point-in-time/through-the-cycle framework. For low-default portfolios, including sovereigns and banks, loss data is too scarce to substantiate estimates that vary with economic conditions. Consequently, for these portfolios, LGD estimates are assumed to be constant throughout the projection horizon.

EAD estimates

EAD values are projected using product specific credit conversion factors (“CCFs”), closely following the product segmentation and approach of the respective IRB model. The CCFs are estimated over multi-year time horizons and contain no regulatory conservatism or downturn assumptions.

No explicit economic forecasts are incorporated, on the basis of analysis showing the movement in CCFs is mainly attributable to changes in exposure management practices rather than economic conditions.

Governance and post model adjustments (audited)

The IFRS 9 PD, EAD and LGD models are subject to NatWest Group’s model risk policy that stipulates periodic model monitoring, periodic re-validation and defines approval procedures and authorities according to

model materiality. Various post model adjustments were applied where management judged they were necessary to ensure an adequate level of overall ECL provision. All post model adjustments were subject to review, challenge and approval through model or provisioning committees.

Post model adjustments will remain a key focus area of NWM Group's ongoing ECL adequacy assessment process. A holistic framework has been established including reviewing a range of economic data, external benchmark information and portfolio performance trends with a particular focus on segments of the portfolio that are likely to be more susceptible to high inflation, high interest rates and supply chain disruption.

ECL post model adjustments (audited)

The table below shows ECL post model adjustments.

	2024	2023
	£m	£m
Deferred model calibrations	—	—
Economic uncertainty	10	13
Other adjustments.....	—	—
Total	10	13
Of which:		
- Stage 1	8	10
- Stage 2	2	3
- Stage 3	—	—

SICR (audited)

Exposures that are considered significantly credit deteriorated since initial recognition are classified in Stage 2 and assessed for lifetime ECL measurement (exposures not considered deteriorated carry a 12-month ECL). NWM Group has adopted a framework to identify deterioration based primarily on relative movements in lifetime PD supported by additional qualitative backstops. The principles applied are consistent across NWM Group and align to credit risk management practices, where appropriate.

The framework comprises the following elements:

- **IFRS 9 lifetime PD assessment (the primary driver)** – on modelled portfolios, the assessment is based on the relative deterioration in forward-looking lifetime PD and is assessed monthly. To assess whether credit deterioration has occurred, the residual lifetime PD at balance sheet date (which PD is established at date of initial recognition) is compared to the current PD. If the current lifetime PD exceeds the residual origination PD by more than a threshold amount, deterioration is assumed to have occurred and the exposure transferred into Stage 2 for a lifetime loss assessment. In broad terms, a doubling of PD would indicate a SICR. However, the PD uplift must be at least 0.1%.
- **Qualitative high-risk backstops** – the PD assessment is complemented with the use of qualitative high-risk backstops to further inform whether significant deterioration in lifetime risk of default has occurred. The qualitative high-risk backstop assessment includes the use of the mandatory 30+ days past due backstop, as prescribed by IFRS 9 guidance, and other features such as forbearance support and exposures managed within the Wholesale Problem Debt Management framework.

The criteria are based on a significant amount of empirical analysis and seek to meet three key objectives:

- **Criteria effectiveness** – the criteria should be effective in identifying significant credit deterioration and prospective default population.
- **Stage 2 stability** – the criteria should not introduce unnecessary volatility in the Stage 2 population.
- **Portfolio analysis** – the criteria should produce results which are intuitive when reported as part of the wider credit portfolio.

Monitoring the effect on relative PD deterioration when originating new lending at times of weaker economic outlook (therefore, higher PDs at initial recognition) is important to ensure SICR criteria remains effective.

Asset lifetimes (audited)

The choice of initial recognition and asset duration is another critical judgement in determining the quantum of lifetime losses that apply.

The date of initial recognition reflects the date that a transaction (or account) was first recognised on the balance sheet; the PD recorded at that time provides the baseline used for subsequent determination of SICR as detailed above.

For asset duration, the approach applied (in line with IFRS 9 requirements) is:

- **Term lending** – the contractual maturity date, reduced for behavioural trends where appropriate (such as, expected prepayment and amortisation).
- **Revolving facilities** – asset duration is based on annual customer review schedules and will be set to the next review date.

Economic Loss Drivers (audited)

Introduction

The portfolio segmentation and selection of economic loss drivers for IFRS 9 follows the approach used in stress testing. The stress models for each portfolio segment (defined by product or asset class and where relevant, industry sector and region) are based on a selected, small number of economic variables, that best explain the movements in portfolio loss rates. The process to select economic loss drivers involves empirical analysis and expert judgement.

The most significant economic loss drivers for the UK portfolios include UK GDP, world GDP, the unemployment rate, the house price index, and the Bank of England base rate. Similar metrics are used for other key country exposures in NWM Group.

Economic scenarios

At 31 December 2024, the range of anticipated future economic conditions was defined by a set of four internally developed scenarios and their respective probabilities. In addition to the base case, they comprised upside, downside and extreme downside scenarios. The scenarios primarily reflected the current risks faced by the economy. This approach was similar to that used at 31 December 2023.

For 31 December 2024, the four scenarios were deemed appropriate in capturing the uncertainty in economic forecasts and the non-linearity in outcomes under different scenarios. These four scenarios were developed to provide sufficient coverage across potential rises in unemployment, inflation, asset price declines and the degree of permanent damage to the economy, around which there remains pronounced levels of uncertainty.

Since 31 December 2023, the economic outlook has evolved. The economy came out of post-COVID-19 stagnation with an upswing in the first half of 2024 as household income recovered. The growth lost momentum in the second half of 2024 and the outlook remains that of moderate growth. Inflation declined over the year, although the progress is slower than expected and inflation is likely to take longer to reach the target of 2%. As a result, rates are expected to remain higher-for-longer than previously expected. The unemployment rate increased modestly but it is underpinned by a still resilient labour market. There was emerging risk to the labour market due to higher tax burdens, but the impact is likely to be moderate. House prices were previously assumed to decline in 2024, but they performed better than expected. However, the higher interest rate environment poses a risk to the recovery.

Headline macro variables: what are the risks and where are they captured?

Mini narratives – potential developments, vulnerabilities and risks		Upside	Base case	Downside	Extreme downside
Growth	Outperformance sustained – economy remains close to H1 2024 pace on strong consumer				
	Steady growth – staying close to trend pace from H2 2024 and beyond				
	Stalling – 2024 strength proves fleeting, lagged effect of higher rates and cautious consumer stalls the rebound				
	Extreme stress – extreme fall in GDP, with policy support to facilitate sharp recovery				
Inflation	Close to deflation – inflationary pressures diminish amidst pronounced weakness in demand				
	Battle won – continued downward drift in services inflation, ensuring 2% target is met on sustained basis				
	Sticky – strong growth and/or wage policies and/or interest rate cuts keep services inflation well above target				
	Structural factors – sustained bouts of energy, food and goods price inflation on geopolitics/deglobalisation				
Labour market	Tighter, still – job growth rebounds strongly, pushing unemployment back down to sub-3.5%				
	Cooling continues – gradual loosening prompts a gentle rise in unemployment (but remains low), job growth recovers				
	Job shedding – prolonged weakness in economy prompts redundancies, reduced hours, building slack				
	Depression – unemployment hits levels close to previous peaks amid severe stress				
Rates short-term	Limited cuts – higher growth and inflation keeps the MPC cautious				
	Steady – approximately one cut per quarter				
	Mid-cycle quickening – sharp declines through 2025 to support recovery				
	Sharp drop – drastic easing in policy to support a sharp deterioration in the economy				
Rates long-term	Above consensus – 4%				
	Middle – 3-3.5%				
	Close to 2010s – 1-2%/2.5%				

Main macroeconomic variables

The main macroeconomic variables for each of the four scenarios used for ECL modelling are set out in the table below.

	2024					2023				
	Upside	Base case	Downside	Extreme downside	Weighted average	Upside	Base case	Downside	Extreme downside	Weighted average
Five-year summary	%	%	%	%	%	%	%	%	%	%
GDP	2.0	1.3	0.5	(0.2)	1.1	1.8	1.0	0.5	(0.3)	0.9
Unemployment rate	3.6	4.3	5.0	6.7	4.6	3.5	4.6	5.2	6.8	4.8
House price index	5.8	3.5	0.8	(4.3)	2.7	3.9	0.3	(0.4)	(5.7)	0.3
Commercial real estate price	5.4	1.2	(1.0)	(5.7)	1.1	3.1	(0.2)	(2.0)	(6.8)	(0.6)
Consumer price index	2.4	2.2	3.5	1.6	2.4	1.7	2.6	5.2	1.8	2.8
Bank of England base rate ..	4.4	4.0	3.0	1.6	3.6	3.8	3.7	5.6	2.9	4.0
Stock price index	6.3	5.0	3.4	1.1	4.5	4.8	3.3	1.2	(0.4)	2.8
World GDP	3.8	3.2	2.5	1.6	3.0	3.7	3.2	2.7	1.8	3.0
Probability weight	23.2	45.0	19.1	12.7		21.2	45.0	20.4	13.4	

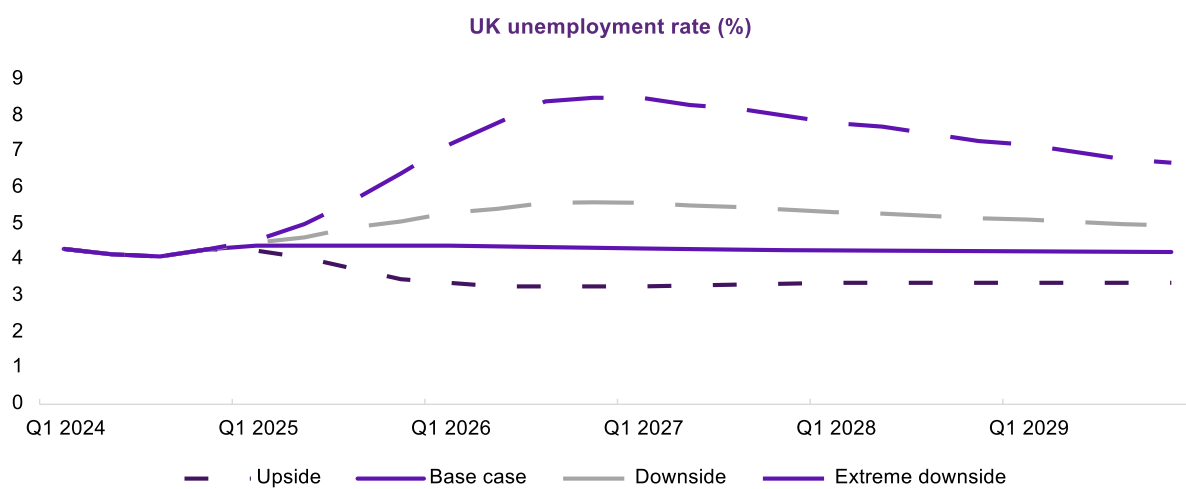
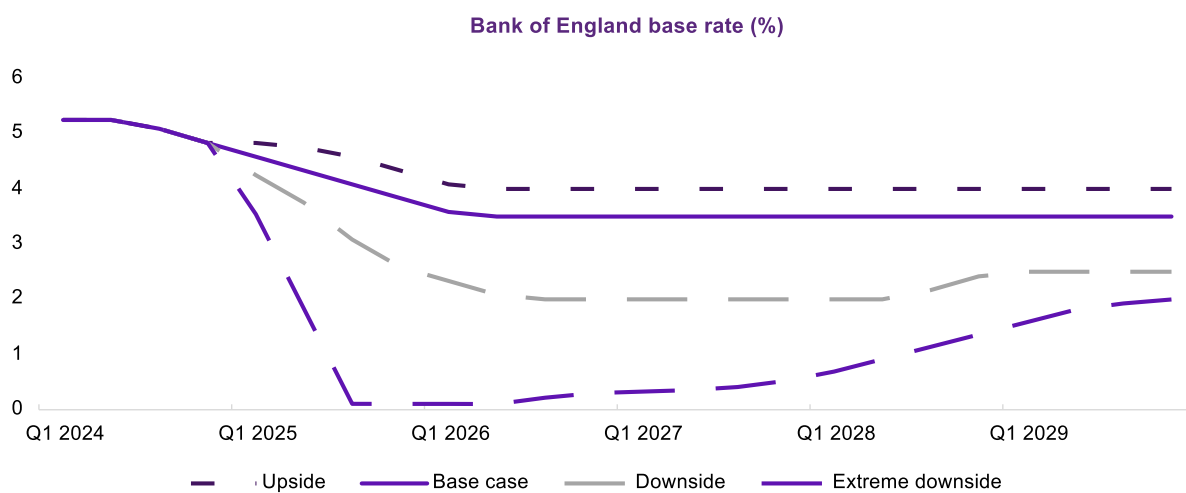
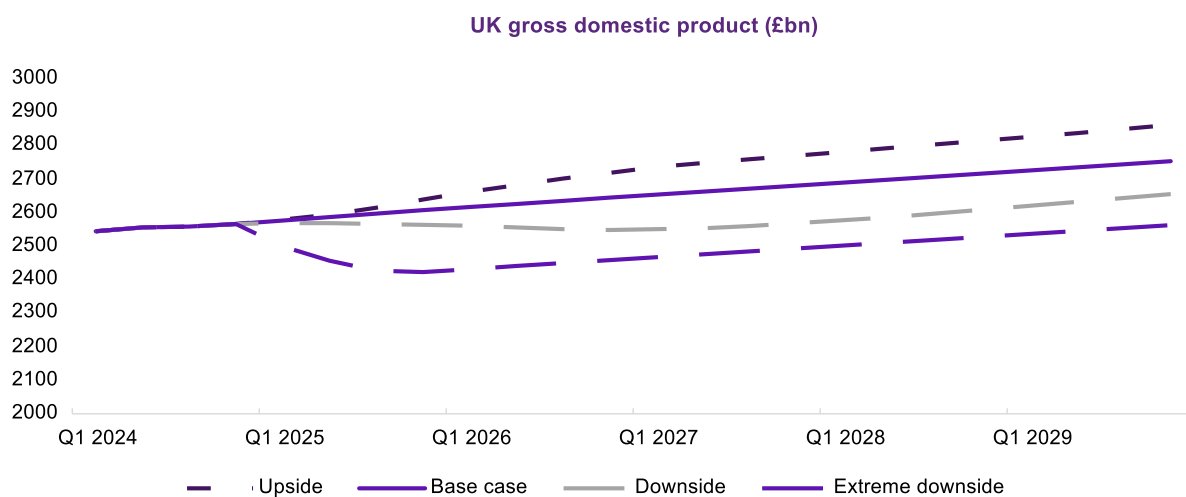
- (1) The five-year summary runs from 2024-28 for 31 December 2024 and from 2023-27 for 31 December 2023.
- (2) The table shows compound annual growth rate (CAGR) for GDP, average levels for the unemployment rate and Bank of England base rate and Q4 to Q4 CAGR for other parameters.

Probability weightings of scenarios

NWM Group's quantitative approach to IFRS 9 multiple economic scenarios (MES) involves selecting a suitable set of discrete scenarios to characterise the distribution of risks in the economic outlook and assigning appropriate probability weights. This quantitative approach is used for 31 December 2024.

The approach involves comparing UK GDP paths for NWM Group's scenarios against a set of 1,000 model runs, following which a percentile in the distribution is established that most closely corresponded to the scenario. The probability weight for the base case is set first based on judgement, while probability weights for the alternate scenarios are assigned based on these percentile scores.

The assigned probability weights were judged to be aligned with the subjective assessment of balance of the risks in the economy. The weights were marginally less downside skewed compared to those used at 31 December 2023. The downside risks associated with a materially high inflation have reduced, with inflation lower at the end of 2024 compared to a year ago. However, the economic outlook is still subject to considerable uncertainty especially with respect to persistence of inflation, restrictive trade policies and various geopolitical flashpoints. Given that backdrop, NWM Group judges it appropriate that downside-biased scenarios have higher combined probability weights than the upside-biased scenario. It presents good coverage to the range of outcomes assumed in the scenarios, including the potential for a robust recovery on the upside and exceptionally challenging outcomes on the downside. A 23.2% weighting was applied to the upside scenario, a 45.0% weighting applied to the base case scenario, a 19.1% weighting applied to the downside scenario and a 12.7% weighting applied to the extreme downside scenario.



Economic loss drivers (audited)

Annual figures

	Upside	Base case	Downside	Extreme downside	Weighted average
	%	%	%	%	%
GDP - annual growth					
2024.....	0.9	0.9	0.9	0.9	0.9
2025.....	2.0	1.4	0.4	(4.1)	0.6
2026.....	3.2	1.5	(0.5)	(0.3)	1.3
2027.....	2.3	1.4	0.2	1.4	1.4
2028.....	1.6	1.4	1.3	1.4	1.4
2029.....	1.6	1.4	1.7	1.4	1.5
Unemployment rate - annual average					
2024.....	4.2	4.2	4.2	4.2	4.2
2025.....	3.9	4.4	4.8	5.4	4.5
2026.....	3.3	4.4	5.5	8.0	4.8
2027.....	3.3	4.3	5.5	8.3	4.8
2028.....	3.4	4.3	5.3	7.6	4.7
2029.....	3.4	4.2	5.0	6.9	4.5
House price index - four quarter change					
2024.....	3.5	3.5	3.5	3.5	3.5
2025.....	7.8	3.5	(1.2)	(7.6)	2.2
2026.....	7.2	3.4	(2.8)	(14.7)	1.1
2027.....	5.1	3.4	0.1	(8.0)	2.2
2028.....	5.4	3.4	4.4	6.9	4.4
2029.....	5.6	3.4	4.2	6.3	4.4
Commercial real estate price - four quarter change					
2024.....	(0.9)	(0.9)	(0.9)	(0.9)	(0.9)
2025.....	14.1	2.4	(6.8)	(23.7)	0.1
2026.....	4.4	1.5	(2.5)	(12.7)	0.2
2027.....	5.5	1.4	2.8	6.7	3.3
2028.....	4.2	1.5	2.6	5.7	2.8
2029.....	2.7	1.4	2.5	5.4	2.3
Consumer price index - four quarter change					
2024.....	2.4	2.4	2.4	2.4	2.4
2025.....	2.9	2.3	5.8	0.6	2.9
2026.....	2.4	2.1	4.2	1.1	2.4
2027.....	2.1	2.0	2.6	1.8	2.1
2028.....	2.0	2.0	2.4	2.0	2.1
2029.....	2.0	2.0	2.5	2.0	2.1
Bank of England base rate - annual average					
2024.....	5.11	5.11	5.11	5.11	5.11
2025.....	4.63	4.21	3.42	1.40	3.80
2026.....	4.02	3.52	2.10	0.18	2.94
2027.....	4.00	3.50	2.00	0.40	2.94
2028.....	4.00	3.50	2.15	1.03	3.04
2029.....	4.00	3.50	2.50	1.83	3.21

	Upside	Base case	Downside	Extreme downside	Weighted average
	%	%	%	%	%
Stock price index - four quarter change					
2024	11.6	11.6	11.6	11.6	11.6
2025	8.1	3.4	(10.5)	(35.0)	(3.0)
2026	5.1	3.4	5.8	15.1	5.3
2027	3.5	3.4	5.8	13.1	4.8
2028	3.5	3.4	5.8	11.6	4.7
2029	3.0	3.4	5.8	10.4	4.5

Economic loss drivers (audited)

Worst points

	2024					2023				
	Downside %	Quarter	Extreme downside %	Quarter	Weighted average	Downside %	Quarter	Extreme downside %	Quarter	Weighted average %
GDP	—	Q1 2024	(4.1)	Q4 2025	—	(1.2)	Q3 2024	(4.5)	Q4 2024	0.3
Unemployment rate – peak	5.6	Q4 2026	8.5	Q1 2027	4.9	5.8	Q1 2025	8.5	Q2 2025	5.2
House price index	(1.9)	Q2 2027	(25.6)	Q3 2027	—	(12.5)	Q4 2025	(31.7)	Q2 2026	(6.5)
Commercial real estate price	(10.5)	Q2 2026	(35.0)	Q3 2026	(1.8)	(16.6)	Q1 2025	(39.9)	Q3 2025	(10.2)
Consumer price index										
- highest four quarter change .	6.1	Q1 2026	3.5	Q1 2024	3.5	10.3	Q1 2023	10.3	Q1 2023	10.3
Bank of England base rate										
- extreme level	2.0	Q1 2024	0.1	Q1 2024	2.9	6.5	Q4 2024	5.3	Q4 2023	5.3
Stock price index .	(0.2)	Q4 2025	(27.4)	Q4 2025	—	(14.3)	Q4 2024	(39.3)	Q4 2024	(2.4)

- (1) The figures show falls relative to the starting period for GDP, house price index, commercial real estate price and stock price index. For unemployment rate, it shows highest value through the scenario horizon. For consumer price index, it shows highest annual percentage change. For Bank of England base rate, it shows highest or lowest value through the horizon. The calculations are performed over five years, with a starting point of Q4 2023 for 31 December 2024 scenarios and Q4 2022 for 31 December 2023 scenarios.

Measurement uncertainty and ECL sensitivity analysis (audited)

The recognition and measurement of ECL is complex and involves the use of significant judgement and estimation, particularly in times of economic volatility and uncertainty. This includes the formulation and incorporation of multiple forward-looking economic conditions into ECL to meet the measurement objective of IFRS 9. The ECL provision is sensitive to the model inputs and economic assumptions underlying the estimate.

The impact arising from the base case, upside, downside and extreme downside scenarios was simulated. In the simulations, NWM Group has assumed that the economic macro variables associated with these scenarios replace the existing base case economic assumptions, giving them a 100% probability weighting and therefore serving as a single economic scenario.

These scenarios were applied to all modelled portfolios in the analysis below, with the simulation impacting both PDs and LGDs. Post model adjustments included in the ECL estimates that were modelled were sensitised in line with the modelled ECL movements, but those that were judgemental in nature, primarily those for deferred model calibrations and economic uncertainty, were not (refer to the Governance and post model adjustments section) on the basis these would be re-evaluated by management through ECL governance for any new economic scenario outlook and not be subject to an automated calculation. As expected, the scenarios create differing impacts on ECL by portfolio and the impacts are deemed reasonable. In this simulation, it is assumed that existing modelled relationships between key economic variables and loss drivers hold, but in practice other factors would also have an impact, for example, potential customer behaviour changes and policy changes by lenders that might impact on the wider availability of credit.

The focus of the simulations is on ECL provisioning requirements on performing exposures in Stage 1 and Stage 2. The simulations are run on a stand-alone basis and are independent of each other; the potential ECL impacts reflect the simulated impact at 31 December 2024. Scenario impacts on SICR should be considered when evaluating the ECL movements of Stage 1 and Stage 2. In all scenarios the total exposure was the same but exposure by stage varied in each scenario.

Stage 3 provisions are not subject to the same level of measurement uncertainty – default is an observed event as at the balance sheet date. Stage 3 provisions therefore were not considered in this analysis.

NWM Group's core criterion to identify a SICR is founded on PD deterioration. Under the simulations, PDs change and result in exposures moving between Stage 1 and Stage 2 contributing to the ECL impact.

31 December 2024	Actual	Base scenario	Moderate upside scenario	Moderate downside scenario	Extreme downside scenario
Stage 1 modelled loans (£m)	18,918	19,032	19,034	18,916	18,134
Stage 1 modelled ECL (£m)	25	22	20	26	46
Stage 1 coverage (%).....	0.13%	0.12%	0.11%	0.14%	0.25%
Stage 2 modelled loans (£m)	347	233	231	349	1,131
Stage 2 modelled ECL (£m)	5	5	4	6	14
Stage 2 coverage (%).....	1.44%	2.15%	1.73%	1.72%	1.24%
Stage 1 and Stage 2 modelled loans (£m).....	19,265	19,265	19,265	19,265	19,265
Stage 1 and Stage 2 modelled ECL (£m).....	30	27	24	32	60
Stage 1 and Stage 2 coverage (%)	0.16%	0.14%	0.12%	0.17%	0.31%
Variance – (lower)/higher to actual total Stage 1 and Stage 2 ECL (£m)		(3)	(6)	2	30
Reconciliation to Stage 1 and Stage 2 flow exposures (£m).....					
Modelled loans	19,265	19,265	19,265	19,265	19,265
Other asset classes	33,558	33,558	33,558	33,558	33,558

- (1) Variations in future undrawn exposure values across the scenarios are modelled, however the exposure position reported is that used to calculate modelled ECL as at 31 December 2024 and therefore does not include variation in future undrawn exposure values.
- (2) Reflects ECL for all modelled exposure in scope for IFRS 9. The analysis excludes non-modelled portfolios and exposure relating to bonds and cash.
- (3) All simulations are run on a stand-alone basis and are independent of each other, with the potential ECL impact reflecting the simulated impact as at 31 December 2024. The simulations change the composition of Stage 1 and Stage 2 exposure, but total exposure was unchanged under each scenario as the loan population was static.
- (4) Refer to the Economic loss drivers section for details of economic scenarios.

Measurement uncertainty and ECL adequacy (audited)

- Given the continued economic uncertainty, NWM Group utilised a framework of quantitative and qualitative measures to support the levels of ECL coverage. This included economic data, credit performance insights and problem debt trends. This was particularly important for consideration of post model adjustments.
- As the effects of these economic risks evolve into 2025, there is a risk of further credit deterioration. However, the income statement effect of this should be mitigated by the forward-looking provisions retained on the balance sheet at 31 December 2024.
- There are a number of key factors that could drive further downside to impairments, through deteriorating economic and credit metrics and increased stage migration as credit risk increases for more customers. Such factors which could impact the IFRS 9 models, include an adverse deterioration in unemployment, GDP and stock price index in the economies in which NWM Group operates.

Credit Risk – Trading Activities

This section details the credit risk profile of NWM Group's trading activities.

Securities financing transactions and collateral (audited)

The table below shows securities financing transactions in NWM Group. Balance sheet captions include balances held at all classifications under IFRS.

	Reverse repos			Repos		
	Total £m	Of which: can be offset £m	Outside netting arrangements £m	Total £m	Of which: can be offset £m	Outside netting arrangements £m
2024						
Gross	45,774	45,734	40	48,705	48,002	703
IFRS offset	(15,174)	(15,174)	—	(15,174)	(15,174)	—
Carrying value	30,600	30,560	40	33,531	32,828	703
Master netting arrangements	(1,549)	(1,549)	—	(1,549)	(1,549)	—
Securities collateral	(28,799)	(28,799)	—	(31,279)	(31,279)	—
Potential for offset not recognised under IFRS	(30,348)	(30,348)	—	(32,828)	(32,828)	—
Net	252	212	40	703	—	703
2023						
Gross	41,750	41,292	458	44,028	43,308	720
IFRS offset	(16,257)	(16,257)	—	(16,257)	(16,257)	-
Carrying value	25,493	25,035	458	27,771	27,051	720
Master netting arrangements	(669)	(669)	—	(669)	(669)	—
Securities collateral	(24,175)	(24,175)	—	(26,382)	(26,382)	—
Potential for offset not recognised under IFRS	(24,844)	(24,844)	—	(27,051)	(27,051)	—
Net	649	191	458	720	—	720

Debt securities (audited)

The table below shows debt securities held at mandatory fair value through profit or loss by issuer as well as ratings based on the lowest of Standard & Poor's, Moody's and Fitch. Refer to Note 12 to the 2024 Financial Statements on Trading assets and trading liabilities for details on short positions.

	Central and local government			Financial institutions	Corporate	Total
	UK £m	US £m	Other £m	£m	£m	£m
2024						
AAA	—	—	1,335	1,368	—	2,703
AA to AA+	—	3,734	74	569	2	4,379
A to AA-	2,077	—	1,266	381	519	4,243
BBB- to A-	—	—	831	562	885	2,278
Non-investment grade	—	—	—	108	167	275
Total	2,077	3,734	3,506	2,988	1,573	13,878
2023						
AAA	—	—	1,333	1,132	—	2,465
AA to AA+	—	2,600	19	762	4	3,385
A to AA-	2,729	—	1,017	251	283	4,280
BBB- to A-	—	—	693	295	489	1,477
Non-investment grade	—	—	—	198	149	347
Total	2,729	2,600	3,062	2,638	925	11,954

Derivatives (audited)

The table below shows third party derivatives by type of contract. The master netting agreements and collateral shown do not result in a net presentation on the balance sheet under IFRS.

	2024						2023			
	Notional				Total £bn	Assets £bn	Liabilities £m	Notional £bn	Assets £m	Liabilities £m
	GBP £bn	USD £bn	EUR £bn	Other £bn						
Gross exposure.....						79,894	74,421		83,276	76,879
IFRS offset.....						(2,727)	(2,727)		(5,242)	(5,242)
Carrying value	3,106	3,334	5,417	1,150	13,007	77,167	71,694	12,773	78,034	71,637
Of which:										
Interest rate (1).....	2,801	1,886	4,768	285	9,740	36,582	31,276	9,656	43,767	37,974
Exchange rate.....	305	1,442	642	865	3,254	40,474	40,183	3,101	34,085	33,337
Credit	—	6	7	—	13	111	235	16	182	326
Equity and commodity.....	—	—	—	—	—	—	—	—	—	—
Carrying value					13,007	77,167	71,694	12,773	78,034	71,637
Counterparty mark-to-market netting						(61,531)	(61,531)		(59,827)	(59,827)
Cash collateral						(9,815)	(5,797)		(12,272)	(6,590)
Securities collateral.....						(3,396)	(896)		(3,084)	(1,663)
Net exposure						2,425	3,470		2,851	3,557
Banks (2).....						204	342		333	556
Other financial institutions (3).						1,424	1,443		1,424	1,295
Corporate (4).....						764	1,653		1,058	1,667
Government (5).....						33	32		36	39
Net exposure						2,425	3,470		2,851	3,557
UK.....						1,041	1,744		1,277	1,884
Europe.....						874	977		800	1,209
US						443	605		607	381
RoW						67	144		167	83
Net exposure						2,425	3,470		2,851	3,557
Asset quality of uncollateralised derivative assets										
AQ1-AQ4						2,028			2,376	
AQ5-AQ8						394			471	
AQ9-AQ10						3			4	
Net exposure						2,425			2,851	

(1) The notional amount of interest rate derivatives includes £6,733 billion (2023 – £6,677 billion) in respect of contracts cleared through central clearing counterparties.

(2) Transactions with certain counterparties with which NWM Group has netting arrangements but collateral is not posted on a daily basis; certain transactions with specific terms that may not fall within netting and collateral arrangements; derivative positions in certain jurisdictions where the collateral agreements are not deemed to be legally enforceable.

(3) Includes transactions with securitisation vehicles and funds where collateral posting is contingent on NWM Group's external rating.

(4) Mainly large corporates with which NWM Group may have netting arrangements in place with no collateral posting.

(5) Sovereigns and supranational entities with no collateral arrangements, collateral arrangements that are not considered enforceable, or one-way collateral agreements in their favour.

Credit risk – Banking activities

Introduction

This section details the credit risk profile of NWM Group's banking activities. Refer to Accounting policy 3.11 and Note 14 to the 2024 Financial Statements for policies and critical judgements relating to impairment loss determination.

Financial instruments within the scope of the IFRS 9 ECL framework (audited)

Refer to Note 9 to the 2024 Financial Statements for balance sheet analysis of financial assets that are classified as amortised cost or fair value through other comprehensive income ("FVOCI"), the starting point for IFRS 9 ECL framework assessment.

Financial assets

	31 December 2024			31 December 2023		
	Gross £bn	ECL £bn	Net £bn	Gross £bn	ECL £bn	Net £bn
Balance sheet total gross amortised cost and FVOCI	55.2			51.0		
In scope of IFRS 9 ECL framework	53.1			43.7		
% in scope	96%			86%		
Loans to customers - in scope - amortised cost.....	18.0	—	18.0	13.0	—	13.0
Loans to customers - in scope – FVOCI	—	—	—	0.1	—	0.1
Loans to banks - in scope - amortised cost	1.1	—	1.1	1.2	—	1.2
Total loans - in scope	19.1	—	19.1	14.3	—	14.3
Stage 1	18.7	—	18.7	13.7	—	13.7
Stage 2	0.4	—	0.4	0.6	—	0.6
Stage 3	—	—	—	—	—	—
Other financial assets - in scope - amortised cost.....	29.4	—	29.4	25.4	—	25.4
Other financial assets - in scope – FVOCI.....	4.6	—	4.6	4.0	—	4.0
Total other financial assets - in scope.	34.0	—	34.0	29.4	—	29.4
Stage 1	34.0	—	34.0	29.3	—	29.3
Stage 2	—	—	—	0.1	—	0.1
Stage 3	—	—	—	—	—	—
Out of scope of IFRS 9 ECL framework	2.1	na	2.1	7.3	na	7.3
Loans to customers - out of scope - amortised cost.....	—	na	—	—	na	—
Loans to banks - out of scope - amortised cost.....	—	na	—	0.1	na	0.1
Other financial assets - out of scope - amortised cost.....	2.1	na	2.1	7.1	na	7.1
Other financial assets - out of scope – FVOCI.....	—	na	—	0.1	na	0.1

na = not applicable

The assets outside the scope of IFRS 9 ECL framework were as follows:

- Settlement balances, items in the course of collection, cash balances and other non-credit risk assets of £2.1 billion (2023 – £7.3 billion). These were assessed as having no ECL unless there was evidence that they were defaulted.
- Equity shares of £0.1 billion (2023 – £0.1 billion) as not within the IFRS 9 ECL framework by definition.
- Fair value adjustments on loans and debt securities hedged by interest rate swaps, where the underlying loan was within the IFRS 9 ECL scope of nil (2023 – nil).

In-scope assets also include an additional £0.3 billion (2023 – £1.3 billion) of inter-Group assets not shown in the table above.

Contingent liabilities and commitments

Total contingent liabilities (including financial guarantees) and commitments within IFRS 9 ECL scope of £14.8 billion (2023 – £15.6 billion) comprised Stage 1 £14.3 billion (2023 – £15.1 billion); Stage 2 £0.5 billion (2023 – £0.5 billion); and Stage 3 nil (2023 – nil).

Portfolio summary (audited)

The table below shows gross loans and ECL, by stage, within the scope of the IFRS 9 ECL framework.

	2024 £m	2023 £m
Loans - amortised cost and FVOCI		
Stage 1	18,759	13,686
Stage 2	352	558
Stage 3	52	25
Of which: individual	45	17
Of which: collective	7	8
Inter-Group (1)	260	1,264
Total	19,423	15,533
ECL provisions		
Stage 1	25	24
Stage 2	5	8
Stage 3	17	24
Of which: individual	10	16
Of which: collective	7	8
Inter-Group (1)	—	1
Total	47	57
ECL provisions coverage (2)		
Stage 1 (%)	0.13	0.18
Stage 2 (%)	1.42	1.43
Stage 3 (%)	32.69	96.00
Total	0.25	0.39
Impairment losses		
ECL charge/(releases)		
Stage 1	(3)	1
Stage 2	3	4
Stage 3	(8)	(3)
Of which: individual	(7)	(2)
Of which: collective	(1)	(1)
Third party	(8)	2
Inter-Group	—	—
Total	(8)	2
Amounts written-off	2	5
Of which: individual	2	4
Of which: collective	—	1

- (1) NWM Group's intercompany assets were classified in Stage 1. The ECL for these loans was £0.2 million (2023 – £0.6 million).
- (2) ECL provisions coverage is calculated as ECL provisions divided by loans – amortised cost and FVOCI. It is calculated on loans and total ECL provisions, including ECL for other (non-loan) assets and unutilised exposure. Some segments with a high proportion of debt securities or unutilised exposure may result in a not meaningful coverage ratio.
- (3) The table shows gross loans only and excludes amounts that are outside the scope of the ECL framework. Refer to the financial instruments within the scope of the IFRS 9 ECL framework section for further details. Other financial assets within the scope of the IFRS 9 ECL framework were cash and balances at central banks totalling £16.2 billion (2023 – £13.8 billion) and debt securities of £17.8 billion (2023 – £15.6 billion).
- (4) The stage allocation of the ECL charge was aligned to the stage transition approach that underpins the analysis in the Flow statement section.

Sector analysis – portfolio summary (audited)

The table below shows financial assets and off-balance sheet exposures gross of ECL and related ECL provisions, impairment by sector, asset quality and geographical region based on the country of operation of the customer. The tables below report only third-party exposures and related ECL provisions, charges and write-offs.

	Corporate and other (1) £m	FI (2) £m	Sovereign £m	Total £m
2024				
Loans by geography	599	17,903	661	19,163
- UK.....	199	6,446	-	6,645
- Other Europe.....	319	4,273	625	5,217
- RoW	81	7,184	36	7,301
Loans by stage and asset quality	599	17,903	661	19,163
Stage 1.....	471	17,627	661	18,759
- AQ1-AQ4.....	196	16,218	661	17,075
- AQ5-AQ8.....	275	1,409	—	1,684
- AQ9.....	—	—	—	—
Stage 2.....	76	276	—	352
- AQ1-AQ4.....	22	164	—	186
- AQ5-AQ8.....	54	112	—	166
- AQ9.....	—	—	—	—
Stage 3.....	52	—	—	52
- AQ10.....	52	—	—	52
of which: individual.....	45	—	—	45
of which: collective	7	—	—	7
Weighted average life (3)				
- ECL measurement (years).....	3	3	—	3
Weighted average 12 months PDs (3)				
- IFRS 9 (%)	1.31	0.16	0.01	0.19
- Basel (%).....	1.31	0.14	0.01	0.16
ECL provisions by geography	23	23	1	47
- UK.....	5	11	1	17
- Other Europe.....	11	5	—	16
- RoW	7	7	—	14
ECL provisions by stage	23	23	1	47
- Stage 1.....	4	20	1	25
- Stage 2.....	2	3	—	5
- Stage 3.....	17	—	—	17
of which: individual.....	10	—	—	10
of which: collective	7	—	—	7
ECL provisions coverage (%).....	3.84	0.13	0.15	0.25
- Stage 1 (%).....	0.85	0.11	0.15	0.13
- Stage 2 (%).....	2.63	1.09	—	1.42
- Stage 3 (%).....	32.69	—	—	32.69
ECL (release)/charge - Third party	(9)	1	—	(8)
Amounts written-off	2	—	—	2
Other financial assets by asset quality (4)	117	13,967	19,913	33,997
- AQ1-AQ4.....	114	13,659	19,913	33,686
- AQ5-AQ8.....	3	308	—	311
- AQ9.....	—	—	—	—
Off-balance sheet	6,296	8,518	—	14,814
- Loan commitments.....	6,272	7,829	—	14,101
- Financial guarantees.....	24	689	—	713
Off-balance sheet by asset quality (4)	6,296	8,518	—	14,814
- AQ1-AQ4.....	6,122	8,107	—	14,229

	Corporate and other (1) £m	FI (2) £m	Sovereign £m	Total £m
- AQ5-AQ8.....	171	411	—	582
- AQ9.....	—	—	—	—
- AQ10.....	3	—	—	3

For the notes to this table refer to the following page.

Sector analysis – portfolio summary (audited)

	Corporate and other (1) £m	FI (2) £m	Sovereign £m	Total £m
2023				
Loans by geography	1,113	12,798	358	14,269
- UK.....	578	4,049	59	4,686
- Other Europe.....	412	3,952	227	4,591
- RoW	123	4,797	72	4,992
Loans by stage and asset quality	1,113	12,798	358	14,269
Stage 1.....	941	12,387	358	13,686
- AQ1-AQ4.....	353	11,633	358	12,344
- AQ5-AQ8.....	588	753	—	1,341
- AQ9.....	—	1	—	1
Stage 2.....	147	411	—	558
- AQ1-AQ4.....	55	411	—	466
- AQ5-AQ8.....	72	—	—	72
- AQ9.....	20	—	—	20
Stage 3.....	25	—	—	25
- AQ10.....	25	—	—	25
of which: individual.....	17	—	—	17
of which: collective	8	—	—	8
Weighted average life (3)				
- ECL measurement (years).....	4	2	—	2
Weighted average 12 months PDs (3)				
- IFRS 9 (%).....	1.62	0.17	0.01	0.25
- Basel (%).....	1.55	0.13	0.01	0.20
ECL provisions by geography	31	24	1	56
- UK.....	8	11	1	20
- Other Europe.....	15	7	—	22
- RoW	8	6	—	14
ECL provisions by stage	31	24	1	56
- Stage 1.....	4	19	1	24
- Stage 2.....	3	5	—	8
- Stage 3.....	24	—	—	24
of which: individual.....	16	—	—	16
of which: collective	8	—	—	8
ECL provisions coverage (%).....	2.79	0.19	0.28	0.39
- Stage 1 (%).....	0.43	0.15	0.28	0.18
- Stage 2 (%).....	2.04	1.22	—	1.43
- Stage 3 (%).....	96.00	—	—	96.00
ECL (release)/charge - Third party	(8)	10	—	2
Amounts written-off	4	1	—	5
Other financial assets by asset quality (4)	82	12,059	17,250	29,391
- AQ1-AQ4.....	82	11,709	17,250	29,041
- AQ5-AQ8.....	—	350	—	350
- AQ9.....	—	—	—	—

	Corporate and other (1) £m	FI (2) £m	Sovereign £m	Total £m
Off-balance sheet	6,728	8,897	—	15,625
- Loan commitments.....	6,695	8,150	—	14,845
- Financial guarantees.....	33	747	—	780
Off-balance sheet by asset quality (4)	6,728	8,897	—	15,625
- AQ1-AQ4.....	6,232	8,697	—	14,929
- AQ5-AQ8.....	473	200	—	673
- AQ9.....	—	—	—	—
- AQ10.....	23	—	—	23

- (1) Previously published sectors for the Non-personal portfolio have been re-presented to reflect internal sector reporting. Property is now included in corporate and other.
- (2) Financial institutions (FI) include transactions, such as securitisations, where the underlying assets may be in other sectors.
- (3) Not within audit scope.
- (4) AQ bandings are based on Basel PDs and mapping is as follows:

Internal asset quality band	Probability of default range	Indicative S&P rating
AQ1	0% -0.034%	AAA to AA
AQ2	0.034% - 0.048%	AA to AA-
AQ3	0.048% - 0.095%	A+ to A
AQ4	0.095% - 0.381%	BBB+ to BBB-
AQ5	0.381% - 1.076%	BB+ to BB
AQ6	1.076% - 2.153%	BB- to B+
AQ7	2.153% - 6.089%	B+ to B
AQ8	6.089% - 17.222%	B- to CCC+
AQ9	17.222% - 100%	CCC to C
AQ10	100%	D

Sector analysis – portfolio summary (audited)

The table below shows gross loans and ECL by stage, for the portfolio including selected sectors in corporate and other.

	Loans - amortised cost and FVOCI				Off-balance sheet		ECL provisions			
	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Loan commitments	Contingent liabilities	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m
2024										
Financial institutions (1).....	17,627	276	—	17,903	7,829	689	20	3	—	23
Sovereign	661	—	—	661	—	—	1	—	—	1
Corporate & Other (2)	471	76	52	599	6,272	24	4	2	17	23
Of which:										
Agriculture	—	—	—	—	—	—	—	—	—	—
Airlines and aerospace.....	—	—	—	—	155	—	—	—	—	—
Automotive	—	—	—	—	577	—	—	—	—	—
Building materials.....	2	—	—	2	163	1	—	—	—	—
Chemicals.....	8	—	—	8	62	—	—	—	—	—
Industrials.....	24	—	—	24	163	5	—	—	—	—
Land transport & logistics ..	53	26	—	79	732	—	—	—	—	—
Leisure.....	4	—	—	4	158	—	—	—	—	—
Mining and metals	—	—	3	3	—	—	—	—	3	3
Oil and gas	—	—	9	9	—	1	—	—	2	2
Power utilities	78	—	—	78	2,684	2	—	—	—	—
Property (3)	19	17	5	41	110	9	—	1	2	3
Retail	3	—	—	3	233	2	—	—	—	—
Shipping	2	—	—	2	—	—	—	—	—	—
Water and waste.....	29	—	—	29	32	—	—	—	—	—
Total	18,759	352	52	19,163	14,101	713	25	5	17	47
2023										
Financial institutions (1).....	12,387	411	—	12,798	8,150	747	19	5	—	24

	Loans - amortised cost and FVOCI				Off-balance sheet		ECL provisions			
	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Loan commitments	Contingent liabilities	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m
Sovereign	358	—	—	358	—	—	1	—	—	1
Corporate & Other (2)	941	147	25	1,113	6,695	33	4	3	24	31
Of which:										
Agriculture	1	—	—	1	1	—	—	—	—	—
Airlines and aerospace	23	—	—	23	279	—	—	—	—	—
Automotive	2	—	—	2	601	—	—	—	—	—
Building materials	4	—	4	8	171	1	—	—	2	2
Chemicals	11	—	—	11	67	—	—	—	—	—
Industrials	29	57	—	86	235	5	1	1	—	2
Land transport & logistics ..	51	5	—	56	311	2	—	—	—	—
Leisure	3	—	—	3	158	—	—	—	—	—
Mining and metals	—	—	3	3	—	—	—	—	3	3
Oil and gas	2	—	1	3	52	1	—	—	3	3
Power utilities	113	—	—	113	2,735	2	—	—	—	—
Property (3)	19	21	10	50	188	13	—	—	7	7
Retail	5	2	—	7	392	2	—	1	—	1
Shipping	2	—	—	2	—	—	—	—	—	—
Water and waste	30	14	—	44	35	—	—	—	—	—
Total	13,686	558	25	14,269	14,845	780	24	8	24	56

- (1) Includes transactions such as securitisations, where the underlying assets may be in other sectors.
- (2) Previously published sectors for the Non-personal portfolio have been re-presented to reflect internal sector reporting. Property is now included in corporate and other.
- (3) Property comprises commercial real estate, housing associations and construction.

Sector analysis – portfolio summary (audited)

Forbearance

The table below shows forbearance, Heightened Monitoring and Risk of Credit Loss by sector. The table shows current exposure but reflects risk transfers where there is a guarantee by another customer.

	Corporate and other £m	FI £m	Sovereign £m	Total £m
2024				
Forbearance (flow)	8	—	—	8
Forbearance (stock)	13	—	—	13
Heightened Monitoring and Risk of Credit Loss	16	—	—	16
2023				
Forbearance (flow)	7	—	—	7
Forbearance (stock)	11	—	—	11
Heightened Monitoring and Risk of Credit Loss	4	—	—	4

Credit risk enhancement and mitigation (audited)

The table below shows exposures of modelled portfolios within the scope of the ECL framework and related credit risk enhancement and mitigation (“CREM”).

	Gross exposure £bn	ECL £bn	Maximum credit risk		CREM by type			CREM coverage		Exposure post CREM	
			Total £bn	Stage 3 £bn	Financial (1) £bn	Property £bn	Other (2) £bn	Total £bn	Stage 3 £bn	Total £bn	Stage 3 £bn
2024											
Financial assets											
Cash and balances at central banks	16.2	—	16.2	—	—	—	—	—	—	16.2	—
Loans - amortised cost (3)	19.2	—	19.2	—	3.8	—	—	3.8	—	15.4	—
Debt securities	17.8	—	17.8	—	—	—	—	—	—	17.8	—
Total financial assets	53.2	—	53.2	—	3.8	—	—	3.8	—	49.4	—

	Gross exposure £bn	ECL £bn	Maximum credit risk		CREM by type			CREM coverage		Exposure post CREM	
			Total £bn	Stage 3 £bn	Financial (1) £bn	Property £bn	Other (2) £bn	Total £bn	Stage 3 £bn	Total £bn	Stage 3 £bn
Contingent liabilities and commitments	14.8	—	14.8	—	0.9	0.1	—	1.0	—	13.8	—
Total off-balance sheet	14.8	—	14.8	—	0.9	0.1	—	1.0	—	13.8	—
Total exposure.....	68.0	—	68.0	—	4.7	0.1	—	4.8	—	63.2	—
2023											
Financial assets											
Cash and balances at central banks.....	13.8	—	13.8	—	—	—	—	—	—	13.8	—
Loans - amortised cost (3)	14.3	0.1	14.2	—	2.2	—	—	2.2	—	12.0	—
Debt securities.....	15.6	—	15.6	—	—	—	—	—	—	15.6	—
Total financial assets.....	43.7	0.1	43.6	—	2.2	—	—	2.2	—	41.4	—
Contingent liabilities and commitments	15.6	—	15.6	—	1.3	0.1	—	1.4	—	14.2	—
Total off-balance sheet	15.6	—	15.6	—	1.3	0.1	—	1.4	—	14.2	—
Total exposure.....	59.3	0.1	59.2	—	3.5	0.1	—	3.6	—	55.6	—

(1) Includes cash and securities collateral.

(2) Includes guarantees and charges over trade debtors.

(3) NWM Group holds collateral in respect of individual loans – amortised cost to banks and customers. This collateral includes mortgages over property; charges over business assets such as plant and equipment, inventories and trade debtors; and guarantees of lending from parties other than the borrower. NWM Group obtains collateral in the form of securities in reverse repurchase agreements. Collateral values are capped at the value of the loan.

Flow statement (audited)

The flow statement that follows shows the main ECL and related income statement movements. It also shows the changes in ECL as well as the changes in related financial assets used in determining ECL. Due to differences in scope, exposures may differ from those reported in other tables, principally in relation to exposures in Stage 1 and Stage 2.

These differences do not have a material ECL effect. Other points to note:

- Financial assets include treasury liquidity portfolios, comprising balances at central banks and debt securities, as well as loans. Both modelled and non-modelled portfolios are included.
- Stage transfers (for example, exposures moving from Stage 1 into Stage 2) are a key feature of the ECL movements, with the net re-measurement cost of transitioning to a worse stage being a primary driver of income statement charges. Similarly, there is an ECL benefit for accounts improving stage.
- Changes in risk parameters shows the reassessment of the ECL within a given stage, including any ECL overlays and residual income statement gains or losses at the point of write-off or accounting write-down.
- Other (P&L only items) includes any subsequent changes in the value of written-down assets along with other direct write-off items such as direct recovery costs. Other (P&L only items) affects the income statement but does not affect balance sheet ECL movements.
- Amounts written-off represent the gross asset written-down against accounts with ECL, including the net asset write-down for any debt sale activity.

	Stage 1		Stage 2		Stage 3		Total	
	Financial assets £m	ECL £m	Financial assets £m	ECL £m	Financial assets £m	ECL £m	Financial assets £m	ECL £m
NWM Group								
At 1 January 2024	49,168	24	687	8	24	24	49,879	56
Currency translation and other adjustments.....	(539)	—	(8)	—	1	(5)	(546)	(5)

	Stage 1		Stage 2		Stage 3		Total	
	Financial assets £m	ECL £m	Financial assets £m	ECL £m	Financial assets £m	ECL £m	Financial assets £m	ECL £m
Transfers from Stage 1 to Stage 2	(594)	(1)	594	1	—	—	—	—
Transfers from Stage 2 to Stage 1	642	5	(642)	(5)	—	—	—	—
Transfers to Stage 3	(1)	—	(28)	(1)	29	1	—	—
Net re-measurement of ECL on stage transfer.....		(4)		6		—		2
Changes in risk parameters.....		(8)		(2)		1		(9)
Other changes in net exposure.....	3,798	9	(254)	(2)	1	(2)	3,545	5
Other (P&L only items)		—		1		(7)		(6)
Income statement (releases)/charges.....		(3)		3		(8)		(8)
Amounts written-off	—	—	—	—	(2)	(2)	(2)	(2)
At 31 December 2024.....	52,474	25	349	5	53	17	52,876	47
Net carrying amount.....	52,449		344		36		52,829	
At 1 January 2023.....	39,875	20	491	8	58	26	40,424	54
2023 movements	9,293	4	196	—	(34)	(2)	9,455	2
At 31 December 2023.....	49,168	24	687	8	24	24	49,879	56
Net carrying amount.....	49,144		679		—		49,823	

Pension Risk

Definition

Pension risk is defined as the inability to meet contractual obligations and other liabilities to the established employee or related company pension scheme.

Sources of risk

NWM Group has exposure to pension risk through its defined benefit schemes worldwide. The two largest NWM Group schemes are the AA and the NatWest Markets sections of The NatWest Group Pension Fund with a combined £0.8 billion of assets and £0.6 billion of liabilities at 31 December 2024 (2023 – £0.9 billion of assets and £0.6 billion of liabilities). Refer to Note 5 to the 2024 Financial Statements for further details on NWM Group's pension obligations, including sensitivities to the main risk factors.

Pension scheme liabilities vary with changes in long-term interest rates and inflation as well as with pensionable salaries, the longevity of scheme members and legislation. Pension scheme assets vary with changes in interest rates, inflation expectations, credit spreads, exchange rates, and equity and property prices.

However, as a result of the buy-in transaction executed in 2023, the AA section of the NatWest Group Pension Fund, which is NWM Group's largest scheme, is protected against all material longevity and investment risks.

Conversely, the scheme is exposed to the risk that the insurer defaults on payments due to the scheme.

NWM Group is also exposed to the risk that the schemes' assets, together with future returns and additional future contributions, are estimated to be insufficient to meet liabilities as they fall due. In such circumstances, NWM Group could be obliged (or might choose) to make additional contributions to the schemes or be required to hold additional capital to mitigate this risk.

During 2024, the Court of Appeal upheld the initial High Court ruling in respect of Virgin Media v NTL Pension Trustees II Limited (and others), calling into question the validity of rule amendments made to defined benefit pension schemes contracted-out on a Reference Scheme Test basis between 6 April 1997 and 5 April 2016. Amendments to these pension schemes over this time required confirmation from the Scheme Actuary that the Reference Scheme Test would continue to be met. In the absence of such a confirmation, the Rule amendment would be void. There were no other developments on this matter as further disclosed in Note 5 to the 2024 Financial Statements since last year and it will be kept under review.

Key developments in 2024

- The 2023 triennial valuation for the AA section and NatWest Markets section of the NatWest Group Pension Fund was completed with no requirement for any deficit contributions.

Governance

The NWM Pension Committee, chaired by the Chief Financial Officer, reviews and monitors risk management, asset and liability strategy and financing issues on behalf of NWM Group. As part of its remit, the Committee:

- Considers the financial strategy, risk management and policy implications of NWM Group pension schemes.
- Reviews and recommends NWM Group pension risk appetite to the NWM Group Executive Risk Committee and the NWM Group Board Risk Committee.
- Reviews the pension impact on the capital plan for NWM Group and escalates any concerns to the NWM Group Assets & Liabilities Committee.

The performance of NatWest Group's material pension funds (including those sponsored by NWM Group) is reviewed by NatWest Group's Assets & Liabilities Committee.

Risk appetite

NWM Group maintains an independent view of the risk inherent in its pension funds. NWM Group has a pension risk appetite statement incorporating defined metrics against which risk is measured that is reviewed and approved at least annually by the Board on the Board Risk Committee's recommendation to ensure they remain appropriate and aligned to strategy.

Policies and standards are in place to provide formal controls for pension risk reporting, modelling, governance and stress testing. A pension risk policy, which sits within the enterprise-wide risk management framework, is also in place and is subject to associated framework controls.

Monitoring and measurement

Pension risk is monitored by the NWM Group Executive Risk Committee and the NWM Group Board Risk Committee by way of the monthly risk management report, whilst the NatWest Group Asset & Liability Management Committee receives updates on the performance of NatWest Group's material pension funds. Relevant pension risk matters are escalated to the Board as applicable.

Stress tests are carried out each year on NWM Group's material defined benefit pension schemes. These tests are also used to satisfy the requests of regulatory bodies such as the Bank of England.

The stress testing framework includes pension risk capital calculations for the purposes of the Internal Capital Adequacy Assessment Process as well as additional stress tests for a number of internal management purposes. The results of the stress tests and their consequential impact on NWM Group's balance sheet, income statement and capital position are incorporated into NWM Group's and overall NatWest Group stress test results.

Mitigation

As a result of the buy-in transaction for NWM Group's largest scheme (the AA section of the NatWest Group Pension Fund), the scheme is now protected against all material longevity and investment risks.

If, in an extreme scenario, the insurer was unable to make payments due to the scheme under the buy-in insurance contract, NWM Group would continue to be responsible for financially supporting the scheme to meet pension benefits. However, there are significant mitigations in place against this risk, in particular the insurance regulatory regime and residual surplus assets retained within the scheme. The financial strength of the third-party insurer will also be monitored on a periodic basis by the Trustee and NatWest Group.

The NatWest Markets section of the NatWest Group Pension Fund is also well protected against interest rate and inflation risks and is being run on a low investment risk basis.

The potential impact of climate change is one of the factors considered in managing the assets of the pension schemes. The Trustee monitors the risk to its investments from changes in the global economy and invests, where return justifies the risk, in sectors that reduce the world's reliance on fossil fuels, or that may otherwise promote environmental benefits.

Further details regarding the NatWest Group Pension Fund Trustee's approach to managing climate change risk can be found in its Responsible Ownership Policy, its net zero commitment and its climate disclosures produced on an annual basis, as required by The Occupational Pension Schemes (Climate Change Governance and Reporting) Regulations 2021.

Compliance and Conduct Risk

Definition

Compliance risk is the risk that NWM Group fails to observe the letter and spirit of all relevant laws, codes, rules, regulations and standards of good market practice.

Conduct risk is the risk of inappropriate behaviour towards customers, or in the markets in which NWM Group operates, which leads to poor or inappropriate customer outcomes.

The consequences of failing to meet compliance and/or conduct responsibilities can be significant and could result, for example, in legal action, regulatory enforcement, material financial loss and/or reputational damage.

Sources of risk

Compliance and conduct risks exist across all stages of NWM Group's relationships with its customers and arise from a variety of activities including product design, marketing and sales, complaint handling, staff training, and handling of confidential inside information.

As set out in "*Description of NWM Group–Litigation and Regulatory Matters*", members of NatWest Group are party to legal proceedings and are subject to investigation and other regulatory action in the UK, the US and other jurisdictions.

Key developments in 2024

- Further enhancements were made to the compliance and conduct framework, with the risk toolkits, risk standards and regulatory compliance operational policy framework being embedded throughout the year. New teams have been put in place within the Conduct and Compliance department. These teams will increase oversight and capability in the areas of training, policy, assurance, data analytics, communications and culture. Business areas also completed self-assessments against the Conduct Risk policy and Regulatory Compliance Risk policy to ensure risks are being measured and managed accurately and effectively.
- The NatWest Group-wide programme continued to make significant progress, with the second phase of Consumer Duty rules having come into force on 31 July 2024. As a mainly wholesale entity, NWM is less impacted by Consumer Duty but has implemented for applicable client groups and remained closely involved with the group wide delivery.
- In line with a NWM plea agreement with the DoJ regarding historical spoofing conduct by former employees, an independent monitor was appointed in 2022. Now into the second year of the Monitorship, work continues to implement the enhancements recommended by the Monitor.

Governance

NWM Group defines appropriate standards of compliance and conduct and ensures adherence to those standards through its risk management framework. To support ongoing oversight of the management of the compliance and conduct risk profile, there are a number of committees in place across both the first and second line

of defence. Relevant compliance and conduct matters are escalated through the Executive Risk Committee and Board Risk Committee.

Risk appetite

The risk appetite statement and associated measures for compliance and conduct risks are approved at least annually by the Board on the Board Risk Committee's recommendation to ensure they remain appropriate and aligned to strategy. Risk appetite statements articulate the levels of risk that legal entities, businesses and functions work within when pursuing their strategic objectives and business plans.

A range of controls is operated to ensure the business delivers good customer outcomes and is conducted in accordance with legal and regulatory requirements. A suite of risk policies, risk standards and regulatory compliance operational policies addressing compliance and conduct risks set appropriate standards across NWM Group including some NatWest Group policies and procedures. Ongoing monitoring and targeted assurance are carried out as appropriate.

Monitoring and measurement

Compliance and conduct risks are measured and managed through continuous assessment and regular reporting to NWM Group's senior risk committees and at Board level. The compliance and conduct risk framework facilitates the consistent monitoring and measurement of compliance with laws and regulations and the delivery of consistently good customer outcomes. The first line of defence is responsible for effective risk identification, reporting and monitoring, with oversight, challenge and review by the second line. Compliance and conduct risk management is also integrated into NWM Group's strategic planning cycle.

Mitigation

Activity to mitigate the most material compliance and conduct risks is carried out across NWM Group with specific areas of focus in the customer-facing businesses and legal entities. Examples of mitigation include consideration of customer needs in business and product planning, targeted training, conflicts of interest management, market conduct surveillance, complaints management, mapping of priority regulatory requirements and independent monitoring activity. Internal policies help support a strong customer and market conduct focus across NWM Group.

Financial Crime Risk

Definition

Financial crime risk is the risk that NWM Group's products, services, employees and/or third parties are intentionally or unintentionally used to facilitate financial crime in the form of money laundering, terrorist financing, bribery and corruption, sanctions and tax evasion, as well as external or internal fraud.

Sources of risk

Financial crime risk may be present if NWM Group's customers, employees or third parties undertake or facilitate financial crime, or if NWM Group's products or services are used intentionally or unintentionally to facilitate such crime. Financial crime risk is an inherent risk across all lines of business.

Key developments in 2024

- Continued significant investment was made to support the delivery of a multi-year transformation plan across financial crime risk management.
- Enhancements were made to technology, data quality, and data analytics to improve the effectiveness of systems used to monitor customers and transactions.
- Financial crime roadshows and events were held throughout the year to further embed financial crime risk management culture and behaviours.

- There was active participation in public/private partnerships including the Joint Money Laundering Intelligence Taskforce and Data Fusion. In 2024, NatWest Group (together with seven other UK banks) shared datasets with the National Crime Agency (“NCA”) and seconded staff to the NCA to form a joint public/private intelligence team to work on the resulting risks identified, for reporting to law enforcement. This is a joint project, governed equally by the banks and the NCA, that has directly advanced high-priority organised crime investigations and identified new criminal networks exploiting the UK’s financial system.

Governance

The Financial Crime Risk Committee, which is chaired by the Head of Financial Crime, is NWM Group’s second line of defence financial crime risk oversight forum. The committee reviews and monitors key financial crime risks providing guidance, challenge, recommendations and decisions on issues affecting NWM Group globally. Where appropriate, the committee escalates material financial crime risks and issues across NWM Group to the NWM Executive Risk Committee and NWM Group Board Risk Committee. The committee is an escalation point for the Financial Crime oversight committee, which is first line owned and the principal financial crime committee in NWM Group.

Risk appetite

Financial crime risk appetite is approved by the Board. The risk appetite statements and associated measures for financial crime risks are reviewed and approved at least annually by the Board on the Board Risk Committee’s recommendation to ensure they remain appropriate and aligned to strategy.

There is no appetite to operate in an environment where systems and controls do not enable the effective identification, assessment, monitoring, management and mitigation of financial crime risk. NatWest Group’s systems and controls must be comprehensive and proportionate to the nature, scale and complexity of its businesses.

NWM Group operates a framework with preventative and detective controls designed to mitigate the risk that it could facilitate financial crime. These controls are supported by a suite of policies, procedures and guidance to ensure they operate effectively.

Monitoring and measurement

Financial crime risks are identified and reported through continuous risk management and regular reporting to NWM Group’s senior risk committees and both the NatWest Group and NWM Group Boards. Quantitative and qualitative data is reviewed and assessed to measure whether financial crime risk is within risk appetite.

Mitigation

Through the financial crime framework, relevant policies, systems, processes and controls are used to mitigate and manage financial crime risk. This includes the use of dedicated screening and monitoring systems and controls to identify people, organisations, transactions and behaviours that may require further investigation or other actions. Centralised expertise within NatWest Group is available to detect and disrupt threats to NWM Group and its customers.

Intelligence is shared with law enforcement, regulators and government bodies to strengthen national and international defences against those who would misuse the financial system for criminal motives.

Climate and Nature Risk

Definition

Climate and nature risk is the threat of financial loss or adverse non-financial impacts associated with climate change and nature loss respectively and the political, economic and environmental responses to it. NWM Group use the terms ‘nature’ and ‘environment’ interchangeably in recognition of both the NWG climate and nature policy and also ECB terminology.

Sources of risk

Physical risks may arise from climate events such as heatwaves, droughts, floods, storms and nature-related events such as land or air pollution. They can potentially result in financial losses, impairing asset values and the creditworthiness of borrowers. NWM Group could be exposed to physical risks directly by the effects on its properties and, indirectly, by the impacts on the wider economy as well as on the property, business interests and supply chains of its customers.

Transition risks may arise from the process of adjustment towards a low-carbon, nature restored economy. Changes in policy, technology and sentiment could prompt reassessment of customers' financial risk and may lead to falls in the value of a large range of assets. NWM Group could be exposed to transition risks directly through the costs of adaptation of its own operations as well as supply chain disruption leading to financial impacts. Potential indirect effects include the impact on the wider economy, including on customers, which may erode NatWest Group's competitiveness and profitability, as well as threaten reputational damage.

Liability risks may arise should stakeholders consider NWM Group's climate and nature risk management practices and disclosures insufficient, and responsible for or attributable to, stakeholders' losses. On the other hand, liability risks may also arise where some jurisdictions believe financial institutions have taken their sustainability-related initiatives too far, with some imposing sanctions in these circumstances.

NWM Group business activities

NWM Group identified a number of climate-related risks that may affect its businesses and strategy.

Emissions resulting from NWM Group business activities include:

- Financing activities – financed and facilitated.
- Emissions attributable to the trading book (including fixed income and currencies).
- Emissions from NWM Group's own operations. NatWest Group report emissions at a consolidated group level. NWM Group own operations and NWM Group financed emissions are therefore subsumed into NatWest Group's estimation of own operational footprint and estimated financed emissions for the consolidated group.

Financing activities

Financed emissions – lending and investments

Given the smaller size of the banking book relative to NWM Group's underwriting activities and trading book, financed emissions currently play a limited role within NWM Group. On-balance sheet exposure, as defined by the Partnership for Carbon Accounting Financials ("PCAF") standard, account for approximately 18 per cent of NWM Group's total assets, as at 31 December 2024. The undrawn loan commitments are currently excluded by the PCAF standard, and therefore could potentially increase the financed emission estimations, for example, if called up by customers during challenging market conditions.

Due to a lack of granular availability of customer-level climate data, financial institutions are still developing measurement methodologies and capabilities to assess their Scope 3 emissions. Therefore, estimated financed emission figures linked to lending exposures for financial institutions is expected to increase once Scope 3 emissions data is incorporated.

Facilitated emissions – bond underwriting and syndicated lending

Facilitation activities differ from on-balance sheet lending financed emissions in two respects. They are off-balance sheet (representing services rather than financing) and they can take the form of a flow activity (temporary association with transactions) rather than a stock activity (recorded on the balance sheet).

NWM Group's capital markets underwriting and syndicated lending activities are generally driven by existing NatWest Group lending relationships. Facilitated emissions can fluctuate year-on-year subject to mandates and changes in those lending relationships. Refer to page 174 for the NWM Group estimate of facilitated emissions.

Estimating financed and facilitated emissions and assessing climate impact on NWM Group's business activities involves data limitations and other challenges, particularly as estimation methodologies evolve.

Trading book

Trading book activities (which includes fixed income and currencies) are also impacted by climate-related risks.

NWM Group's scenario analysis work continued to build internal capability and benchmark against industry thinking in 2024. As it relates to market risk stress testing for issuer risk, counterparty risk and macro-parameters, NWM Group continues to be resilient to climate-driven market moves.

Due to the size of the trading book within NWM Group, the associated carbon emissions have the potential to be significant. However, at present, the scale of these emissions is uncertain given that trading book positions typically have shorter holding horizons and are more dynamic than those in the banking book. This continues to be an industry-wide challenge with no agreed approach on quantification of trading book related emissions.

Key developments in 2024

The effective management of climate and nature risk requires the full integration of climate and nature-related risk factors into strategic planning, transactions and decision-making. The risk management approach has evolved since 2021 alongside NWM Group and NatWest Group's ongoing, multi-year progressive pathway to mature climate risk management capabilities. NWM Group's capability to manage climate risks is more mature than its capability to manage nature-related risks.

- In January 2024, the scope of NatWest Group's (including NWM Group) climate risk policy was expanded to recognise nature-related risks beyond climate change.
- NWM Group in conjunction with NatWest Group began to roll out climate decisioning framework ("CDF") tools. These comprise climate risk scorecards and climate transition plan assessment tools. The roll-out is phased on a test and learn basis and the output scores from these tools do not drive credit risk decision making as yet.

Governance

The NWM Plc Board is responsible for monitoring and overseeing climate and nature-related risk within NWM Group's overall business strategy and risk appetite. This includes progress towards delivering on NatWest Group's strategy, including climate ambitions and targets.

The NWM Plc Board Risk Committee is responsible for the oversight of NWM Group's risk profile. As part of the integrated cross-bank approach, the NWM Plc CEO is designated to support the NatWest Group CEO in discharging the Senior Management Function 1 accountability for identifying and managing the risk and opportunities arising from climate change. The NWM Executive Committee and broader governance framework support the assessment and management of climate-related risks and opportunities across NWM Group.

In 2024, the NWM Group Climate & Sustainability Committee was retired, and the governance of climate-related risks and opportunities was embedded into existing committees. As part of the new governance structure, the NWM Group Climate & ESG Steering Committee was established to act as the principal decision-making forum for overseeing the establishment and safe and secure delivery of the NWM Group Climate & ESG Programme.

Risk appetite

Work continued in 2024 to mature NWM Group's climate-related risk management capabilities, while building out nature-related awareness. NWM Group has operational limits and a suite of key risk indicators. These measures provide management with information, including balance sheet exposure to heightened climate risk sectors, financed and facilitated emissions.

In January 2024, the scope of NatWest Group's (including NWM Group) climate risk policy was expanded to recognise nature-related risks beyond climate change. Nature elements apply to EU legal entities subject to ECB prudential regulation, i.e. NWM N.V. Group and will underpin the maturing approach to nature-related risks beyond climate change.

Identification, assessment, monitoring and mitigation

NWM Group in conjunction with NatWest Group continues to enhance its processes to effectively identify and assess the potential size and scope of climate-related risks, through the approaches detailed below. The approach to nature-related risks is not as mature as the approach to climate-related risks.

Scenario analysis

Scenario analysis allows NWM Group to test a range of possible future climate pathways and understand the nature and magnitude of the risks they present. The purpose of scenario analysis is not to forecast the future but to understand and prepare to manage risks that could arise.

NatWest Group focused on continuing to develop the capabilities to use scenario analysis to seek to identify the most material climate risks for its customers, seeking to harness insights to inform risk management practices and support decision making.

NatWest Group leads the development of credit risk scenario modelling capabilities for NatWest Group as a whole, as well as including other legal entities within NatWest Group, such as NWM Group. This includes both the developed capability and the execution of scenario analysis for NWM Group.

In 2024, NWM Group, as part of NatWest Group, partnered with climate experts from the University of Exeter to create bespoke climate risk scenario narratives that explored the range of physical and transition risks which could impact NatWest Group and its customers over the next five to ten years. These narratives are being used to inform the scenarios used by NWM Group and NatWest Group for a range of processes, as well as to enhance the overall understanding of the scale and complexity of near-term climate risks.

Scenario analysis was undertaken in 2023 and further developed in 2024 to test the resilience of NWM Group's control environment to potential greenwashing risks.

The greenwashing scenario is a stylised example of conduct failures in the green and sustainable finance markets. The key outcome of this forward-looking assessment of potential extreme but plausible events on our customers and the bank, was assessed as improved, against our 2023 assessment.

NatWest Group, including NWM Group, continued to develop its specialist climate data capabilities, including bringing in new data sets to increase the granularity for which climate risks are assessed. NWM Group, as part of NatWest Group, continues to work with industry and customers to develop solutions.

Credit risk: portfolio level assessment

The heightened climate-related risk sector assessment seeks to identify sectors that are likely to see increased credit risks for NatWest Group because of climate-related factors, over a 10 to 15-year horizon. NWM Group exposure to selected heightened climate-related risk sectors is summarised on page 162-163 (loans, loan commitments and contingent obligations by sector).

Credit risk: transaction level assessment

In 2024, CDF tools were rolled out on a test and learn basis, replacing the initial suite of climate risk scorecards for the in-scope population. NWM Group uses these tools to engage with its customers to support them in better understanding climate-related risks for their business and conduct climate transition plan assessments. Through this process, NWM Group continues to build capability among first and second line risk colleagues, and a culture where consideration of climate risk is part of the credit journey.

Traded market risk

The NWM Group traded market risk stress test translates "delayed transition" scenarios through the NatWest Group's gross value add modelling framework to shock credit spreads. Consistent macro-economic variables are overlaid, and this captures both the costs and opportunities associated with the climate transition and their impact on the trading book. Stress exposures continue to be calculated and monitored monthly along with other climate-related market risks, for example, holdings of green gilts.

Liquidity risk

Within NWM Group, climate risk is included in liquidity stress testing which assesses potential outflows under a range of extreme but plausible stress scenarios. Climate risk, which falls within the market-wide scenario theme, is captured in the form of major climate-related disruption in the UK and northern Europe.

This leads to widespread disruption and a temporary fall in economic output, with higher demand for cash from certain impacted business sectors due to the uncertainty. Volatility in financial markets impacts sterling, UK bonds and asset prices, while non-UK/European depositors re-evaluate their exposure to the UK/European financial sector. For 2024 reporting, climate is not the most severe scenario within the wider scenario suite used for calculating the stressed outflow coverage ratio, which is disclosed in the 2024 Financial Statements.

Stress testing and ICAAP

Climate risk is explicitly considered under one of the 2024 ICAAP scenarios. Starting with a metric for transition difficulty, the approach differentially widens counterparty credit spreads to reflect relative risks arising from specific sector membership. The approach aligns to internal traded market risk transition risk assessments.

Nature including environmental assessment

Activity in 2024 focused on the identification and assessment of environmental factors, including physical and transition risks within the NWM N.V. Group corporate portfolio.

An Environmental Decisioning Framework (“EDF”) was trialled in 2024. The first-generation environmental scorecard focused on a limited number of counterparties, using internal and external data. Developed on a test and learn basis, insight gained from EDF will be used to inform future activity.

NWM N.V. Group completed a scenario in 2024 on its power and utility sector customers, evaluating the impact of sizeable copper price increases on underlying credit risk. Findings from the stress test revealed that the sector exposure was resilient to copper price shocks, with immaterial impact on credit quality.

Materiality assessment

In 2024, NatWest Group including NWM Group, enhanced its understanding of nature risks by completing a pilot Locate, Evaluate, Assess and Prepare assessment as recommended by the Taskforce on Nature-related Financial Disclosures.

NWM Group, through its Dutch subsidiary NWM N.V. Group, continues to monitor sustainability-related disclosure obligations and started to set up activities to perform materiality assessments. This includes exploration of enhancements required to address future applicable materiality assessment expectations. During 2024, an assessment was conducted with support from an external service provider which sought to develop our thinking on sustainability topics and inform future potential approaches to conducting materiality assessments under incoming reporting regulations.

Estimate of facilitated emissions on bond underwriting and syndicated lending

Banks play a key role as facilitators between issuers and investors, and borrowers and lenders, by offering and conducting financial intermediation activities critical to the functioning of capital markets.

Following the issuance of the PCAF Part B Global Greenhouse Gas Accounting and Reporting Standard for Facilitated Emissions in December 2023, and further guidance received in September 2024, NWM Group updated the estimation of absolute Scope 1 and Scope 2 facilitated emissions for capital market activities to include:

- Capital markets bond underwriting activities, including green bonds as defined by the International Capital Market Association’s Green Bond Principles^(1,3) and the role of co-manager⁽⁴⁾. This constituted 60% of NWM Group’s capital markets bond underwriting including financial institutions with the balance being securitisations, sovereigns, supranational and agencies (SSA) which are out of scope for PCAF.
- Capital markets syndicated lending activities^(5,6) of £6.4 billion, including the syndication of green loans as defined by the Loan Markets Association.

NWM Group absolute Scope 1 and Scope 2 facilitated emissions weighted at 33%, were 1.28 MtCO₂e for 2024.

It is important to note that the absolute amounts presented are estimates and may be subject to change given shifting baselines year-on-year⁽⁷⁾ and evolving PCAF guidance. Facilitated emissions can fluctuate subject to NWM attributable bond underwriting and syndicated lending mandates.

With reference to the table below:

- The expansion in scope for syndicated lending has contributed to an increase in facilitated emissions for Airlines and Aerospace and Chemicals where total facilitated emissions were 0.20 MtCO₂e and 0.19 MtCO₂e respectively each being 15% of total emissions.
- Oil and gas represented 1% of the total NWM Group attributable bond underwriting and syndicated lending and constitutes 3% of the facilitated emissions in 2024.
- For Power Utilities, NWM Group attributable bond underwriting and syndicated lending increased by 34% between 2023 and 2024 resulting in an increase of facilitated emissions to 0.58 MtCO₂e. However, 82% of the attributable bond underwriting and syndicated lending was green ^(1,3) relative to 60% of green corporate bonds in 2023.

The table below shows NWM Group's estimated facilitated emissions from bond underwriting and syndicated lending activities in 2024, as attributed to NWM Group and split between conventional and green issuance, where applicable^(3,8).

Sector	2024						2023
	Attributable bond underwriting and syndicated lending (8)		Facilitated emissions from bond underwriting and syndicated lending (33% weighting) MtCO ₂ e				Facilitated emissions from corporate bond underwriting (8)
	£m	%	MtCO ₂ e	Sector % of total emissions	Green % of sector emissions	PCAF data quality score	Sector % of total emissions
Power utilities.....	4,329	5%	0.58	45%	82%	2.7	36%
Airlines and aerospace.....	1,624	2%	0.20	15%	—	2.9	—
Chemicals.....	1,065	1%	0.19	15%	—	3.6	18%
Leisure.....	2,007	2%	0.04	3%	—	3.4	—
Oil and gas.....	812	1%	0.04	3%	—	3.3	2%
Land transport and logistics.....	716	1%	0.04	3%	—	3.4	10%
Retail.....	3,103	3%	0.03	2%	—	2.5	1%
Water and waste.....	1,103	1%	0.02	2%	11%	2.0	5%
Manufacturing.....	3,031	3%	0.02	1%	—	2.9	5%
Financial institutions.....	63,777	68%	0.02	1%	1%	2.9	—
Automotive.....	2,679	3%	0.02	1%	—	3.0	1%
Commercial real estate.....	872	1%	0.01	1%	90%	3.0	—
Other.....	9,249	9%	0.10	8%	35%	3.3	22%
Of which: business and professional services.....	2,123	2%	0.07	6%	43%	3.0	1%
technology, media and telecoms.....	5,317	6%	0.01	1%	7%	3.1	1%
Total.....	94,367	100%	1.28	100%		3.0	100%

For the footnotes refer to the following page.

NWM Group methodology used for estimation

- In 2024, NWM Group applied a 33% weighting factor for emissions estimations in line with the PCAF Standard. In 2023, NWM Group applied a 100% weighting factor⁽⁸⁾ (1.5 MtCO₂e).

- NWM Group followed the PCAF published standard guidance to define an issuer as an organisation that issues debt or equity capital markets instruments⁽²⁾. SSA issuers, as well as securitised products, are out of scope for the standard published by PCAF.
- For syndicated lending, NWM Group included the roles of active and passive underwriting and best efforts, the role of coordination is not in scope by PCAF^(5,6).
- For 2024 reporting, NWM Group included financial institutions within estimates for facilitated emissions. Own issuances are included in financed emissions and therefore excluded from facilitated emissions.
- Currently, there is no commonly agreed methodology for measuring the carbon footprint of green bonds and loans⁽¹⁾. NWM Group shows the breakdown of conventional versus green bonds and loans to highlight the expected difference of facilitated emissions associated with the conventional versus green activities^(1,3). Sustainability linked and sustainable bond and loan activities are treated as conventional for the purpose of estimating and reporting on facilitated emissions.
- The 2023 PCAF standard allows splitting the responsibility among the transaction facilitators (passive and active) use of either league tables based on fees or the value of the volume. For bond underwriting, NWM Group used league tables based on volumes for active and passive roles and actual allocation for co-manager roles, to align with the NatWest Group sustainable funding and financing inclusion criteria. For loan syndication, NWM Group used both league tables based on volumes and deal information.
- In line with the PCAF published standard, to estimate greenhouse gas emissions, NWM Group sourced customer-level emissions data, where possible. If customer-level data was unavailable, emission sector averages (with a PCAF data quality score of five) were used for emission intensities from 2023 and applied against 2024 volumes⁽⁷⁾.
- Scope 3 emissions have not yet been estimated for facilitated emissions. PCAF recommends that Scope 3 emissions for all sectors are disclosed in climate reporting from the beginning of 2025. NWM Group continues to review Scope 3 estimation methodologies and the availability of appropriate data for inclusion in future reporting.
- PCAF scores are categorised between 1-5. PCAF scores of 1 or 2 are typically considered to have a higher degree of confidence in the estimation of facilitated emissions, as these are directly sourced from reports published by the customer. A PCAF score of 5 is typically considered to have a lower degree of confidence, as these are estimated by the reporting entity. The PCAF data quality score is based on the PCAF approach taken to estimate Scope 1 and Scope 2 emissions within a given sector. Where estimation methodologies differ between Scope 1 and Scope 2, NWM Group use the least favourable of a customers' PCAF scores in the weighted average calculation.

- (1) Green bonds and loans have been excluded by PCAF from facilitated emissions calculations for 2024. It is expected that green bonds and loans have a reduced emissions intensity, but no calculation or methodology has been developed to quantify the emissions associated with green bonds, loans and other known use of proceeds bonds. Green bond underwriting is included in NWM Group's 2024 facilitated emissions calculation for consistency with prior year disclosures, and syndicated lending for 2024 reporting, but no differentiation is made between conventional and green bond underwriting and syndicated lending emissions to account for this and NWM Group have not attributed a lower emission intensity to green bond underwriting and syndicated lending emissions.
- (2) The PCAF standard does not currently outline an estimation approach for short-term assets (such as commercial papers), as such these products are currently excluded from the facilitated emissions estimation.
- (3) NatWest Group 2024 climate and sustainable funding and financing inclusion criteria was used to determine the assets, activities and companies eligible for inclusion.
- (4) Co-managers are not captured by the PCAF standard. We include transactions where we act as a co-manager in alignment with the GHG accounting 'follow the money approach' and with NatWest Group's climate and sustainable funding and financing inclusion criteria⁽³⁾.
- (5) A syndicated loan transaction is defined as a loan made available by two or more providers under a common loan agreement and ranking credit is assigned upon signature of the loan documentation. Where a financial

institution provides an underwriting facility that puts the institution's capital at risk, this should be treated separately from the role they provide in arranging and facilitating an issuance.

- (6) The syndicated loan market is a private market with no requirement for banks to report collectively into third-party league tables. Based upon its own market knowledge, NWM Group identified relevant loan markets volumes based upon an internal scope and methodology with an aim to align to guidance from PCAF issued in December 2024. The numbers reported are therefore presented on a best endeavours basis and are subject to change as guidance develops.
- (7) NWM Group aims to estimate facilitated emissions using the latest data available, recognising there may be a lag between the availability of emissions data and the date of record for reporting. As a consequence of this lag, more recent changes in a counterparties activities may not be reflected in the estimate of facilitated emissions. NWM Group continues to refine its estimates as NWM Group enhances its understanding, calculation methodologies and data. Also, methodologies to calculate emissions for certain sectors are still under development. Based on these limitations, NWM Group expects its estimates to change as NWM Group improves the granularity and coverage of customer climate data and develop methodologies further.
- (8) The 2024 scope for the estimated facilitated emissions was expanded when compared to 2023, to include syndicated lending, financial institutions and co-managers, and reported at 33%. In 2023, the scope was limited to corporate bond underwriting only, with the estimated facilitated emissions reported at a 100% i.e. 1.5 MtCO₂. The equivalent of this reported estimated emissions at 33% is 0.5 MtCO₂.
- (9) The table should be read in conjunction with the NWM Group Climate and sustainability risk factors included above, please see "*Risk Factors–Climate and sustainability-related risks*".

Operational Risk

Definition

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems, or external events. It arises from day-to-day operations and is relevant to every aspect of the business.

Sources of risk

Operational risk may arise from a failure to manage operations, systems, processes, transactions, and assets appropriately. This includes human error, an inability to deliver change adequately or on time, the non-availability of technology services, or the loss of customer data. It also includes systems failure, theft of NWM Group property, information loss, the impact of natural or man-made disasters and the threat of cyberattacks.

Operational risk can also arise from a failure to account for changes in law or regulations or to take appropriate measures to protect assets.

Key developments in 2024

- The continued embedding of the enhanced risk and control self-assessment approach with a focus on material operational risks and controls across key end-to-end processes.
- An enhanced approach to introduce a single risk and control performance assessment has been developed and tested during 2024. This will replace the current Control Environment Certification ("CEC") approach from 2025.
- The automation of data-led insights into the operational risk profile to proactively drive management of the risks and oversight thereof.
- The embedding of robust operational risk appetite measures which provide comprehensive coverage of the key operational risks.
- The introduction of an effective and well-defined approach to leverage artificial intelligence to enhance controls articulation and manage controls data quality on an ongoing basis.

Governance

The risk governance arrangements in place for operational risk are aligned to the requirements set out in the Board-approved enterprise-wide risk management framework and are consistent with achieving safety, soundness and sustainable risk outcomes.

The Operating Committee discusses operational risk matters relating to the control environment, NWM Group's implementation of the enterprise-wide risk management framework, risk identification and oversight of return-to-appetite plans. Significant issues are escalated to the Board Risk Committee.

Risk appetite

Operational risk appetite supports effective management of all operational risks. It expresses the level and types of operational risk NWM Group is willing to accept to achieve its strategic objectives and business plans. NWM Group's operational risk appetite quantitative and qualitative statements encompass the full range of operational risks faced by its subsidiaries and branches, businesses and functions.

The risk appetite statement and associated measures for operational risk are reviewed and approved at least annually by the NWM Group Board on the NWM Group Board Risk Committee's recommendation to ensure they remain appropriate and aligned to strategy.

Mitigation

Risks are mitigated by applying key preventative and detective controls. This is an integral step in the risk self-assessment methodology which is used to determine residual risk exposure. Control owners are accountable for the design, execution, performance, and maintenance of key controls. Key controls are regularly assessed for adequacy and tested for effectiveness. The results are monitored and, where a material change in performance is identified, the associated risk is re-evaluated.

All residual risks that exceed the target appetite position are subject to action plans to bring them within appetite.

Supporting our understanding of control is the CEC process. This is a bi-annual process, which requires senior members of the executive and management to assess the adequacy and effectiveness of their internal control frameworks which supports certification that their business or function is compliant with the Internal Control over Financial Reporting (Sarbanes-Oxley Section 404) regulatory requirements and with the requirements of the UK Corporate Governance Code section on Risk Management and Internal Controls.

CEC covers material risks and the underlying key controls, including financial, operational and compliance controls, as well as supporting risk management frameworks. The CEC outcomes, including forward-looking assessments for the next two half-yearly cycles and progress on control environment improvements, are reported to NWM Board Risk Committee. They are also shared with external auditors.

Monitoring and measurement

Operational risk is measured and managed through continuous assessment and regular reporting to NWM Group's senior risk committees and at Board-level.

Risk and control self-assessments are used across business areas and support functions to identify and assess material operational risks, financial crime, conduct risks and key controls. All risks and controls are mapped to NatWest Group's risk directory. Risk assessments are refreshed at least every two years or sooner in response to internal and external events via a triggers process to ensure they remain relevant and that they capture any emerging risks.

The process is designed to confirm that risks are effectively managed in line with risk appetite. Key controls are tested at the appropriate frequency to verify that they remain fit-for-purpose and operate effectively to reduce the identified risks.

NWM Group uses the standardised approach to calculate its Pillar 1 operational risk capital requirement. This is based on multiplying three years' average historical gross income by coefficients set by the regulator based on business line.

As part of the wider Internal Capital Adequacy Assessment Process an operational risk economic capital model is used to assess Pillar 2A, which is a risk-sensitive add-on to Pillar 1. The model uses historical loss data (internal and external) and forward-looking scenario analysis to provide a risk-sensitive view of NWM's Pillar 2A capital requirement.

Scenario analysis is used to assess how severe but plausible operational risks will affect NWM Group. It provides a forward-looking basis for evaluating and managing operational risk exposures.

Refer to the Capital, liquidity and funding risk section for the operational risk capital requirement figures.

Event and loss data management

The operational risk event and loss data management process ensures NWM Group captures and records operational risk financial and non-financial impacts that meet defined criteria. Loss data is used for internal, regulatory and industry reporting and is included in capital modelling when calculating economic capital for operational risk. The most serious events are escalated in a simple, standardised process to all senior management, by way of an Early Event Escalation process. NWM Group has not experienced a material cybersecurity breach or associated material loss in the last three years.

All financial impacts and recoveries associated with an operational risk event are reported against the date they were recorded in NatWest Group's financial accounts. A single event can result in multiple losses (or recoveries) that may take time to crystallise. Losses and recoveries with a financial accounting date in 2024 may relate to events that occurred, or were identified in, prior years. NatWest Group purchases insurance, against specific losses, including cyberattacks, and to comply with statutory or contractual requirements.

Operational resilience and cybersecurity

NWM Group manages and monitors operational resilience through its enhanced risk and control self-assessment methodology. This is underpinned by setting and monitoring of forward-looking risk indicators and performance metrics for the operational resilience of important business services. Significant progress has been made in meeting regulatory expectations for operational resilience, with involvement in a number of industry-wide operational resilience forums. This enables a cross-sector view of the operational resilience risk profile and the pace of ongoing innovation and change, both internally and externally.

NWM Group operates layered security controls and its architecture is designed to provide inherent protection against threats. This approach avoids reliance on any one type or method of security control. Minimum security control requirements are set out in key risk policies, standards, processes and procedures. Risk policies are in place for each principal risk and define, at a high level, the cascade of qualitative expectations, guidance and standards that stipulate the nature and extent of permissible risk-taking. They are consistently applied across NatWest Group and subsidiary legal entities and form part of the qualitative expression of risk appetite for each principal risk.

Throughout 2024, NWM Group continued to monitor and manage the threat landscape focusing on:

- Initial access brokers and nation states - increasingly sophisticated attacks from ransomware gangs and ongoing challenges given the geopolitical tensions that are increasing the likelihood of disruptive cyberattacks.
- Developments in innovation and technology, assessing the inherent risk and developing appropriate response to mitigate associated risks, for example, artificial intelligence and cloud adoption.

As cyberattacks evolve, NatWest Group continues to invest in additional capability designed to defend against emerging risks.

Cybersecurity Risk Management Processes

Our cybersecurity risk management forms an integral part of NatWest Group's overall enterprise-wide risk management framework (EWRMF) that is designed around a three lines of defence model. Specifically, management of cybersecurity risk is a subset of the NatWest Group's wider operational risk management. To support our cybersecurity risk management, NatWest Group has a cyber security Board level risk appetite measure and policies. These policies are reviewed at least annually and benchmarked against industry best practice standards, including the "Information Security Forum: Standard Of Good Practice" (ISF: SOGP), and relevant publications by competent authorities such as the National Cyber Security Centre, to help us identify and remediate any gaps in our controls and procedures. In addition, NWM has a number of legal entity specific cybersecurity operational limits which inform internal risk monitoring.

Our cybersecurity risk management framework is designed to mitigate the impact of cybersecurity threats and incidents. The framework also includes a structured approach for identifying and managing both internal cybersecurity incidents and external incidents impacting our third-party suppliers.

Cybersecurity threats for 2024

NatWest Group is continuously exposed to cybersecurity threats across its business and supply chain, which are closely monitored by NatWest Group. In the year ended 31 December 2024, we did not identify any cybersecurity threats that have materially affected or are reasonably likely to materially affect NatWest Group. However, given the nature of cybersecurity threats, we cannot eliminate all risks from cybersecurity threats, or provide assurances that we have not experienced an undetected cybersecurity incident. For more information about these risks, please see *"Risk Factors–NWM Group is subject to sophisticated and frequent cyberattacks, and compliance with cybersecurity and data protection regulations is becoming increasingly complex."*

Board cybersecurity risk oversight

The NatWest Group Board ensures there is a framework of prudent and effective controls which enables risks – including information and cyber security risk - to be assessed and managed.

NatWest Group's first line of defence is responsible for setting NatWest Group's information and cybersecurity risk management strategy, including: delivering effective and efficient cybersecurity products, policies and services and identifying, considering and assessing material cybersecurity threats on an ongoing basis.

Model Risk

Definition

Model risk is the potential for adverse consequences from model errors or the inappropriate use of modelled outputs to inform business decisions. A model is defined as a quantitative method, system, or approach that applies statistical, economic, financial, accounting, mathematical or data science theories, techniques and assumptions to process input data into estimates.

Sources of risk

NWM Group uses a variety of models in the course of its business activities. Examples include the use of model outputs to support measuring and assessing risk exposures (including credit and market risk), valuation of positions, calculating regulatory capital and liquidity requirements and automation of operational processes. The models used for stress-testing purposes also play a key role in ensuring NWM Group holds sufficient capital, even in stressed market scenarios.

Model applications may give rise to different risks depending on the business segment in which they are used. Model risk is therefore assessed separately for each business segment in addition to the overall assessment made for NWM Group.

Key developments in 2024

- NWM Group remained within model risk appetite throughout 2024.

- The Model Risk Management Enhancement Programme was set up to support NatWest Group's response to the PRA's Supervisory Statement 1/23 (SS1/23). A self-assessment against SS1/23 was completed, reviewed by the Board and submitted to the PRA. Effort was focused on implementing an enhanced model risk management framework, including an expanded model identification exercise and roll-out of a new model tiering approach.
- Model inventory design changes were carefully delivered to support the implementation of framework enhancements. Focus also continued on improving the completeness and accuracy of model risk data contained within the inventory through enhanced oversight metrics and targeted remediation work.

Governance

A governance framework is in place to ensure policies and processes relating to models are appropriate and effective. Two roles are key to this – model risk owners and model validation leads. Model risk owners are responsible for model approval and ongoing performance monitoring. Model validation leads, in the second line of defence, are responsible for oversight, including ensuring that models are independently validated prior to use and on an ongoing basis aligned to the model's tier.

The NWM Group model management committee is used to escalate model risk matters to senior management where required.

The committee also supports model risk owners in their approvals of models for use. Models used for regulatory reporting may additionally require regulatory approval before implementation. Further escalation can also be made to the NatWest Group Model Risk Oversight Committee. The NatWest Group Model Risk Oversight committee further enhances model risk governance by providing a platform for executive level discussion on emerging model risks, identification of systemic risks and the evolution of model risk management practices. NWM Group is considered in scope of the NatWest Group Model Risk Oversight committee.

Risk appetite

Model risk appetite is set in order to limit the level of model risk that NWM Group is willing to accept in the course of its business activities. NWM Group risk appetite and associated measures are reviewed and approved by the NWM Group Board on recommendation of the Board Risk Committee at least annually and aligns to the NatWest Group's model risk appetite statement. The first line is responsible for monitoring performance against appetite, reporting on the model population and remediating models outside appetite.

Monitoring and measurement

Model risk is measured and managed through continuous assessment and regular reporting to NatWest Group's senior risk committees and at Board level.

Policies, toolkits and model standards related to the development, validation, approval, implementation, use and ongoing monitoring of models are in place to ensure adequate control across the lifecycle of an individual model.

All models developed for use are assigned a model tier, based on the model's materiality and complexity. Risk-based model tiering is used to prioritise risk management activities throughout the model lifecycle, and to identify and classify those models which pose the highest risk to NWM Group's business activities, safety and/or soundness.

Validation of material models is conducted by an independent risk function comprising of skilled, well-informed subject matter experts. This is completed for new models or material amendments to existing models and as part of an ongoing periodic programme to assess model performance. The frequency of periodic revalidation is aligned to the tier of the model. The independent validation focuses on a variety of model features, including model inputs, model processing, model outputs, the implementation of the model and the quality of the ongoing performance monitoring. Independent validation also focuses on the quality and accuracy of the development documentation and the model's compliance with regulation.

The model materiality combined with the validation rating provides the basis for model risk appetite measures and enables model risk to be robustly monitored and managed across NWM Group.

Ongoing performance monitoring is conducted by model owners and overseen by the model validators to ensure parameter estimates and model constructs remain fit for purpose, model assumptions remain valid and that models are being used consistently with their intended purpose. This allows timely action to be taken to remediate poor model performance and/or any control gaps or weaknesses.

Mitigation

By their nature – as approximations of reality – model risk is inherent in the use of models. It is managed by refining or redeveloping models where appropriate – due to changes in market conditions, business assumptions or processes – and by applying adjustments to model outputs (either quantitative or based on expert opinion). Enhancements may also be made to the process within which the model output is used in order to further limit risk levels.

Reputational Risk

Definition

Reputational risk is defined as the risk of damage to stakeholder trust due to negative consequences arising from internal actions or external events.

Sources of risk

The three primary drivers of reputational risk are: failure in internal risk management systems, processes or culture; NWM Group's actions materially conflicting with stakeholder expectations; and contagion (when NWM Group's reputation is damaged by failures in key sectors including NWM Group's supply chain or other partnerships).

Key developments in 2024

- Reputational risk assessment guidance was updated. Colleagues in relevant roles received updated training on key aspects of the policy and framework.
- Enhancements were made to the environmental, social and ethical (“ESE”) risk framework, including implementation of the ESE human rights risk acceptance criteria.

Governance

A reputational risk policy supports reputational risk management across NWM Group. Reputational risk registers are used to manage reputational risks identified within relevant business areas. These are reported to the relevant NWM Group business risk committee.

Material reputational risks to NWM Group are escalated via the NatWest Group reputational risk register, which is reported at every meeting of the NatWest Group Reputational Risk Committee. The NatWest Group Reputational Risk Committee also opines on matters that represent material reputational risks. The Executive and Board Risk Committees oversee the identification and reporting of reputational risk.

Risk appetite

NWM Group manages and articulates its appetite for reputational risk through a qualitative reputational risk appetite statement and associated quantitative measures which are set at NatWest Group level.

NatWest Group seeks to identify, measure and manage risk aligned to stakeholder trust. However, reputational risk is inherent in NatWest Group's operating environment and public trust is a specific factor in setting reputational risk appetite.

Monitoring and measurement

Relevant internal and external factors are monitored through regular reporting via reputational risk registers at NWM Group business level. They are escalated, where appropriate, to the relevant NWM Group executive committee and, where material, to the NatWest Group Reputational Risk Committee.

Additional principal risk indicators for material risks being monitored are also reported to the NatWest Group Reputational Risk Committee and to the Executive and Board Risk Committees.

Mitigation

Standards of conduct are in place across NWM Group requiring strict adherence to policies, procedures and ways of working to ensure business is transacted in a way that meets – or exceeds – stakeholder expectations.

External events that could cause reputational damage are identified and mitigated through NWM Group’s top and emerging risks process (where sufficiently material) as well as through the NatWest Group and business-level reputational risk registers.

NatWest Group has in recent years been the subject of investigations and reviews by a number of regulators and governmental authorities, some of which have resulted in past fines, settlements and public censure. Refer to the section “*Description of NWM Group–Litigation and Regulatory Matters*” for details of material matters currently affecting NWM Group.

REGULATION AND SUPERVISION

NWM Plc and the wider NatWest Group are subject to extensive financial services laws, regulations, administrative actions and policies in the UK and each location in which NWM Plc and NatWest Group operate. The following is a summary of the principal applicable legal regimes (and does not purport to be exhaustive).

The UK Financial Services Regulatory System

The UK financial services regulatory system is comprised of three main regulatory bodies: the FPC, which is a committee of the BoE; the PRA, a subsidiary of the BoE; and the FCA. Separately, the BoE has responsibility for the regulation of certain financial market infrastructures such as central securities depositaries and central counterparties, as well as for taking action to manage the failure of financial institutions as the UK resolution authority.

FPC

The FPC was established in 2013 as part of an overhaul of the UK regulatory system to improve financial stability following the financial crisis. The FPC is responsible for macro-prudential regulation, meaning that it monitors the stability and resilience of the UK financial system as a whole, identifying and taking action where necessary in order to reduce systemic risk. The FPC can direct the PRA and FCA to take certain actions to reduce systemic risk but it does not have direct regulatory responsibility for UK authorised firms.

PRA

The PRA has responsibility for the authorisation, prudential regulation and supervision of firms such as banks, building societies, insurers and systemically important investment firms. Firms that are subject to regulation by the PRA are referred to as PRA-authorised firms, or dual-regulated firms, as the FCA has responsibility for regulating the conduct of such firms. The PRA's general objective is to promote the safety and soundness of PRA-authorised firms.

FCA

The FCA is responsible for the authorisation, prudential regulation and supervision of all other authorised firms in the UK and it is the conduct regulator of firms authorised by the PRA. In discharging its responsibilities, the FCA must have regard to its strategic objective and its operational objectives. The FCA's strategic objective is to ensure that financial markets in the UK function well. Its strategic objectives include the protection of consumers, protecting and enhancing the integrity of the UK financial system, promoting effective competition in the interests of consumers, and facilitating the international competitiveness of the UK economy and its growth in the medium and long term. The FCA also oversees the Payment Systems Regulator, which is an operationally independent subsidiary of the FCA that regulates payment systems in the UK.

UK regulatory legislation

UK banking and financial services firms were previously subject to both domestic and EU-derived regulation. Following the UK's withdrawal from the EU, UK banking and financial services firms are subject to domestic regulation, although much of the EU-derived regulation that applied previously has been incorporated into UK domestic law through the European Union (Withdrawal) Act 2018, as amended. EU-derived legislation which now forms part of UK domestic law was initially referred to as retained EU law and is now called "assimilated law". Over time, EU-derived rules and regulations relating to financial services will be repealed and, in most cases, replaced by rules developed by the UK's financial services regulators within a legislative framework established by Parliament and the government. The primary UK financial services statute is the Financial Services and Markets Act 2000 (as amended, "FSMA"), and its subordinate legislation. The FSMA provides that no person can perform a regulated activity without being authorised or exempt. A regulated activity is a specific activity that relates to a specified type of investment. The FSMA (Regulated Activities) Order 2001, as amended, which is a statutory instrument made under the FSMA, specifies the types of activities that, when performed in relation to specified products or investments, are regulated activities in the UK. These activities include: dealing in investments as agent and as principal, deposit taking, issuing electronic money, insurance related activities, advising on investments and managing investments.

The PRA and FCA rules establish criteria for the authorisation of banks and other financial services firms that carry out regulated activities in the UK. Any person holding or proposing to hold 10 per cent or more of the shares or voting power of a bank or other financial services firm, or of its parent undertaking, are subject to prior approval by the PRA or FCA. The threshold is 20 per cent in respect of certain types of financial services firms. The PRA or FCA may object on the basis of reputation or prudential considerations. The PRA is the competent authority of NWM Plc and of NatWest Group plc, and receives information on the capital adequacy of NatWest Group as a whole.

Prudential Regulation

Banks in the UK are subject to prudential framework as set out in the PRA Rulebook, UK primary legislation such as Part 9D of the FSMA, onshored Capital Requirements Regulation (CRR), as updated and amended as well as onshored Regulatory and Implementing Technical Standards and PRA supervisory statements and other guidance material. Generally, the Capital Requirements Directive ('**CRD**') has been incorporated into the PRA Rulebook. The framework covers a wide range of prudential requirements for UK banks, including capital requirements, leverage ratio requirements, the large exposures framework and liquidity and funding requirements.

The Financial Services Act 2021, as amended ('**FS Act**'), makes extensive reforms to the UK financial services regulatory framework, including to the prudential regime applicable to UK banks. The FS Act also provides a mechanism for HM Treasury and the PRA to implement into UK law provisions that give effect to certain Basel standards as well as the final Basel 3.1 standards.

The FS Act amended the FSMA by inserting a new Part 9D, noted above, on the prudential regulation of credit institutions. The provision of Part 9D FSMA apply to the making of prudential rules, that is, the rules that apply to banks and certain firms in their groups that relate to the implementation of the Basel standards. HM Treasury and the PRA have implemented the Basel standards through a combination of secondary legislation (Capital Requirements Regulation (Amendment) Regulations 2021 (SI 2021/1078) and the Financial Services Act 2021 (Prudential Regulation of Credit Institutions and Investment Firms) (Consequential Amendments and Miscellaneous Provisions) Regulations 2021 (SI 2021/1376)), updates to the PRA Rulebook and through PRA and FPC supervisory materials.

These regulations issued pursuant thereto set up safeguards to protect depositors by establishing total capital ratios that require banks to have sufficient own funds such as common equity or subordinated debt in relation to assets. In addition, liquidity rules require banks to maintain sufficient liquid assets to meet depositor claims on demand or otherwise.

Under the CRR, banks must calculate and hold capital against credit risk, including counterparty credit risk ('**CCR**'), market risk, credit valuation adjustment ('**CVA**') and operational risk.

The standard method for credit risk assessment is based on the defined credit risks of various groups of assets, taking into consideration the nature of the counterparty and the counterparty's obligation. The CRR allows a bank to apply a standardised method or a modelled internal ratings based method to calculate credit risks. NWM plc has model permission from the PRA to calculate credit risk RWAs using the internal ratings based approach on a range of exposure classes; the standardised approach is used where no model permission is in place for specific exposures.

Market risk is the risk arising from changes in fair value on positions, assets, liabilities or commitments as a result of fluctuations in market prices. It is calculated on both on- and off-balance sheet positions and arises from customer transactions and managing the bank's own balance sheet and operations. Market risks include the risk of loss due to changes in interest rates, foreign exchange rates, commodities, traded credit spreads and equity prices.

CVA risk arises from potential losses generated by the fair-value accounting adjustment to the price of derivative transactions due to the deterioration in the creditworthiness of the counterparty to those transactions.

Banks must also maintain capital with respect to operational risk, which is the risk of losses resulting from internal process or systems failures as well as from external events.

The total capital requirement applicable to a bank is established by measuring all exposures weighted according to credit, market, and operational risk against the capital of the relevant bank. Accordingly, the capital of a bank

must amount to a certain minimum percentage (as described below) of the risk-weighted exposure amount (which includes the calculated items associated with market risk) of such bank.

For purposes of complying with the capital requirements of the CRR, the capital base is divided into three main categories: CET1 capital, AT1 capital and tier 2 capital. CET1 capital consists of equity capital adjusted for statutory deductions whereas the tier 1 capital consists of CET1 capital plus additional tier 1 capital adjusted for statutory deductions. CET1 capital primarily includes paid-up share capital and reserves (excluding revaluation reserves), and is reduced by, among other items, losses (if any) incurred during the current financial year and the Issuer's holdings of its own shares. Certain capital interests in other financial institutions in excess of certain limited amounts have to be deducted from the total amount of CET1 capital, additional tier 1 capital and tier 2 capital.

AT1 is another form of capital instruments, which may be included in tier 1 capital to meet the solvency/TCR, subject to certain conditions and limitations. The limitations and conditions are that AT1 capital must be converted during emergency situations and may be converted at the initiative of the PRA or if a certain contractual capital trigger is reached. Additionally, AT1 capital instruments may not contain any incentive for the credit institution to redeem and must be perpetual.

Tier 2 capital for banks consists of subordinated debt instruments issued by a bank. Subordinated debt instruments are debt obligations, which, in case of a bankruptcy or liquidation, are subordinated to ordinary claims on the issuing bank (which in turn are at least equal to the claims of depositors). Subordinated debt instruments must include interest deferral and principal reduction features, and can, therefore, be applied towards covering losses of the issuing bank even if that bank is allowed to carry on its business. However, the subordinated debt instruments may not contain any incentive to redeem or repurchase before five years after the date of issuance. In addition, the instrument must be amortised beginning on the first day of the final five-year period of the contractual maturity.

Under the CRR, institutions are required to hold a minimum amount of regulatory capital equal to 8 per cent of risk-weighted assets. In addition to these so-called minimum own funds Pillar I requirements, the PRA requires additional Pillar II capital to be maintained by institutions relating to elements of risks which are not fully captured by the minimum own funds Pillar I requirements or to address macro-prudential requirements.

The board of directors and management of a bank must ensure that the Issuer has adequate base capital and has internal procedures for risk measurement and risk management for regular assessments and maintenance of a base capital of a size, type and distribution adequate to cover the risks of the institution.

The board of directors and management of a bank must, on the basis of the above-mentioned assessment, calculate the individual solvency need of the Issuer (ICAAP procedure). The solvency need shall be expressed as the adequate base capital as a percentage of the risk-weighted assets. The solvency need may not be less than the solvency requirement and the minimum capital requirement.

A further combined buffer applies in addition to the Pillar I and Pillar II capital requirements. The combined buffer consists of a countercyclical buffer and a capital conservation buffer.

The capital conservation buffer and the countercyclical capital buffer are designed to ensure that credit institutions accumulate a sufficient capital base during periods of economic growth to absorb losses during periods of stress. The capital conservation buffer is set at 2.5 percent. The countercyclical buffer requirement is calculated as a weighted average of the national buffers in effect in the jurisdictions in which a bank has credit exposures.

Failure to meet the combined buffer requirement results in restrictions on institutions' ability to make **'discretionary payments'** (which are distributions in connection with CET1 capital, payments on additional tier 1 instruments and payments of variable remuneration). The restrictions are scaled according to the extent of the breach of the combined buffer requirement.

The combined buffer requirement is stacked on top of the Pillar II capital requirements. If the combined buffer requirement is breached, the institution must submit a capital conservation plan for approval by the PRA. However, for the purpose of determining automatic restrictions on discretionary payments (i.e. the maximum distributable amount or MDA), Pillar II capital requirements should not be taken into account. Nonetheless, the PRA may choose to impose restrictions on discretionary payments on the basis of the submitted capital conservation plan. There can be no assurance as to the relationship between any of the aforementioned or future incremental own funds requirements, any combined buffer requirement and the associated restrictions on discretionary payments. The

Pillar II capital requirements should be taken into account when the combined buffer requirement is breached and the MDA is determined. Furthermore, the combined buffer is also stacked on top of the MREL requirement. Consequently, MREL also needs to be taken into account in the calculation of the MDA, subject to a six-month grace period in case of inability to issue eligible debt, during which restrictions relating to MDA would not be triggered, but authorities would be able to take other appropriate measures.

In 2021, the PRA introduced a Leverage Instrument requiring credit institutions that exceed a certain deposit or foreign asset threshold to calculate, report, monitor and publish their leverage ratios, defined as a percentage of their tier 1 capital over their total exposure measure. A minimum leverage ratio of 3.25% became binding from 1st January 2023, with an additional amount for the countercyclical buffer. In the UK, the risk of excessive leverage is addressed as part of the Pillar II capital requirements. The LCR and NSFR are two key liquidity standards in the PRA Rulebook, which aim to promote the stability and resilience of the banking sector. Firms are required to maintain a LCR and NSFR of at least 100%. The LCR ensures that firms have an adequate stock of unencumbered liquid assets that consists of cash, or assets that can be converted into cash at little or no loss of value to meet liquidity needs for a 30 calendar day liquidity stress scenario. The NSFR requires firms to maintain a stable funding profile in relation to the composition of their assets and off-balance sheet activities. It seeks to limit overreliance on short-term wholesale funding, encourage better assessment of funding risk across all on- and off-balance sheet items, and to promote funding stability.

The PRA also governs the Large Exposure framework in the UK, which is designed to limit the risk of excessive concentration to a single counterparty or group of connected counterparties.

The PRA is currently in the process of implementing the Basel 3.1 changes. These mainly impact capital requirements for standardised and internal ratings based Credit Risk, Market Risk, CVA, CCR and Operational Risk. An aggregate “output floor” is also being introduced to ensure that total RWAs for firms using advanced or internally modelled methods and subject to the floor cannot fall below 72.5% of RWAs under the standardised approach. The implementation date is 1 January 2027.

Other jurisdictions are also in the process of implementing their own version of the Basel 3.1 rules which will affect NWM entities operating in those jurisdictions. In the EU, CRR3, which is implementing Basel 3.1, is effective from 1 January 2025, except for the new Market Risk rules which will be effective from 1 January 2026.

Resolution powers

Under the Banking Act 2009, as amended (the “Banking Act”), substantial powers are granted to the BoE (or, in certain circumstances, HM Treasury), in consultation with the Prudential Regulation Authority, the Financial Conduct Authority and HM Treasury as appropriate, as part of a special resolution regime (the “SRR”).

Under the SRR, the BoE is granted substantial powers to resolve and stabilise UK-incorporated financial institutions that are failing or likely to fail. Specifically, there are five options available to regulatory authorities under the current SRR to stabilise a failing financial institution: (i) transfer all or part of the business of the failing institution or the shares of the failing institution to a private sector purchaser; (ii) transfer all or part of the business of the failing institution to a bridge bank that is wholly-owned by the BoE; (iii) transfer part of the assets, rights or liabilities of the failing institution to one or more asset management vehicles; (iv) write-down, conversion, transfer, modification, or suspension of the failing institution’s equity, capital instruments and liabilities; and (v) temporary public ownership of the failing institution.

These tools may be applied to NatWest Group plc as the parent company or to NWM Group, as an affiliate, where certain conditions are met (such as, whether the firm is failing or likely to fail, or whether it is reasonably likely that action will be taken (outside of resolution) that will result in the firm no longer failing or being likely to fail). Moreover, the SRR provides for modified insolvency and administration procedures for relevant entities, and confers ancillary powers on UK regulatory authorities, including the power to modify or override certain contractual arrangements in certain circumstances. Regulatory authorities are also empowered to amend the law for the purpose of enabling the powers under the SRR to be used effectively. Such orders may apply retrospectively.

UK regulatory authorities are generally required to have regard to specified objectives in exercising the powers provided for by the Banking Act. One of the objectives (which is required to be balanced as appropriate with the other specified objectives) refers to the protection and enhancement of the stability of the financial system of the UK. Moreover, the ‘no creditor worse off’ safeguard contained in the Banking Act, under which creditors should not

incur losses greater than they would have incurred had the failing institution been wound-up under normal insolvency proceedings, may not apply to the application of the separate write-down and conversion power relating to capital instruments under the Banking Act, in circumstances where a stabilisation power is not also used. However, holders of debt instruments which are subject to the power may have ordinary shares transferred to or issued to them by way of compensation.

Conduct Regulation

FCA priorities

The FCA's business Plan for 2024/2025 highlights the 13 public commitments from its strategy, noting a focus on a top 3 of:

- Reducing and preventing financial crime: where it aims to slow the growth of investment fraud and Authorised Push Payment (APP) scams and lower the incidence of money laundering through its supervised firms.
- Putting consumers' needs first: where its stated outcomes include firms acting in good faith toward customers; and consumers being sold products and services that meet their needs, characteristics and objectives, whilst paying prices for those products that represent fair value. The regulator also wants to see its Consumer Duty encouraging firms to innovate, thereby driving effective competition in the interests of consumers.
- Strengthening the UK's position in global wholesale markets: where the FCA wants to deliver a regulatory framework that is clear, well-understood and trusted by all market participants, where firms understand and meet the regulator's expectations and any failings are swiftly remediated. The regulator also wants market participants to view the UK as one of the top markets of choice, where the regulatory framework encourages innovation and is proportionate in terms of speed and cost.

Consumer Duty

The FCA has implemented rules relating to how regulated firms are to interact with and provide services to retail customers, including a new Principle, which requires firms to act to deliver good outcomes for retail customers (the "Consumer Duty"). The Consumer Duty regime also sets "cross-cutting rules", which explain how firms should act to deliver good outcomes and apply to all areas of firm conduct as well as the "four outcomes", which set more detailed expectations for firm conduct in relation to: (i) the governance of products and services; (ii) price and value; (iii) consumer understanding; and (iv) consumer support. The Consumer Duty rules came into force from 31 July 2023 for new and existing products or services and have applied to closed products and services (products that are no longer marketed or distributed to retail customers, nor open to renewal) from 31 July 2024.

Anti-Money Laundering ("AML") initiatives, financial crime prevention initiatives and Countries Subject to Sanctions

In recent years, combating money laundering and terrorist financing has been a major focus of governmental policy towards financial institutions. Applicable bank regulatory authorities are imposing, and industry groups and participants are adopting, heightened standards, and law enforcement authorities have been taking a more active role in prosecuting potential violations. If a financial institution were to fail to comply with relevant regulations or to maintain and implement adequate and appropriate programmes to that end, this could have serious legal and reputational consequences for that institution.

Significant changes were made to the UK's AML and terrorist financing regime in the year ended 31 December 2017. The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 replaced the Money Laundering Regulations 2007 and the Transfer of Funds (Information on the Payer) Regulations 2007 with provisions that implemented the EU Fourth Anti-Money Laundering Directive and the EU Funds Transfer Regulation.

In the EU, the EU Fifth Anti-Money Laundering Directive ("**MLD5**") entered into force in July 2018, with a requirement for Member States, including the UK, to transpose it by 10 January 2020. A key change in MLD5 is a requirement on entities to take steps to mitigate the risks arising from their business relationships with persons in

certain designated “high risk” jurisdictions, including by undertaking prescribed enhanced due diligence measures and by limiting business relationships and transactions with such persons. This may impact the amount of business that the NWM Plc can conduct in these jurisdictions. MLD5 has been implemented in the UK by the Money Laundering and Terrorist Financing (Amendment) Regulations 2019 which amend the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017. The EU Sixth Anti-Money Laundering Directive (“MLD6”) came into effect on 3 December 2020, with EU member states required to implement the new measures by 3 June 2021. It expands the scope of existing EU anti-money laundering legislation and toughens criminal sanctions across the EU. The UK did not incorporate MLD6 into law as the implementation period was after the end of the post-Brexit transition period agreed between the UK and EU.

NWM Plc’s AML policy directly reflects relevant national and international laws, regulations and industry standards. All client engagements, products and services are in scope of this policy.

The requirements in NWM Plc’s AML policy cover minimum standards and controls related to: money laundering, terrorist financing, export trade controls, proliferation financing, sanctions (economic, financial and trade) and countries designated by NWM Plc as ultra-high risk. The effectiveness of those controls is reviewed periodically.

NWM Plc complies with sanctions laws and regulations of the UK, EU, United Nations and US, as well as other applicable sanctions laws and regulations in the jurisdictions in which NWM Plc operates.

NWM Plc continues to improve its sanctions compliance controls to respond to risks of new or expanding sanctions regimes.

The Bribery Act 2010 contains offences relating to bribing another person, being bribed and bribing foreign public officials. It also contains an offence for commercial organisations for failing to prevent bribery. The Ministry of Justice has published guidance about procedures which commercial organisations can put into place to help prevent against persons associated with them engaging in such activity.

With effect from 30 September 2017, the Criminal Finances Act 2017 introduced a new criminal offence for businesses that fail to take adequate steps to prevent their associates (employees, agents or other persons who perform services for or on behalf of the business concerned) from facilitating tax evasion. Only where the business has put in place reasonable prevention procedures to prevent facilitation of tax evasion by their associates will it have a defence. HMRC has published guidance on the types of processes and procedures that may be put in place by businesses to limit the risk of representatives criminally facilitating tax evasion.

The Modern Slavery Act 2015 requires companies supplying goods or services with a total global annual turnover of thirty-six million pounds sterling (£36 million) or more that are carrying out a business, or part of a business, in the UK to publish a slavery and human trafficking statement each financial year. The total turnover is calculated taking into account the turnover of any subsidiary undertakings.

The Economic Crime and Corporate Transparency Act 2023 (the “ECCTA”) introduces a number of key changes in relation to financial crime prevention. Among other things, the ECCTA creates a strict criminal liability for larger firms (like those in the NWM) that did not have reasonable procedures to prevent a fraud committed by an associated person (including employees and outsourced providers).

Sustainability Disclosure Requirements and Anti-Greenwashing Regulation

NWM Plc and its subsidiaries are increasingly becoming subject to more extensive, and sophisticated sustainability-related laws and regulations in the UK, EU and the US, including in relation to mandatory climate and other sustainability reporting and due diligence, climate transition plan and product labelling.

In 2024, the FCA introduced its anti-greenwashing rule and guidance which apply to all FCA-authorised firms who make claims about the sustainability characteristics of their products and services. In this context “sustainability characteristics” encompasses only “environmental and/or social characteristics”, (with the FCA viewing governance “to be an enabler of environmental or social outcomes, rather than an end in itself”).

Forthcoming Regulatory Changes and Relevant Regulatory Initiatives

Wholesale markets reform and the future regulatory framework

In March 2022, HM Treasury set out the direction of travel for UK wholesale markets regulation when it published feedback on the UK Wholesale Markets Review. The FSMA 2023 contains the framework for this process of wholesale markets reforms. The reforms, which are gradually being put in place, are being made through amendments to legislation (such as the EU Regulation on Markets in Financial Instruments (“**MiFIR**”), as incorporated into UK law) and through giving powers to the FCA to take parts of the UK’s MiFID II framework into the FCA Handbook, with a view to leading the reforms in some key areas, including (among others):

- the UK equity and non-equity transparency requirements;
- the introduction of a framework for UK consolidated tape providers; and
- changes to the unbundling requirements applicable to investment research.

The FCA has either consulted on or introduced reforms in these areas over the course of 2024. Similar changes are being made at European Union level, with changes to MiFID II and MiFIR being introduced in 2024.

The government’s plans for the future regulatory framework – now rebranded a Smarter Regulatory Framework (the “**SRF**”) – are underpinned by the FSMA 2023. Under the FSMA 2023, HM Treasury and the PRA and the FCA are empowered to shape how regulation is maintained and made, including in relation to how assimilated law is removed from the statute books. The government has identified 43 files of retained EU law which need to be dealt with under its Smarter Regulatory Framework programme. Some of this law will be repealed without replacement. Additionally changes planned as part of the SRF include:

- revoking and replacing the EU Regulation on Key Information Documents for Packaged Retail and Insurance-Based Investment Products (PRIIPs) (as it forms part of UK domestic law) with a new disclosure regime for Consumer Composite Investments that is tailored to the UK;
- a new “Designated Activities Regime” to allow certain financial activities to be regulated without requiring the persons providing them to seek authorisation; and
- expansion of the regulatory perimeter – for example, under the FSMA 2023, the PRA and the FCA have been granted the power to regulate access to cash, critical third parties and cryptoassets.

Changes to the EU Regulation on OTC derivatives, central counterparties and trade repositories (“**EMIR**”) (as incorporated into UK law, “**UK EMIR**”) reporting requirements have been made in 2024. UK EMIR will eventually be revoked under the FSMA 2023 and replaced by new rules in the regulators’ rulebooks. The timing for completing this process is unclear; however, new technical standards on the reporting requirements and procedures for data quality under UK EMIR applied from 30 September 2024. The new reporting rules extend the level of detail to be reported, require reconciliation by trade repositories of the reports made by each counterparty, and provide for enhanced responsibilities for notifying regulators of errors and omissions. Additionally, during 2023, regulators moved to extend several temporary exemptions under UK EMIR. These include temporary exemptions from clearing for pension schemes; clearing and margining for intragroup transactions with counterparties in non-equivalent jurisdictions; and margin requirements for certain equity and index options.

The FSMA 2023 introduced the concept of digital settlement assets (“**DSAs**”) and gives HM Treasury powers to bring DSAs under financial regulation as needed. This aims to future-proof the UK regulatory regime for innovations in the digital asset space, potentially laying the groundwork for stricter future regulation of crypto assets and stable coins.

Changes to individual accountability and the Senior Managers and Certification Regime (“**SMCR**”) are expected in 2025. Following an initial call for evidence which garnered views on the effectiveness, scope and proportionality of the SMCR, and sought views on potential improvements and reforms, the Chancellor announced in her 2024 Mansion House speech that HMT, the FCA and the PRA intend to publish a follow-up consultation. The extent of the potential changes is unclear at this stage, although early indications provided by the PRA and the FCA are that the changes will not engender a radical shift in approach.

The FCA has introduced restrictions in relation to financial promotions of higher risk investments and cryptoassets. Additional restrictions on approving financial promotions came into force on 7 February 2024. From this date, authorised persons, such as banks, wishing to approve financial promotions must seek permission from the FCA to do so, unless an exemption is available. The FCA has published its Crypto Roadmap, setting out key dates for the development of a comprehensive regulatory framework for crypto in the UK. The Roadmap forecasts the publication of all Policy Statements to be completed by 2026, with the regime taking effect shortly thereafter.

The banking industry is increasingly using AI to achieve the speed, agility, and flexibility to help it compete effectively. Banks must balance this objective with continuing to manage the scale, security standards, and regulatory requirements of a traditional financial-services enterprise.

MANAGEMENT AND SHAREHOLDINGS

Board of Directors

The Board is the main decision-making body for the Issuer. It has overall responsibility for the management of the business and affairs of the Issuer and supervises the Executive Management, whereas the Executive Management is in charge of the day-to-day management observing the guidelines issued by the Board of Directors. Please refer to ‘*Management and Shareholdings—Executive Management.*’ Under the current governance structure, the Board of Directors sets the strategic targets of the Issuer and its subsidiaries, ensures that the necessary resources are in place for the Issuer to meet its obligations, is responsible for approving the capital and funding plans and reviews the operational and financial performance of the Issuer. The Board of Directors monitors and maintains the consistency of the Issuer’s activities within the strategic direction of NatWest Group, and ensures the Issuer manages risk effectively through approving and monitoring the Issuer’s risk appetite, considering Group stress scenarios and agreed mitigants and identifying longer-term strategic threats to the Issuer’s business operations. The Board of Directors’ Terms of Reference includes key aspects of the Issuer’s affairs reserved for the Board of Directors’ decision and are reviewed at least annually. The Board of Directors is collectively responsible for the long-term success of NWM Plc and the delivery of sustainable value to its shareholders.

Other than the matters reserved specifically for the Board, the Board has delegated responsibility to the Chief Executive Officer. This includes responsibility for the operational management of the Issuer’s businesses, as well as reviewing high-level strategic issues and considering risk appetite, risk policies and risk management strategies in advance of these being considered by the Board of Directors and/or its Committees. Specific delegated authorities are also in place in relation to business commitments across NWM Group. The Board of Directors appoints and dismisses the Chief Executive Officer.

The members of the Board of Directors as at the date of this Registration Document are as follows:

	First elected to the Board of Directors
<i>Non-Executive Directors</i>	
Frank Dangeard, <i>Chair</i>	2016
Tamsin Rowe	2019
Anne Simpson	2020
Sabrina Wilson	2023
<i>Executive Directors</i>	
Jonathan Peberdy, <i>Chief Executive Officer</i>	2024
Simon Lowe, <i>Chief Financial Officer</i>	2022

The business address for the current members of the Board of Directors is NWM Plc, 250 Bishopsgate, London EC2M 4AA, United Kingdom.

Mr. Frank Dangeard

As well as being Chair of the Issuer, Mr. Dangeard is Chair of Gen Digital Inc. and serves on the boards of NatWest Group plc, HIS Holding Limited, STJ Advisors Group Limited and the UK Competition and Markets Authority (CMA). He is an ‘advisory’ board member of various listed and non-listed companies, principally in the technology/telecom, finance and energy industries.

Mr. Dangeard is also a Director-in-Residence at INSEAD and Co-Chair of the Advisory Board of Hawkamah, the corporate governance institute of the MENA region, based in Dubai.

In the financial industry, Mr. Dangeard has served on the boards of Crédit Agricole CIB (France) and Home Credit (Czech Republic). In the technology/telecom industry, he has served on the boards of Orange, Equant and Wanadoo (France Télécom/Orange Group), Eutelsat (France), Sonaecom (Portugal), and has served as Deputy Chair and Acting Chair of Telenor (Norway). In the energy industry, he has served on the boards of EDF (France) and Hindustan Power (India). He has also chaired the Strategy Board of PwC (France), and has been a member of the Advisory Boards of the Harvard Business School (US) and of École des Hautes Études Commerciales (France).

From 2004 to 2008, Mr. Dangeard served as Chair and CEO of Thomson SA (France) and prior to that as Deputy CEO of France Télécom. Mr. Dangeard earlier career was predominantly spent in investment banking, where he served as a Managing Director of SG Warburg & Co in London and Madrid, and latterly as Chair of SG Warburg France. From 1986 to 1988, he was with Sullivan & Cromwell LLP, a US law firm, in New York and London.

Mr. Dangeard has taken a short leave of absence. If Mr. Dangeard does not return at the end of the scheduled leave, an interim Chair will be appointed.

Mr. Dangeard serves on the following principal Committees of the Issuer:

- Nominations Committee (Chair)

Ms. Tamsin Rowe

Ms. Rowe joined the NWM Plc Board following her retirement in 2019 from Morgan Stanley, where she spent 31 years and was most recently Head of International HR.

During her time at Morgan Stanley, Tamsin was a sounding board and counsellor for the international business and led the HR department to support the business to deliver a range of projects including driving excellence in talent management; conduct and culture; assessing and supporting acquisitions, integrations and divestures; and remuneration.

Tamsin began her career in HR with Thomson Travel, prior to joining Morgan Stanley. Tamsin is a graduate of the University of Kent and London School of Economics and is a member of the Guild of Human Resources Professionals and the Institute of Personnel and Development.

Ms. Rowe serves as a member of the following principal Committees of the Issuer:

- Board Risk Committee
- Performance & Remuneration Committee (Chair)
- Nominations Committee

Ms. Anne Simpson

Anne Simpson joined the NWM Plc Board in September 2020. Ms Simpson is a Chartered Accountant and spent her career with PwC working across audit, accounting consultancy, regulatory and governance roles advising major international banks. She also led a number of high-profile reviews on behalf of the UK regulators covering a wide range of topics including IT, governance and regulatory reporting. Most recently, she was Senior Partner in the firm's Banking & Capital Markets Regulatory team and Chair of the firm's UK Supervisory Board. She was a member of the ICAEW Risk and Regulatory Committee from 2009-2017.

Ms. Simpson serves as a member of the following principal Committees of the Issuer:

- Board Risk Committee
- Audit Committee (Chair)
- Performance & Remuneration Committee
- Nominations Committee

Ms. Sabrina Wilson

Sabrina Wilson joined the NWM Plc Board in September 2023. Ms Wilson has more than 25 years' experience in financial services and global markets, having held a variety of senior roles in New York, London and Singapore for Citigroup, JP Morgan, Goldman Sachs and Deutsche Bank.

Most recently, she was Chief Operating Officer of Copper Technologies (UK) Limited, a digital asset custodian, prime and infrastructure solutions provider. Prior to this, she was Global Co-Head of Citigroup's Futures, OTC Clearing and FX Prime Brokerage business. She also oversaw a period of development of the bank's global

execution and algorithmic platforms in futures and cash equities. Ms. Wilson has deep experience in clearing, prime brokerage and digital assets. As well as holding executive appointments at a senior level, Sabrina has served as a non-executive director of TS Imagine since December 2021 and was a member of the European Advisory Board of the Futures Industry Association from 2017 to 2022.

Ms. Wilson serves as a member of the following principal Committees of the Issuer:

- Board Risk Committee (Chair)
- Audit Committee
- Performance & Remuneration Committee
- Nominations Committee

Mr. Jonathan Peberdy

In July 2024, Jonathan was appointed CEO of NatWest Markets having formerly held the position of interim Deputy CEO of NatWest Markets since August 2023.

Jonathan joined NatWest as a graduate and spent the first part of his career on the Bond Syndicate and EMTN desks. He moved to UK Flow Credit Sales in 2009 and, in October 2013, was appointed Head of Credit & Asset Backed Sales for EMEA, responsible for distributing all credit and asset backed products in the region.

Jonathan became Global Head of Syndicate in 2015, responsible for all syndicate activities from commercial paper to bonds and loans and across the entire credit spectrum.

Jonathan has a Bachelor's degree in Industrial Economics from Nottingham University.

Mr. Simon Lowe

Mr Lowe joined NatWest in 2005 and has undertaken a number of previous roles: Head of Finance for Credit Markets, Head of Markets Decision Support, Financial Controller, NWM Plc and, most recently, Director of Finance, NWM Plc. In his current role as Chief Financial Officer he advocates purposeful behavior, looking at all areas of inclusion, wellbeing, recognition and connectivity.

Between 1992 and 2005 he held a variety of senior finance positions at J.P. Morgan, UBS and Lehman Brothers, where he held the role of Head of Fixed Income Product Control, Europe.

He graduated with a BSc from the University of Bradford and is qualified as a Chartered Accountant.

Executive Management

The Executive Directors of NWM Plc act as the Executive Management and have responsibility for the day-to-day management of the Issuer.

The members of the Executive Management as at the date of this Registration Document are as follows:

	Position	Year of birth	Appointed on the Executive Management
Jonathan Peberdy	Chief Executive Officer	1978	2024
Simon Lowe	Chief Financial Officer	1966	2022

Conflict of Interest

The Issuer has procedures in place to ensure that the Board's management of conflicts of interest and its powers for authorising certain conflicts are operating effectively. On appointment, each director is provided with the Issuer's guidelines for referring conflicts of interest to the Board. Each director is required to notify the Board of any actual or potential situational or transactional conflicts of interest and to update the Board with any changes to the facts and circumstances surrounding such conflicts.

Situational conflicts can be authorised by the Board in accordance with the Companies Act 2006 and the Issuer's articles of association. The Board considers each request for authorisation on a case-by-case basis and has the power to impose conditions or limitations on any authorisation granted as part of the process.

Except as set out in the biographies listed in this disclosure, no potential conflicts of interest exist between any duties to the Issuer of the directors listed above and their private interests and/or other duties.

Remuneration and Benefits

Remuneration of the Board of Directors

	2024	2023
	£'000	
Directors' remuneration		
Non-Executive Directors emoluments.....	391	319
Chair and executive directors – emoluments	2,774	2,477
	<u>3,165</u>	<u>2,796</u>
Amounts receivable under LTIPs, share option and other plans	792	604
Total	<u>3,957</u>	<u>3,400</u>

The total emoluments and amounts receivable under long-term incentive plans and share option plans of the highest paid director were £2,247,000 (2023 - £2,153,000).

Non-executive directors receive a basic fixed fee for service on the Board. They are not eligible to participate in the Issuer's incentive programs and do not receive performance-based remuneration. The fixed fee is determined in accordance with market standard and reflects the qualifications and competencies required in view of the Issuer's size and complexity, the responsibilities and the time non-executive directors are expected to allocate to discharge their obligations as Board members. The Chair of the Board receives an annual fixed fee.

In addition to the base fixed fee, non-executive directors receive additional compensation if they also serve as members of one or more of the Board Committees. The Chair of a Board Committee also receives an additional fee.

For information on the remuneration for Executive directors, as well as for other members of the Board of Directors, see Note 29 ('*Directors' and key management remuneration*') to the 2024 Financial Statements incorporated by reference into this Registration Document.

Remuneration of the Executive Management

The compensation of the key management is outlined in the table below.

	2024	2023
	£'000	
Short term benefits	14,496	12,635
Post-employment benefits	554	592
Share based payments.....	<u>4,943</u>	<u>3,878</u>
	<u>19,993</u>	<u>17,105</u>

Short term benefits include benefits expected to be settled wholly within twelve months of balance sheet date. Post-employment benefits include defined benefit contributions for active members and pension funding to support contributions to the defined contribution schemes. Share-based payments include awards vesting under rewards schemes.

For additional information regarding remuneration of the members of the Executive Management, see Note 29 ('*Directors' and key management remuneration*') to the 2024 Financial Statements incorporated by reference into this Registration Document.

Severance Terms for the Executive Management

Mr. Peberdy and Mr. Lowe may terminate their service contracts by giving 6 months' notice. The Issuer may terminate the service contract of Mr Peberdy and Mr. Lowe with 6 months' notice. Members of the Executive Management are not entitled to any severance pay other than salary while under notice.

Performance-based Share Remuneration Program

Mr Peberdy and Mr. Lowe may participate in NatWest Group's long-term incentive plans and share save schemes and details of the interests in NatWest Group plc's shares arising from their participation are provided in the Directors' remuneration report in the Annual Report and Accounts of NatWest Group plc for the year ended 31 December 2024.

Board Practices

An Annual General Board Meeting shall be held once every year, at such time (subject to statutes) and place as may be determined by the Board. The directors may whenever they think fit, and shall on requisition in accordance with the statutes, proceed to convene a General Board Meeting.

The quorum necessary to proceed with a General Board Meeting may be fixed by the Board and unless so fixed at any other number shall be three. A meeting of the Board at which a quorum is present shall be competent to exercise all powers and discretions for the time being exercisable by the Board. The external auditors and the Chief Internal Auditor are invited to participate in meetings of the Board where matters relevant to the auditing or the financial reporting of the Issuer are considered.

The Board may delegate any of its powers, authorities or discretions (including, for the avoidance of doubt, any powers, authorities or discretions relating to the remuneration of directors, the varying of directors' terms and conditions of employment or the conferring of any benefit on directors) to committees consisting of such directors, or any other person, as the directors think fit.

Committees

General

The Board has established four committees: the Risk Committee, the Audit Committee, the Performance & Remuneration Committee, and the Nomination Committee. The tasks of the committees are laid out in the Terms of Reference for each committee, which are reviewed at least once a year.

The Audit Committee comprises at least two independent non-executive directors and assists the Board in discharging its responsibilities for the disclosure of the financial affairs of the Issuer. It reviews the accounting policies, financial reporting and regulatory compliance practices of the Issuer, the Issuer's system and standards of internal controls, and monitors the Issuer's processes for internal audit and external audit and reviews the practices of the segmental Risk and Audit Committees.

The Board Risk Committee comprises at least two independent non-executive directors. It provides oversight and advice to the Board on current and potential future risk exposures of the Issuer and risk strategy. It reviews the Issuer's performance on risk appetite and oversees the operation of the Issuer's Policy Framework.

The Performance & Remuneration Committee comprises at least four independent non-executive directors and oversees the implementation of NatWest Group's policy on remuneration. It also considers and makes recommendations on remuneration arrangements for senior executives of the Issuer.

The Nominations Committee comprises four non-executive directors, and is chaired by the Chair of the Issuer. It is responsible for assisting the Board in the formal selection and appointment of directors. It reviews the structure, size and composition of the Board, and membership and chairing of Board committees.

Declaration on Corporate Governance

By adhering to sound principles of corporate governance, the Issuer wishes to maintain the confidence of investors, achieve its financial objectives and act with integrity towards all its stakeholders. The Issuer aims to create transparency for shareholders and other stakeholders by describing aspects of its organisation and processes through its annual report and accounts approved by the Board.

Shareholdings

NatWest Group plc owns 100 per cent of the shares in the Issuer and therefore controls the entity, including the election of members of the Board.

RELATED PARTY TRANSACTIONS

Pursuant to IFRS, a related party to NWM Group is either a party over which NWM Group has control or significant influence or a party that has control or significant influence over NWM Group. All entities over which NWM Group has control are consolidated and are therefore not considered a related party in relation to NWM Group.

NWM Group has a number of transactions and other commercial activities with NatWest Group entities. Certain significant contractual and other relationships with NatWest Group entities are described, amongst others, in ‘*Operating and Financial Review – Primary Factors Affecting NWM Group’s Results of Operations – Relationship with NatWest Group*’ and ‘*Operating and Financial Review—Primary Factors Affecting NWM Group’s Results of Operations—Recent Changes to NWM Group’s Scope of Activities Relating to the UK’s Exit From The EU.*’

UK government

On 1 December 2008, the UK government through HM Treasury became the ultimate controlling party of NatWest Group plc. The UK government’s shareholding is managed by UKGI, a company wholly owned by the UK government. As a result, the UK government and UK government controlled bodies became related parties of NWM Group.

As at March 12, 2025, HM Treasury’s holding in NatWest Group plc’s ordinary shares was 4.82 per cent. As a result, the UK Government through HM Treasury is no longer the controlling shareholder of NatWest Group plc as per UK listing rules. The UK Government and UK Government-controlled bodies currently remain related parties of the NatWest Group.

NWM Group enters into transactions with many of these bodies on an arm’s-length basis. Transactions include the payment of: taxes principally UK corporation tax and value added tax; national insurance contributions; local authority rates; and regulatory fees and levies; together with banking transactions such as loans and deposits undertaken in the normal course of banker-customer relationships.

BoE Facilities

NWM Group may participate in a number of schemes operated by the BoE in the normal course of business.

In March 2024 Bank of England Levy replaced the Cash Ratio Deposit scheme. Members of NatWest Group that are UK authorised institutions are required to pay the levy having eligible liabilities greater than £600 million. They also have access to BoE reserve accounts: sterling current accounts that earn interest at the BoE Base Rate.

Other Related Parties

- (a) In their roles as providers of finance, NWM Group companies provide development and other types of capital support to businesses.
- (b) To further strategic partnerships, NWM Group may seek to invest in third parties or allow third parties to hold a minority interest in a subsidiary of NWM Group. Related parties where stakes of 10 per cent or more are held are disclosed. Ongoing business transactions with these entities are on normal commercial terms.
- (c) In accordance with IAS 24, transactions, or balances between NWM Group entities that have been eliminated on consolidation are not reported.
- (d) NWM Group is recharged from other NatWest Group entities, mainly NWB Plc which provides the majority of shared services (including technology) and operational processes.
- (e) The primary financial statements include transactions and balances with subsidiaries which have been further disclosed in the relevant parent company notes.

THE ISSUER

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